MINISTRY OF AGRICULTURE, LIVESTOCK & FISHERIES

Final Report on Restructuring Study of the National Cereals and Produce Board

June 20, 2014



EY

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LIST OF ACRONYMS AND ABBREVIATIONS

AFC	Agricultural Finance Corporation
BG	Broken Grains
BoD	Board of Directors
Cap	Chapter
COMEX	Commodity Exchange
CSRP	Cereals Sector Reform Program
EMCA	Environmental Management & Co-ordination Act
EY	Ernst & Young
FRS	Famine Relief Stocks
GOK	Government of Kenya
GCK	Grain Corporation of Kenya
HDG	Heat Damaged Grains
HRMS	Human Resource Management System
ICT	Information and Communication Technology
KEBS	Kenya Bureau of Standards
KFA	Kenya Farmers Association
KNTC	Kenya National Trading Corporation
KSHs	Kenya Shillings
MD	Managing Director
MIS	Market Information System
MoALF	Ministry of Agriculture, Livestock and Fisheries
MoA	Memorandum of Understanding
MOSSP	Ministry of State for Special Programmes
MPLS	Multiprotocol Label Switching
NAFOSA	National Food Security Agency
NCPB	National Cereals and Produce Board
PE&PP	Public Enterprise and Privatization Programme
PPDA	Public Procurement & Disposal Act
PPOA	Public Procurement Oversight Authority
RVR	Rift Valley Railways
SGR	Strategic Grain Reserve
TOR	Terms of Reference
UNIDO	United Nations International Development Organization
VERS	Voluntary Early Retirement Scheme
WFP	World Food Programme
WRS	Warehouse Receipting System

EXECUTIVE SUMMARY

1 Introduction

The National Cereals and Produce Board of Kenya (NCPB) is a corporate body established in 1985 under the National Cereals and Produce Board Act (Cap 338) of the laws of Kenya. It was formed by the amalgamation of The Maize and Produce Board and The Wheat Board on 1st July 1979. The merger was formalised in August 1985 through The NCPB Act (Cap 338). The Board was established by the Government to regulate and control the marketing and processing of grains in Kenya. This was to be achieved through licensing and regulating the key players in the sector, who include traders, farmers and millers. Other players in the sector include the government, transporters, non-governmental organisations, institutions and the public. The Board's mandate includes:

- Commercial trading in grains;
- Provision of commodity handling and other grain related services including carrying out various social functions such as Strategic Grain Reserve and Famine Relief on behalf of the Government;
- Procuring and marketing high quality farm inputs;
- Provision of storage and grain maintenance services to clients;
- Provision of information on national and international grain trading.

The Ministry of Agriculture, Livestock and Fisheries (MOALF) is on a process of restructuring the National Cereals and Produce Board (NCPB) in order to separate the social functions from commercial functions and turn around the Board to profitability. The objective of this study is to propose recommendations for restructuring of the NCPB in order to enhance its service delivery on a sustainable basis.

2 Rationale behind Restructuring NCPB

The rationale behind restructuring NCPB is informed by decisions that can draw from: Lessons learnt from previous restructuring efforts, Challenges currently facing NCPB, and Lessons learnt from best practices both locally and internally. Lessons from previous restructuring efforts inform us that reform initiatives aimed at streamlining the grain sector and transforming NCPB into a commercially viable organisation. It is worth noting that previous reforms aimed at making NCPB a commercial organisation, but the Board was still to perform the two main functions for the GOK namely SGR/FRS function and grain market stabilisation role. The question is "in a liberalised and free economy is it possible for a Government parastatal to be commercially viable while still playing such social functions on a non-arm's length basis?"

Therefore, the current business model where the board is required to undertake non-commercially viable activities makes it impossible to control their growth in costs relative to revenue and the government has been late in paying subventions which are essential in offsetting the Board's costs. It is not viable and sustainable to store physical SGR for more than 5 years. The best practise would be to allow the NCPB to continue trading the maize and other grains and the government will monitor the reserve to ensure that at any point in time, the Board and other players have at least the required minimum reserve in their storage facilities.

Further, we learn that challenges facing NCPB are not unique to the Board, other countries like South Africa, India, Australia and United States of America among others faced the same challenges. However, the mentioned countries have been able to overcome the challenges through restructuring. Lessons from similar restructuring efforts of local sectors like energy, transport and

telecommunication inform us that in order to realise the envisioned success it is important for the separation of policy formulation, policy implementation & regulation and operations which is the service delivery. Consequently, proposed restructuring of NCPB is premised on similar restructuring exercises locally and internationally.

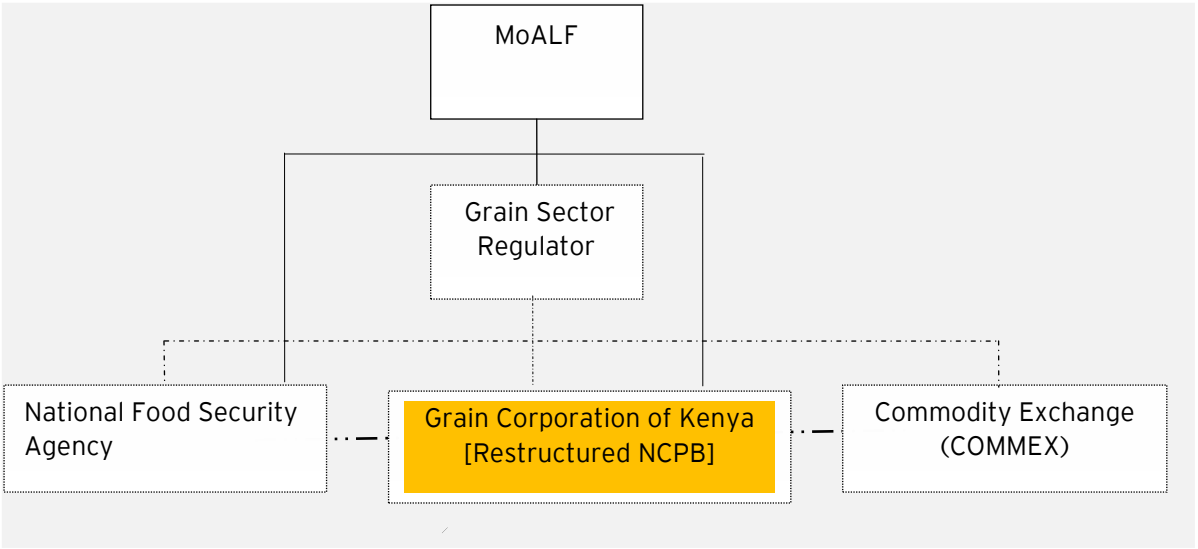
3 Model of the Proposed Restructuring

From the situational analysis it can be concluded that the Business model currently used by the NCPB is not commercial viable, hence the need for separation for its commercial and social functions. Consequently, we have recommended the creation of the following;

- The GOK and MoALF should facilitate establishment and development of market regulator to undertake and perform all the market stabilization, interventions and regulations, here in referred to as "Grain Sector Regulator" or its equivalent.
- Under the current GoK policy framework the Strategic Grain Reserve mandate of NCPB is transferred to the Ministry of Agriculture. Therefore, it is recommended that the Ministry consider establishing an institutionalized National Food Security Agency, here in referred to as "National Food Security Agency" or its equivalent to deal with strategic grain reserve as well as strategic food reserve.
- MoALF and other relevant Ministries and private sector should facilitate establishment and development of commodity Exchange (COMEX), an organised market, where grains will be traded.
- MoALF should facilitate restructuring of NCPB to effectively and efficiently deal with commercial commodity trading of grains and farm inputs.

These recommendations are in line with the current government proposed parastatal reforms as well as overall government structure. The Report of The Presidential Taskforce on Parastatal Reforms (October 2013) which recommended that that NCPB should be restructured to transfer the Strategic Grain Reserve mandate to the relevant Ministry and retain NCPB as a commercial entity under Government Investment Corporation (GIC). The Executive Order No. 2/2013 on Organisation of the Government of the Republic of Kenya, which specifically outlines key functions of the MoALF as agriculture policy and services, national food policy, food security, strategic grain reserve as well as strategic food reserve among others.

Conceptual Framework for the Structuring of the Grain Sector



In addition, to enhance the restructured NCPB business operations we recommend that GCK upscale ongoing processing and sale of the Nafaka products, improve warehouse receipting services, explore Container Freight Station (CFS) & Bonded Warehouses as a potential business line

and finally develop and continue leasing the huge utilised capacity and undeveloped land for commercial gains. The proposed business opportunities can be done through PPP arrangement.

Note: The above recommendations will not only lead to restructure the NCPB but also the improvement of the entire Grain Sector under which NCPB operates. We acknowledge some interim interventions being undertaken by the MoALF to streamline the Agriculture sector. However, we appropriate and applicable recommended for rationalisation of ongoing reform efforts with the above recommended. Below is a summary of the institutions recommended above:

3.1 Grain Sector Regulator

While the Ministry of Agriculture, Livestock and Fisheries will deal with policy formulation, the Grain Sector Regulator will support a competitive and efficient grain sector. Its functions will include the following;

- Support a competitive and efficient grain sector.
- Maintain market Integrity, fair, orderly, and efficient market.
- Facilitates grain Production.
- Conduct research on handling technology
- Protect grain producers, traders and consumers in order to enhance grain production
- Maintain and disseminate grain market information
- Supervise and license market players in the grain industry. The players include commodity exchange market, warehouse receipting operator and other market players.
- Ensure (enforce) compliance with relevant standards, rules and regulations that will govern the grain sector.
- Promote essential capacity building of sector players

The proposed regulator may be established through an Act of parliament or any other mechanism appropriate as may be advice by the MoALF.

3.2 National Food Security Agency (NAFOSA)

The government supports the procurement and storage of Strategic Grain Reserves (SGR) to guarantee availability of food in situations of extreme drought and famine and also to contribute to the stabilization of market prices in order to protect the poor and prevent market failure. It is important to note that the current arrangement of the management of SGR through trustees have not managed to guarantee the country much needed food security. This is due to failure to institutionalise the food security function. We therefore, recommend establishment of National Food Security Agency (NAFOSA). Creation of NAFOSA will aim to solve problem of food insecurity which is equivalent to National security under the Defence forces.

NAFOSA will undertake the following functions:

- Advice National and County Governments on food security policy
- Monitor grain market prices and trends
- Determine optimal SGR stock, advice its agents on the procurement and disposal of the stocks
- Ensure food quality standards along the SGR supply chain
- Improve the rotation and management of the SGR
- Bring together and strengthen linkages between different stakeholders involved in food security
- Annually monitor the food security situation in the country and advice on the need for intervention
- Work with County Governments in food security and disaster relief

NAFOSA will be a Strategic Government Agency complete with its own governance and management structures and would initially have direct funding from the Treasury.

3.3 Commodity Exchange - COMEX

We recommended that the Government should move away from prices intervention led commodity market towards economic based markets through establishment of COMEX. Although, the COMEX are private sector led, the Government's role is to ensure enactment of appropriate legal and regulatory framework to ensure their establishment and continuous operation. The Ministry should establish a Taskforce on the development of COMMEX. In addition, it should liaise with relevant ministries and Parliament for enactment of appropriate legislation that would facilitate development of COMEX. The functions of the COMEX will include:

- Price discovery
- Creating a fair price (a price determined by the market forces of demand and supply) where no one player can influence the price.
- Enabling market players to make informed decisions on production and diversification.
- Enabling farmers to know their minimum revenue in advance (price guarantee).
- Enhanced farmers' access to credit from financial institutions.
- Price information dissemination
- Risk management
- Reduction in cost of carry
- Minimization of price fluctuation (hedging)
- Facilitating usage of warehouse receipting

The COMEX would be regulated by an Independent Regulatory Body that is proposed: the Grain Sector Regulator. However, at the initial stages of the formation of the Exchange, the Exchange would be regulated under the "Self Rule Regulation" by its membership under its own rules and regulations until such time that the independent regulatory body is established. It is envisioned that the Exchange would be owned by its members, who would form an association to formulate rules and regulations that would govern their conduct and that of the Exchange.

4 Transforming NCPB to Grain Corporation of Kenya

It is recommended for the establishment Grain Corporation of Kenya (GCK) to replace NCPB. The key functions of the GCK will be:

- Own, manage, operate, develop and maintain grain handling and storage infrastructure,
- Commercial trade in grain and farm inputs,
- Offer commercial services such as use of the weighbridge, grain drying and cleaning,
- Quality control, aflatoxin testing and grading, pest management and fumigation,
- Partner with County governments to enhance food security through developing and managing grain storage facilities.

Strategic business ventures that will add value to GCK are trading Nafaka products and warehouse receipting divisions. The objective of establishing Nafaka Division is value addition and to be grain trading arm of GCK. It may own a grain milling facility that will procure, process, package and market products such as rice and maize. Warehouse Receipting System (WRS) will support an efficient agricultural commodity trade bringing together relevant stakeholders such as farmers, traders, banks, financial institutions, insurance companies, commodity exchange and consumers. It should also collaborate with other private sector operators through PPP in other business areas that would diversify incomes to the GCK.

4.1 Legal framework

The commercialization of the NCPB is dependent on the repeal of the NCPB Act Cap 338 and the enactment of an appropriate legal framework establishing the Grain Corporation of Kenya (GCK) as a commercial entity in line with the proposed mandate and functions of GCK. It is important to note that under the Cabinet Memo No. 49/98 the cabinet approved the Bill to repeal the NCPB Act Cap

338 of the Laws of Kenya. The Ministry should liaise with relevant ministries and Parliament for enactment of appropriate legislation that would facilitate the restructuring of the NCPB / GCK.

4.2 Corporate Governance

GCK will be owned by the GOK. The Chairman and Directors will still be appointed through the NCPB Act until the new legislation comes to force.

However, we recommend that the composition and skill set of a Board should depend on the GCK's strategic vision and particular challenges encountered in the wider grain sector. An ideal Board for a commercially oriented organization should comprise a mix of knowledge and expertise in accounting and finance; risk management; strategic and business planning; legal and compliance; human resources; marketing; international trade; and industry-specific research and development.

The Board should carry out a review of the current committees to make them lean and efficient to enable the Board members participate fully in the affairs of the committees. In this regard, it is recommended that the Finance Committee should include strategic planning and procurement and hence it should be renamed to read Finance, Strategic Planning and Procurement Committee. The commercial and business development committee should also be included in the Board's list of committees and should handle issues operation and technology among others relevant issues. The audit committee should encompass risk and quality assurance and should therefore be renamed to audit and risk committee. We recommend that the Board carries out a review of the current committees to make them lean and efficient so as to enable to Board members to participate fully in the affairs of the committees.

4.3 Management and Staffing

It is critical for the Board to determine the right mix of professional, technical and supporting staff required for efficient and effective business operations. We recommend staff workload analysis and job evaluation (skills analysis) to determine optimal staffing levels, staff grading and salary structure. In conformation of optimal staff levels, the Board should fill the substantive key managerial positions of GCK / restructured NCPB.

Transactional services consist of repetitive and generic tasks such as clerical, data entry, cleaning and maintenance and security provide no competitive advantage and are not essential to the core business. We recommend these services to be outsourced; they have minimal risk to the achievement of organizational objectives.

It is recommended that NCPB should strengthen its core competencies and develop new ones by hiring and developing young and talented college and university graduates with right qualifications for restructured NCPB.

It is necessary for NCPB to identify staff those close to retirement and provide mentoring options so that older workers can share their knowledge, experience and wisdom with younger counterpart staff to ensure business continuity. It is recommended that NCPB should induce a phased early retirement incentive programmes targeting lower-performing older workers. This strategy will enable NCPB to retain experienced high-performing older workers and at the same time engage younger and more educated workers to undergo systematic on-the-job training programmes with a view to replacing those who retire.

In line with commercialization of NCPB, the Board should fund training and capacity building of staff on change management to adopt modern business practices. In this regard it is recommended that NCPB should consider the systematic training and development of a large pool of craft apprentices, technicians and management trainees who will be in a position to take over and ensure a smooth transition by timely replacement of those reaching the age of retirement. NCPB must provide focused work with specific, well-defined mission and benchmarks that make it possible for new recruits to see what they actually can accomplish.

It is recommended to strengthen the NCPB performance management system, especially the rating tool to ensure it is accurate and provides a balance of measures in four interconnected business perspectives namely; financial, customers, business processes and human capital. When adopted the balanced scorecard is used as a tool for defining clear performance objectives, assessing demonstrated job competencies and behaviours as well as measuring the extent to which employees have achieved targeted results.

4.4 Strategic Plan

It is recommended for the formulation of GCK Strategic Plan for period 2014/15 to 2018/19 to align its future direction with business units recommended as a commercial entity.

4.5 Corporate Image

NCPB to rebrand and change the name to Grain Corporation of Kenya; Rebranded/ restructured NCPB / GCK to be formally transferred to the proposed Government Investment Corporation (GIC).

4.6 Operationalise the Business Units

First, to ensure financial sustainability of proposed business model for GCK there is need for the depots to operate as profit centres and hence policy guidelines and operational procedures on delegating authorities and responsibilities to the depot managers need to be developed on this.

The main business units of GCK will be Nafaka products, Warehousing operations. Other new business lines that GCK may consider and explore are the Container Freight Station (CFS) & Bonded Warehouses and Grain Institute. Finally, GCK should continue leasing the huge utilised capacity and undeveloped land for commercial gains. These business lines can be operated through Public Private Partnership.

4.6.1 Warehouse receipting

In order to operationalize the WRS, the Ministry should liaise with other relevant Government agencies to provide a policy and legal framework for licensing and supervising independent warehouse operators. NCPB to identify specific storage depots country-wide which should be used for Warehouse receipting and invite bids for potential PPP in warehousing.

4.6.2 Nafaka Product

GCK will trade its products through "Nafaka product" trademark. Thus it is recommended that GCK register the trademark to protect it from competition. The name needs to be registered with the Registrar of Companies as Private Company. In addition, invite bids for potential PPP in the venture.

4.6.3 Grain Institute

NCPB to invite a strategic partner to start offering technical training in post-harvest grain management and marketing, grain quality management including grain handling storage and distribution. Potential partners are Egerton University, Jomo Kenyatta University of Agriculture and Technology and Moi University / Chepkoilel University College and Cimbria East Africa Limited.

4.6.4 Container Freight Station (CFS) & Bonded Warehouses

NCPB to apply for Container Freight Station (CFS) & Bonded Warehouses licence from Treasury (and Kenya Ports Authority) to start operating an CFS services at its Depot in Changamwe, Mombasa, It has the necessary staff via its existing Clearing & Forwarding Division who have the expertise and technical know-how to handle the cargo under the CFS Service.

4.7 Warehousing and Developing the Idle Land through PPP

NCPB to invite bids from willing potential investors/partners who are willing to develop, upgrade and operate infrastructure that the Board currently has.

4.8 Continuous Warehousing of SGR by NCPB

As it is, NCPB is physically warehousing and co-managing the SGR on behalf of MoALF. Thus, before NAFOSA is established the Ministry should sign a revised AGENCY-PRINCIPAL Agreement with restructured NCPB for continuous warehousing and management of SGR. The Ministry/NAFOSA would only provide an "Oversight Role" in the management of the SGR.

4.9 Refreshing SGR stocks

We recommend that the Government to move away from directly dealing with maize in the form of SGR. The SGR stocks should not be held in the stores/silos for more than 2 years.

4.10 Infrastructure upgrade and maintenance

Restructured NCPB should commission an audit and valuation of all land and property belonging to the Board.

Ministry should facilitate the restructured NCPB to regularise and complete the registration process for its unregistered land.

As part of divestiture program, GCK should consider inviting submissions from companies putting forward proposals together with the rates, which they would charge for leasing the unutilised infrastructure (Land and Storage Facility). The invited companies will be requested to outline prospective ventures that they would like to put the infrastructure into or demonstrate an innovative approach to their use.

While we recommend that the last valuation report be used to dispose obsolete assets to reduce their cost of maintenance, a detailed repair versus buy (replace) decision should be done for all the plant and equipment, which need immediate repair to allow smooth operations.

4.11 ICT Upgrading

GCK should carry out an ICT upgrade / automation consultancy on ICT processes, review, benchmark and prepare an ICT strategy. In the meantime, procure/upgrade ERP software to improve operational efficiency.

4.12 Working with County Government

NCPB depot managers should be facilitated and guided to engage the County Government on establishing a working relationship and business ventures that would lead to the support of the farmers and enhance commercial activities of the Board.

Areas of collaboration include;

- Partnering with county governments in sourcing of farm inputs to enhance food production and ensure food security at County Level given NCPB logistical network;
- Engage County governments in repair grain handling facilities.
- Work with county governments to provide farmers who produce surplus and traders with storage facilities for safe keeping and maintenance.
- Work with food deficit county governments for storage of food reserve similar to National Government SGR.

The Agency Agreement on SGR stocks signed between MOALF and the Board be replicated downwards to the County Governments.

4.13 Bringing NCPB back to Profitability

Every effort is required to bring the NCPB into profitability. In line with introducing recommended business units/divisions, aggressive commercial approach need to be adopted and all challenges that contributed to the past losses of the Board rectified. Key actions which are required to bring GCK into profitability are;

1) Aggressive marketing,
2) Charge market rates for the services provided,
3) Warehousing operations including agency fees be carried out at arm's length,
4) Government ensure payment of services for the agency agreement are done as agreed,
5) Future market interventions by the GCK on the behalf of Government which have financial implications on GCK must be supported by advance payment in cash or cash equivalent, and
6) Reorganise staff in order to work with optimal and competent staff

4.14 Proposal for Balance Sheet Cleaning

The Government to honour and agree to pay the debt equivalent to Kshs. 3.4 Billion it owes NCPB. From the funds obtained from GOK (debt settlement), GCK should settle all outstanding obligations.

In addition, the Government should honour and pay NCPB the Subvention Claim of Kshs 2.2 Billion that was incurred in 2002 when the Board through an executive order disposed maize at lower price than they had bought it.

The Board undertake a fixed asset valuation; all necessary actions to be undertaken by GOK to provide NCPB with titles to all fixed asset currently shown on their asset register and balance sheet; adjust property, plant and equipment balance sheet figures subject to proposed valuation.

4.15 Address NCPB working capital

Even after the Government has honoured and paid the debt it owes NCPB, money paid will not be adequate to enable NCPB move the anticipated commercial level and alternative funds will be required to address NCPB working capital erosion. The main funding strategies/options that may be considered to enable GCK to start viable commercial operations are: 1) Government injection of required working capital, 2) bank credit facility that is fully government funded, and 3) Attracting a strategic investor through PPP arrangement such concession, joint venture and BOOT approach. The investor can take up one the proposed NCPB business line - the ware housing receipting where warehousing infrastructure will identified for preferred PPP approach. We have a recommended for transactional advisors to source to advice and develop applicable PPP or Concession model. To ensure the Board does not slip back to past financial challenges, it is recommended that all future market interventions with financial implications undertaken on instructions of the Government are paid for upfront.

5 Restriction of the report

This report is prepared for use by the Government of Kenya. No other party should use the report without our written authority and we accept no responsibility for any loss that may result in the use of the report by un-authorised persons.

1 BACKGOUND OF THE STUDY

1.1 History and the Mandate of the NCPB

National Cereals and Produce Board (NCPB) has a long history, which dates back 1939. It started as Maize and Produce Board formed to support marketing of grains produced by the colonial settlers both locally and internationally. In 1967, there was amalgamation of the Maize and Produce Marketing Board with all other regional marketing boards into the Maize and Produce Board. This was to consolidate the marketing of maize within the region after independence of the East African Nations. Later, the Maize and Produce Board merged with Wheat Board of Kenya thus putting the two major grains in the country under one umbrella. This was to ease the control of the cereal subsector.

In 1985 the NCPB Act. Cap.338 was enacted creating the NCPB as a state monopoly charged with the mandate to control the procurement and distribution of maize, wheat and scheduled agricultural commodities. Through a series of economic measures in 1980s and 1990s, the grain industry was liberalized in 1993 and the Board was finally commercialized with effect from July 1997.

Since the liberalization of the grain sector in 1993, NCPB functions and mandate has changed from a quasi-monopoly to a trader in commodities and farm inputs. Currently, NCPB is categorized as a commercial organization with the sole objective of providing agro-based products and services at a profit. The following are the current functions and mandate of NCPB:

- Commercial commodity trading of grains, fertilizer and agro-chemicals
- Provision of grain related services such as pest control, warehousing, drying, clearing and forwarding.
- Procurement and management of grain on behalf of the government on agency basis to secure the strategic grain reserves (SGR) and famine relief stocks (FRS).
- Logistics support service provider on food security issues.
- Market intervention on behalf of government for grains and farm inputs.

Although NCPB is categorised a commercial organisation, the board undertakes two operations; commercial activities and a social functions with social function accounting for 80 percent of its operations. The social functions of the Board encompass the maintenance of a SGR for the Government on an agency basis.

Whereas that NCPB legal framework was appropriate under a controlled economy, it is now out of step with the liberalization and commercialization policies being presently pursued by the Government. Virtually all the statutory functions of NCPB under the current Act are inconsistent with the prevailing liberalization policy. The legal framework became irrelevant with commercialization. In this regard, the Board, working with the parent Ministry of Agriculture and other stakeholders have been pushing for the enactment of the NCPB Bill, 2006 to establish the National Cereals and Produce Corporation, a body corporate. The Bill provides for the commercial mandate as well as advisory role and desirable intervention through participation as an agent of the Government.

Liberalization and commercialization came along with drastic changes for the Board and included: entry of many players in grain trade and in provision of grain related services; decline in the volume of trade for the Board; existence of un-utilized capacity and financial limitations that necessitated the Board to scale down on its trading activities. This situation is exacerbated by the conflicting roles of undertaking social and commercial functions simultaneously which has brought several challenges such as pricing structures adopted for the social function. In most cases these policies are not in tandem with commercial principles under which the Board is supposed to operate. The main challenge in relation with social function is delay in the release of funds by

Government for social roles and payments for agency services. The current challenges facing the Board call for strategic measures to enhance its competitiveness within the grain industry.

1.2 Objective and Purpose of the Study

The main objective of this study is to propose recommendations for restructuring of the NCPB in order to enhance its service delivery in a sustainable manner. The purpose of this restructuring study is to evaluate the current NCPB mandate in the context of the current environment the Board is operating and provide appropriate and suitable processes and proposals through which the NCPB's commercial and social functions can be separated, recommend how the current NCPB commercial and social functions will be organised, governed, managed and financed for efficiency and effectiveness on a sustainable basis.

1.3 Previous NCPB Restructuring Efforts

A number of reform initiatives have been undertaken geared towards streamlining the grain sector and transforming NCPB into a commercially viable organisation. These reform initiatives included;

1.3.1 Grain Sector Reform Program (GRRP) of 1988 to 1993

The aim of this programme was to liberalise the Grains Sector. Full liberalization of internal maize and maize meal trade took effect. The reforms saw maize and maize meal prices deregulated and import tariff abolished but later reintroduced at 30%. Restrictions on maize trade across districts were relaxed. NCPB was financially restructured and its debts were written-off. Crop purchase fund was established but was not replenished. The gains achieved didn't last for long, and NCPB started experiencing financial distress. Mostly this was due to loss of its market share and market imperfections especially due to government interference in the grain market and with the Board operations.

1.3.2 Public Enterprise and Privatization Programme (PE&PP) of 1990 to1994

The restructuring was further accelerated by the Public Enterprise and Privatization programme (PE&PP) between 1990 and 1994, whose objective was to reduce the demand of the public sector on the Treasury so as to improve the use of scarce resources and to enhance the returns on those resources by achieving greater efficiencies through greater responsiveness to market signals and commercial criteria. The restructuring of business operations resulted in NCPB shedding off its monopoly and regulator role as well as dependency on Treasury subventions with devastating effects on its business operations and profitability. For example, it is during the PE&PP the Kenya Bixa in Kwale and Milling Corporation of Kenya in Nakuru which were both previously owned by the Board were privatized.

1.3.3 NCPB commercialization Project of 1996 -1998

The project envisaged that NCPB would be converted into a viable commercial entity free to make its independent commercial decisions with a view to ensuring the longer term sustainability of the liberalized grain market. The aim was to effectively delink the Board from receiving funding from Exchequer.

The restructuring and commercialization of NCPB was predicated on several factors, key among them being the repeal of the NCPB Act Cap 338 and enactment of a new Act establishing the Grain Corporation of Kenya as a commercial entity. Other factors revolved around implementation of an

asset divestiture plan and the establishment of a National Food Security Office to oversee the country's strategic grain reserves and related social functions involving famine and disaster relief. The NCBP was to offer social functions (SGR & FRS) on Agency-Principal basis where the GOK was the principal and NCPB the agent. NCPB was to be remunerated by GOK only for services rendered on agency services. The redefined relationship between the GOK and the Board on the carrying out of the social functions on Agent-Principal basis required that the Principal would pay for the services rendered by the Agent on time and at market rates. But this has not been adhered to resulting in built up of the Agency debt, and draining on NCPB's resources.

The commercialization strategy also focused on significantly reducing the countrywide depot network to eliminate excess capacity as well as downsizing workforce levels to an appropriate size in line with the commercialization strategy. The overall target was to retain a more rationalized network of 50 depots and a workforce of 1,500 employees. The downsizing of staff capacity was achieved through "Voluntary Early Retirement Scheme" (VERS) supported by the government, which resulted in a massive reduction of 79% of the workforce from 4,800 to 1,019 between 1993 and 2001. This recommendation among others which were proposed the commercialization project has not been implemented.

1.3.4 Balance Sheet Restructuring of 2007

Even with its commercialization in 1997, NCPB continued to perform poorly financially. In 2007, the Ministry of Agriculture in consultation with Treasury directed that NCPB Balance Sheet restructuring be undertaken to address its weak capital base. A team was set-up to come up with appropriate recommendations. The aim was to come up with the proposals and recommendations on restructuring of the Board's activities so as to revert it to financial viability. The balance sheet restructuring report established that the Board was in dire need of working capital so as to boost the current level of commercial operations. It was recommended that the Government was to inject funds amounting to Kshs. 5.1 billion that would enhance the working capital of the Board which in turn would improves the sales turnover and the resultant financial viability and sustainability of the Board. This recommendation among others which were proposed in the report was not implemented.

1.3.5 NCPB Transformational Strategic Plan 2009-2013

To address institutional gaps that existed in grain trade and food distribution as identified by previous studies NCPB developed a transformational strategic plan for the period 2009-2013. The plan aimed to achieve the following;

- To transform NCPB into a major National Warehousing Institution that will store commodities produced in the country for depositors and release them for sale at the right time.
- To introduce a Warehouse Receipting system in Kenya.
- Enactment of National Warehousing Act that will regulate the certified Warehouse network; set standards and quality control; promote standardization in the sector and facilitate entry of private sector into certified warehousing.
- To sponsor Commodity Exchange that will initially encompass all agricultural commodities in the Kenya; and manage risks by introducing a futures market.
- To prepare adequate Legal and Regulatory framework to govern grain trade.
- Support establishment Collateral Management institutions.

Although the plan period is coming to an end this year (2013) most recommendations have not been implemented while others implementation is underway. Key ones are

1.3.5.1 Warehouse Receipting System (WRS)

NCPB is exploring implementing the WRS in its 46 sites/depots, which are today receiving grains through WRS. Under this arrangement, a farmer/trader is supposed to store grain at NCPB warehouse and issued with a receipt. The receipt is supposed to be a tradable instrument at the

commodity exchange and therefore the farmer/trade will be able to sell their grain as and when prices seem favourable to them. Introduction of the WRS is key reform towards establishment of Commodity Exchange. A commodity exchange is a market where various grains are traded. The initiative is expected eliminate the middle men and remove distortion in the supply chain by providing farmers/traders with a market for their products.

1.3.5.2 Transformational NCPB Organisational Structure

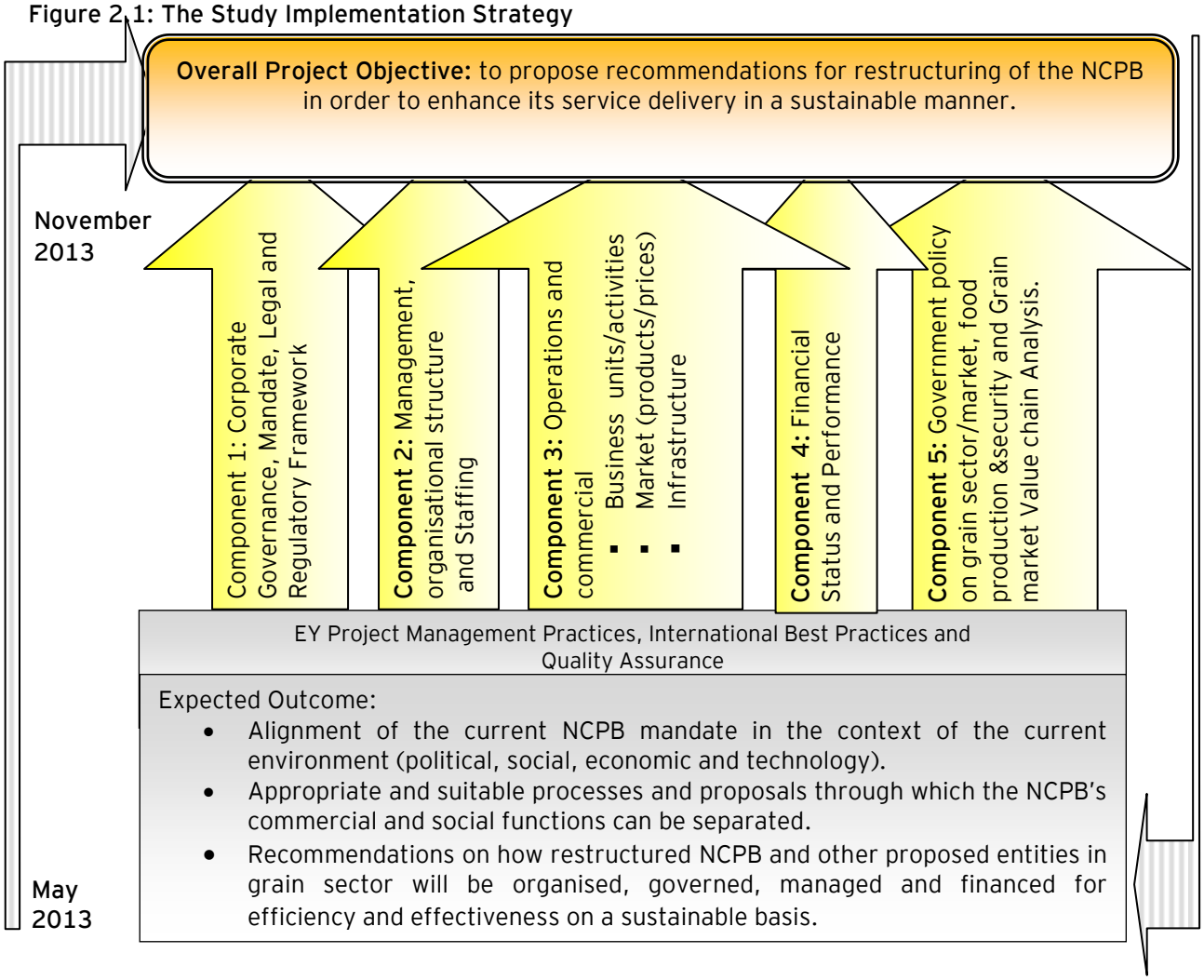
The NCPB transformational Strategic Plan of 2009 proposed introduction of new business units namely WRS and commodity exchange which was in line with its commercial strategy. Over the transformational period, NCPB was to introduce organisational structure that was in conformity with its proposed business model. Thus, NCPB through an external consultant reviewed its organization structure to align it with the new business model. The new organisational structure was developed but has not been fully implemented since some of the business units that were to be introduced have not been established.

2 APPROACH AND METHODOLOGY

2.1 Approach

The overall project implementation strategy comprised of five distinct but interrelated components with potential for sustainability and impact, and provides for focus, expediency and comprehensiveness geared towards the delivery of a specific set of results and outcomes. The entry points to NCPB restructuring reforms and improvement of the NCPB, from a service delivery point of view, indicate several strategic and focal areas of interventions that are mapped into five components. These components including the activities and tasks to be performed under each are detailed in the subsequent chapters. The overall project implementation approach is depicted by the figure 2.1 below;

Figure 2.1: The Study Implementation Strategy



In undertaking this assignment, Ernst & Young adapted a client and other relevant stakeholders' consultative and participatory approach. This means involving the NCPB Broad and Management and all other stakeholders including relevant Government Ministries staff (such as Ministry of Agriculture, Ministry of Finance), grain farmers and millers in the execution of TORs in each stage through meetings, interviews, participants observation and presentations (as necessary). This is the best way to ensure that we get "things" right and that feedbacks are timely obtained.

2.2 Methodology

Given the likely scale and impact of the study, meeting the results and eventual outcomes outlined above required a clearly defined, coordinated activities with performance benchmarks to be rolled over the project period. We adopted a technical methodology that contributed to the successful delivery of the restructuring study. This phased methodical approach is based on our "Identify, Diagnose, Design, Deliver, Sustain" (IDDDS) framework, designed to cover different aspects required to accomplish an assignment in an organised and focused manner as summarised below:

- Identify - Validate engagement requirements and perform detailed planning;
- Diagnose - Understand the current state with relevance to the five components outlined above.
- Design - Design workable solutions, agree and plan for improvements.
- *Deliver - Detail implementation plan and execute the recommendations
- *Sustain - Perform continuous improvements of operations, knowledge transfer and handover.

*NB: This study did not require us implement the recommendations. Thus the study covered only the first three phases. Deliver and sustain phases will be covered in the implementation of recommendations.

Below we present a view of our customised IDDDS methodology indicating the specific activities. Our IDDDS methodology was supported by our team's competencies, skills and experience.

Phase 1: Identify

The aim of this phase was to validate engagement requirements and perform detailed planning. The project commenced with a briefing on the assignment rationale and objectives by the Ministry of Agriculture followed by planning and mobilisation meetings between the consultant and NCPB. Two entrance meetings: NCPB top management meeting with EY team at NCPB Boardroom on April 18, 2013, and NCPB Board meeting with EY team at NCPB Boardroom on April 29, 2013. The two meetings provided the opportunity for Consultant Project Team to meet key members of the NCPB Board and the NCPB Top Management. The meetings discussed the terms of reference in detail to enable both consultant and NCPB gain a better understanding of service specifications and the expected deliverables. The meeting clarified and reaffirmed common understanding of the scope of the assignment and timeframes for the engagement. Both meetings were necessary to ensure that the study is focused on meeting NCPB particular requirements and closeout any 'expectation gaps' that would have existed.

Subsequently an inception meeting was held between the NCPB Management (and Heads of Department and Units) and the Consultant at NCPB Boardroom on 13/05/2013. (See the list of Participants at Annex II). During the meeting clarity of the roles and responsibilities of each party and common understanding of the role expected of the Consultants and NCPB to facilitate the smooth achievement of assignment objectives economically, efficiently and effectively was reached. Clear communication channels to be utilized during the assignment execution were agreed and either party appointed a project manager as key contact person. Study logistics were agreed and Client facilitated the consultant to obtain all information and documents relevant to the study.

Phase 2: Diagnose

Current state analysis of NCPB work included the following activities: Desktop reviews, interviews with Client and other stakeholders, and study missions to NCPB depots. The three activities were undertaken concurrently. The aim of desktop research was to review documents received from NCPB. Detailed literature review involved studying and collating previous restructuring study which have been undertaken and any other reports relevant for the study. (A list of reports and other document received and studied is attached at the annex IV). In additional consultant met and interviewed all NCPB department heads (including unit heads). Desktop reviews and stakeholders interviews and consultation was an ongoing process until the end of the assignment.

The first field study visit was at NCBP Nairobi Silos (Embakasi) on Tuesday (May 21, 2013). All the consultant team members attended the site tour which was followed by NCPB heads of department presentation of key issues as per study TORs. Full scale study mission saw the consultants visit a number of depots in North Rift, South Rift, Parts of Mountain Region and Eastern Province. The purpose of the mission was to meet the various stakeholders at the various depots / Warehouses of the National Cereals and Produce Board (NCPB) with a view to getting information and data regarding what is required to restructure the Board in order to be able to serve better the Stakeholders comprising mainly of Farmers and Millers and other parties that are involved in handling grain in one form or another.

The consultants and officers of the NCPB were grouped into two teams, Team A and Team B for ease of management and movement. Each team was composed of EY representatives and an NCPB management representative. Team A - Comprised of Daniel Kamande (Ernst & Young), Ernst Ogwora (NCPB), Jonathan Nzuma (Consultant) and Marubu Munyaka (Consultant). The Team was joined by one of the Board Members, Ms. Monica Amolo at Kisumu and Kisii. The depots visited were; Naivasha, Nakuru, Eldoret, Moi's Bridge, Kitale, Webuye, Malava, Kakamega, Kisumu, Kisii, Nyasiongo, Sotik, Bomet, Narok, Kajiado, Thika, Sagana, Mwea, Embu, Kitui and Machakos. At Thika, the team also visited Kel Chemicals, the company that produces SSP Fertilizer, one of the products being distributed by the Board on consignment basis at an agreed retainer. Team B – Comprised of Raymond Sammy (Ernst & Young), Frank Muchina (NCPB), Gregg Bekko (Consultant) and Peter Oiboo (Consultant). The depots visited were in Narok, Kisii, Homabay, Kisumu, Bungoma, Kakamega, Webuye, Eldoret, Eldama Ravine, Nyahururu, Olkalau, Naivasha, Kajiado, Nairobi Silos, GCP, Lungalunga, Thika, Mwea, Embu, Maragua, Sagana, Embu, Kitui and Mackakos. In most of these depots/Warehouses, the team met stakeholders comprising of mainly of farmers, Agricultural Officers, Millers and Staff of the Board.

This phase also involved identifying well performing organizations dealing with national grains in order to learn lessons that can inform restructuring and commercialization of the NCPB. The consultant also reviewed recent restructuring of other sectors in the country, notably the Energy and the telecommunication sectors.

Phase 3: Design

Based on the findings of phases I and II, the consultant in collaboration with other relevant stakeholders developed the desired future NCPB. This was informed by the current realities and anticipated future development of the Kenya commodity market/industry and government policy on food security. Further we developed a set of actions necessary to achieve separation of NCPB's commercial and social functions, and how these functions can be well organised, governed, managed, operated and financed to achieve the desired efficiency and effectiveness in the current commercial and social functions of NCPB on sustainable manner.

3 SITUATIONAL ANALYSIS

3.1 Corporate Governance, Legal and Regulatory Framework

3.1.1 NCPB Legal Set-Up

National Cereals and Produce Board (the "NCPB/Board") is a state corporation established by the National Cereals and Produce Board Act, (Cap 338). NCPB Act establishes NCPB as a body corporate with a common seal and perpetual succession. It is a state corporation wholly owned and controlled by the Government of Kenya.

3.1.2 Key Functions of NCPB

- To regulate or to control the collection, movement, storage, sale, purchase, transportation, marketing, processing, distribution, importation, exportation, disposal and supply of maize, wheat and scheduled agricultural produce;
- To buy, store, sell, import, export or otherwise acquire and dispose of maize, wheat and scheduled agricultural produce in such manner, such quantities and on such terms as it may, from time to time, deem necessary to fulfil the requirements of producers and consumers in Kenya; and
- To advise the Minister on the proper production of maize, wheat and scheduled agricultural produce in relation to the needs of Kenya, and the extent to which control over the exportation and importation of maize, wheat or scheduled agricultural produce is desirable or necessary;

In fulfilling its mandate, the Act provides that the, the Board shall comply with any general or special directions which the Minister of Agriculture may give. This gives the Minister an automatic veto power and control over the Board.

3.1.3 Legal and Regulatory Framework

3.1.3.1 National Cereals and Produce Act, Cap 338

- National Cereals and Produce Board ("NCPB" or the "Board") is established as a body corporate by the NCPB Act, Cap 338
- The Mandate as well as the functions and operations of the board are as set out by the NCPB Act.
- Currently NCPB is a commercial enterprise which has not been fully let to operate commercially by the government;
- There have been previous attempts to reform the regulatory framework including the drafting of:-
  - A bill aimed at repealing the NCPB Act by enacting a modern legislation that is in line with NCPBs mandate;
  - A bill aimed at introducing the warehouse receipting system; and
  - A bill aimed at introducing a commodities exchange.
- None of the above attempts has seen the light of day as at now as their enactment has either been slowed, delayed or failed altogether at various stages.

3.1.3.2 State Corporations Act, Cap 446

In accordance with section 2 of the State Corporations Act, Cap 446, the Board is a State Corporation and falls under and is regulated by the State Corporation Act, CAP 446. As a state

corporation, NCPB is subject to all other Acts of Parliament and Regulations that apply to public entities apply to it. Thus it must adhere to the Public Officers Ethics Act, the Kenya Anti-Corruption and Economic Crimes Act, the Public Procurement and Disposal Act, The Privatization Act among others.

3.1.3.3 Privatization Act, Cap 485 C.

The restructuring of NCPB may envision privatization, divestiture of certain aspects of the Boards business/functions and at that point the jurisdiction of the Privatization Commission will come to play. The Privatization Commission under section 21 is given the exclusive authority to manage and implement the privatization programme.

3.1.3.4 Strategic Grain Reserve (Fund) Regulations 2002 Vide Legal Notice No 55 of 15th April 2002

1) The Strategic Grain Reserve (SGR) was established through the Treasury and Audit Act Cap. 412 (Strategic Grain Reserve Fund) Regulations 2002 vide Legal Notice No 55 of 15th April 2002
2) The Fund is established to purchase and maintain up to 8 million bags of grains for National Food Security. The stock is maintained by the Department through the National Cereals and Produce Board under an agency agreement.
3) The stocks are supposed to cushion the nation against severe food shortage as well as to assist in stabilization of local prices of grain.
4) With new Government structure, the SGR and food security policy functions are placed under the Ministry of Agriculture, Fisheries and Livestock. The ministry is considering reconstituting the trustees.

3.1.4 Corporate Governance Structure

The NCPB Act establishes the Board. The Act provides that the Board shall be composed of:

Table 3.1: Composition of Board Members

Board Member		Appointing Authority
1	Chairman	President
2	2 representatives of maize growers	Minister
1	1 wheat grower	Minister
1	1 person to represent interest of consumers	Minister
1	1 person to represent interest of millers	Minister
1	Permanent Secretary responsible for the Board	Default
1	Permanent Secretary responsible for Agriculture	Default
1	Permanent Secretary responsible for Finance	Default
1	Permanent Secretary Office of the President	Default
1	1 nominee of KFA	Minister
1	Managing Director	Board/Ministers approval

The quorum of the Board shall be 5. The term of a member of the Board is 3 years. The minister may revoke an appointment of a board member thereby terminating the term of such board member. This exposes the Board members to removal from office sometimes for unjustifiable reasons.

3.1.5 Key Challenges on Governance, Legal and Regulations Frameworks

The Board's key challenge as shared by majority of the stakeholders is its conflicted mandate. Is NCPB a commercial enterprise or a social enterprise? NCPB has been labelled as a commercial enterprise or a social enterprise at the convenience of the key players. The NCPB Act, the statute establishing NCPB, is now outdated and does not adequately address the current needs and objectives of NCPB. The Act is no longer responsive to the needs of NCPB as it was enacted when NCPB was a key social corporation for the government of Kenya. Compliance with the Public Procurement and Disposal Act (PPDA) deprives the NCPB of a competitive edge in the market place as other competing commercial enterprises are not bogged down by the bureaucratic procurement regulations. The NCPB Act has established the Board as a body corporate capable of suing and being sued. NCPB is that the Board is easily targeted for litigation, and some of the litigation has even questioned the mandate of the Board. ***These challenges call for repeal of the NCPB Act cap 338, in order to redefine NCPB as a commercial entity and provides for its powers, objections and functions in line with commercialization principles.***

3.1.6 Grain Market and Policy Recommendations

Given the grain sector constraints observed above this report recommends the following;

- Farmer's should be organized into groups to enhance their procurement of inputs and the sale of their outputs. This can be achieved by reviving the Kenya Farmers Association (KFA) to undertake its mandate of provision of inputs. Currently, KFA is in debt to the tune of Kshs 362 million down from Kshs 1.3 billion in 2007. Majority of farmers interviewed reported that there is need for government to write off KFA loans to inject vibrancy to the sector. The revival of KFA would enable farmers to easily procure inputs and market their produce. Farmers can be organised through the country governments and their issues clustered and addressed county wise.
- Enhanced investment in improving agricultural productivity through increased funding to agricultural research and extension. The objective here is to close down the gap between farmer's yields and experimental yields.
- Subsidize agricultural inputs such as agricultural fuel (Diesel), seed and fertilizers.
- Avail affordable agricultural credit for farmers.
- Address land tenure bottlenecks especially in irrigated rice schemes. In Mwea rice scheme for instance, rice farmers pay a rent of Kshs 40,000/acre per season to absentee landlords. A closer review of the cost of production indicates that the total cost of producing a kilogramme of rice in Mwea amounts to Kshs 48. Out of this, the cost of rent per kilogramme of rice is Kshs 22 which amounts to 46 percent of the cost of production. Definitely, the cost of producing rice in Kenya is increased by this hidden cost of rent and the government should intervene to issue title deeds to persons operating the land rather than allow absentee landlords to skim farmers.
- Establish a warehouse receipt systems (WRS) to enhance storage, marketing and sale of commodities.
- Establish a commodity exchange to infuse efficiency in grain marketing and trading.
- Establish a grain sector regulator to regulate the sectors operations.

Other policy and operational suggestions and recommendations by the external stakeholders of NCPB that were received during stakeholders' workshops held in Eldoret, Nakuru, Sagana and Nairobi between June 11, 2014 and June 16, 2014 to discuss the Final Draft Report.

- The minimum number of bags of maize accepted into the warehousing system is 110; which is too high for a small-scale farmer. Hence, there is need to enhance warehousing receipting to include small-scale farmers.
- There is need for prompt/timely payment to the farmers after delivery to the NCPB.
- There is need to enhance prompt accessibility and availability of farm inputs to the farmers.
- There is need to have representative of farmers in the NCPB board elected by farmers directly.

- Stakeholders want to be involved in the restructuring of NCPB. Thus, a taskforce which will include all stakeholders need to be established to oversee the implementation process.
- NCPB recommended to be a one-stop shop where farmers can deliver their maize, collect their inputs, and be able to access loans and service their loan.
- NCPB recommended to collaborate with seed suppliers to ensure timely availability and accessible quality seeds to the farmers. Farmers noted that there is fake seeds in circulation hence the need to ensure supply of quality of seeds to farmers by the Board.
- NCPB is recommended to coming up with different maize grades acceptable to all farmers.
- NCPB is urged to collaborate with the County Government in promoting small-scale farming. For example, NCPB and the County Government to come up with a subsidy fertilizer programme equivalent to that of the national government.
- NCPB is encouraged to address delays in payment to farmers for their produce delivery.
- NCPB is encouraged to timely supply farm inputs to farmers so that farmers can start planting earlier before the rain.
- The proposed Grain Institute should offer courses such as post harvesting management course, milling course, train farmers on agricultural extension services, better production methods and use of correct inputs, and promote standards on farm inputs and outputs.
- There is need for the Government to assure the farmers a floor/Minimum price for his/her produce before delivery to the Board.
- There is need to have certification of farm produce especially maize.
- NCPB need to address inefficiency in the NCPB fertilizer procurement and issuance process.
- Commercialisation of NCPB should improve its operations and processes through use of technology. More so, NCPB recommended the use of ICT to enhance customer service.
- The quality control – aflatoxin testing – of maize should be ensured under the restructured NCPB through ensuring aflatoxin kits are available at each NCPB depot.
- Farmers want NCPB to establish buying and selling centres closer to the farmers.
- There is a need to provide an opportunity for farmers to be shareholders of the restructure NCPB.
- NCPB is recommended to carry out workload analysis and skills analysis to determine staffing levels of current NCPB in order to inform the staffing of restructured NCPB.
- Restructured NCPB to diversify its products to encompass other more products in order to be competitive.
- NCPB is encouraged to develop existing underutilised infrastructure through the PPP framework.
- Farmers recommended for the oversight of the restructuring and the ownership of the restructuring process by all players.
- NCPB is encouraged to establish storage infrastructure in each sub county and use the infrastructure for distribution of inputs.
- Restructured NCPB, as Government parastatals, should not be exempted from requirements of PPDA unless otherwise advised by the Government.
- Given that restructured NCPB will be competing with other market players, it is recommended that, in future, the Government open up the subsidized fertiliser program to cover other players.
- NCPB to provide inputs – fertilisers - close to the farmers especially small scale farmers, and also package the fertiliser in different sizes affordable to small scale farmers. The Board is also encouraged to address bureaucracy in subsidised fertiliser supply and sale, which cause delays in its disbursement. Farmers to be refunded their prepaid money in case fertilizer is not available.
- Government to come up with mechanisms of protect traders of maize from price fluctuations.
- Food security and production should go in line with addressing social challenges such as drug abuse.

3.2 Organisation Structure and Staffing

3.2.1 Organisation Structure

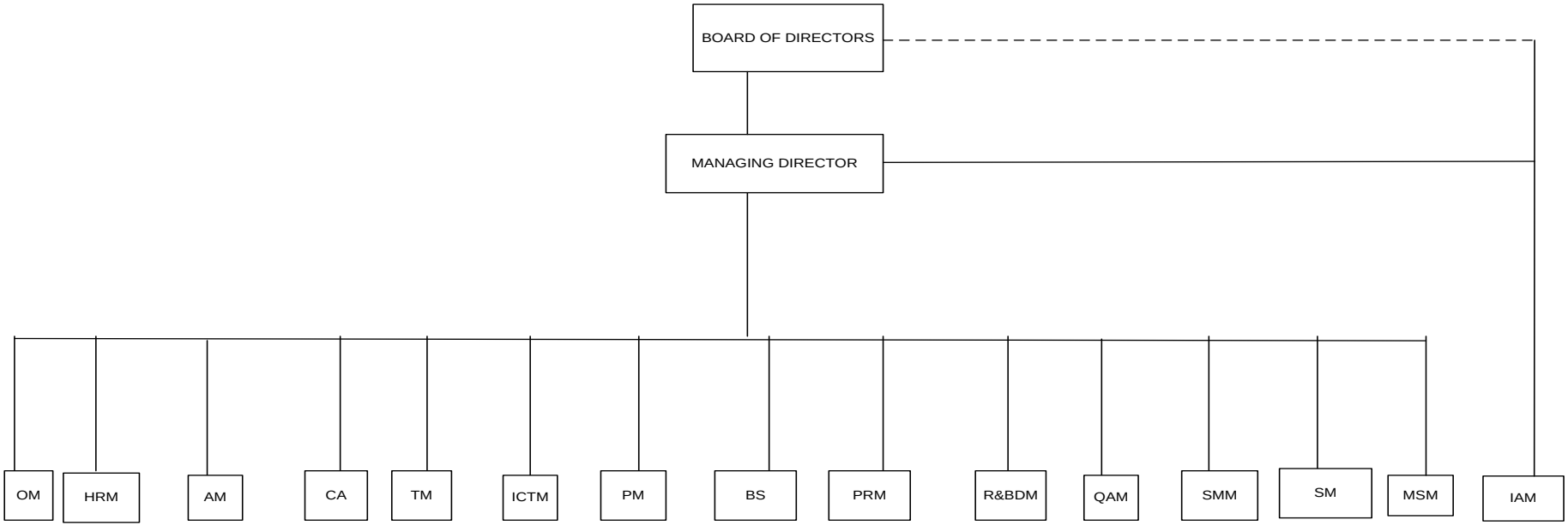
NCPB has in place a hierarchical organizational structure which has evolved over the last 30 years since its establishment as a monopoly and regulator of maize and other agricultural produce. Hierarchical organizational structures exhibit a bureaucratic culture or "red tape" which stifles creativity and innovation and a tendency for employees to work towards the basic minimum productivity levels. The most significant change to the organizational structure was the creation of a functional divisional structure in 1996 after the liberalization of the maize sector in 1993 following implementation of the Cereal Sector Reform Programme undertaken by the Government of Kenya supported by the European Union, World Bank and the International Monetary Fund between 1988 and 1993.

The transformation of NCPB into a commercial trading entity required a dramatic reorientation of its workforce from a bureaucratic culture to a customer focused and results driven commercial business culture, which has proved elusive. In 2009, NCPB developed a strategic plan (2009-2013) which clarified its mission and articulated a new vision on which the future trajectory of the organization will be based. Arising from the Strategic Plan, the Board approved a new organizational structure, which increased the number of functional divisions from 2 to 5. This was achieved by splitting the Marketing function from the Operations docket to create the Commercial division and also splitting the Finance and Administration division to create the Human Resources and Administration division. A new division of "Commodity Exchange" (COMEX) was created to promote a trading platform with the aim of reducing operating costs along the value chain from producers and traders to processors and consumers for the benefit of the agricultural sector and the economy as a whole. In addition, it was proposed to establish a Warehouse Receipting System" (WRS) to strengthen the supply chain by creating an efficient handling and storage facility. However, it is important to note that this approved organization structure was never implemented and the organization continues to operate on the basis of the old structure.

3.2.1.1 Current High Level Organizational Structure

NCPB's current organisational structure is based on functional grouping of similar areas of activities. This structure is characterised by technical specialisation to facilitate easier managerial control. Functional departmentalisation means that the organisation is coordinated primarily through the vertical hierarchy. Planning and budgeting is by function and reflects the cost of resources used in each department and work unit. Formal authority and influence within the organisation rests with the managers of the 15 functional departments. The current high level organizational and management structure based at the Head Office in Nairobi consists of the Managing Director supported by 7 core functions and 9 support functions headed by managers and all reporting to the Managing Director as depicted in Figure 3.1 below.

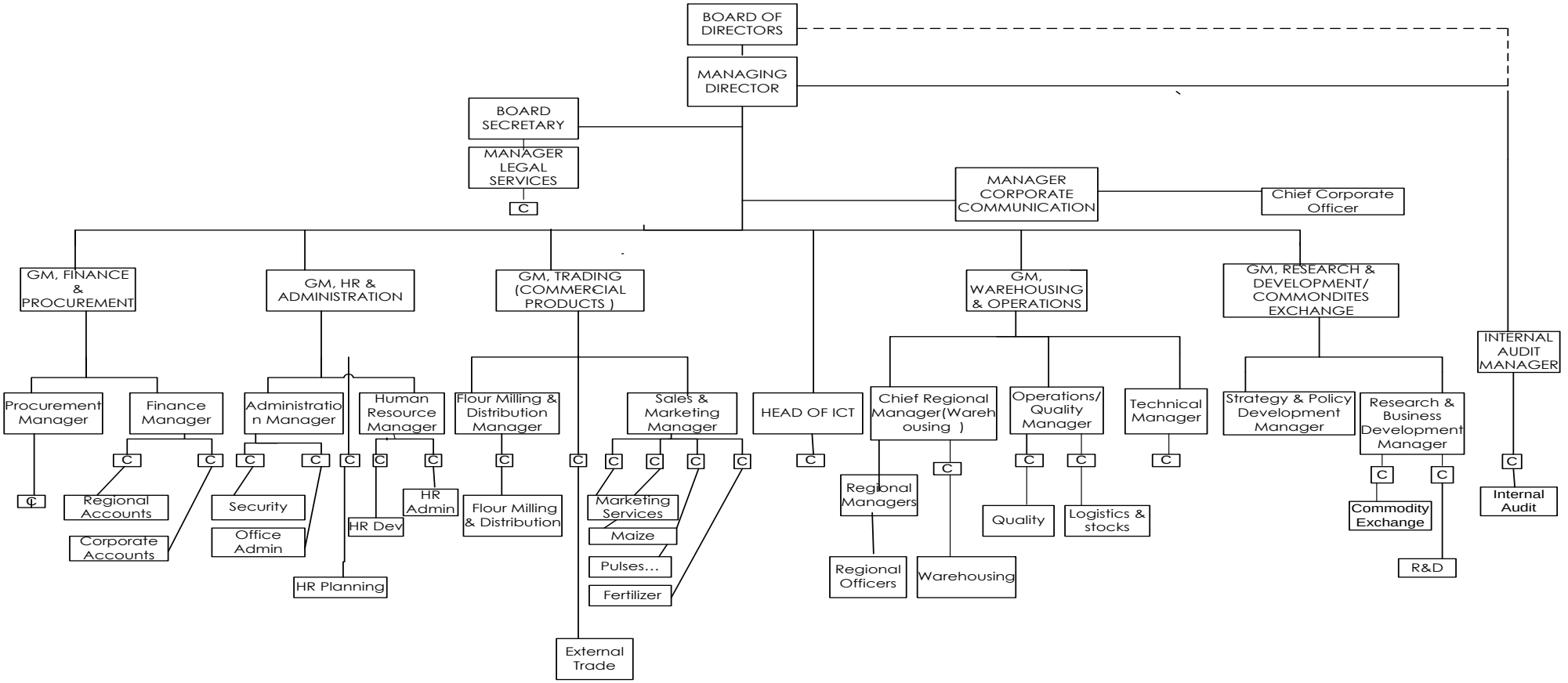
Figure 3.1 (A) Current Operating Organisational Structure, July 2013



OM – Operations Manager
HRM – Human Resources Manager
AM – Audit Manager
CA – Chief Accountant
TM – Technical Manager
ICTM – Information and Communication Manager
PM – Procurement Manager
BS – Board Secretary
PRM – Public
R&BDM – Research and Business Development Manager
QAM – Quality and Assurance Manager
SMM – Sales and Marketing Manager
SM – Security Manager
MSM – Manager Services Marketing
IAM – Internal Audit Manager

Figure 3.1 (B) Approved Organisational Structure

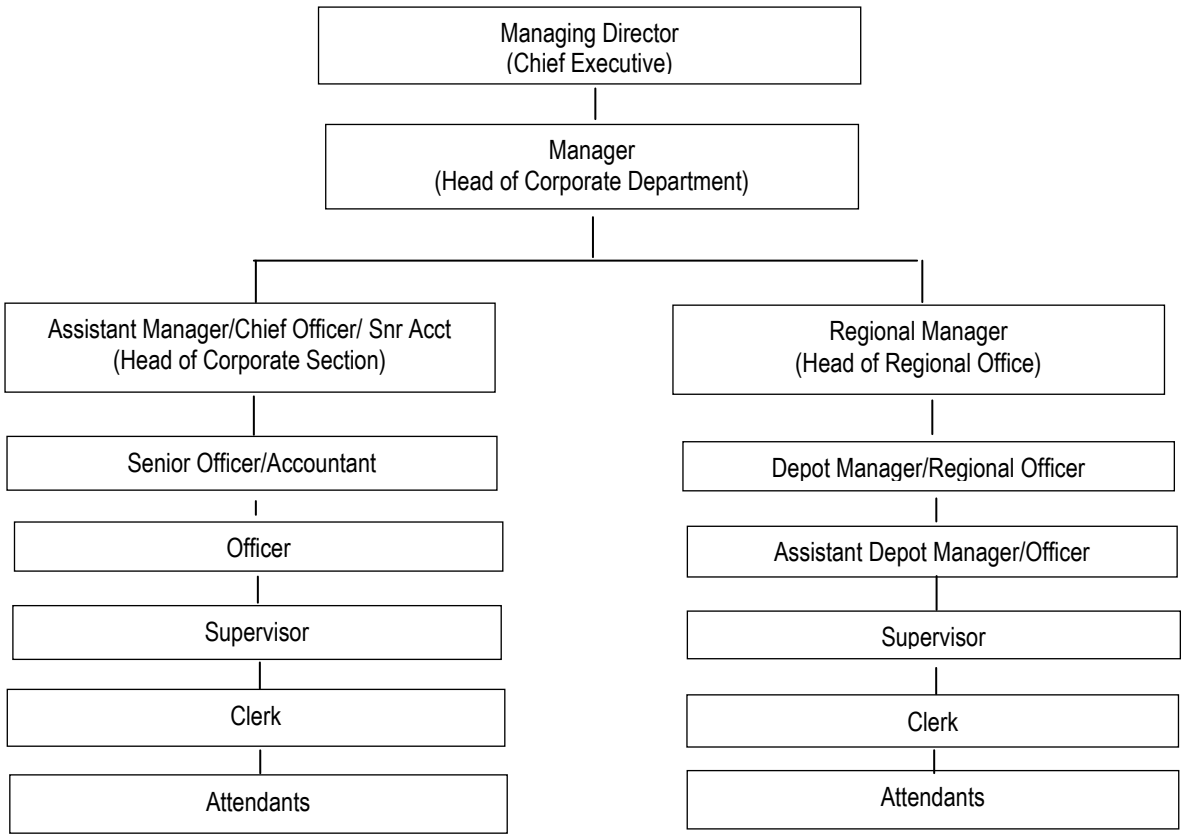
It was confirmed that there is an organization structure (figure 3.1 (B)) that had been approved by both the Board of Directors and the MoALF. However, the structure has not been implemented.



3.2.1.2 Functional Hierarchical Reporting Levels

NCPB's organisational structure for all departmental and regional structures reveals tall hierarchical layers with up to 8 reporting levels from the Managing Director to the lowest job at the level of Attendant as depicted in Figure 3.2 below. In addition to tall hierarchical layers, the organizational structures also exhibit a narrow span of control; this means there are a few number of employees reporting to an immediate supervisor. The tall structure and the narrow span of control slows down the speed of communication and impacts negatively on coordination and control as well as departmental interdependency. A review of all the departments has revealed that Managers, Assistant Managers and Regional Managers have as few as one or two employees reporting to each of them. The reporting relationship is complicated by the deployment of different levels of leadership to head depot operations, ranging from Depot Manager, Assistant Depot Manager, Depot Assistant and Clerk-in-Charge.

Figure 3.2: Reporting Levels



3.2.1.3 Analysis of Deployment of Staff

Overall staff distribution by regions shows that 27% (255) employees are based at the NCPB Head Office, while 73% (763) are based in the field where the core business activities take place as shown in table 3.2 below.

Table 3.2 Analysis of deployment of staff July 2013

No.	Core Business Functions	Staff at Head Office	% for Head Office	Staff at the Regions	% for the regions	Total Staff at the Organization
1	Sales and Marketing	12	1.18%	15	1.47%	27
2	Services Marketing	6	0.59%	6	0.59%	12
3	Procurement	17	1.67%	0	0	17
4	Quality and Pest Control	3	0.29%	65	6.39%	68
5	Quality Assurance	1	0.10%	5	0.49%	6
6	Technical	12	1.18%	77	7.57%	89
7	Warehousing & Operations	9	0.88%	418	71.33%	427
Total		60	5.89%	586	63.5%	646
	Support Functions					
8	Managing Director	1	0.10%	0	0.00%	1
9	Administration	65	6.39%	105	10.32%	170
10	Human Resource	29	2.85%	11	1.08%	40
11	Finance	45	6.19%	14	6.98%	59
12	Audit	11	1.08%	30	2.95%	41
13	Security	4	0.39%	4	0.39%	8
14	ICT	15	1.47%	12	1.18%	27
15	Legal	7	0.69%	0	0.00%	7
16	Research & Business Development	10	0.98%	0	0.10%	10
17	Public Relations	8	0.79%	0	0.00%	8
Total		195	20.94%	177	23.01%	372
Grand Total		**255**	**26.84%**	**763**	**37.0%**	**1,018**

3.2.2 Analysis of Core Vs Non-Core Business Functions

The functioning of NCPB can be broken down into two key functional areas namely: core functions revolving around grain storage and non-core functions. Core functions consist of the primary business activity which can never be outsourced.

Core functions represent the core business activities of grain procurement, grading drying, cleaning, storage, quality and pest control as well as logistics and distribution. Other areas include quality assurance, technical maintenance as well as sales and marketing. 56.05% (570) of the staff are deployed in the core business functions.

Support functions represent the non-core business activities of the organization to ensure proper support to the core function. Support functions are not directly related to operational activities and cover such services as public relations, legal services, finance, human resources, administration as well as information and communication technology. Professional services are knowledge-based, such as recruitment, training, procurement, budgeting and financial reporting which are essential and add value to the core activity. Professionals support services is considered "mission critical" and the goal is to provide high quality service at lower cost and more efficiently. *On the other hand transactional services consist of repetitive and generic tasks such as secretarial, clerical, accounting, data entry, driving, cleaning and maintenance and security. Transactional services provide no competitive advantage and are not essential to the core business. These services easily be outsourced and produce minimal risk to the achievement of organizational objectives.*

NCPB staff establishment is lopsided and biased towards the employment of non-core staff. For instance out of the 255 staff based at the Head Office 78% (213) are non-core staff.

Table 3.3: Deployment of Staff by Core and Non-Core Functions: July 2013

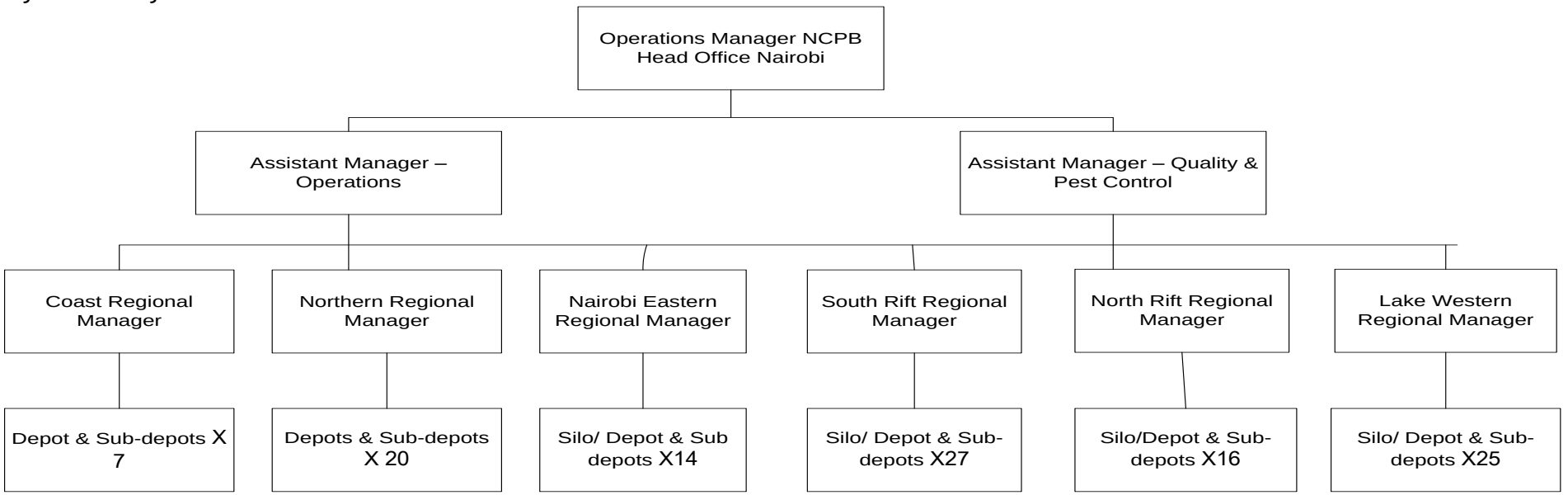
No.	Core Business Functions	Total Staff No.	%
1	Sales and Marketing	27	2.7
2	Services Marketing	6	0.6
3	Procurement	17	1.7
4	Quality and Pest Control	68	6.7
5	Quality Assurance	6	0.6
6	Technical	89	8.7
7	Warehousing & Operations	427	41.9
	Total	646	63.0
	Support Functions		
8	Managing Director	1	0.1
9	Administration	170	16.7
10	Human Resource	40	3.9
11	Finance	59	6.3
12	Audit	41	4.0
13	Security	8	0.8
14	ICT	27	2.7
15	Legal	7	0.7
16	Research & Business Development	11	1.1
17	Public Relations	8	0.8
	Total	372	37.0
	Grand Total	1,018	100.0

As noted earlier 16.7% (170) of the entire workforce are administrative support staff performing support functions some of which do not add-value and can be outsourced to reduce costs and increase efficiency. Increasingly, organizations are significantly reducing the number of support staff through staff rationalization and outsourcing of non-essential activities such as cleaning in order to focus more on the core business by deploying skilled staff to perform activities that provide the greatest value,. As a result support functions within many organizations are undergoing fundamental change as a result of new technologies, changing skills demand and increased pressures to reduce costs and sustain long term competitive advantage. It is therefore critical to determine the right mix of professional, technical and supporting staff required for efficient and effective business operations.

3.2.3 Regional Network Structure

NCPB operates a functional geographical structure with a countrywide network comprising of a Head office based in Nairobi and 6 regional offices overseeing a network of 110 silos/depots strategically located throughout the country. NCPB's core business operations consisting of grain procurement, quality control, storage of grains and distribution operations including sales and marketing take place within the silos and depots. The regional network has been segregated into three categories consisting of silo complexes, main depots and sub-depots as depicted in Figure 3.3 below:

Figure 3.3: Regional Network Structure



The configuration of NCPBs regional network bears a very strong resemblance to the concept of "Strategic Business Units" (SBU's). These are self-contained business concerns with a highly decentralised organisation structure in relation to the headquarters. SBUs are characterised by a distinct mandate and function, infrastructural capability, an operational plan and effective utilisation of organisational resources. The SBU management principle is therefore an opportunity for NCPB to introduce an entrepreneurial culture and drive in all the 6 regions.

As reported below, NCPB regional network covers all the 47 new county governments with the exception of Tharaka Nithi. The devolution process has provided opportunities for collaborating with county governments in securing storage facilities. It is therefore important for NCPB to work closely with county governments as they go about planning and developing their food security strategies as well as ensuring sufficient grain storage facilities.

No	COUNTY	DEPOT	No	COUNTY	DEPOT	No	COUNTY	DEPOT
1	MOMBASA	• Changamwe • Mombasa	17	MAKUENI	• Emali • Kibwezi • Makueni	33	LAIKIPIA	• Dol Dol • Nanyuki • Nyahururu
2	KWALE	• Kwale	18	NYANDARUA	• Kipipiri • Olkalou	34	NAKURU	• Elburgon • Naivasha • Nakuru • Olenguruone • Solai • Subukia
3	KILIFI	• Kilifi	19	NYERI	• Karatina • Kiganjo	35	NAROK	• Enosaen • Kilgoris • Kirindoni • Mau Narok • Mulot • Narok
4	TANA RIVER	• Garsen • Hola	20	KIRINYAGA	• Sagana • Mwea	36	KAJIADO	• Kajiado • Loitokitok
5	LAMU	• Mokowe	21	MURANGA	• Maragua	37	KAKAMEGA	• Butere • Kakamega • Malava • Lugari
6	T/TAVETA	• Voi	22	KIAMBU	• Thika	38	VIHIGA	• Chavakali • Hamisi
7	GARISSA	• Garissa	23	TURKANA	• Lodwar	39	BUNGOMA	• Bungoma • Kapsokwony • Myanga • Tamlega • Webuye
8	WAJIR	• Wajir	24	WEST POKOT	• Kacheliba • Kapenguria • Sigor	40	BUSIA	• Malaba
9	MANDERA	• Mandera	25	SAMBURU	• Maralal	41	SIAYA	• Bondo • Yala
10	MARSABIT	Marsabit	26	TRANS NZOIA	• Kitale	42	KISUMU	• Fort Ternan • Muhoroni • Kisumu
11	ISIOLO	• Isiolo	27	ELGEYO MARAKWET	• Kapsowar	43	HOMA BAY	• Homa Bay • Kendu Bay • Muhuru Bay
12	MERU	• Meru	28	UASIN GISHU	• Ainabkoi • Eldoret • Kipkabus • Kipkaren River • Kipkaren Salient • Moi's Bridge • Turbo • Ziwa	44	MIGORI	• Awendo • Migori • Kehancha • Ntimaru
13	THARAKA NITHI	-	29	NANDI	• Lessos • Meteitei • Mosoriot	45	KISII	• Kisii

14	EMBU	• Embu • Ishiara	30	BARINGO	• Eldama Ravine • Kabarnet • Kimalel • Kolowa • Marigat • Nginyang • Tenges	46	NYAMIRA	• Nyansiongo
15	KITUI	• Kitui • Kyuso • Mutitu • Mwingi	31	KERICHO	• Kedowa • Kericho • Kipkelion	47	NAIROBI CITY	• GCP • Lunga Lunga • Nairobi Silos
16	MACHAKOS	• Machakos • Kithimani • Konza • Tala	32	BOMET	• Bomet • Ndanai • Sotik			

3.2.4 Deployment of Staff by Region

Overall staff distribution by regions shows that 26.63% (255) employees are based at the NCPB Head office, while 73.35% (750) are based in the field where the core business activities take place, see table 3.4 below. It is important to note that the highest concentrations of staff deployment are found in western Kenya (North Rift, South Rift and Lake/Western) where 48% (489) of employees are located. This attests to the fact that these regions are the major producers of maize crop of which a significant proportion is procured, processed and stored in NCPB silos and depots.

Table 3.4: Current Staffing By Region

	Core Business Functions	Head Office	% for Head Office	Coast	Northern	Nairobi/Eastern	South Rift	North Rift	Lake/ Western	Total in Regions	% for the regions	Total
1	Sales and Marketing	12	1.18%	1	3	3	2	2	4	15	1.47%	27
2	Services Marketing	6	0.59%	4	0	2	0	0	0	6	0.59%	12
3	Procurement	17	1.67%	0	0	0	0	0	0	0	0	17
4	Quality and Pest Control	3	0.29%	2	4	13	11	18	17	65	6.39%	68
5	Quality Assurance	1	0.10%	0	1	1	1	1	1	5	0.49%	6
6	Technical	12	1.18%	3	3	14	18	26	13	77	7.57%	89
7	Warehousing & Operations	9	0.88%	26	53	50	77	68	74	348	34.22%	357
	Total	60	5.89%	36	64	83	109	115	109	516	50.74%	576
	Non-Core Functions											
8	Managing Director	1	0.10%	0	0	0	0	0	0	0	0.00%	1
9	Administration	65	6.39%	9	6	9	31	30	20	105	10.32%	170
10	Human Resource	29	2.85%	2	2	1	2	2	2	11	1.08%	40
11	Finance	45	6.19%	4	13	29	17	16	5	84	6.98%	129
12	Audit	11	1.08%	3	3	3	3	4	14	30	2.95%	41
13	Security	4	0.39%	0	0	0	1	0	3	4	0.39%	8
14	ICT	15	1.47%	2	2	2	3	1	2	12	1.18%	27
15	Legal	7	0.69%	0	0	0	0	0	0	0	0.00%	7
16	Research & Business Development	10	0.98%	0	0	1	0	0	0	1	0.10%	11
17	Public Relations	8	0.79%	0	0	0	0	0	0	0	0.00%	8
	Total	195	20.94%	20	26	45	57	53	46	247	23.01%	442
	Grand Total	255		56	90	128	166	168	155	763		1,018

3.2.5 Analysis of Staff Establishment

NCPB staff establishment by job classification is depicted in table 3.5 below, which shows that 61.5% (626) of the employees in job group B-F are unionisable staff, the majority are clerical staff and operators including a broad range of support staff such as Drivers, Typists Cleaners and Attendants. In contrast 38.5% (391) of employees are in job groups H-V, which consists of Managers, Assistant Managers, Chief Officers and Officers responsible for allocating and supervising work activities.

Table 3.5: Job Classification Structure

	Job Group	Job Designation	No.	Status
1	V	Managing Director	1	Management
2	U	(Unutilized)	-	Management
3	T	(Unutilized)	-	Management
4	S	(Unutilized)	-	Management
5	R	(Unutilized)	-	Management
6	Q	Manager	4	Management
7	P	Manager	3	Management
8	N	Assistant Manager/Regional Manager	20	Management
9	M	Chief Officer/Senior Accountant	18	Management
10	L	Senior Officer/Regional Officer/Depot Manager/Silo Manager/Depot Assistant	35	Management
11	K	Depot Manager/Regional Officer/Secretary	63	Management
12	J	Depot Manager/Assistant Depot Manager/Officer II/Supervisor/ Copy Typist	79	Management
13	H	Assistant Officer/Management Trainee/Depot Assistant/ Copy Typist	72	Management
14	G	Supervisor/Officer Assistant/Depot Assistant/ Copy Typist	96	Management
15	F	Clerk/Cashier/ Copy Typist	168	Union
16	E	Clerk/Cashier/ Copy Typist	125	Union
17	D	Clerk/Cashier/Artisan/Operator	250	Union
18	C	Clerical Assistant/Stacker	66	Union
19	B	Cleaner/Messenger/Labourer	18	Union
		Grand Total	**1,018**	

3.2.6 Qualifications Profile

In the past, organizations such as NCPB employed staff with little or no education to perform unskilled and semi-skilled jobs such as stackers, plant attendants, operators, artisans and clerical staff in its warehouses and silos. However, the advent of the knowledge economy has brought with it tremendous changes both in terms of the higher educational levels and the increased complexity in the type of activities undertaken at the workplace which now demand higher and diversified skills.

NCPB's core competencies revolve around grain procurement, processing, storage, sales and marketing as well as distribution. Other competencies consist of managerial and supervisory skills, including quality control. A critical review of staff skills and competencies shows that a significant proportion of NCPB's lower level staff lacks the requisite qualifications for effective job performance in the knowledge economy. According to the educational qualifications profile in table 3.6 below 69% (704) of employees lack a college diploma necessary for supporting production methods in technology based operations.

Table 3.6: NCPB Qualifications Profile, May 2013

No.	Qualification	No.	Percentage %
1	Below KCPE	80	7.87
2	KCPE (Primary)	51	5.01
3	Incomplete KCSE (O LEVEL)	37	3.64
4	KCSE/KCE/EACE (O LEVEL)	256	25.17
5	KACE	38	3.74
6	Tertiary Certificate	242	23.70
7	Ordinary Diploma	139	13.67
8	Higher Diploma	24	2.36
9	CPA	10	0.98
10	Bachelor's Degree	108	10.62
11	Master's Degree	31	3.04
12	PhD	2	0.19
Total		1018	100.0

Unless strong measures are taken to drastically overhaul NCPB's qualifications profile, the Board will find it very difficult to implement its ambitious commercialization strategy. In particular, NCPB will not be in a position to implement the computerisation strategy, which aims at integrating ICT tools and applications to deliver high quality products and services.

3.2.7 Age Profile and Gender Diversity

NCPB's age profile depicted in table 3.7 below shows that approximately 70% of the employees are aged 41 years and above, while only 30% of the staff are aged 40 years and below. This means that the majority of employees are older workers. It is important to note that approximately 70% of employees have worked for the board for periods ranging from 10 to 40 years, which is evidence of their commitment and loyalty.

Table 3.7: Staff Age Profile

Age Group	Staff No's	%
18-25	21	2
26-30	81	8
31-35	114	11
36-40	95	9
41-45	174	17
46-50	240	24
51-55	243	24
56-60	53	5
TOTAL	**1018**	**100**

3.2.8 Performance Management System

NCPB introduced a performance management system in 2011, linked to the performance contracting agreement signed with the government, which is part of the broader public sector reform initiative aimed at improving efficiency and effectiveness in the management of public sector organizations. The objective was to move away from a bureaucratic culture which places greater emphasis on compliance with processes rather than results. The aim was to align employees to NCPB's strategic objectives in order to improve individual effort and consequently organizational performance.

The NCPB performance management system is directly linked to annual pay increment decisions. The rationale is to use pay for performance as a tool for organizational change to move the organization towards a commercial results oriented culture. The performance rating system is based on assigning a score on a 100 point continuum that correlates with a specific performance level on a six point scale. Those above a pre-determined level receive salary increases, with the amount corresponding to placement along the graded salary scale as indicated in table 3.8 below:

Table 3.8: Results of the Performance Based Pay System

	Pay Increment			
	1	0.5	0	Total Staff
2011 (No of staff)	393	400	201	994
	39.5%	40.2%	20.2%	
2012 (No of staff)	505	316	111	932
%	54.2%	33.9%	11.9%	
Variance (No of staff)	112	-84	-90	-62
%	14.7%	-6.3%	-8.3%	-6%

According to the above statistics there has been a significant increase of almost 15% in the number of staff awarded full salary increment in 2012 compared to 2011. The table also shows a significant drop in the number of staff awarded half increment (-6.3%) and those who did not receive any increment (-8.3%) in 2012. This level of performance improvement is extremely high even for high performing organizations.

NCPBs performance management system utilizes 16 performance measures which are too narrowly focused on traditional subjective measures of performance, such as dependability, cooperation, punctuality, self-discipline, confidentiality and timeliness. Neither of these factors provides the full perspective of an organization's performance and cannot promote the organizations long-term business success. It is important to note that NCPB's Strategic Plan (2009-2013) was prepared using the Balanced Scorecard, which in essence is a strategic performance management system enabling broader assessment of both staff and organizational performance than traditional systems.

3.2.9 Analysis of Regional Structures

NCPB has established 6 regional offices with a workforce of 751 employees deployed to operate a network of 110 silos and depots countrywide with a storage capacity of approximately 20.5 million (90kg) bags, with a variance of 38% (7.8 million bags) excess storage capacity. A close analysis of staff deployed in the regions reveals 23% (171) are based at the regional office, where they are deployed to perform non-essential services such as copy typists, tea girls, cleaners, messengers, subordinates and labourers. Such activities should be outsourced as is the case with provision of security services. Any excess staff should be deployed to work in warehousing and operations. This will allow NCPB to focus on its core business activities of grain handling, distribution and sales.

For instance Northern region which has 11% storage capacity with 34% excess capacity has a total of 30 regional staff. In contrast, North Rift has 20% storage capacity with only 26% excess capacity and has only 23 regional staff. The same disparity in staffing is evident at the Coast which has 5% storage capacity with 27% excess capacity and 25 staff, Nairobi/Eastern which has 19% storage capacity with 53% excess capacity and 31 regional staff and Lake/Western 19% storage capacity with 34% excess capacity and 30 regional staff as illustrated in table 3.25 below. This implies that regional offices are characterized by a bloated workforce which may be a sign of excess staff especially considering that NCPB employs 44% non-core staff.

Table 3.9: Regional Staffing and Storage Capacity

	Region	R/O Staff	Depot Staff	Total Staff	No. of Silo/Depot.	Storage Capacity	Utilized Capacity	Leased Capacity	Variance
1	Coast	25 (49%)	26	51	8	1,013,750 (5%)	337,500	306,250	370,000 (37%)
2	Northern	30 (33%)	60	90	19	2,269,000 (11%)	829,955	664,350	774,695 (34%)
3	Nairobi/Eastern	31 (26%)	88	119	14	3,849,500 (19%)	667,550	1,050,000	2,046,950 (53%)
4	South Rift	32 (19%)	137	169	29	5,220,000 (26%)	1,825,000	1,900,000	1,945,000 (37%)
5	North Rift	23 (16%)	145	168	16	4,205,000 (20%)	2,580,100	1,174,000	1,110,900 (26%)
6	Lake/Western	30 (19%)	124	154	24	3,905,000 (19%)	1,585,000	760,105	1,319,895 (34%)
Total		171 (23%)	580	751	110	20,462,250	7,825,105	5,854,705	7,832,440 (38%)

3.3 Operations and Commercial Activities

3.3.1 Current business model

The current Business Model comprises of the following main segments: Product / Service Lines:

- Commercial function (Commodities and farm inputs training and other grain related commercial services).
- Social function (GOK Stocks, i.e. strategic grain reserves, food relief, price support, GOK subsidy program and interventions).

3.3.1.1 Grain Products

NCBP is involved in commercial trading in grains. The Board trade in maize, wheat, gunnies, beans, seeds, wimbi, green grams and paddy rice among others. The products currently being **sold** by the Board include branded and unbranded maize, rice and beans in various package sizes. The pricing of the above grain products is market-driven through flexible pricing structure that takes into account competition, customer needs and NCPB's market share and profitability.

3.3.1.2 Firm Inputs

The board is also involved in procuring and marketing high quality farm inputs including fertiliser and insecticides. The annual demand for fertilizer is estimated at 400,000 Metric Tons. The Board handles about 100,000 Metric Tons leaving the balance to be supplied by the private sector players.

3.3.1.3 Other Commercial services

Further, the board also offer commodity handling/storage and maintenance services to clients especially farmers. With its depots and silos network spread across the country, the Board is also able to offer warehousing facilities to farmers and traders at a fee. The board also markets its excess properties and services to generate income to sustain itself. The Board commercial services are categorized as follows:

Table 3.10: Categorisation of Board Commercial Services

Grain handling & management services	Leasing functions	Shipping
Storage	Stores	Clearing & Forwarding
Warehousing	Silo Bins	
Aflatoxin testing	Offices/canteens	
Grading of grain	Residential houses	
Drying of grain	Hire of Tarpaulins	
Cleaning of grain	Hire of Pallets	
Weighing (all types of loads)	Hire of elevators	
Pest Control/spraying	Open land	
Bagging		
Aeration		
Conveying		

NCPB has a total storage capacity of approximately 20 million x 90 kg bags with only 17 million bag capacity in utilizable condition. Out of the total utilizable space, the Board leases out 5,376,250 which is about 30% to third parties.

3.3.1.4 Social activities of the Board

In addition to the Board's principal activities which include grain handling, marketing with provision of allied services and facilities, the Board's social activities on behalf of the Government on Agency basis include procurement, storage, quality maintenance, and distribution /sale of famine relief food commodities as well as Strategic Grain Reserve stock.

3.3.2 Stakeholders' Views on Commercial Activities

Millers would want to see the Board stock maize from the farmers so that they pick the same from the nearest depot and this way avoid the many costs they incur looking for maize all over the country. They would also avoid the high commissions they pay to the maize brokers.

The millers complained that they go to Board Depots to buy maize, they can see the maize stocked in the warehouses but they cannot buy because it is SGR Stocks and authority must be sought from Head Office or from the Ministry concerned. It was very apparent that most of these SGR stocks were acquired in 2008 / 2009 and have been deteriorating at a very high level due to attack by the weevils. The Board should be given authority to start selling this old stock and buy new stocks to replenish the old stock just sold. This should be a continuous trading activity of the Board and the Depot Managers with proper controls and monitoring should be able to undertake this trading activity effectively. In order to deepen trading in maize and other commodities, it was suggested that the Board should package the maize and other products into smaller packages of 10 Kg, 20 Kg and 50 Kg bags, respectively order to appeal to small scale traders. This in our opinion was a good suggestion which the Board should embrace in order to be customer oriented and to meet the demands of the market.

It became very clear from the stakeholders and the Board staff alike that Head Office must treat the regions as Profit Centers (Not Cost Centers). In view of this, Head Office should give region heads delegated authority to run as such. This would also call for rationalization of branch organization structures so that they can have qualified Accountants at Branch level to control and account for money collected from trade transactions and furnish Head Office with regular reports online on a 12 hours service. They may also have authority to invest excess funds in short term securities in the commercial banks where they are located with the approval of Head office.

The commercial farmers were quite conversant and happy with the usage of Warehouse Receipts. The main challenge was the small scale farmers who argued that they were unable to get cash from banks particularly the Agricultural Financial Corporation (AFC) which never recognized the Warehouse Receipts due to lack of WRS legal framework. As soon the legal framework of the Warehouse Receipts legislated by the Government, Banks and other Financial Institutions should be able to embrace the Warehouse Receipts.

Farmers complained that they travel long distances to secure allocation of subsidized fertilizers from the District Agricultural Officers and when they get allocations, they then have to travel further long distances to pay at the Board's Banks and later get into long cures to secure the product they have paid for. The farmers urged that they should get fertilizers allocations ahead of the planting season so that they do not go rushing the last minute. It was agreed that the farmers should organize themselves into groups since they seem to know each other, register the representatives with the Board and the Board will in turn be notifying these representatives in good time when commodities are going to become available. The Depots are ready and willing to deliver the fertilizers to designated centers located in the vicinity of various farmers' groups. The Depots and even Head Office should sign agency arrangements with several Seed Companies and Suppliers of Herbicides on consignment basis to distribute them to the farmers as a One Stop Shop. This way the Board will be able to take the service closer to the farmers. But the Depots must also be properly and effectively facilitated by Head Office via reliable vehicles, other logistics and finances to operate.

However, regions lack of delegated authority to handle cash for the reason that all cash receipts must be transferred to Head Office in Nairobi. To get the same money back to continue with trading transactions takes time and creates frustrations to their esteemed clientele and to the branch management alike.

3.3.3 Infrastructure Capacities and Utilization

Infrastructure of NCPB is mainly depots/silos, motor vehicles, commercial buildings, residential houses and leasehold land. The Board has 110 depots located country wide with a 1.8 million metric tonne capacity. NCPB commercialisation study of 1997 had recommended that out of the 109 depots, 54 were to be taken out of the operations of NCPB, out of which 17 were to be owned by the government for FRS and 35 were to be sold through asset divesture, thereby leaving NCPB with 53 depots. Some depots were combined in operation; such as Lunga Lunga was put under GCP, which explains the variance. The Board has so many plots in the whole country with idle space. Whiles most of land have titles a review of various documents indicate that some piece of lands are either unregistered/unknown or do not have titles (Source: Restructuring report of November 1996 by AGRICONSULTANT LTD, Annex 1.1).

3.3.4 ICT infrastructure

NCPB has a detailed IT strategy. IT management was involved during the strategy formulation, and this was facilitated with the help of Netcom Information Systems Limited consultants, who were charged with coming up with the strategy document.

NCPB has a detailed definition of the specific roles identified in NCPB to cover the different functions in NCPB's IT department. However, we noted that there is lack of adequate skills within the department.

There are two main applications in use at NCPB: Microsoft dynamics ERP system and a Payroll system from Memory. These applications were developed by the vendor and customized for NCPB. There are plans in place to acquire a Human Resource Management System (HRMS) and have in place a Warehouse and Receipting system. The applications in use are licensed and their use is documented.

Multiprotocol Label Switching (MPLS), General Packet Radio Service (GPRS) or Wimax to allow for real time processing of transactions connects the depots or silos. Most of the hardware is composed of desktops and laptops used by staff. However, we noted hardware inadequacy due to insufficient funds. Hardware acquisitions are made based on the funds availed as opposed to being based on reliability, scalability and performance in the light of future IT and business requirements. There are backup procedures, which allow for the security of data. There is lack of disaster recovery plan and a business continuity plan. The IT department provides most of the IT services internally. There is manual asset register of all the IT assets and ICT policy that covers information security.

However, the ICT department has been facing the following challenges:

- *Use of manual processing by use of excel instead of full automation by use of the ERP,*
- *Poor internet connectivity to the depots,*
- *Lack of funding for ICT infrastructure expansion, training and application acquisition,*
- *Current ERP system is outdated and continued use of a manual system,*
- *The Board does not have an elaborate WRS software,*
- *There are currently no disaster recovery plan for IT and business continuity plans (BCP and DRP) and*
- *Low levels of ICT skills.*

3.4 Financial Status and Performance

3.4.1 NCPB Performance over the Last 5 Years

NCPB financial performance for the period 2008 to 2012 is shown in the Table 3.11 below;

Table 3.11 : Statement of Comprehensive Income for the period ended 30th June (Figures in Kshs)					
Items	**2008**	**2009**	**2010**	**2011**	**2012**
Gross Sales	3,377,025,025	3,930,112,777	1,012,634,172	3,508,381,764	5,262,748,246
Cost of Sales	2,750,378,058	3,327,061,914	847,789,891	2,818,123,174	4,149,817,605
Gross Margin Gain	**626,646,967**	**603,050,863**	**164,844,281**	**690,258,590**	**1,112,930,641**
Add:					
Other Income	727,910,909	1,405,856,499	1,218,886,395	767,166,902	1,072,606,221
Total Income	**1,354,557,876**	**2,008,907,362**	**1,383,730,676**	**1,457,425,492**	**2,185,536,862**
Less: Expenditure					
Export cost	4,468,513	-	-	-	-
Railage and Road Transport costs	12,347,014	404,130,826	27,978,998	198,003,613	609,593,840
Staff costs and wages	608,478,785	666,996,033	882,221,958	929,378,997	921,926,446
Administration expenses	179,446,300	224,598,052	218,519,789	247,602,478	222,116,447
Other operating expenses	92,630,667	109,055,611	125,512,682	106,041,227	153,227,606
Total Expenditure	**897,371,279**	**1,404,780,522**	**1,254,233,427**	**1,481,026,315**	**1,906,864,339**
Profit/(Loss) Before Depreciation and Bad Debts	**457,186,597**	**604,126,840**	**129,497,249**	**(23,600,823)**	**278,672,523**
Deduct : Provisions					
Depreciation Expense	421,146,601	425,792,897	422,549,317	421,434,665	428,389,902
Bad & Doubtful debts	10,000,000	10,000,000	38,000,000	38,000,000	38,000,000
Obsolete stocks	-	-	-	-	-
Total Provisions	**431,146,601**	**435,792,897**	**460,549,317**	**459,434,665**	**466,389,902**
Profit/(Loss) from Operations	**26,039,996**	**168,333,943**	**(331,052,068)**	**(483,035,488)**	**(187,717,379)**
Finance costs	211,678,309	107,437,577	107,343,110	131,671,052	248,439,455

Table 3.11 : Statement of Comprehensive Income for the period ended 30th June (Figures in Kshs)					
Items	2008	2009	2010	2011	2012
Profit/Loss Before Tax	(185,638,313)	60,896,366	(438,395,178)	(614,706,540)	(436,156,834)
Income tax expense	-	-	-	-	-
Profit /(Loss) After Tax	(185,638,313)	60,896,366	(438,395,178)	(614,706,540)	(436,156,834)
Extra Ordinary items	-	-	-	-	-
NET PROFIT/(LOSS) FOR THE YEAR	(185,638,313)	60,896,366	(438,395,178)	(614,706,540)	(436,156,834)

Gross Sales consists of trading in maize, wheat, gunnies, insecticides, beans, seeds, wimbi, green grams, paddy rice and fertiliser. The gross sales, cumulated average growth rate (CAGR) was 12% while the gross margin's CAGR was 15% for the same period. Both gross sales and gross profit declined in 2010 and rose significantly in 2011 and 2012. The growth and fluctuations in the gross margins has been attributed to price variations caused by government directives and market supply constraints. Cost of sales consists of the cost of purchasing maize, wheat, rice, insecticides, beans, castor seeds, gunnies, wimbi, grams, paddy and fertilizer from farmers and importation by the Board. Other income which consists of income from rendering services and miscellaneous activities contributed an average of 27% to total income between 2008 and 2012. Other income grew at an average of 21% from 2008 to 2012.

NCPB has five categories of expenses which include;

- Staff costs and wages are the highest expenses of the Board. The amounts are largely driven by payroll costs for permanent and casual staff. These expenses have averaged 33% of gross sales between 2008 and 2012. Staff costs and wages have been increasing at an average of 12% from 2008 to 2012;
- The second highest category of expenses is administrative expenses which averaged 9% of gross sales between 2008 and 2012. These are general administration costs for the business. The CAGR for the administrative expenses was 5% from 2008 to 2012.
- Rail and road transport expenses are amounts incurred to facilitate the movement of agricultural produce. The amounts averaged 6% of gross sales over the five year period from 2008 to 2012. Rail and road transport expenses CAGR was 165% from 2008 to 2012.
- Other operating expenses averaged 5% of gross sales between 2008 and 2012.
- Import and export costs averaged less than 1% of gross sales over the five year period.

Total expenditure increased at an average of 112% from 2008 to 2012. The cumulated average growth rate for the expenses was 21% from 2008 to 2012. The growth in expenditure has been driven by staff costs and transport expenses.

Provisions comprises of depreciation expenditure and provision for doubtful debts. Depreciation expense remained steady at an average of 17% of gross sales from 2008 to 2012.

Finance costs cumulative average growth rate was 4% from 2008 to 2012. Finance costs consist of interest on short term loans and overdraft interest charges.

Profitability

The Board incurred losses between 2008 and 2012 with the exception of 2009 when the Board made a profit of Kshs. 60,896,366. The losses have been attributed to:

- **Price setting:** The prices at which the Board purchases and sells commodities have been driven by the Government of Kenya. This places pressure on the Board's margin and its ability to cover its operating costs;
- **Huge Infrastructure:** The Board has huge investments in infrastructure, which is excessive to its commercial requirements but is forced to maintain by Government, which has the effect of increasing the overhead costs of the company;
- **Parastatal status:** The status of the Board, where it is required to undertake non-commercially viable activities, makes it impossible to control their growth in costs relative to revenue.
- **Reimbursable:** The Board has undertaken several projects/activities on behalf of the government which they have not been fully compensated for and/or paid in time by the Government.
- **Subventions:** The government has been late in paying subventions which are essential in offsetting the Board's costs.

3.4.2 Agency Financial Performance

In addition to the National Cereals and Produce Board's principal activities which include grain handling, marketing with provision of allied services and facilities, the Board undertakes social functions on behalf of the Government on an Agency basis. These functions are reported on separate accounts. The Government of Kenya operations relate to the procurement, storage, quality maintenance, and distribution /sale of famine relief food commodities as well as Strategic Grain Reserve stock.

The GOK agency operations performance between 2008 and 2012 is shown in the Table 3.12 below:

Table 3.12: Income and Expenditure Account for the periods ended 30th June					
Items	2008	2009	2010	2011	2012
Income /Receipts From Gok					
Direct Receipts from GOK	2,897,391,257	13,144,115,429	6,773,776,552	2,734,558,857	2,226,999,995
Inter-account transfers				401,664,420	-
Sales Proceeds of returned /borrowed					
S/hand Gunny Bags	2,167,936,860	5,650,285,204		1,544,882	2,322,527
	5,065,328,117	18,794,400,633	6,773,776,552	3,137,768,159	2,229,322,522
EXPENDITURE					
Direct costs/Remittances					
Remittances of sales proceeds to GOK	1,530,280,050	6,021,868,227		688,339,898	-
Procurement costs	573,435,790	10,843,529,401	5,971,126,683	483,321,875	1,938,062,176
Import costs		851,749,846	177,170,049		-
Loss on Foreign Exchange		-	-		-
Transport costs	63,865,257	1,070,188,728	380,686,564	180,382,804	266,112,067
Inter-function transactions	(865,000)	(83,905)	(1,730)		-
Direct handling costs	8,743,120	28,001,067	18,421,821	7,070,775	10,028,165
Cost of clearing iron sheets	-	6,212,862			-
Subtotal	2,175,459,217	18,821,466,226	6,547,403,387	1,359,115,352	2,214,202,408
Agency fees and charges for services /facilities provided					
Storage	302,143,989	138,400,367	336,833,964	349,634,428	275,287,123
Quality Maintenance					
Commission on Purchase	30,661,115	331,930,275	296,497,013	27,785,342	
Commission on releases	7,339,102	20,166,371	40,090,068	16,528,682	71,082,075
Commission on direct transport	5,109,221	85,615,098	38,068,656	18,038,280	25,591,939
Commission on commodity	-	-	-	-	26,611,209
Handling costs	699,450	2,240,085	1,842,182	707,078	1,002,817
Commission on commercial sales	173,080,194	458,549,636	-	-	18,680,446
Commissions on direct import costs	-	61,104,245	16,945,454	-	
Drying costs	-	11,469,744	20,751,024	-	
Interest on delayed payments	-	-	-	-	-
Storage of stocks supplied by third party	-	-	-	-	-

Table 3.12: Income and Expenditure Account for the periods ended 30th June					
Items	2008	2009	2010	2011	2012
5% Management fees on depots exclusively for GoK use	-	-	-	-	-
Subtotal	519,033,071	1,109,475,821	751,028,361	412,693,810	418,255,609
Total Expenditure	2,694,492,288	19,930,942,047	7,298,431,748	1,771,809,162	2,632,458,017
Net Surplus/(Deficit)	2,370,835,829	(1,136,541,414)	(524,655,196)	1,365,958,997	(403,135,495)
Add: Shortfall /Surplus b/f balance 01/07	(2,762,833,272)	(391,997,443)	(1,528,538,460)	(2,053,193,655)	(687,234,677)
Net due (to) /from the agent as at 30/06	(391,997,443)	(1,528,538,857)	(2,053,193,656)	(687,234,658)	(1,090,370,172)

Income from GOK operations as shown above comprises of direct receipts from government of Kenya, inter-account transfer, sales returned from returns on borrowings and income from s/hand gunny bags. Total Income from GOK Agency operations had a negative cumulated average growth rate of -19% between 2008 and 2012.

GOK Agency expenditure has two categories which include; direct costs/remittances and Agency fees and charges for services /facilities provided. Direct expenditure remained steady between 2008 and 2012. Procurement costs and remittances of GOK sales proceeds are the largest expenses items in this expenditure category. Agency fees and charges for services /facilities provided had a negative cumulative average growth rate (CAGR) of -5% compared to a cumulative average growth rate of total GOK operations income of - 19% indicating that the total income was decreasing at a higher rate than this category of expenditure. Storage, commission purchase and commission on commercial sales are the three highest expenses in this category.

GOK Agency operations surplus (deficit)

The Board has mainly incurred deficits on its agency operations. However it made a surplus of Ksh. 2,370,835,829 in 2008 and Ksh. 1,365,958,997 in 2011. It incurred deficits of Ksh. 1,136,541,414 in 2009, Ksh. 524,655,196 in 2010 and Ksh. 403,135,495 in 2012.

3.4.3 NCPB Financial Status

NCPB financial status between 2008 and 2012 is shown in the Table 3.13 below.

Table 3.13: Statement of Financial Position for the Periods Ended 30th June					
Items	**2008**	**2009**	**2010**	**2011**	**2012**
ASSETS					
NON-CURRENT ASSETS					
Property, Plant and Equipment	10,137,769,552	9,761,249,761	9,350,032,792	8,916,677,704	8,509,212,861
Investment	-	-	-	-	-
Intangible Assets	-	-	-	17,186,257	12,828,960
	10,137,769,552	**9,761,249,761**	**9,350,032,792**	**8,933,863,961**	**8,522,041,821**
CURRENT ASSETS					
Operating stocks	75,192,021	853,583,036	274,199,667	1,896,597,695	888,183,681
Debtors and Prepayments	923,393,252	1,329,254,455	428,596,765	533,278,080	321,276,842
Government Debtors-New Old Debt	816,828	816,828	816,828	-	-
Government Debtors-New Agency A/C	792,656,625	1,552,315,162	2,076,970,358	454,671,482	857,806,994
Government Debtors-MOA Fertilizer A/C	-	-	1,300,530,007	1,055,860,315	1,665,495,705
Cash at bank and in hand	1,275,442,233	330,783,055	3,525,680,443	250,679,622	606,020,463
	3,067,500,959	**4,066,752,536**	**7,606,794,068**	**4,191,087,194**	**4,338,783,685**
TOTAL ASSETS	**13,205,270,511**	**13,828,002,297**	**16,956,826,860**	**13,124,951,155**	**12,860,825,506**
EQUITY AND LIABLITIES					
EQUITY					
Capital Fund	6,304,142,172	6,304,142,172	6,304,142,172	6,304,142,172	6,304,142,172
Revaluation Reserve	9,589,422,793	9,589,422,793	9,589,422,793	9,589,422,793	9,589,422,793
Revenue Reserve	(5,110,963,129)	(5,089,082,060)	(5,528,239,078)	(6,159,069,899)	(6,630,317,940)
	10,782,601,836	**10,804,482,905**	**10,365,325,887**	**9,734,495,066**	**9,263,247,025**
CURRENT LIABLITIES					
Bank overdraft	224,913,582	369,183,841	794,359,021	406,305,650	427,463,293

Short Term Loan	419,738,586	513,960,085	-	1,135,967,700	918,306,000
Creditors and Provisions	827,536,062	1,566,777,501	2,750,537,090	1,457,403,475	1,314,268,123
Creditors -Due to GOK on Fertilizer sales	-	-	2,473,006,897	73,521,197	387,899,197
Creditors-Due to GOK on 2KR Maize sales	-	174,063,028	174,063,028	-	-
Creditors -Due to GOK on Past Market	-	-	-	-	-
Intervention Programme	174,063,028	-	-	174,063,028	174,063,028
Government Agency Account (Old A/C)	143,195,039	143,195,039	143,195,039	143,195,039	143,195,039
Creditors-Due to GOK on SGR Maize sales	633,222,378	256,339,898	256,339,898	-	232,383,800
Taxation	-	-	-	-	-
	2,422,668,675	**3,023,519,392**	**6,591,500,973**	**3,390,456,089**	**3,597,578,480**
TOTAL EQUITY AND LIABILITIES	**13,205,270,511**	**13,828,002,297**	**16,956,826,860**	**13,124,951,155**	**12,860,825,505**

Non-Current Assets: Non-Current Assets comprises of Property, Plant and Equipment. These assets are mainly depots/silos, motor vehicles, commercial buildings, residential houses and leasehold land. Over the five years, non-current assets have an average comprised of 67% to the total assets of the Board Over the period, the company has made investments in its non-current assets but due to depreciation they have reduced over time from Ksh.10.1 billion in 30th June 2008 to Ksh. 8.5 billion in 30th June 2012. The idle assets have been indicated to represent 30% of the total non-current assets. Asset valuation was last carried out in 2005/2006 by Tyson and Crystal Valuers Limited on the basis of existing use. The valuation resulted to a net revaluation gain of Ksh.6.8 billion and an increase in the revaluation reserve to Ksh.9.5 billion. The Board intends to carry out another re-valuation of assets before the period ending 30th June 2013 so ensure that fixed assets values are factual.

Current Assets: This comprises of Operating stocks, Debtors and Prepayments, Government Debtors and Cash. The current assets averaged 33% of the total assets of NCPB. Of the amounts, Government Debtors have averaged 14% of the total amount. The Government Debtors in the old debt included a net debt amount of Ksh. 3.1 billion which was fully settled during the year 30th June 2011. The amounts were to be paid as part of NCPB's commercialization reform process. The amount comprised of net balance of government debts and obligations outstanding as at 30th June 1997 and the credit balances held in favour of the Government. These amounts were to be settled over three years as part of commercialisation reform but were settled in small amounts over an 8 year period. Cash at bank and in hand represents bank balances and cash-in hand held in the Board's cash offices at Head Office and Depots/Silos.

Equity: Over the five year period, the amounts in Capital Fund and the revaluation reserve have been reduced by the revenue reserves. The revenue reserves has increased from negative Ksh. 5.1 billion to negative Ksh.6.6 billion due to NCPB's trading losses over the five years.

Liabilities: These are represented by current liabilities only. NCPB does not have long-term liabilities. The current liabilities comprises of:

- Bank overdraft and short-term loan: NCPB had an overdraft facility of Ksh. 500 million with the Kenya Commercial Bank Limited to facilitate it to meet its working capital requirements. There is also a short term loan facility of ksh.2.0 billion. Kenya Commercial Bank has since recalled these two facilities due to a court award and attachment of NCPB's Bank Accounts.
- Creditors and Provisions: Creditors comprise of trade creditors, creditors-owing to farmers/suppliers, staff and sundry creditors.
- Creditors -Due to GOK on Fertilizer sales, 2KR Maize sales and Past Market trading.
- Intervention Programme: These are amounts on government market interventions measures on purchasing and disposal of the surplus maize through NCPB-1994/95-1997/98. The retained surplus amounts as at 31st December 2012 of Ksh. 174.1 million are to be offset against other GOK debts still under review.
- Government Agency accounts: NCPB had entered into a formal agreement with the GOK on the 18th January 1990 on an agency basis. The Board as to receive cereals from overseas under wither food aid or loan programs on behalf of GOK. In return, the Board was to receive an agency commission of 8% of the sales value to cater for management and overhead costs. The balances over the period have remained at a constant amount of Ksh.143.2 Million.
- Creditors-Due to GOK on SGR Maize sales.
- Taxation: Over the five year period, NCPB filed Income tax return reflecting taxable losses of the company.

3.4.4 Financial Position - Agency Operations

The financial status of the GOK Agency business between 2008 and 2012 is shown in the Table 3.14 below;

Table 3.14: Statement of Financial Position for the periods ended 30th June					
Items	**2008**	**2009**	**2010**	**2011**	**2012**
Famine Relief Stocks	943,754,936	482,478,966	325,612,367	919,437,864	12,718,444
SGR Stocks	2,297,531,375	5,046,892,270	740,483,599	5,524,570,429	5,465,807,920
Shortfall in GOK funding to NCPB	391,997,443	1,528,538,458	2,053,193,656	687,234,677	1,090,370,189
	3,633,283,754	**7,057,909,694**	**3,119,289,622**	**7,131,242,970**	**6,568,896,553**
GOK Agency Account	391,997,443	1,528,538,458	2,053,193,656	687,234,677	1,090,370,189
Net Surplus			-	-	-
Stock Reserve Account	3,241,286,311	5,529,371,236	7,730,447,966	6,444,008,293	5,478,526,364
	3,633,283,754	**7,057,909,694**	**9,783,641,622**	**7,131,242,970**	**6,568,896,553**

From the Table above, it is clear the Board is not compensated on time for its services with amounts due from GOK rising from Ksh. 392 Million in 2008 to Ksh. 2.1 Billion in 2010. The amount declined to Ksh. 687 Million in 2011 but rose to Kshs. 1.1 Billion by 2012.

3.4.5 Working Capital

The working capital of the Board has over the period, 2009-2012 reduced significantly. The reduction in working capital is as shown in the Table 3.15 below:

National Cereals and Produce Board					
Table 3.15: Working Capital for the periods ended 30th June					
Items	**2008**	**2009**	**2010**	**2011**	**2012**
Current Assets	3,067,500,959	4,066,752,536	7,606,794,068	4,191,087,194	4,338,783,685
Current Liabilities	2,422,668,675	3,023,519,392	6,591,500,973	3,390,456,089	3,597,578,480
Working Capital	**644,832,284**	**1,043,233,144**	**1,015,293,095**	**800,631,105**	**741,205,205**
Increase/(Decrease in working capital)		398,400,860	(27,940,049)	(214,661,990)	(59,425,900)

NCPB does not have adequate liquidity to cater for its current level of commercial operations as represented by an average current ratio of 1.24 against a standard measure of 1.50 and an average quick ratio of 0.85 against a standard measure of 1.00 over the period. The main causes of the lack of adequate working capital have been highlighted in the section on challenges facing NCPB.

3.4.6 Financial Challenges Faced by NCPB

1. Lack of Adequate Working Capital
Lack of adequate working capital negatively affects NCPB's ability to undertake its commercial operations. The Board's main causes of inadequate working capital are attributed to the following:

- The Board incurred a loss of Kshs. 2.2 billion in 2001/2012 which arose from selling of commercial maize through Government directive. Delay in settlement of 2001/2002 export loss of Kshs. 2.2 billion by Government which severely eroded the working capital. The same has not been settled to date;
- Delay by MOALF and MoSSP to pay for services rendered on due dates;
- Delay by MOALF to pay subsidies on time on fertilizer sold at subsidized rates resulting in holding loans for long;
- Inadequate budgetary provisions in printed estimates for SGR and Famine Relief;
- Failure by MOALF to pay agency fees at commercial rates;
- NCPB being made to operate depots that are not commercially viable;
- Failure by MoPD to pay full cost of operating depots maintained for relief operations.

2. Failure by Govt to pay Kshs. 3.1 Billion Debt on time as envisaged in the Reform Strategy of 1998 Commercialization
The failure to pay the full amount in 3 years as recommended affected NCPB's ability to undertake the envisaged level of commercial activities. The instalments payments paid over 8 years mainly went to finance operating overheads instead of commercial activities.

3. The Kshs.555 million Court Award and Resultant suspension of banking Facilities by KCB
The court award and attachment of NCPB bank account with KCB led to the Bank recalling its facility and offsetting Kshs.1.3 Billion in the Agency account to pay itself thereby paralyzing the Board's operations in the current year.

4. Pricing of maize for commercial and SGR functions
The fixing of price payable to farmers for SGR at harvest time which also applies to its purchase of commercial stocks makes NCPB uncompetitive in the market resulting in millers buying directly from farmers or from private maize traders. The result is low margins in commercial sales and high stock holding costs.

5. High Costs of Operating an Excessive Infrastructure
The costs of running an extensive infrastructure that includes commercially unviable depots run for social/political reasons without adequate compensation from Government.

6. The Parastatal Status of NCPB
The parastatal status of NCPB restricts borrowing or disposal of non-core assets without Treasury/GoK approval. This restricts NCPB's ability to raise funds from borrowing and sale of idle assets. Delay in obtaining borrowing approvals effect the timing of accessing the funds and therefore ability to take advantage of favourable spot market developments.

7. **Value addition**
The Board buys and sells maize in its raw form while the millers who compete with the Board in buying maize also add value by milling hence the Board is disadvantaged.

8. **Procurement**
The Board procures fertilizer through competitive tendering which is lengthy and restrictive as per the law which does not allow prompt taking advantage of dynamics of market demand and supply.

3.5 Grain Market and Policy Issues

The grain sector in Kenya consists of the cereals and the pulses sub-sectors.

3.5.1 Cereal Sub-Sector

The most important cereal crops grown in Kenya include maize, wheat and rice that are under the mandate of NCPB. Other grain crops grown in the country consist of sorghums, millets, barley and rye.

3.5.1.1 Maize

Maize is the major staple food in Kenya. About 90 percent of Kenya's population depends on maize as an income-generating commodity and food. Production has not kept pace with demand, which is mainly driven by the expanding population implying that the country has had to depend on imports (cross-border and off-shore) to bridge its production/consumption gaps. It is estimated that maize imports have averaged 15 percent of total consumption since 1996. However, the share of maize imports is highly understated because of massive unreported cross border trade from Uganda and Tanzania. Suffice to say at this point that maize forms the bulk of NCPB business and accounts for over 60 percent of its business turn-over. Whereas the tenets of liberalization dictate that maize prices be market driven, in Kenya government directives on prices to be applied by NCPB have distorted the functionality of markets and the Board's profitability.

3.5.1.2 Wheat

Wheat is the second, most important cereal crop in Kenya after maize. Currently the country imports up to 70 percent of its wheat requirements. Unlike maize where NCPB has a great interest, the marketing of wheat has been liberalized. Through the Cereal Growers Association (CGA), a producer organization, wheat farmers have an agreement with millers that guarantees that millers purchase all domestically produced wheat before commencing imports.

3.5.1.3 Rice

Rice is mainly consumed in urban areas. National production over the past two decades has varied between 38,000 metric tons and 53,000 metric tonnes. These schemes account for about 95 percent of total domestic production. The remaining 5 percent of the rice is rain-fed and is grown mainly along the coastal and riverine regions. The government has recently embarked on a rain-fed rice production scheme in Western Kenya that is expected to reverse the current production situation. The annual consumption is estimated at 135,000 metric tonnes, implying that over 60 percent of the national consumption requirement is imported mainly from Pakistan, Thailand and Vietnam. NCPB actively participates in the marketing of rice and unlike maize paddy prices are driven by the markets forces.

3.5.1.4 Pulse Sub-Sector

The production of pulses in Kenya, which consist mainly of beans, green grams, cowpeas, pigeon peas and soya beans, has been playing a secondary role to maize production. Beans for example are intercropped with maize, and hardly receive attention in the same way that maize does in terms of the use of inputs and crop husbandry. There are many varieties of pulses grown in the country depending on the communities that consume them and the suitability of weather conditions in any given region. Pulses are mainly consumed together with cereals in most meals. The most important pulses for NCPB include beans and green grams.

3.5.2 Current Policy Framework

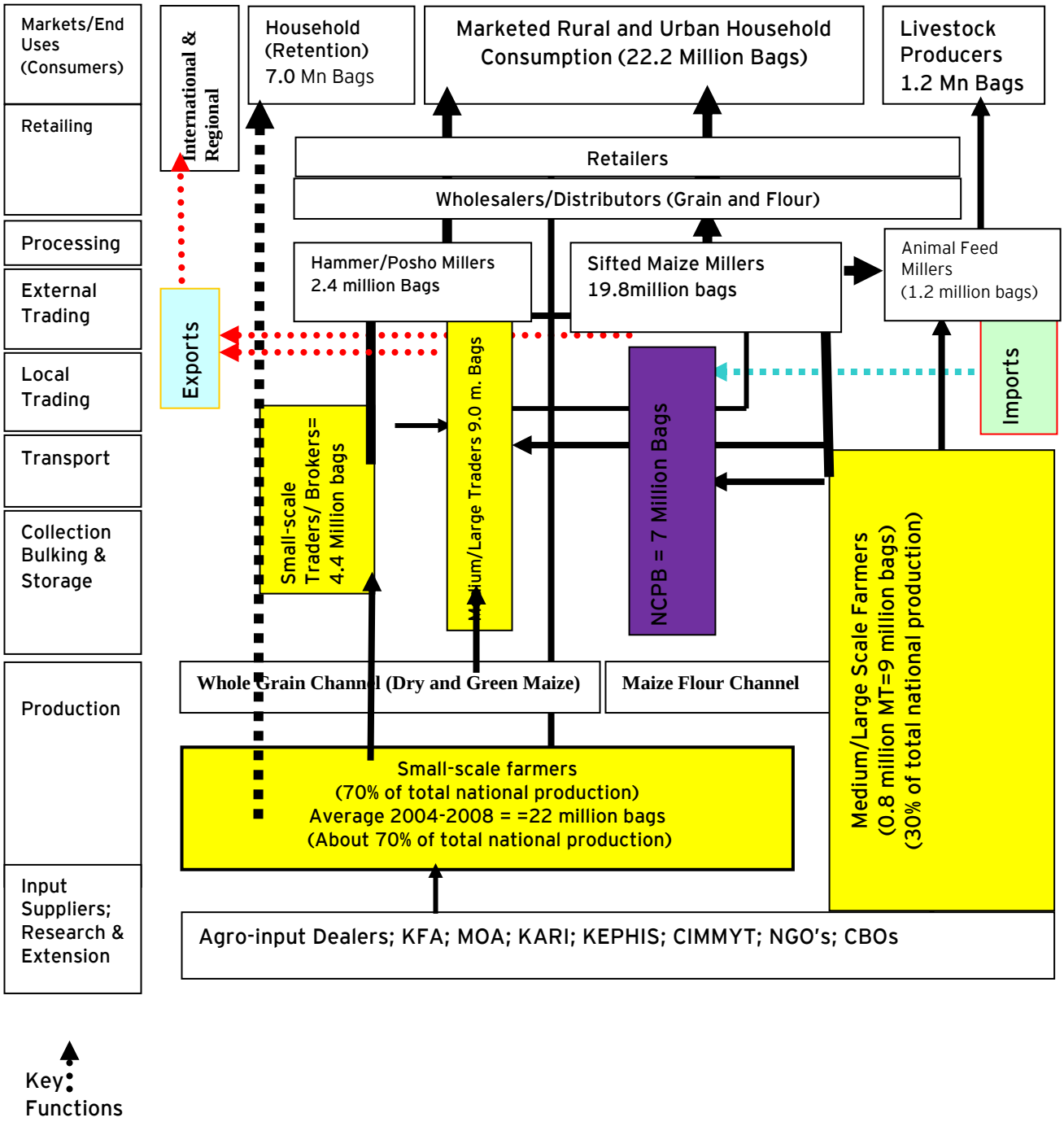
Through a series of economic measures in 1980s and 1990s, the grain industry was first liberalized in 1993 and the Board finally commercialized with effect from July 1997.

The Board has operated under an obsolete legal and regulatory framework since the commencement of commercialization. The NCPB Act, Cap 338 of Laws of Kenya, established the Board as purely a regulatory body with the mandate of regulating and controlling the movement and marketing of maize, wheat and scheduled produce. The legal framework became irrelevant with commercialization. In this regard, the Board, working with the parent Ministry of Agriculture and Office of the President, Special Programmes and other stakeholders has pushed for the enactment of the NCPC Bill, 2006 to establish the National Cereals and Produce Corporation, a corporate body. The Bill provides for the commercial mandate as well as advisory role and desirable intervention through participation as an agent of the Government. However, the bill is yet to be enacted.

3.5.3 Keys Players in the Cereals Market

The grains subsector in Kenya is organised into different actors that play regulatory, research, production, trade, transportation and value addition functions. NCPB is the major grain dealer in Kenya and has over 50 years of experience in this sub-sector. Its activities were performed on monopoly basis until 1993 when the cereal sub-sector was liberalized. The advent of liberalization brought on board other players in the grain market that were non-existent during the pre-liberalization era. Currently, the Board controls about 25 percent of the maize market in Kenya. Grain trading revolves around a number of value chain actors that facilitate its performance and in essence ensures its continuity. Figure 1 below depicts the maize value chain map, indicating the main channels and players at different levels of the value chain and approximate volume flows along each of the main channels-whole grain and flour channel. The key grain value chain actors include government agencies such as the MoALF, KARI and KEPHIS, inputs providers (seed, fertilisers etc), farmers, traders and millers and consumers (Figure 3.4).

Figure 3.4: Kenya's Maize Value Chain Map[1]



[1] *Volume utilization varies from year to year depending on production and market situation and figures provided here are estimated averages. It should also be noted that the marketing systems are much more complex than indicated here and the map represents a simplified scenario.*

3.5.3.1 Government (Ministries and other Departments)

The Government has a responsibility of ensuring that every Kenyan is food secure. The government has delegated this responsibility to NCPB, which is expected to maintain the country's strategic grain reserve stock, undertake distribution of relief supplies and intervene in the market during periods of adverse conditions. The Government allocates funds to NCPB to undertake these functions on Agency basis. The Government, through the Ministry of Agriculture, formulates grain sector policies, offers extension services and scrutinizes the activities of NCPB in order to safeguard the country's food security position. Other key government agencies include the Kenya Agricultural Research Institute (KARI) and the Kenya Plant Health Inspectorate Service (KEPHIS) that are engaged in research and seed regulation respectively.

3.5.3.2 Seed and agro-input dealers

The major agro-input dealers include seed and fertilizer stockists who are distributors of seed and fertilizer companies respectively (Figure 1). Currently, the country has about 8 major seed production and marketing companies supplying seed to the domestic and regional export market. Besides the seed companies, KARI, CIMMYT and some NGO's and CBO's also supply certified seed maize. On the other hand there are about seven major fertilizer marketing companies and a multiple of agro-stockists. NCPB continues to market seed maize for Kenya seed, the dominant seed company in Kenya and has recently diversified to fertilizer importation and distribution. NCPB also distributes fertilizer on agency basis for two of the country's fertilizer manufacturers; Athi River Mining and KEL Chemicals.

3.5.3.3 Farmers

Farmers are the sole providers of commodities that NCPB deals with. The farmers' activities are therefore very critical to the existence of NCPB. Based on key subsector observers, average maize production in the last five years was about 31 million bags. Of this total smallholder farmers accounted for about 70 percent while medium to large farmers accounted for the rest. According to key respondents (NCPB, farmers and traders), smallholder farmers retain approximately 20-30 percent of their production for household consumption depending on perceived supply situation (Figure 1). They sell the balance 70-80 percent for cash-though a significant number of household also re-purchase stocks from the market during the last half of the crop year. About 25 percent of this marketable surplus is normally traded by and through NCPB. This implies that the level of NCPB's activity is directly dependent on the level of activity of farmers, holding all the other factors constant.

3.5.3.4 Millers and other Grain Traders

At the marketing level, small-scale traders, medium to large traders, animal feed processors and NCPB are major players. Small scale traders handle 15-20% of total marketed production. Medium-large traders and their agents handle between 30 and 40% of total marketed production, while NCPB is estimated to be handling 25-30%. Millers handle about 25% total marketed volume. This category of stakeholders presents the greatest competition to the activities of NCPB and influences the way NCPB conducts its business. NCPB is the largest grain trader in Kenya.

NCPB competes with millers and other traders in the grain market and the quantities realized are dependent on the flexibility and the ease with which each market entrant interacts with farmers, not to mention the promptness in payment. Kenya has 22 millers categorized into 18 large capacity millers (150 tons/24 hours) and 4 medium scale millers (50 – 150 tons/24 hours). The country's installed milling capacity is about 3,500 tons/day although a majority of this capacity is underutilized. The millers sometimes opt for grain imports leaving NCPB with no market outlet for its grains.

3.5.3.5 Consumers

Maize in Kenya is mainly used for human consumption, and most predominantly in the form of maize flour to make maize meal (Ugali); dry grain (mixed with other products e.g. dry beans and a

host of vegetables to make for human food); and of green maize. Other uses include animal feed which is becoming increasingly important following the growth in the commercialization of the country's dairy, poultry and pig industries; and seeds (including retention by smallholder farmers and hybrid commercial seed). Reliable information on market share by each end use (which may vary from year to year depending on supply and demand situation) is not readily available and the information provided is based mainly on interviews with NCPB and Ministry of Agriculture officials. Consumers form an integral part of the Board's existence. An increase in consumer demand of NCPB's products has positive effects on its books of accounts and vice versa. An increase in demand of products offered by millers also impacts positively to the activities of NCPB especially during periods of under supply. The contrast is also true.

3.5.4 Maize Value Addition and Distribution

On the average, farmers apply a seed rate of 10kg of seed maize per acre along with 75 kgs of planting fertilizer per acre. In addition, farmers apply 75kg/acre of top dressing fertilizer (Table 3.16). Besides seeds and fertilizers, land preparation comprises an important cost element in maize production. On the average it costs about Kshs 6,700 to prepare land in addition to another Kshs 4,000 where land is leased. The cost of land preparation alone accounts for 20 percent of the total cost of production. This cost can be substantially reduced if farmers adopted more innovative techniques of land preparation such as zero tillage whose cost is estimated to be a third of the conventional cost of land preparation.

The average maize yields in the maize surplus zones of the Rift Valley and parts of Western Kenya are about 25 bags/acre (90kg bags) with production being dominated by small scale farmers. However, maize yields vary greatly across farmers and could be anywhere in the range of 15 to 30 bags/acre. Given this scenario, the cost of maize production varies from Kshs 1,100 to Kshs 1900 per 90-kg bag (Table 1). Through use of improved husbandry practices, this cost can be reduced to as low as Kshs 700 per bag as observed for one farmer in Nakuru who was using conservation tillage. At the current price of Kshs 2,400 per bag, the gross return per bag of maize is in the range of Kshs 1,300 to Kshs 2,400 per bag. This represents a profit margin in the range of 25 to 118 percent (Table 1). Given that average yields in the surplus production zones are 25 bags/acre, the average cost of producing a bag of maize can be estimated at Kshs 1,265 (Table 7.1). This implies that the return on farmer's investment per bag of maize is in the range of 90 percent at the current price of Kshs 2,400 per bag.

Table 3.16: Cost of Maize Production in Kenya

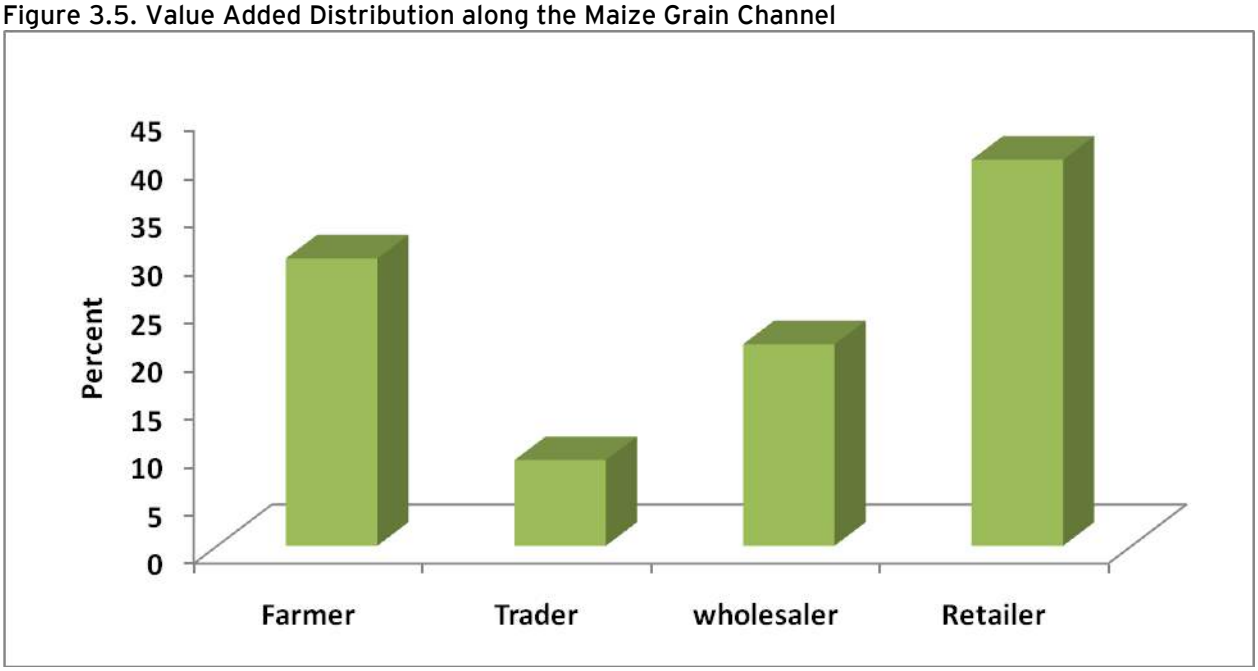
Scenario			1	2	3	4
ACTIVITY	UNIT	PRICE	YIELD	YIELD	YEILD	YEILD
		(Kshs)	30 BAGS	25 BAGS	20 BAGS	15 BAGS
Land Leasing	1 Acre	4,000	4,000	4,000	4,000	4,000
1st Ploughing	1 Acre	2,000	2,000	2,000	2,000	2,000
2nd Ploughing	1 Acre	2,500	2,500	2,500	2,500	2,500
Harrowing	1 Acre	1,200	1,200	1,200	1,200	1,200
Seed Maize	1 Bag (10kg)	1,200	1,200	1,200	1,200	1,200
Fertilizer (DAP)	1.5 Bags (50kg)	3,750	3,750	3,750	3,750	3,750
Fertilizer (CAN)	1.5 Bags (50kg)	2,400	2,400	2,400	2,400	2,400
Planting (Seeding)	1 Acre	1,000	1,000	1,000	1,000	1,000
Weeding	1 Acre	2,500	2,500	2,500	2,500	2,500
Stooking	1 Acre	1,000	1,000	1,000	1,000	1,000
Dehusking	1 Bag (90kg)	30	900	750	600	450

Shelling & Bagging	**1 Bag (90kg)**	50	1,500	1,250	1,000	750
On Farm Handling	**1 Bag (90kg)**	20	600	500	400	300
On Farm Haulage	**1 Bag (90kg)**	20	600	500	400	300
Transport to Market	**1 Bag (90kg)**	100	3,000	2,500	2,000	1,500
Cost of Bag (Polypropylene)	**1 Piece**	30	900	750	600	450
Incidental Costs 5%			1,453	1,390	1,328	1,265
Finance Costs (A.F.C) 10%			2542	2433	2323	2214
Production Cost/Acre			**33,044**	**31,623**	**30,201**	**28,779**
Production Cost per 90-kg bag (break-even)			**1,101**	**1,265**	**1,510**	**1,919**
Total Revenue @ Kshs 2,500 per 90kg bag			**72,000**	**60,000**	**48,000**	**36,000**
Gross margin/acre			**38,956**	**28,378**	**17,799**	**7,221**
Gross return/bag			**1,299**	**946**	**593**	**241**
Profit margin/bag (%)			**118**	**90**	**59**	**25**

Source: NCPB Survey, 2013

Figures 3.5 and 3.6 below provide the distribution of value added along the dry-maize grain channel and the flour channel respectively. Due to supply-demand fluctuations, prices in the country vary considerably and the figures provided are meant to be indicative. Along the maize grain channel, the returns to investment in the maize value chain for farmers, traders, wholesalers and retailers are estimated at 30, 9, 20 and 40 percent respectively. This estimate is quite conservative given that farmers return could be as high as 90 percent depending on their yield levels.

Figure 3.5. Value Added Distribution along the Maize Grain Channel

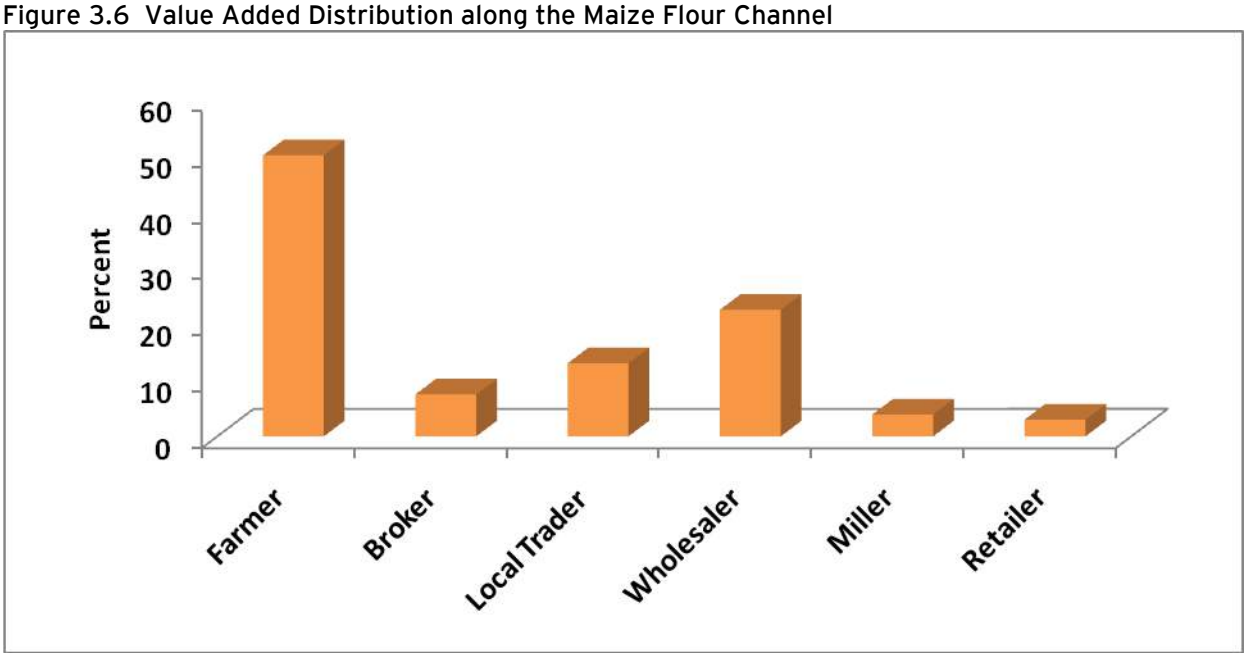


Source: NCPB Survey, 2013

In the maize flour channel, the highest returns once again accrue to farmers at 50 percent. This is closely followed by wholesalers at 22 percent while the least returns of about 3 percent accrue to maize flour millers and retailers (Figure 3.6). It appears that both the farmer and the retailer

received the highest returns in the maize grain channel, while the farmer followed by the wholesaler received the highest in the maize flour channel.

Figure 3.6 Value Added Distribution along the Maize Flour Channel



Source: NCPB Survey, 2013

3.5.5 Grain Sector Constraints

The grain value chain, starting from inputs providers (seed, fertilizers etc), farmers, traders and millers, face various challenges and constraints, despite the efforts and interventions of various organizations and institutions over the years. The key constraints to the sectors performance include;

- low farm productivity,
- constrained market access by smallholder grain farmers,
- lack of regional trade intelligence and market information;
- lack of a structured grain trade in the region,
- underutilization of installed milling capacity,
- high and increasing costs of processing,
- limiting and weak trade policy environments and
- lack of institutional frameworks and arrangement for structured trading in grain.
- Unpredictable maize import-export policies.
- Market distortions through untimely imports (commercial and food aid supplies)-which in some instances arrive at the harvesting season.
- An outdated NCPB policy – Cap 338.

4 PROPOSED RESTRUCTURING PROCESS

4.1 Rationale behind the Restructuring the NCPB

The rationale behind restructuring NCPB is informed by decisions that can draw from:

- Lessons learnt from previous restructuring efforts,
- Challenges currently facing NCPB, and
- Lessons learnt from best practices both locally and internally.

4.1.1 Lessons learnt from previous restructuring efforts

The previous reform initiatives aimed at streamlining the grain sector and transforming NCPB into a commercially viable organisation. It is worth noting that previous reforms aimed at making NCBP a commercial organisation, but the Board was still to perform the two main functions for the GOK namely SGR/FRS function and grain market stabilisation role, here referred as social functions.

Why the Social functions?

Though NCPB is categorized as a commercial entity, the board undertakes social functions on behalf of the Government on Agency basis. The agency agreement requires the Government avail funds to NCPB upfront to meet direct costs, fees and charges payable based on pre-costing of activities to be undertaken. Despite the Agency agreement the GOK has been delaying to pay for services rendered on due dates; provides inadequate budgetary provisions for SGR and Famine Relief and does not pay agency fees at commercial rates. In addition, the fixing of price payable to farmers for SGR at harvest time makes NCPB uncompetitive in the market resulting in millers buying directly from farmers or from private maize traders, which effecting NCPB capacity to purchase its commercial stocks. The result is low margins in commercial sales and high stock holding costs. Consequently undertaking Strategic Grain Reserve and Famine Relief on behalf of the Government will remain as "social functions" to NCPB as there are not provided in arm length manner.

From the previous reform initiatives, we also learn that;

- The grain sector has been operating without an independent regulator. This creates a void in the regulation of the sector giving the government a free hand to directly influence the sector and the operations of the Board.
- The mandate of NCPB is overlapping: It plays grain market stabilisation, commercial and social functions.
- Finally, failure to implement or fully implement the previous restructuring recommendations explains the current challenges facing NCPB. Implementation status of previous recommendation is as shown in table 4.1 below;

Table 4.1: Status of Implement of Previous Restructuring Recommendations

No.	Recommendation	Responsibility		Status
		NCPB	GOK	
1	Adopt Operating Rules Concepts	-	√	Adopted
2	Implement Operating Rules Concepts	√	√	Partially implemented
3	Execution of Agency Agreement	√	√	Pending
4	Establish National Food Security Office (NFSO)	-	√	Pending
5	Provide Budgets for Food Security Interventions	-	√	Inadequate
6	Payment of Net Debt of Kshs 3.1	-	√	Paid over 8 years instead of

No.	Recommendation	Responsibility		Status
		NCPB	GOK	
	Billion over 3 Years			3 years
7	Assets Divestiture	√	√	Pending
8	Create an appropriate Legal base for Commercialized NCPB	-	√	Pending
9	Appoint a Board of Directors based on repealed Legal Framework	-	√	Legal framework not yet repealed
10	Strengthen the Marketing Function of NCPB	√	-	On-going
11	Proceed with Assets Divestiture on GOK's approval	√	-	Pending
12	Right-size the Staff compliment	√	-	Reduced from 4,350 to 1,000
13	Modernize ICT for efficiency and cost	√	-	In progress 2005/2006 to 2006/2007
14	Review overall commercialization strategy	√	-	Strategy and Business Plan 2005/2010 launched in 2005

4.1.2 Challenges currently facing NCPB

Despite the previous restructuring efforts, currently NCPB still face several challenges which can be summarized as follows;

- Many overlapping mandate (regulator, commercial, social functions).
- Failed Agency–Principal agreement/relationship due to external interferences.
- Social functions outweigh the commercial functions depriving Board much needed finances (80% social functions and 20% commercial services).
- Old and costly SGR stock due to huge maintenance cost.
- Centralized decision making.
- Underutilized capacity of existing infrastructure.
- Unstructured fragmented grain market and sector.
- Market Imperfections especially due to external influences.

4.1.3 Lessons learnt from best practices both locally and internally

Further, we learn that challenges facing NCPB are not unique to the Board, other countries like South Africa, India, Malawi and United States of America among others faced the same challenges. In addition some of local sectors like energy, transport and telecommunication faced the same challenges. However, the mentioned countries and sectors have been able to overcome the challenges through restructuring. Thus, the proposed restructuring of the NCPB should be premised on similar restructuring exercises that have been concluded over the last few years in the energy and telecommunication sectors.

Lessons from similar restructuring efforts elsewhere inform us that in order to realise the envisioned success it is important for the separation of policy formulation, policy implementation & regulation and operations which is the service delivery.

It is not viable and sustainable to store physical SGR for more than 5 years. First, the reserve will be go bad and second it is very costly for the Government to maintain the reserve, already the Government has spent billions of shillings maintaining the reserve. The best practise is to allow the NCPB to continue trading the maize and other grains and the government will monitor the reserve to ensure that at any point in time the Board and other players has at least the required minimum reserve in existing storage facilities. This is the case in South Africa and other developed/developing nations where they do not maintain any physical reserve.

4.1.4 Elements of Restructuring Process

There is an overlap in the current mandates of NCPB: It plays grain market stabilisation, commercial and social functions. Thus, it is not possible to restructure NCPB without having an insight of the entire grain sector.

Lessons from previous NCPB restructuring efforts tells us that it is not visible to transform NCPB to commercial viable entity while it still undertaking social function. Consequently, the Business model current used by the NCPB is not commercial viable. The question is "in a liberalised and free economy is it possible for a Government parastatal to be commercially viable while still playing such social functions on an non-arm's length basis?" There is need therefore to separate, NCPB commercial and social functions.

Consequently, it is appropriate and suitable to separate NCPB functions. This will involve transferring some of the functions to other appropriate entities or create suitable entities that will effectively undertake them. We therefore recommended the following;

I. The GOK and MoALF should facilitate establishment and development of market regulator to undertake and perform all the market stabilization, interventions and regulations, here in referred to as "Grain Sector Regulator" or its equivalent.
II. Under the current GoK policy framework the Strategic Grain Reserve mandate of NCPB is transferred to the Ministry of Agriculture. Therefore, it is recommended that the Ministry consider establishing an institutionalized national food agency, here in referred to as "National Food Office" or its equivalent to deal with strategic grain reserve as well as strategic food reserve.
III. MoALF and other relevant Ministries and private sector should facilitate establishment and development of commodity Exchange (COMEX), an organised market, where grains will be traded.
IV. MoALF should facilitate restructuring of NCPB to effectively and efficiently deal with commercial commodity trading of grains and farm inputs.

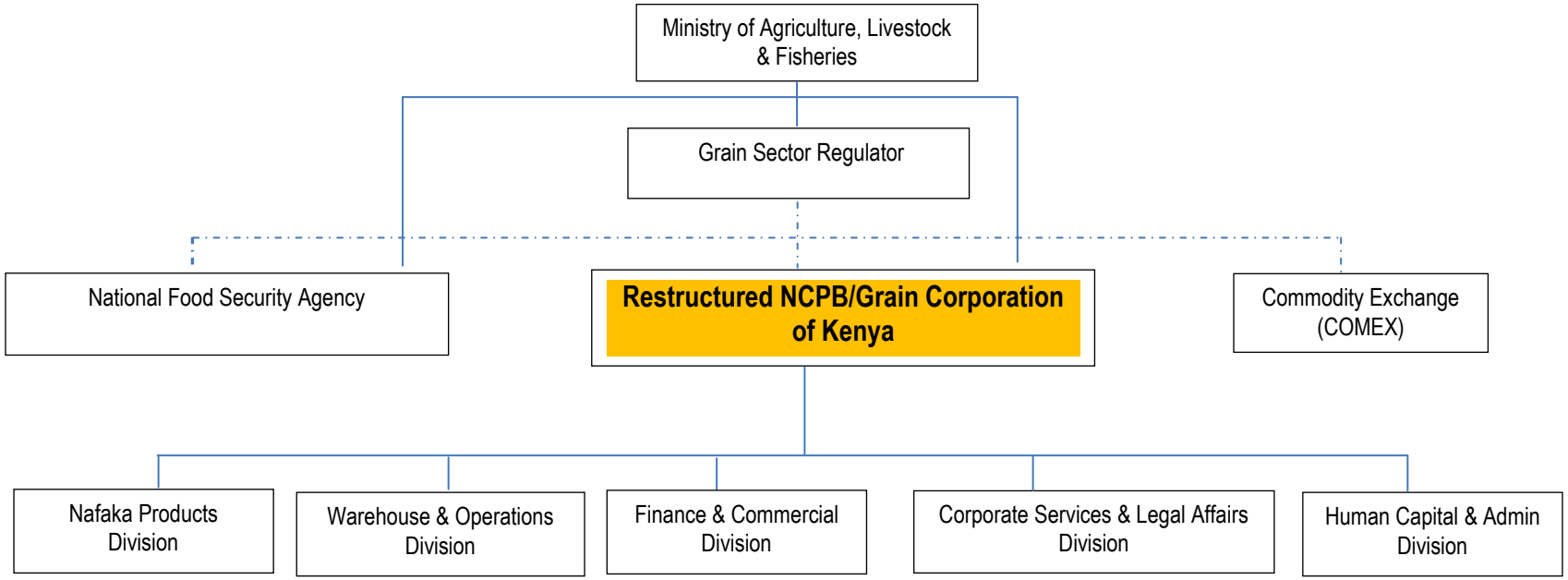
In additional, to enhance the Restructured NCPB business operations (Here, henceforth referred as Grain Corporation of Kenya- GCK) we recommend that GCK to strengthen and upscale its current commodity trading through Nafaka products and warehouse receipting operations. Other new business lines that GCK may consider and explore are the Container Freight Station (CFS) & Bonded Warehouses and Grain Institute. Finally, GCK should continue leasing the huge utilised capacity and undeveloped land for commercial gains.

The above recommendations are in line with the current government proposed parastatal reforms as well as overall government structure as highlighted below;

- The Report of The Presidential Taskforce on Parastatal Reforms (October 2013) recommended that that NCPB should be restructured to transfer the Strategic Grain Reserve mandate to the relevant Ministry and retain NCPB as a commercial entity under Government Investment Corporation (GIC).
- The Executive Order No. 2/2013 on Organisation of the Government of the Republic of Kenya, which specifically outlines key functions of the Ministry of Agriculture as agriculture policy and services, national food policy, food security, strategic grain reserve as well as strategic food reserve among others.

A Conceptual Framework for the Structuring of NCPB into Grain Corporation of Kenya is provided in Figure 4.1 below.

Figure 4.1: Conceptual Framework for the Structuring of NCPB into Grain Corporation of Kenya



The following chapters explain in details the functions and organisation of each of the proposed new entities and its proposed working relationship with of the GCK – restructured NCPB under the restructured environment.

5 GRAIN SECTOR REGULATOR

5.1 Introduction

There is no market without a regulator. The Capital Markets Authority (CMA) is the regulator for Nairobi Security Exchange. The Central Bank is the regulator for the Banking Industry. The Communication Commission of Kenya (CCK) is the regular for telecommunication service providers, while the Energy Commission of Kenya (ECK) is the regulator for the Energy sector.

Before the liberalization of the grain sector in 1993, NCPB had monopoly powers and was empowered to regulate and control the procurement, processing, sale, distribution, importation and exportation of maize, wheat and other scheduled produce. Commercialisation of NCPB created a void in the regulation and enforcement of policies. However, after liberalization in 1993 the Government through the Ministry of Agriculture has played a partial role in regulating the grain market but there is need for a more focused market regulation to ensure a fair orderly and efficient market. In view of this, it is suggested that the Government establishes a "Grain Sector Regulator" (GSR) to fall under the purview of the MoALF. While the Ministry will be deal with grain sector policy formulation the regulator will deal with policy implementation and enforcement.

5.2 Functions of GSR

- Support a competitive and efficient grain sector
- Maintain market integrity, fair, orderly, and efficient market
- Facilitates grain Production
- Conduct research on grain handling technology
- Protect grain producers, traders and consumers in order to enhance grain production
- Maintain and disseminate grain market information
- Supervise and license market players in the grain industry. The players include commodity exchange market, warehouse receipting operator and other market players
- Ensure (enforce) compliance with relevant standards, rules and regulations that will govern the grain sector

The GSR will promote the self-regulatory in the sector. Here the GSR will be concerned primarily with promoting the disclosure of important market-related information, maintaining fair dealing, and protecting against fraud.

One of the major sources of information on which the GSR will rely on is to bring enforcement action is market players themselves – educated and careful market players are so critical to the functioning of an efficient grain market.

The information technology will support the Commission and staff of the GSR in regulating the sector. GSR will have an online connectivity to the COMEX and all market players at the COMEX including the Warehouses. It will maintain a very active website that would contain a wealth of information about the Grain industry, and would also host the grain information database for free public access.

5.3 Why Grain Sector Regulator?

Grain sector has been neglected for long time with a regulator, hence the main problems facing the sector today. Lack of regulator is manifestation of the problems facing the NCPB. Establishment of grain regulator can be rationalised with the proposed AFFA Act in order to include all functions of the proposed regulator. Rationalisation of Grain regulator within AFFA should ensure that AFFA has provision to regulate and guide the grain sector in liberalised and competitive environment. For example, regulating and licensing key players in grain sector such as the proposed warehouse operators and commodity exchange among others. In addition, there

should be provision in AFFA for the establishment of "market based interventionism mechanisms for dealing with price fluctuations and hedging (price stability), price discovery mechanisms, market dissemination system, credit enhancement, liquidity provisions, etc., via the use of Commodity Exchanges, etc., under a liberalized agricultural sector regime.

5.4 Governance and Legal Framework

The proposed GSR may be established necessary legal mechanisms or any other appropriate legislation.

5.5 Funding Options for the Commission

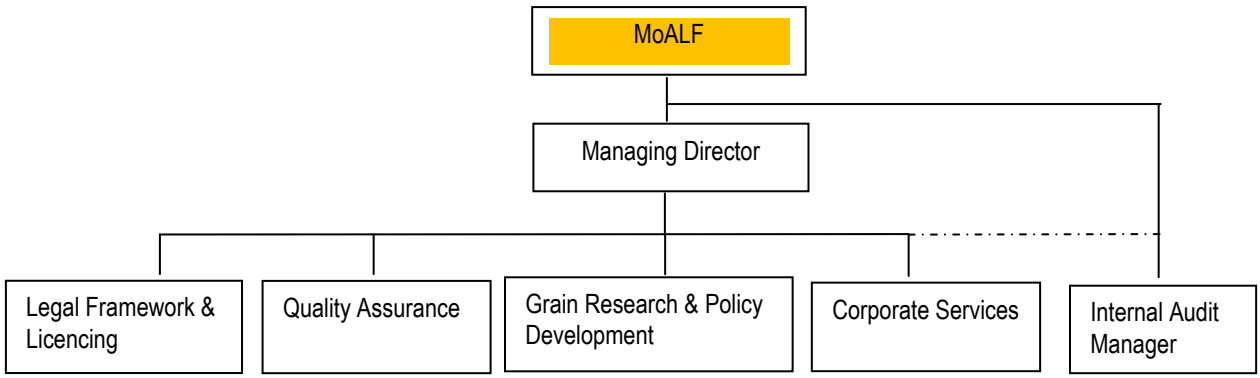
The regulator will require Government funding during its establishment phase and until it become financially sustainable. It sources of funds will be;

- Government Grants
- Funding from external bodies/ Development Partners
- Sale of licenses to the grain handlers
- Fees charged on publishing information on grain research and publications
- Fees on quality assurance and development of quality standards
- Fees payable to regulator from COMEX trading transactions

5.6 Organisation Structure

Below is the proposed organisation structure of the regulator. The Regulator will be under MoALF. The management will under a Director or an equivalent as may be advised by the Ministry.

Figure 5.1: Proposed Organization Structure for the Grain Sector Regulator



6 NATIONAL FOOD SECURITY AGENCY

6.1 Introduction

The government supports the procurement and storage of Strategic Grain Reserves (SGR) to guarantee availability of grain in situations of extreme drought and famine and also to contribute to the stabilization of market prices in order to protect the poor and prevent market failure. The most critical challenge facing NCPB is the management and operation of the SGR on behalf of the government on Agency basis and the delays encountered in receiving payment for maintaining the reserve.

We recommended that the Government to fundamentally move away from directly dealing with maize in the form of SGR. It is not viable and sustainable to store physical SGR for more than 5 years. First, the reserve will be go bad and second it is very costly for the Government to maintain the reserve, already the Government has spent billions of shillings maintaining the reserve. The best practise to allow the NCPB to continue trading the maize and other grains and the government will monitor the reserve to ensure that at any point in time the Board and other players has at least the required minimum reserve in existing storage facilities. Ideally, the food and grain reserve is monitored through a well-functioning warehouse receipting and commodity exchange systems. This is the case in South Africa and other developed/developing nations like Australia where they do not maintain any physical reserve. Similarly, USA manages food security by monitoring food in the warehouses mainly private silo operators. When the Government gets warning signals about impending food shortage, it buys all the grains in the private warehouses / silos and gets issued with silo certificates. This triggers the private grain dealers via exchange to import maize from outside to build stocks.

However, in absence of a well functioning warehousing receipting and exchange, institutionalisation of food security and management is increasingly becoming norm for most developed and developing countries who have been establishing national food security agencies. However, it will take time to establish the COMEX, warehousing operators and create the requisite legal and regulatory framework as well as institutional frameworks that will enable monitoring of food reserve. Until such time that the COMEX, the warehouse receipt system are established with the requisite legal and regulatory frameworks and the "Warehouses that would be designated as Agents of the COMEX" properly legislated and brought under the ambiance of the proposed regulator, it would be extremely difficult to manage grain and food reserve in the county, hence the need to have semi-autonomous government agency to do this function, or its equivalent.

It is therefore recommended that a semi-autonomous government agency, NAFOSA, under the Ministry of Agriculture, Livestock and Fisheries be established. This is in line with Executive Order No. 2 / 2013 dated May 20, 2013 by the Office of the President, where the following functions fall under the Ministry of Agriculture, Livestock and Fisheries: National Food Security, Food Safety and Inspection, Strategic Food Reserves and Strategic Grain Reserve and among others. The Agency should handle be also famine relief stocks/emergencies as there are as result of food insecurity.

In relation to this, the executive order No 2-2013 of 20th May 2013, the MoALF is in process of forming a complete National Food Security and Early Warning Division headed by Deputy Director Agriculture. Though this will not institutionalise the food security management, it is a step in right direction. The Division should be for transitional period before an entity is institutionalised to handle food security.

It is recommended NAFOSA should be working closely with Ministry of Devolution and Planning to ensure the country governments are food secure. It will be necessary to consolidate the activities

of other government agencies involved in food security such as Kenya Food Security Steering Group (KFSSG) under NAFOSA.

It is our view that the current Kenya National Economic and Social Council (KNESC), under the Office the President and chaired by the President, mandate be extended to cover food security. Proposed NAFOSA as technical Authority on food security issues will be advising the Council on matter food security. They will be preparing reports on food security that will be deliberated by Council for decision making. In collaboration with line Ministry, they will ensure decision made on food security is implemented. The existing Kenya Food Security Steering group consisting of sector working groups and district working groups and other similar initiatives should be harmonised and rationalized under NAFOSA.

NAFOSA should have annually budgetary support from exchequer. The current budget allocation for the SGR which is under the MoALF should be transferred to NAFOSA.

In the transitional period before NAFOSA is established, it is recommended that GCK should continue managing on behalf of MOALF under a re-drafted "Agency Agreement". The Ministry will only provide an "Oversight Role" in the management of the SGR Stocks. This implies that all the procurement for SGR stocks will be undertaken by the restructured NCPB –GCK. The Ministry would pay rent at the ruling rates for all the space that would be allocated to the SGR Stocks. It will pay for maintenance of stocks on a monthly, quarterly or half yearly basis as agreed within the Agency Agreement. Likewise any financial costs incurred in acquisition or sale of SGR stocks must be agreed in advance and must be settled in advance before the requisite transaction. It is recommends that all SGR Stocks should be replenished every 2 years to avert its deterioration and loss of weight. Any loss incurred in the sale of the stocks and exceeding 4 % should be absorbed by the Ministry.

6.2 Functions and Operations of NAFOSA

NAFOSA will coordinate and monitor food production and food security. The other functions that will be undertaken by NAFOSA include:

- Advice National and County Governments on food security policy
- Monitor grain market prices and trends
- Determine optimal SGR stock
- Ensure food quality standards along the SGR supply chain
- Improve the rotation and management of the SGR
- Bring together and strengthen linkages between different stakeholders involved in food security
- Monitor the food security situation in the country and advice on the need for intervention
- Advice its agents on the procurement and disposal of SGR stocks
- Integrate all other Government entities dealing with food security
- Work with County Governments to ensure they are grain/food secure

6.3 Governance and Legal Framework

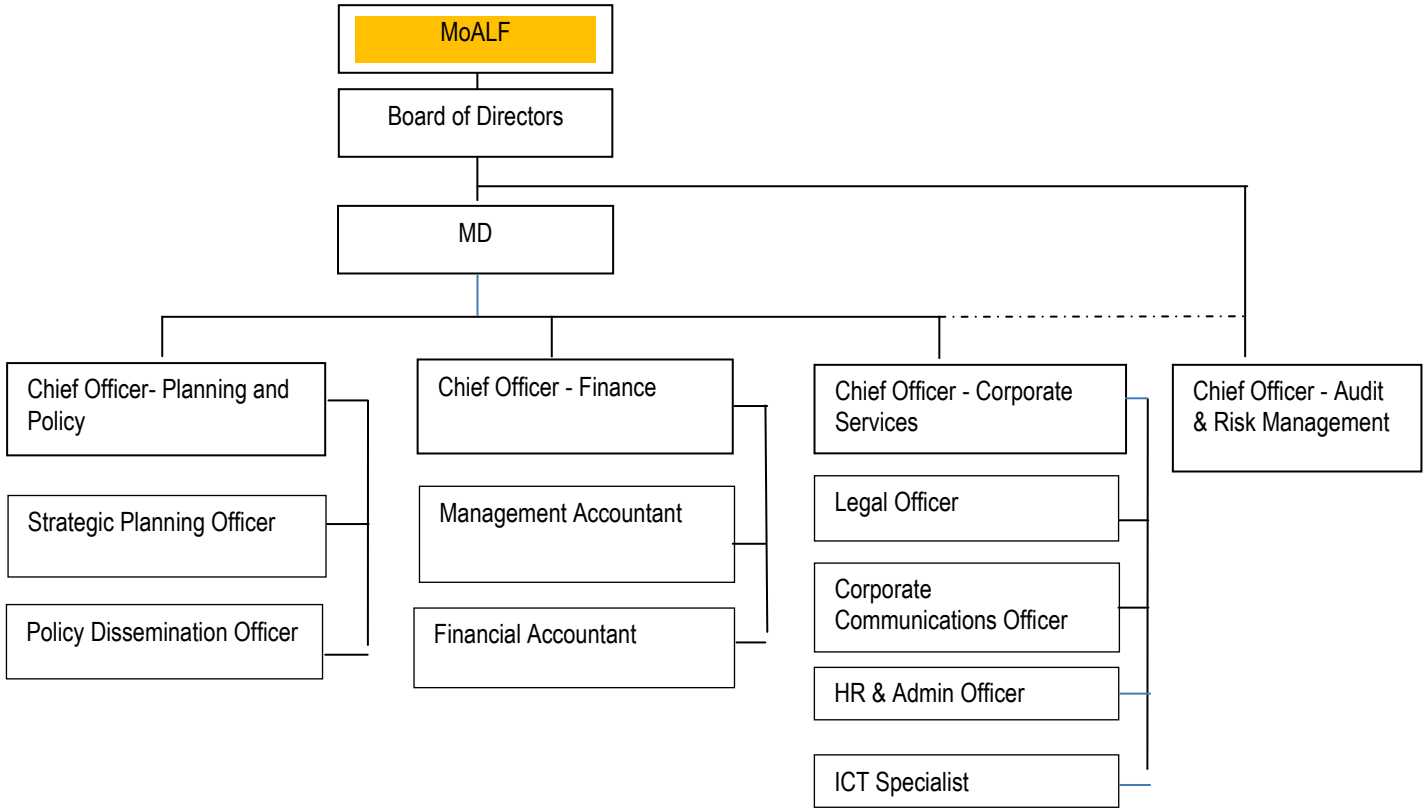
The proposed NAFOSA may be established through an Act of Parliament or any appropriate mechanism. The existing Kenya Food Security Steering group consisting of sector working groups and district working groups and other similar initiatives should be harmonised and rationalized under NAFOSA.

Currently, the Strategic Grain Reserve (SGR) was established through the Treasury and Audit Act Cap. 412 (Strategic Grain Reserve Fund) Regulations 2002 vide Legal Notice No 55 of 15th April 2002, this legal notice need to be repealed.

6.4 Organisation Structure

Below is the proposed organisation structure of the NAFOSA, under MoALF. The management will under a Managing Director or an equivalent as may be advised by the Ministry.

Figure 6.1: Proposed Organization Structure for the National Food Security Agency



NAFOSA will be a legal entity that can enter into contract with another entity for the purpose of the management of SGR. When established, NAFOSA will draft operational rules that will guide the management of SGR. Before, NAFOSA is established SGR management will remaining with the MoALF. Consequently, in interim before the NAFOSA is established, NCPB operations are closely intertwined with MOALF especially in storage of food reserve. As it is NCPB is physically managing the SGR on behalf of MoALF. Thus, it is recommended that the Ministry would mandate the restructured NCPB - GCK under a re-drafted "Agency Agreement" to manage the same on its behalf. The Ministry/NAFOSA would only provide an "Oversight Role" in the management of the SGR Stocks. Thus, before NAFOSA is established, restructured NCPB/GCK and Ministry will formulate operational rules that would guide the procurement, management and disposal of SGR on behalf of the government. The proposed operational rules will be codified into a "Revised Agency Agreement" wherein the GCK would continue to warehouse SGR Stocks on behalf of the Ministry. The agreement will contain operational rules proposed by NCPB and Annex VIII outlines proposed Agency Agreement for SGR management.

7 COMMODITY EXCHANGE

7.1 Introduction

At the continental level, grain market/sector problems were also recognized way back in 1991 by the African Member States of the African Union. Article 46 (1) (D) of the Treaty establishing the African Economic Community (AEC) and signed by the then OAU Heads of State and Government on June 3rd 1991 in Abuja, Nigeria on Agricultural Development and Food Production states that "Member States shall co-operate in the development of agriculture, forestry, livestock, and fisheries in order to protect the prices of export commodities on the international market by means of establishing an African Commodity Exchange. Lately the mandate from the AU Ministers of Trade meeting in Mauritius in June, 2003 proceeded by the Summit of the Heads of State and Government meeting in Maputo in July, 2004 that ratified the decision of the Ministers of Trade and Industry authorizing that the African Commodity Exchange to be operationalized.

7.2 Functions and Benefits of the Commodity Exchange

Agricultural markets all over the world have moved away from government price intervention towards economic based markets through establishment of COMEX. At the continental level, African Union adopted establishment of COMEX and several member states have implemented this decision. Trading of commodities through COMEX is the norm in developed countries such as South Africa, USA, Britain, and Australia among others. Many African countries have established the COMEX including Malawi, Zimbabwe, Tanzania (ongoing), Ethiopia, South Africa, Rwanda and Zambia.

The functions of the COMEX will include:

- Price discovery
- Creating a fair price (a price determined by the market forces of demand and supply) where no one player can influence the price.
- Enabling market players to make informed decisions on production and diversification.
- Enabling farmers to know their minimum revenue in advance (price guarantee).
- Enhanced farmers' access to credit from financial institutions.
- Price information dissemination
- Risk management
- Reduction in cost of carry
- Minimization of price fluctuation (hedging)
- Facilitating usage of warehouse receipting

7.3 Conditions Necessary To Establish A COMEX

Following conditions should be fulfilled before the formation of the Exchange:

- A grading system for the commodities to be traded at the Exchange;
- Performance guarantees from Banks and Governments assuring that the commodity that has been transacted can move easily from the sellers to the buyers (No Trade and Non Trade Barriers);
- Freedom to transfer funds as required by the Exchange (That the buyers are able to transfer funds to the sellers easily and that the sellers actually get their money without any hindrances);
- Existence of independent warehouses (Warehouses) where the commodities would be stored;
- A legal and regulatory framework that would facilitate the usage of warehouse receipts (Warehouse certificates). The legal and regulatory framework should adopt the usage of Electronic Warehouse Receipts (Electronic Warehouse Certificates);
- Sufficient product, at least each product available for trading must be produced in quantities in the region of 250,000- 500,000 metric tons depending on the economic environment of the country in which the Exchange will be located;
- Market infrastructure / Sufficient number of buyers and sellers: at least 15-20 buyers and sellers;
- Integrity in the trading system;
- A margining system / Risk Management tools;
- A Banking system that is supportive of the Exchange (Availability of at least one commercial bank that would act as the clearing member, and the country laws shall allow such a clearing member bank to operate);
- System and technology that will put the Exchange on top of other exchanges in the global marketplace;
- Education for existing and potential market players;
- The Exchange should be seen to be independent of the Government;
- Availability of good communications facilities and internet bandwidth; and
- Good transport facilities; etc.

7.4 Legal Set-up and Ownership

The COMEX will be established as a private limited liability company. The legal instruments of the Exchange would be deposited with the Registrar of Companies. The COMEX would be regulated by the proposed Grain Sector Regulator. However, the Exchange would be regulated under the "Self Rule Regulation" by its membership under its own rules and regulations.

7.5 Governance and Management and Control of COMEX

In order to assure corporate governance at the COMEX, following statutory organs of COMEX will be institutionalized in the charter of the COMEX.

- The Management Committee
- The Executive Committee
- The Audit Committee
- The Asset Liability Management Committee (ALCO)
- Marketing and New Products Committee
- Operations & Information Technology Committee

- Disciplinary & Nomination Committee

The Management Committee

The Management Committee is the overall governing body of the COMEX and is a replica of the Board of Directors. It would deal with all aspects of policy and overall strategy of the COMEX. It will be elected by the annual general meeting of the members for a period of three years, renewable once. However, in order to have continuity, only a third of the members of the Management Committee will retire at the end of each term.

It would meet at least quarterly or as often as the members may deem it fit to receive reports from the statutory committees of the Board which are described here in details. It will comprise of 15 members, comprising of the Chairperson, the Vice Chairperson, the Chief Executive Officer (CEO) as Ex-Officio; the Chief Operating Officer (COO) also an ex-officio, at least two representatives from the Clearing Members, and at least two representatives from the Non-Clearing Members.

Management Team

The Exchange will be headed by the Chief Executive Officer (CEO) assisted by the Chief Operating Officer (COO). The seven Divisional Director positions will be filled on a competitive basis. The positions will be advertised in the relevant media through a reputable firm of recruitment agency. The COMEX will have the following operational Divisions:

- The Executive
- Strategic, Corporate Planning & Research Division
- Risk Management Division (Surveillance & Monitoring)
- Marketing & Public Relations Division
- Clearing & Settlement Division
- Finance and Administration Division
- Trading Operations & Information Technology
- Internal Audit

7.6 Proposed Organization Structure

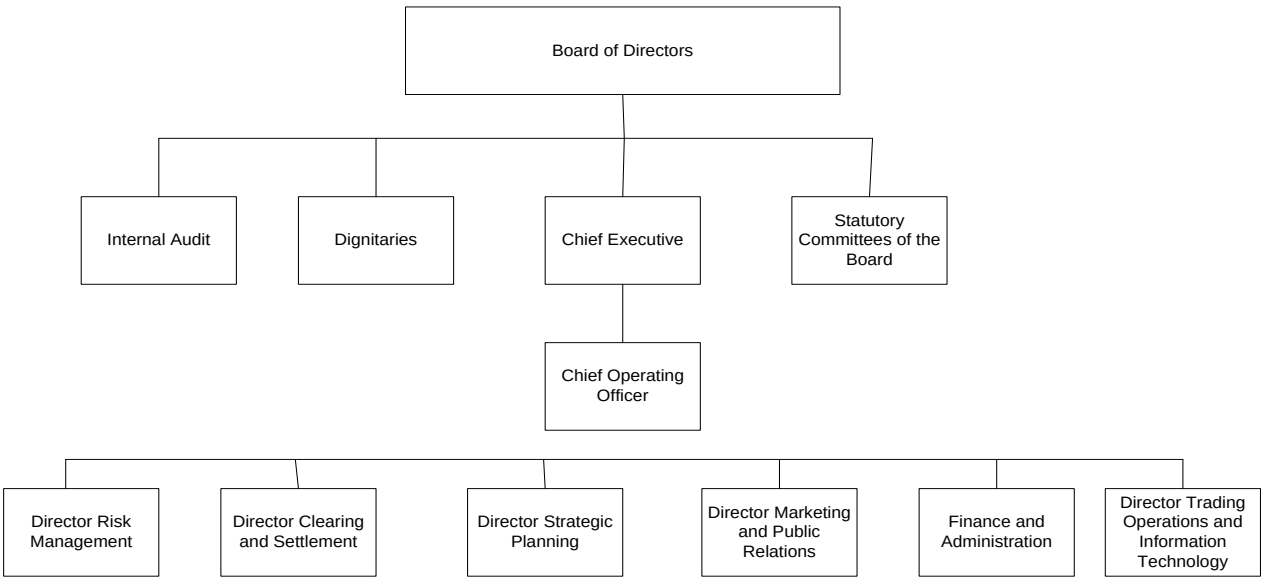


Figure 7.1: Proposed Organization Structure

In order to save time in the implementation of the Exchange, it is proposed that the promoters of COMEX consider signing a Management Contract with the South African Commodity Exchange (SAFEX) of JSE Exchange for a fee for at least first three years of its operations. SAFEX would train the regular staff of the COMEX and attach them to SAFEX for on the hands experience on trading operations, clearing and settlements and all facets of the management of the Exchange.

It is recommended that the Exchange (COMEX) out-sources the trading, clearing, and accounting systems infrastructure and software from the firm of "Securities and Trading Technology (STT)" which is the proprietor of the current system used by SAFEX and four out of the five Clearing Banks of SAFEX. The Exchange would adopt the settlement system used by SAFEX. Thus, settlement period would be t+1 (24 hours) as opposed to t+4 (48 hours) in Europe and the United States. The system of marking to market or daily settlement would be used to reduce payment risks.

The Warehouse Receipt (WR) would guarantee the availability of the traded commodity in a COMEX designated Warehouse unless of course it is a futures transaction whose underlying commodity would be delivered to the Warehouse at some time in the future, when the harvest / production is ready.

7.7 Funding Options for COMEX

- The Government and/or promoters can outsource the management and infrastructure of COMEX until such a time it is able to organize itself financially.
- Development partners: Common Fund for Commodities (CFC), IFC / World Bank, EAC, COMESA, UNCTAD etc
- Partnership with the Private Sector like banks, fund managers, NSE etc
- Domestic financial institutions like ICDC

Other sources of incomes:

- Service charge on companies conducting trade transactions at the exchange
- Member funds' contribution
- Publishing price information, guarantees and discovery mechanism.
- Funds from dissemination of R&D information with other regional/global grain exchanges.
- Retained earnings from operations

8 PROPOSED RESTRUCTURING OF NCPB TO GRAIN CORPORATION OF KENYA

8.1 Introduction

The purpose of restructuring NCPB to GCK is to ensure effective allocation of resources, including allocation of tasks, responsibilities, authority and accountabilities to ensure achievement of organisational goals and objectives. Change management issues addressed include;

- Flatten and eliminate hierarchical layers to obtain lean structures to improve decision-making and service delivery
- Emphasize on core competencies and outsource non-core functions i.e. real estate management and development, locomotive prime mover, security, transport etc
- Group similar functions and merge related activities in order to achieve economies of scale, minimise duplication of effort to obtain efficient and effective lines of communication
- Strengthen interdependence across departments, divisions and subsidiaries
- Decentralise responsibilities and devolve authority to regions, divisions and subsidiaries
- Change bureaucratic practices and enhance commercial culture in order to identify important norms, shared values and management style to be applied throughout restructured NCPB entities.

We recommend that GCK be established as a corporate commercial body for profit making. The rationale of changing the name from NCPB to GCK is for rebranding like any other commercial corporate entity. The name has already been adapted in proposed bill to repeal NCPB Act cap 338.

Continued profitable operations of the depots will depend on whether there would be continued external interferences. The GCK will be 100% owned by the Government. However, the long-term strategy will be for the Government to divestiture from the GCK.

8.2 Legal Regulatory Framework and Functions of GCK

The commercialization of the NCPB is dependent on the repeal of the NCPB Act Cap 338 and the enactment of an appropriate legal framework establishing the Grain Corporation of Kenya as a commercial entity in line with the proposed mandate and functions of GCK (see Annex X for draft GCK legislation).

The key functions of the GCK will be:

- Own, manage, operate, develop and maintain grain handling and storage infrastructure
- Commercial trade in grain and farm inputs
- Grains value addition
- Provision of grain related commercial services such as weighbridge, warehousing, drying, cleaning, quality control, aflatoxin testing and grading, pest control and management
- Partner with National and County Governments to enhance food security through developing and managing grain storage facilities as well as farm inputs distribution

It is important to note that under the Cabinet Memo No. 49/98 the cabinet approved the Bill to repeal the NCPB Act Cap 338 of the Laws of Kenya to be drafted and tabled in the Parliament. The existing Bill need to be updated and harmonised proposed mandate and functions of GCK and enacted by Parliament. The Act establishing the Grain Corporation of Kenya should provides for its powers, objections and functions in line with commercialization principles. The Act should aim to facilitate industry growth and promote food security through converting into a national trader and

warehouse receipting operators of grains. The Bill also provides for the Management of the affairs of the Corporation and other related matters.

Currently the Board operations are mainly in grain trading. However, as a commercial entity, the restructured NCPB revised Act should be all-inclusive to cover all commodities trading including grains and farm inputs. The use of the term grains widens NCPB's scope to dealing with a wide range of grains. Grain is broader than just cereals. Grains encompass both cereals such as maize, wheat, rice, sorghum, millets and legumes such as beans, cowpeas, green grams, legion peas. The dictionary definition of grains; Grains are small, hard, dry seeds (with or without attached hulls or fruit layers) harvested for human or animal food. Agronomists also call the plants producing such seeds 'grain crops'. Main types of commercial grain crops are cereals such as wheat and rye, and legumes such as beans and soybean.

Being commercial entity its products will have to compete with private sector. GCK will therefore trade its food products through "Nafaka products" trademark. It is recommended that GCK register "Nafaka products" trademark to protect it from competition. Through this trade mark GCK is advised to diversify its income and add value to its commodity trading.

The purchase, sell and supply of farm inputs by GCK is in line with the proposed mandates "commodities trading". As a commercial entity GCK can venture into a business in line with its scope and comparative advantage. Given its wide network where farmers are located GCK can do this better. It will be recalled that the failure of Kenya Farmers Association (KFA) created a huge void in the importation of fertilizers and other farm inputs. As a result, the private sector operators took advantage of this and started exploiting the farmers by charging high fertiliser prices which is almost clipping grains farming, particularly the small scale producers. In order to save the grain farmers, the NCPB saw an opportunity to assist the farmer and started to import fertilizer. Given its branch network the Board is able to distribute the farm inputs particularly fertilizers in all areas of the country. The liberalization of the cereal sector of 80s and 90s called upon the Board to become more innovative in defining it mission. The Board should upscale this farm inputs supply. It is recommended that Board sign MOU with county government in food basket areas to import fertiliser on their behalf in order to enhance food productions and security in the country.

8.3 Corporate Governance and Management

The appointment and composition of the current NCPB Board of Directors is guided by the State Corporation Act, Cap 446, which provides for eleven members. The chairman who is non-executive is appointed by the President. However, all other members of the Board including the Managing Director/Chief Executive are appointed by the Cabinet Secretary for Agriculture. All appointments are for a period of three years, unless specified otherwise.

The Board has been strengthened significantly by providing a mix of independent Directors and public officers to ensure a balance of skills and experience appropriate for the requirements of the business. However, the recently appointed taskforce on parastatal reforms has intimated that the State Corporations Act, Cap 446 will be revised to cater for better corporate governance in line with best practices.

Given that the Social Function of the Board as well as the Regulatory Function have been removed from the NCPB, we have revisited the current structure and composition of the Board of Directors. We recommend that the composition and skill set of a Board should depend on the GCK's strategic vision and particular challenges encountered in the wider grain sector. An ideal Board for a commercially oriented organization should comprises a mix of knowledge and expertise in: accounting and finance; risk management; strategic and business planning; legal and compliance; human resources; marketing; international trade; and industry-specific research and development (R&D).

The Board currently has the following board committees; Strategic Planning and Procurement Oversight Committee; Human Resource Committee; Audit Committee; and Finance Committee. It

is recommended that the Finance Committee should include strategic planning and procurement and hence it should be renamed to read Finance, Strategic Planning and Procurement Committee. The commercial and business development committee should also be included in the Board's list of committees and should handle issues operation and technology among others relevant issues. The audit committee should encompass risk and quality assurance and should therefore be renamed to audit and risk committee. We recommend that the Board carries out a review of the current committees to make them lean and efficient so as to enable to Board members to participate fully in the affairs of the committees.

Most commercial organizations have between 9 and 12 Board members. There is little variation in the number of directors from industry to industry, but boards tend to be larger as corporate revenue increases. The optimal board size is determined by the tradeoff between two opposing needs. Boards need to be large enough to accommodate the necessary skill sets, competencies and diversity, but still be small enough to promote cohesion, flexibility, and effective participation

GCK will remain owned by the GOK. The Chairman and Directors will still be appointed through the NCPB act until the new legislation come to force. It is appropriate that the Chairman and Board of Directors are appointed by the Government and are responsible to the GOK for the commercial performance GCK. The criterion of the appointment of the Directors should be that they are persons who will assist in achieving the mandate set out for GCK, and it is very desirable that the appointees are not officers of the Ministries, but from private sector.

8.4 Proposed Business Units of GCK

First, to ensure financial sustainability of proposed business model for GCK there is need for the depots to operate as profit centres and hence policy guidelines and operational procedures on delegating authorities and responsibilities to the depot managers need to be developed on this.

The main business units of GCK will be Nafaka products, Warehousing operations. Other new business lines that GCK may consider and explore are the Container Freight Station (CFS) & Bonded Warehouses and Grain Institute. Finally, GCK should continue leasing the huge utilised capacity and undeveloped land for commercial gains. These business lines can be operated through Public Private Partnership.

It is recommended for the formulation of GCK Strategic Plan for period 2014/15 to 2018/19 to align its future direction with business units recommended as a commercial entity.

8.4.1 Warehouse receipting

1] Function of Warehouse Receipting Division

NCPB maintains a network of 110 secure warehouses throughout the country, which are essential prerequisite for a successful regulated Warehouse Receipting System (WRS) to support an efficient agricultural commodity trade bringing together relevant stakeholders such as farmers, traders, banks, financial institutions, insurance companies, commodity exchange and consumers.

We recommend GCK to start warehouse receipting division which will graduate to a national warehouse operator. In order to operationalize the WRS, the government should provide a policy and legal framework for licensing and supervising independent warehouse operators.

It is proposed that GCK should identify specific storage depots country wide which should be used for Warehouse receipting. Preference should be given to facilities with good transport access and which are conveniently located, from the point of view of grain purchase and release.

The following will be the functions of the WRD:

- Store and operate gains under appropriate warehouse receipting system
- Gain control of storage infrastructure accessible to grain producers and traders
- Establish warehouse management information system with database of entire storage network
- Operationalize electronic warehouse receipting system as a negotiable instrument
- Link to the proposed commodity exchange market
- Ensure adequate insurance cover and performance bonds for the grains under its storage facility

The Warehouse Receipt depicts the ownership to the maize that has been delivered to the GCK. As a Warehouse Operator GCK will:

- Have the necessary equipment and appliances for the convenient and expeditious receiving, storage and out loading of the commodity in bulk.
- Be bound by, and shall comply with, the Rules of COMEX, and the terms of the Grains Contract Specifications and Appendices.
- Store all commodities covered by COMEX Silo Receipts on the basis and terms as stipulated in the COMEX's Rules.
- Undertake and warrant that it will not conclude any concurrent storage agreements that may have terms that are inconsistent or in conflict with the COMEX's Rules.
- Maintain proper records, including the date of receipt, quantity, quality and Silo location of the commodity, reflected on every COMEX Warehouse Receipt issued.
- Provide the COMEX with a copy of each paper COMEX Warehouse Receipt within a week of its issue.
- Notify the COMEX of its presentation or redemption through the required monthly reporting
- Warehouse Operator shall furnish the COMEX with a list of employees authorized to issue paper COMEX Warehouse Receipts as well as specimen signatures of the authorized signatories.
- Submit monthly returns in the prescribed format to the COMEX.
- Biannually furnish the COMEX with written confirmation from its external auditors.
- Provide the COMEX with a copy of all Kenyan Grain Information Service (KGIS) Audit Letters resulting from physical audits within seven days of receiving such.
- After receipt of the commodity, store the product on behalf of the holder of the COMEX Warehouse Receipt.
- Assure that other than storage costs, no additional costs to maintain the quality of the product, shall be levied on the Certificate Holder.
- Identify the country of origin of all commodities stored by it and store them separately.

2] Legal Aspects of Using Warehouse Receipts as Collateral

In order for a warehouse receipt system to be viable, the legal system must support pledge instruments, such as warehouse receipts, as secure collateral. The warehousing legislation must meet several conditions which include;

- Warehouse receipts must be functionally equivalent to stored commodities;
- The rights, liabilities, and duties of each party to a warehouse receipt (for example a farmer, a bank, or a warehouse) must be clearly defined;
- Warehouse receipts must be freely transferable by delivery and endorsement;
- The holder of a warehouse receipt must be first in line to receive the stored commodity or their fungible equivalent on liquidation or default of the warehouse;

- The prospective recipient of a warehouse receipt should be able to determine, before acceptance, if there is a competing claim on the collateral underlying the receipt;
- The lack of an appropriate legal environment is probably the single most important constraint on the creation and acceptance of warehouse receipts in many developing countries and in most countries in transition.

Operational conditions must be conducive to the creation of a warehouse receipt system:

A reliable warehouse certification guaranteeing basic physical and financial standards (Collateral Manager); The existence of independent determination and verification of the quantity and quality of stored commodities, based on a national grading system with inspection of warehouses and stored commodities performed, in most cases, by the private sector under license from a government body for agricultural goods, especially by the Ministry of Agriculture (Collateral Manager like SGS); and the availability of property and casualty insurance must be assured.

The integrity of the system must be assured through performance guarantees:

A key prerequisite for the acceptability of warehouse receipts by the trade and by banks is the existence of a performance guarantee for warehouses, assuring that the quantities of goods stored match those specified by the warehouse receipt and that their quality is the same as, or better than that stated on the receipt; Without this guarantee, farmers and traders will be reluctant to store their crops, and banks will be hesitant to accept warehouse receipts as seizure collateral for financing agricultural inventories; The unavailability of performance guarantees, for instance, because of the absence of reliable inspection and certification, may occasionally lead to second best solutions; For example, in Brazil, a system of warehouse receipts operates that is limited to products stored in ***bank - owned warehouses***. This is also the same practice adopted by ***Islamic Banking***; Performance guarantees are usually posted as **Insurance Bonds**, which are sometimes supplemented, as in many US States, with an **Indemnity Fund**; These funds are created through contributions of participating warehousemen, collected as part of the fees they charge for their service; The funds are used either alone or as a secondary guarantee alongside insurance bonds; In the later case, they reduce the cost of the main guarantee instrument, the insurance bond, making the provision of guarantees accessible to smaller warehouses; This broadens the market for warehouse services and increases competition in the storage industry.

3] Warehousing Receipt Rates

The depositor of commodity at the Depot / Warehouse pays for the following services: grading, cleaning, weighing, bagging, handling (in and out), fumigation, insurance and all other grain management processes. Following rates are payable by the depositor of the commodity and are subject to applicable rates:

Table 8.1: Ware Housing Rates		
No.	**Item**	**Rate / 90 KG Bag in KES**
1.	Intake (Once)	60.00
2.	Storage / Maintenance / Bag Hire/ Per Month	17.00
3.	Discharge / Release	15.00
	Sub-Total (a)	**92.00**
4.	Bagging	15.00
5.	Cleaning	30.00
6.	Drying (Per 1 % Moisture Reduction)	28.00
7.	Fumigation	5.00
	Sub-Total (b)	**78.00**
8.	Total Cost of Warehousing	**170.00**
9.	Current Cost of 90 Kg Bag of Maize	2,500.00
10.	Average Cost of Warehousing as a Proportion of Cost of Maize	**6.8 %**

The International rates for warehousing should be in the region of 1%-1.5 % per 30 days.

8.4.2 Proposed Nafaka Product Division

Nafaka Products Division will be the flagship division for all commodities trading of the GCK. In addition to the foregoing trading activities, the division would: trade fertilizers in order to enhance its revenues; operate rice, maize and wheat flour milling, bagging and packaging of products into different packages to meet customer demands, etc. It will use wide network of GCK as one of its distributing outlets on Agency Basis. Other outlets would include: Nakumatt, Uchumi, Nivas, Tuskys, etc.

The GCK will nature the division until it is self sustaining. It is envisaged that once the COMEX market and the Warehouse Receipting Systems is operationalized the Nafaka Division will become the commercial trading arm of the Grain Corporation of Kenya. The following will constitute the key functions of Nafaka Industries:

- Marketing and commercial trading of products
- Own and operate rice and maize milling plants
- Milling, storage and distribution
- Bagging and packaging

It is recommended that GCK should register its trademark NAFAKA to avoid the conflicts over intellectual property rights.

8.4.3 Other Business Venture to be considered by GCK

1] Grain Institute

Despite the existence of a large number of tertiary and university training institutions, so far none of them is offering examinable courses in the specialized post harvest grain management and marketing. This, among others, has been the main driving force in the establishment of the proposed NCPB training centre. Our findings indicate that NCPB has been contemplating to establish a training institute in Nakuru which has been relative unsuccessful.

Grain Institute will:

- Have a separate unit that would serve as a fully fledged hotel to take care of increasing demand for hospitality services in the country.
- Have a Conferencing Facility. This has been identified as one of the major missing links in the promotion of Conferencing tourism in this country and is captured in the National Investment Master Plan for Kenya (NIMP).
- Serve as a centre of excellence in training and research in the grain Management in Kenya and the EAC Region at large.
- Offer other products / services which are closely related to the facilities that will be established including seminars / workshops and meetings, hosting of functions such as graduations, weddings parties and other recognized formal and informal gatherings.
- Once fully established and operational the training centre will also be in a position to offer consultancy and research & development services on grain management and marketing.

This is recommended so as to specifically develop skills in grain quality management including grain handling storage and distribution as well as conferencing facilities and other related activities. The institute should be financially self-sustaining.

The institution should partner with other universities local, regional and international. Potential co-operating partners include among others: The Egerton University, Jomo Kenyatta University of

Agriculture and Technology and Moi University / Chepkoilel University College. Cimbria East Africa Limited has expressed an interest in supporting the running of some courses. Others include the World Bank and USAID.

Proposed courses and programs include inter-alia: Post Harvest Management of Grains; Storage Management of Grains; Grain Drying Techniques; Grain quality management; Grain warehouse management; Grain Silo and drying Operations; Marketing of commodities; Warehouse Receipt System management; Commodity exchange back office operations; Commodity / grain trading; Management of grain diseases and pests – aflatoxin, Larger Grain Borer (LGB), etc.

In view of the foregoing, it is recommended that the centre be developed as an additional Strategic Business Unit for the GCK under the HR division or alternatively the initiative may be taken over by the regulator as recommended.

Note: With the reorganisation of the sector as recommended, this institute may be taken over by the proposed Grain Sector Regulator (GSR). This will enhance capacity building of the entire Grain Sector.

2] Container Freight Station (CFS) & Bonded Warehouses

Independently operated off-port CFS were introduced 5 years ago in 2007. All the CFSs are within 10 km radius from the port and they handle only domestic containers. The transit cargo is handled directly through the Mombasa terminal.

The port of Mombasa is experiencing a huge increase in the monthly container traffic due to increased East Africa region international trade and strategic location of the port within the region. The average monthly container traffic for the period, January-June, 2012 stood at 61,546 TEUs (Twenty Foot Equivalent Units). However, the Port has a Terminal capacity of 18,500 TEUs. This implies that storage space. There is need for capacity expansion in the container storage space. This creates a huge opportunity for a firm with the requisite infrastructure like the GCK. The creation of CFS facilities will also ease container congestion at the Port.

GCK with its huge capacity at its Depot in Changamwe, Mombasa, should apply for a license from Treasury through the Kenya Ports Authority to operate a CFS service. It has the necessary staff via its existing Clearing & Forwarding Division who has the expertise and technical know to handle the cargo under the CFS Service.

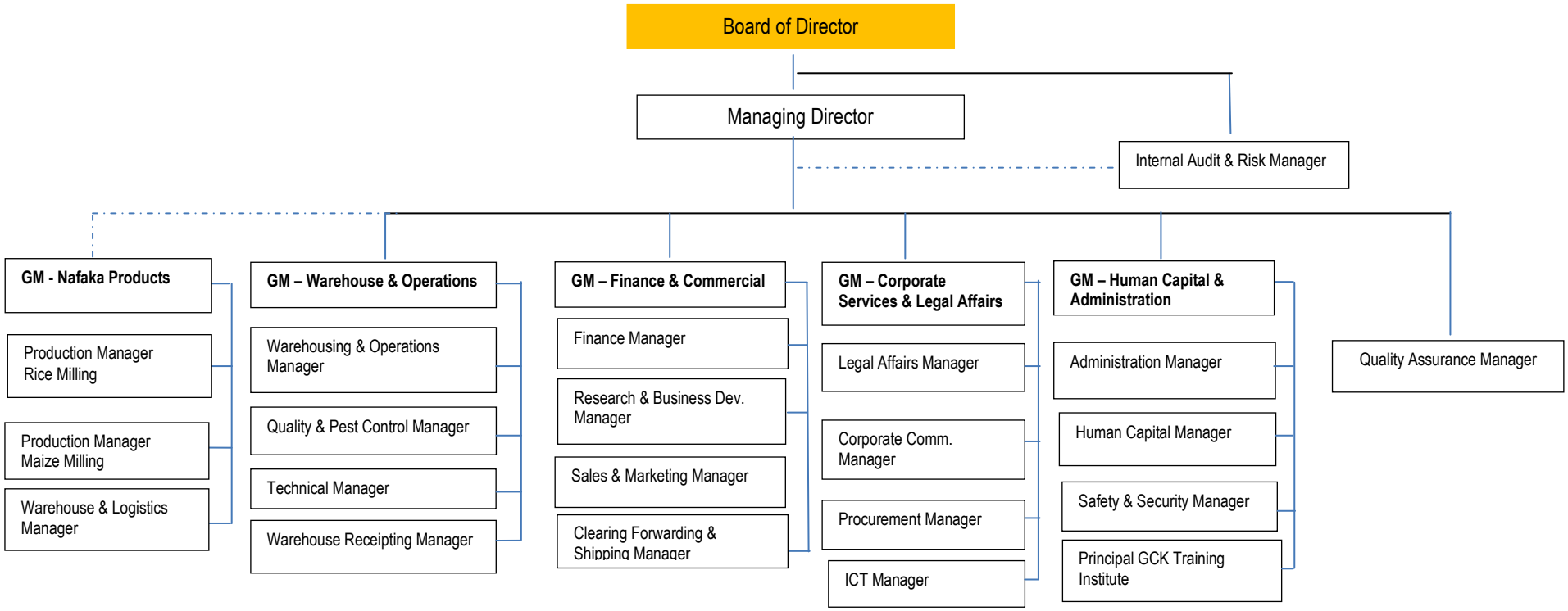
3] Developing the Idle Land through PPP

It is recommended that excess land that is not utilized should be developed for income generation and capital appreciation realization to the GCK under "Public Private Partnership Arrangements" with relevant market players. For example, for residential housing development, the Board could partner with the National Housing Corporation (NHC), Housing Finance and Savings and Loan as well as other real estate developers provided the exit clause in the PPP Agreement is properly defined and agreed by all the parties thereto. The benefit of partnering with the NHC is that Banks / financiers will not insist on cash contribution by the Board towards the construction costs of the housing units. This is underwritten through the implied goodwill of NHC as a strategic government agency in the development of the housing sector.

8.5 Organisation Structure and Staffing of GCK

The recommend GCK adapt organization structure in line with proposed business units of GCK.

Figure 8.1: Proposed Organization Structure for the Grain Corporation of Kenya



NB.

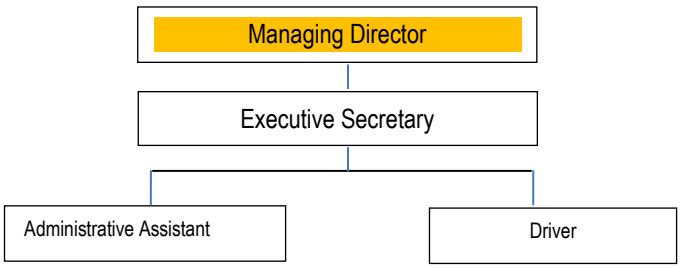
- The organization structure above is for the envisioned future state when the GCK will be operating optimally. In interim, the Board will develop a transitional organizational structure for the transitional period that will enable the restructured NCPB to move to the desired future state. For, Example the transitional structure may combine nafaka products, warehousing & operations under one division; finance, business development and corporate services under one division and finally human capital and administration under one division, so that the transitional organizational structure has three divisions each under one General Manager. The Board has proposed an interim structure (Annex XII) which needs to be adjusted accordingly.
- The Nafaka Products may be established as subsidiary business unit, owned by GCK, that is why is joined to the structure in dotted line.

Table 8.2 Proposed Staff Establishment for the Grain Corporation of Kenya

	Head Office	Staff No
1	Managing Director's Office	4
2	Internal Audit/Risk Management Unit	7
3	Quality Assurance Unit	2
4	Corporate Services & Legal Affairs Division	22
5	Finance & Commercial Division	21
6	Human Capital & Administration Division	42
7	Warehouse & Operations Division	18
8	**Total Head Office**	**116**
	Strategic Business Units	
9	Nafaka Grain Products Division	38
10	Coast Region	41
11	Northern Region	72
12	Nairobi/Eastern Region	105
13	South Rift Region	150
14	North Rift Region	148
15	Lake/Western Region	138
	Total	**692**
	Grand Total	**808**

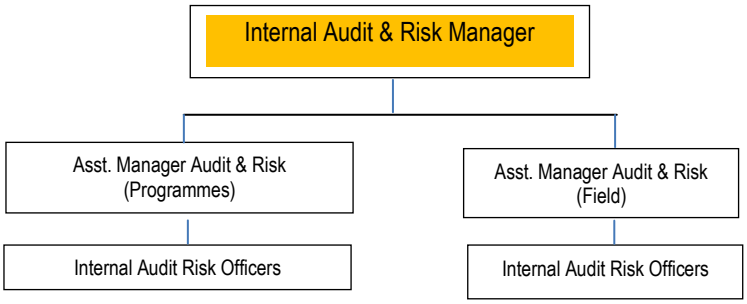
8.5.1 Proposed Managing Director's Office and Other Independent Support Units

Figure 8.2: Proposed Organization Structure for the Managing Director's Office



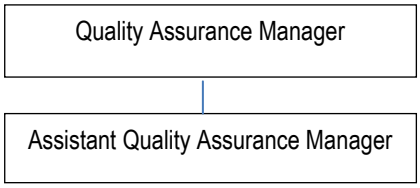
	Proposed Staffing Managing Director's Office	Staff No
1	Managing Director	1
2	Executive Secretary	1
3	Administrative Assistant	1
4	Driver	1
	Total	**4**

Figure 8.3: Proposed Structure for the Internal Audit and risk Management Office



	Proposed Staffing Internal Audit & Risk Management Unit	Staff No
1	Internal Audit & Risk Manager	1
2	Assistant Manager Audit & Risk (Programmes)	1
3	Assistant Manager Audit & Risk (Field)	1
4	Internal Auditor/Risk Officers	4
	Total	**7**

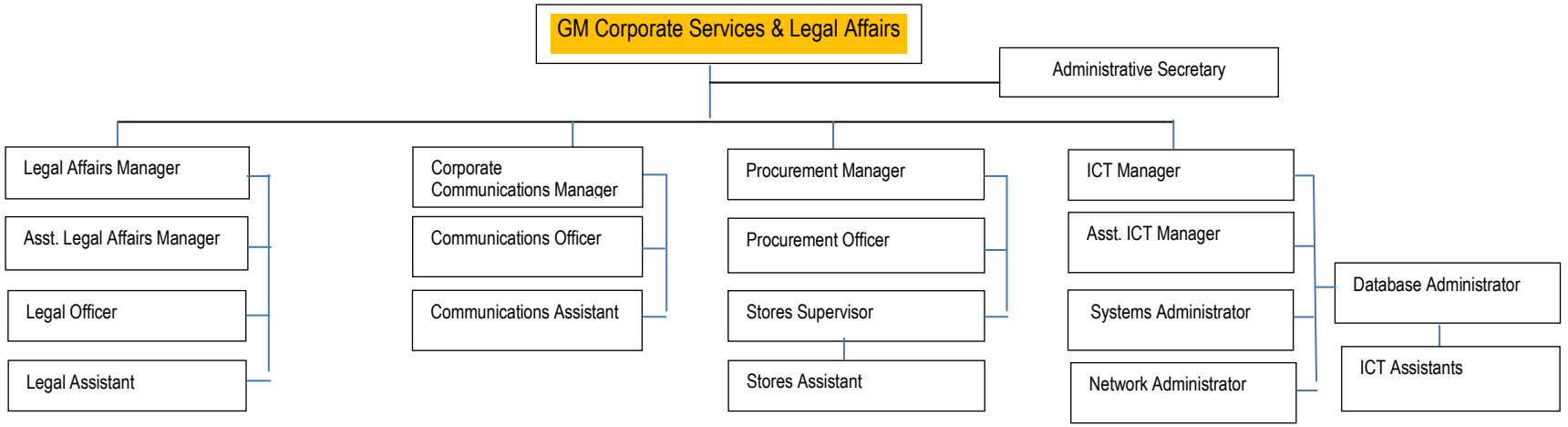
Figure 8.4: Proposed Organization Structure for the Quality Assurance Unit



	Proposed Staffing Quality Assurance Unit	Staff No
1	Quality Assurance Manager	1
2	Assistant Quality Assurance Manager	1
	Total	**2**

8.5.2 Proposed Corporate Services & Legal Affairs Division

Figure 8.5: Proposed Structure for the Corporate Services & Legal Affairs Division

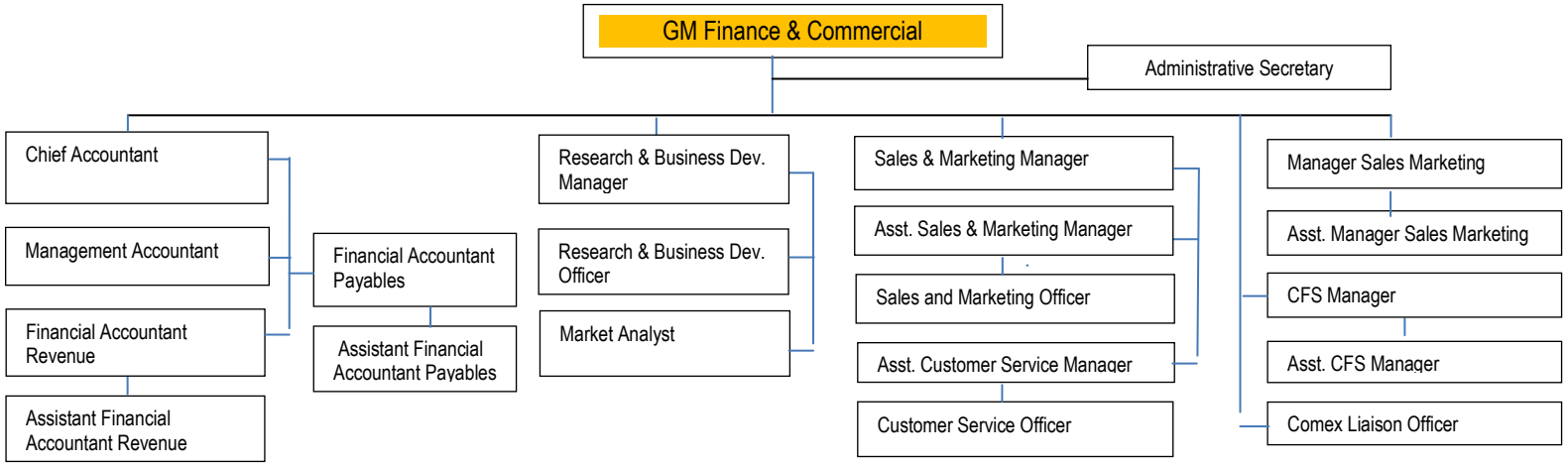


#	Proposed Staffing Corporate & Legal Services Division	Staff
1	General Manager Corporate & Legal Services	1
2	Administrative Secretary	1
3	Board Secretary/Legal Affairs Manager	1
4	Assistant Legal Affairs Manager	1
5	Legal Officer (Insurance)	1
6	Legal Assistant	1
7	Corporate Communications Manager	1
8	Corporate Communications Officer	1
9	Communications Assistant	1
10	Procurement Manager	1

#		Staff
11	Procurement Officer	2
12	Stores Supervisor	1
13	Procurement Assistant	1
14	ICT Manager	1
15	Assistant ICT Manager	1
16	Systems Administrator	1
17	Network Administrator	1
18	Database Administrator	1
19	Applications Support Assistants	2
	Total	**22**

8.5.3 Proposed Finance & Commercial Division

Figure 8.6: Proposed Organization Structure for the Finance & Commercial Division

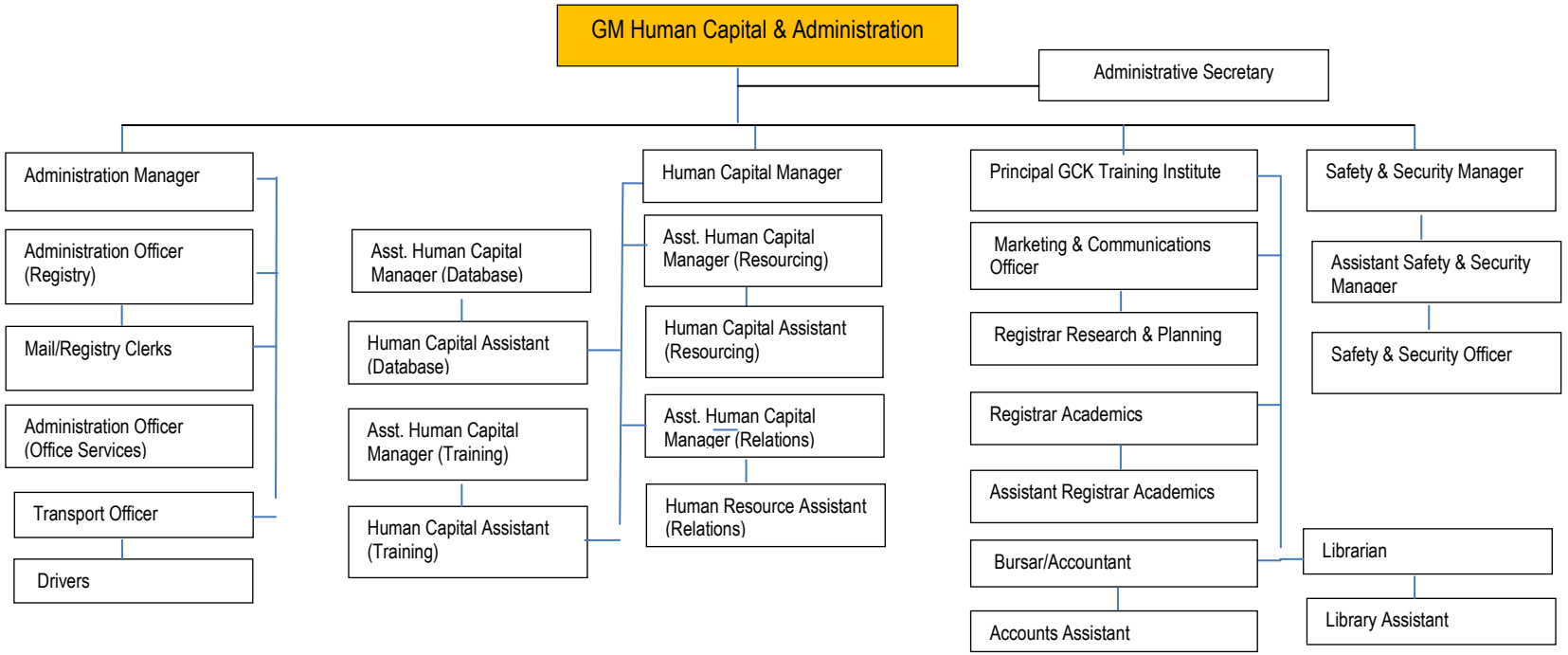


No.	Proposed Staffing Finance & Commercial Division	Staff No
1	General Manager Finance & Commercial	1
2	Administrative Secretary	1
3	Chief Accountant	1
4	Management Accountant	1
5	Financial Accountant (Revenue)	1
6	Assistant Financial Accountant (Revenue)	1
5	Financial Accountant (Payables)	1
6	Assistant Financial Accountant (Payables)	1
7	Research & Business Development Manager	1
8	Research & Business Development Officer	1
9	Market Analyst	2
10	Sales and Marketing Manager	1

No.		Staff No
11	Asst. Sales & Marketing Manager	1
12	Sales & Marketing Officer	1
13	Asst. Manager Customer Service	1
14	Customer Service Officer	1
15	Manager Sales Marketing	1
16	Assistant Manager Sales Marketing	2
17	CFS Operations Manager	1
18	Assistant CFS Operations Manager	1
19	Comex Liaison Officer	1
	Total	**21**

8.5.4 Proposed Human Capital & Administration Division

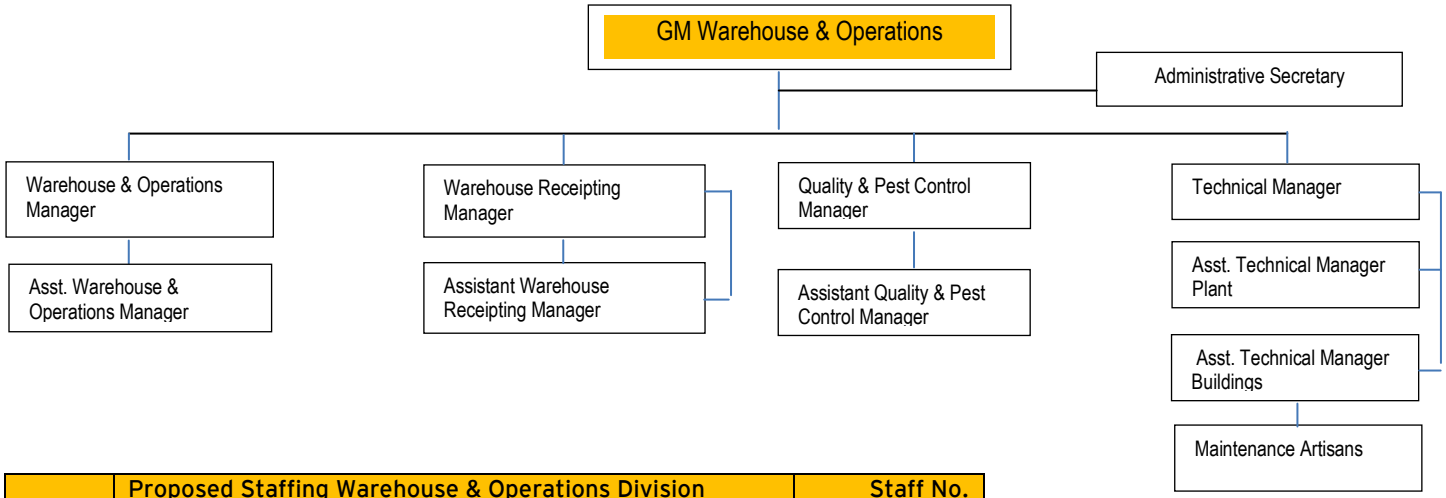
Figure 8.7: Proposed Organization Structure for the Human Capital & Administration Division



Proposed Staffing Human Capital & Administration Division		Staff No
1	GM Human Capital & Administration	1
2	Administrative Secretary	1
3	Human Capital Manager	1
4	Assistant Human Capital Manager (Resourcing)	1
5	Human Capital Assistant (Resourcing)	1
6	Assistant Human Capital Manager (Relations)	1
7	Human Capital Assistant (Relations)	1
8	Assistant Human Capital Manager (Database)	1
9	Human Capital Assistant (Database)	1
10	Assistant Human Capital Manager (Training)	1
11	Principal GCK Training Institute	1
12	Marketing & Communications Officer (GCKTI)	1
13	Registrar Research, Planning & Innovation (GCKTI)	1
14	Registrar Academic Programmes (GCKTI)	1
15	Assistant Registrar (Academic Programmes)	1
16	Bursar/Accountant (GCKTI)	1
17	Accounts Assistant (GCKTI)	1
18	Librarian	1
19	Library Assistant	1
20	Human Capital & Admin Officer	1
21	Administration Manager	1
22	Administration Officer (Registry)	1
24	Mail/Registry Clerks	3
25	Administrative Officer (Office Services)	1
26	Transport Officer	1
27	Drivers	5
28	Safety & Security Manager	1
29	Assistant Safety & Security Manager	1
30	Safety & Security Officer	2
	Total	**36**

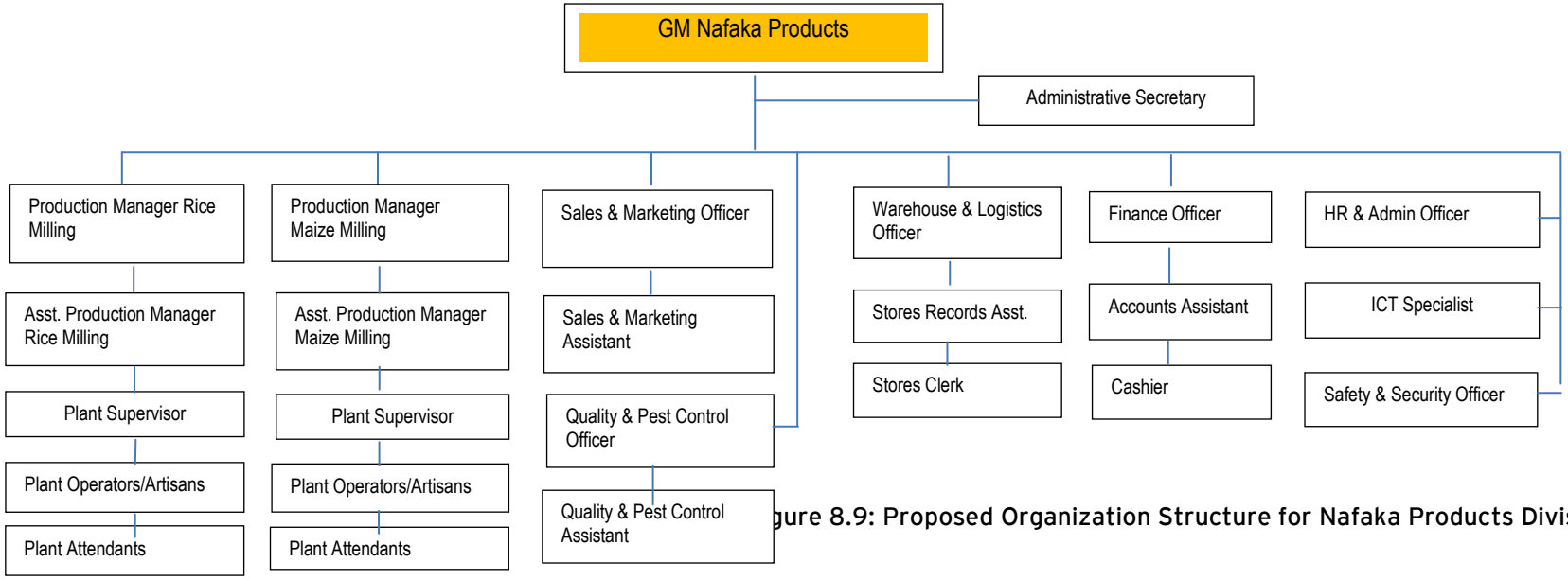
8.5.5 Proposed Warehousing Receipting Division

Figure 8.8: Proposed Organization Structure for the Warehouse & Operations Division



	Proposed Staffing Warehouse & Operations Division	Staff No.
1	General Manager Warehouse & Operations	1
2	Administrative Secretary	1
3	Warehouse & Operations Manager	1
4	Assistant Warehouse & Operations Manager	4
5	Quality and Pest Control Manager	1
6	Assistant Quality and Pest Control Manager	2
7	Technical Manager	1
8	Assistant Technical Manager Plant	1
9	Assistant Technical Manager Buildings	1
10	Maintenance Artisan	2
11	Warehouse Receipting Manager	1
12	Assistant Warehouse Receipting Manager	2
	Total	**18**
	Head Office Grand Total	**111**

8.5.6 Proposed Nafaka Products Division



gure 8.9: Proposed Organization Structure for Nafaka Products Division

	Proposed Staffing Nafaka Grain Products Division	Staff No.				
1	General Manager Nafaka Grain Products	1		14	Assistant Production Manager (Rice Milling)	1
2	Administrative Secretary	1		15	Plant Supervisor (Rice Milling)	1
3	Finance Officer	1		16	Rice Milling Operators/Artisans	5
4	Accounts Assistant	2		17	Rice Milling Plant Attendants	2
5	Cashier	2		18	Production Manager Maize Milling	1
6	Human Capital & Administration Officer	1		19	Assistant Production Manager Maize Milling	1
7	ICT Specialist	1		20	Plant Supervisor (Rice Milling)	1
8	Safety & Security Officer	1		21	Maize Milling Operators/Artisans	5
9	Sales and Marketing Officer	1		22	Maize Milling Plant Attendants	2
10	Sales and Marketing Assistant	1		23	Warehouse & Logistics Officer	1
11	Quality & Pest Control Officer	1		24	Stores Records Assistant	1
12	Quality & Pest Control Artisan	1		25	Stores Clerks	2
13	Production Manager (Rice Milling)	1			**Total**	**38**

8.6 Proposed Staffing for Regional Strategic Business Units

8.6.1 Depot Categorization and Staffing

NCPB has in place a storage warehouse network consisting of 110 conventional warehouse depots and 7 silo bin complexes strategically located in both cereal surplus-producing regions and deficit regions of the country with a cumulative storage capacity of 20.5 million by 90-kg bags (1.8 million mt). With these facilities, the Board is able to purchase and store large amounts of grain from productive regions, which is then distributed to the main consumption areas like Nairobi and other food deficit counties in western, northern and eastern parts of the country. Presently, NCPB has established warehouse storage depots in almost all the 47 counties with the exception of Tharaka-Nithi. The country-wide network is supported by 6 regional hubs feeding into county level warehouse depots. The 110 warehouse depots fall into three categorized depending on utilized capacity as illustrated in the following table:

Table 8.3: Depot Categorization Based on warehousing storage capacity

	Category	**Category 1**	**Category 2**	**Category 3**	**Total Number of Depots in Each Region**
	Warehouse Storage Capacity	Over 15,000 Mt Turn- Over p.a.	Between 2,700 MT to 15,000mt T/O p.a.	Below 2,700 Mt p.a.	
1	Coast Region	1	5	2	8
2	Northern Region	0	12	6	18
3	Nairobi/Eastern Region	2	7	4	13
4	South Rift Region	2	10	19	31
5	North Rift Region	3	6	7	16
6	Lake/Western Region	3	10	11	24
	Total	**11**	**50**	**49**	**110**

8.6.2 Proposed Staffing Based on Depot Categorization

Depot warehouse storage activities consist of grain handling processes such as produce inspection, loading and off-loading trucks, staking of bagged grain, pest control and fumigation. Other processes include identifying damage, loss, or surplus of goods and materials stored in the warehouse, preparing and maintaining proper records of stocks held in the stores, compiling inventory balances and ensuring proper documentation of all transactions to safeguard and guarantee the security of stocks and commodities in the store, in order to provide the correct stock position in the stores at all times. The staffing of a warehouse storage depot depends on its utilized capacity and level of activity. The most essential positions required to operate a warehouse storage depot based on the depot categorization are as indicated in the following table 8.4;

Table 8.4: Proposed Depot Warehousing Staffing				
Depot Warehouse Storage	**Management**	**Operations**	**Accounting**	**Total**
Category 1	Depot Manager/Depot Assistant	Stores Clerk x 8	Cashier x 5	18
Category 2	Depot Manager/Depot Assistant	Stores Clerk x 5	Cashier x 5	12
Category 3	Depot Assistant	Stores Clerk x 1	Cashier x 1	3

Table 8.5: Proposed Staff Per Region							
#	**Job Title**	**South Rift**	**Coast**	**Northern**	**Nairobi/ Eastern**	**North Rift**	**Lake/ Western**
1	Regional Manager	1	1	1	1	1	1
2	Administrative Secretary	1	1	1	1	1	1
3	Driver	5	1	3	4	4	4
4	Internal Audit Officer	1	1	1	1	1	1
5	Internal Audit Assistant	2	2	2	2	2	2
6	Quality Assurance Officer	1	1	1	1	1	1
7	Quality Assurance Assistant	1	1	1	1	1	1
8	Human Capital & Administration Officer	1	1	1	1	1	1
9	Human Capital & Administration Assistant	1			1	1	1
10	Registry Supervisor	1			1	1	1
11	Mail/Registry Clerks	2			2	2	2
12	ICT Specialist	1	1	1	1	1	1
13	Sales and Marketing Officer	1	1	1	1	1	1
14	Sales and Marketing Assistant	4	1	2	2	4	4
15	CFS Operations Officer		1				
16	CFS Operations Clerk		2				
17	Shipping Clerks		2				
18	Regional Accountant	1	1	1	1	1	1
19	Accounts Assistant	2	1	1	1	2	2
20	Cashier	25	4	15	12	18	15
21	Quality Control Officer Grain Laboratory				1		
22	Quality Control Assistant Grain Laboratory				3		
23	Quality & Pest Control Officer	1	1	1	1	1	3
24	Quality & Pest Control Assistant	1	1	1	1	1	3
25	Fumigation Artisan	4	2	2	4	4	4
26	Depot Manager	6	1	4	5	6	5
27	Depot Assistant	20	4	10	10	20	20
28	Weighbridge Clerk	5	2	5	5	8	5
29	Produce Inspector	5			5	8	4
30	Stores Clerk	23	4	15	17	23	25
31	Silo Manager	2			1	2	2
32	Silo Assistant	2			1	2	2
33	Maintenance Officer	1			1	1	1
34	Plant Supervisor	2			1	2	2
36	Technical Stores Clerk	2			1	2	2
37	Plant Operators	8			5	8	8
38	Plant Attendants	5			2	6	4
39	Maintenance Supervisor	2	1	1	1	2	2
40	Maintenance Artisans	8	2	2	6	8	6
41	Tree Nursery Supervisor					1	
Total		**150**	**41**	**72**	**105**	**148**	**138**

8.7 Proposed Staff Reorganization

Increasingly, organizations are significantly reducing the number of support staff through staff rationalization and outsourcing of non-essential activities such as cleaning in order to focus more on the core business by deploying skilled staff to perform activities that provide the greatest value,. As a result support functions within many organizations are undergoing fundamental change as a result of new technologies, changing skills demand and increased pressures to reduce costs and sustain long term competitive advantage. It is therefore critical to determine the right mix of professional, technical and supporting staff required for efficient and effective business operations.

Support functions represent the non-core business activities of the organization to ensure proper support to the core function. Support functions are not directly related to operational activities and cover such services as public relations, legal services, finance, human resources, administration as well as information and communication technology. Professional services are knowledge-based, such as recruitment, training, procurement, budgeting and financial reporting which are essential and add value to the core activity. Professionals support services is considered "mission critical" and the goal is to provide high quality service at lower cost and more efficiently. On the other hand transactional services consist of repetitive and generic tasks such as secretarial, clerical, accounting, data entry, driving, cleaning and maintenance and security. Transactional services provide no competitive advantage and are not essential to the core business. These services can easily be outsourced and produce minimal risk to the achievement of organizational objectives.

A critical examination of the job grading structure reveals that some jobs have been classified in more than one job grade with no justifiable or logical reason, considering that employees appointed into these jobs perform the same or similar duties and responsibilities to a lesser or greater extent. In order to redress this anomaly, it is recommended that NCPB should undertake a job evaluation exercise to remedy the problem. This will provide a basis for designing an equitable pay structure which will ensure that equal pay is provided for work of equal value.

It is recommended that NCPB should strengthen its core competencies and develop new ones by hiring and developing young and talented college and university graduates with qualifications in such areas as food science and technology, plant maintenance, agricultural engineering, information technology, business management, commerce, sales and marketing. It is further recommended that NCPB should peg its minimum entry qualification for the employment of staff within the core business at college certificates and Diploma level. Employing a qualified and skilled workforce will provide the necessary impetus for developing a high performance organisational culture.

However, the emergence of the knowledge economy demands that NCPB must change its employment policies to avoid "talent drain", caused by the retirement of a large number of long serving staff and finding that lower level employee are not ready to move into upper management due to skill weaknesses and lack of required experience. It is therefore necessary to identify those close to retirement and provide mentoring options so that older workers can share their knowledge, experience and wisdom with younger counterpart staff to ensure business continuity.
In the face of such demographic pressures, it is recommended that NCPB should induce a phased early retirement incentive programmes targeting lower-performing older workers. This strategy will enable NCPB to retain experienced high-performing older workers and at the same time engage younger and more educated workers to undergo systematic on-the-job training programmes with a view to replacing those who retire.

In this regard it is recommended that NCPB should consider the systematic training and development of a large pool of craft apprentices, technicians and management trainees who will be in a position to take over and ensure a smooth transition by timely replacement of those reaching the age of retirement. NCPB must provide focused work with specific, well-defined

mission and benchmarks that make it possible for new recruits to see what they actually can accomplish.

Review of gender distribution shows that 37% (372) of the staff are female and 63% (645) are male in compliance with constitutional requirements. Notwithstanding the available statistics, women are under-represented at the managerial level. For instance there is no single woman at the senior management level. Indeed, female employees occupy positions at the middle-management level and lower level positions working as clerical staff, copy typists, cleaners and messengers. There is need to reversed the tread.

Under the circumstances, it is recommended to strengthen the NCPB performance management system, especially the rating tool to ensure it is accurate and provides a balance of measures in four interconnected business perspectives namely; financial, customers, business processes and human capital. When adopted the balanced scorecard is used as a tool for defining clear performance objectives, assessing demonstrated job competencies and behaviours as well as measuring the extent to which employees have achieved targeted results.

An in-depth analysis of the current staff establishment shows that 63% (646) of the workforce are deployed in the core business functions whereas 37% (372) are designated as support staff. This means that the current staffing is lopsided with a significant number of the 21.4% (218) administrative support staff deployed to perform non-core jobs such as secretarial, messengers, cleaners, attendants and labours. In addition, it is noted that 16.5% (168) employees lack secondary school certificate, which is a prerequisite for further training. It is also noted that 5% (53) of the staff are aged between 56-and 60 years and are therefore expected to retire within the next four (4) years.

Proposed restructuring of NCPB to GCK might result to a reduction of 210 employees including copy typists, messengers, cleaners, attendants and labours identified as surplus staff performing jobs, which are not necessary for the efficient operation of the GCK. It is recommended that the activities performed by these jobs should be outsourced to private service providers. Indeed, NCPB currently outsources over 90% of stores attendants, stackers and labourers, which is more cost effective in view of seasonal nature of its business operations. However, the confirmation of this number would require a workload analysis.

It is good to note that commercially strategy of NCPB of 1998 focused on significantly reducing the countrywide depot network to eliminate excess capacity as well as downsizing workforce levels to an appropriate size. The overall target was to retain a more rationalized network of 50 depots and a workforce of 1,500 employees. The downsizing of staff capacity was achieved through "Voluntary Early Retirement Scheme" (VERS) supported by the government, which resulted in a massive reduction of 79% of the workforce from 4,800 to 1,018 between 1993 and 2001. Then, the optimal staff was estimated 1,500 for 50 depots. However, today NCPB is still operating 110 depots. Therefore, our assessment and proposal on staffing levels was carried when the organizations activities were very low, operating under capacity and the organization had gone through a prolonged legal tussle.

There is also agreement on the need to take action to protect the skills base in NCPB. There is basic agreement that the proposed numbers are just indicative, with the final number to be determined after completion of the Job Analysis processes including detailed Workload analysis. In addition, the workload analysis should also be coupled with a job evaluation to determine the staff grading and salary (skills analysis need to come out clearly) levels. When the optimal staff levels are confirmed, a combination of staff transfer, early retirement and redundancy would be used in this staff reorganisation process.

Nonetheless, in case of Voluntary Early Retirement, NCPB should implement a "Voluntary Early Retirement Scheme" and provide a safety net package to employees who take the offer for early retirement by providing an attractive severance package based on the following criteria:

Staff Employed on Pensionable Contract

- Payment of three (3) months' gross pay in lieu of notice
- Payment of withdrawal benefits from NSSF and Pension Scheme
- Severance at the rate of (3) months' gross pay for each completed year of service
- Leave entitlement to be converted and paid for in cash
- Golden Handshake in the form of lump sum payment

Staff Employed on Service or Non-Pensionable Contract

- Payment of three (3) months gross pay in lieu of notice
- Payment of withdrawal benefits from NSSF
- Service gratuity paid at the rate of 12.5% of their pay for each completed year of service
- Severance at the rate of three (3) months gross pay for each completed year of service
- Leave entitlement to be converted and paid for in cash
- Golden Handshake in the form of lump sum payment

Staff Employed on Fixed-Term Contract

- Payment of three (3) months basic pay in lieu of notice
- Payment of withdrawal benefits from NSSF
- Service gratuity paid at the rate of 25% of their pay for the entire contract period
- Leave entitlement to be converted and paid for in cash
- Golden Handshake in the form of lump sum payment

However the proposed figures should not be below any negotiated agreement or policy that could come into force before implementation of this progress report

Severance Budget: An estimated budget of KShs 150 million would be required if the proposed figures are confirmed through a workload analysis.

Staff Communication: In case there will be a need for reduction of staff, NCPB has an obligation to inform all employees about any impending redundancy by communicating details of the programme and the people affected by the process. Dissemination of information must be carefully managed and controlled to avoid any damage to the image of the organisation and panic amongst the staff. Communicating the bad news, especially giving notice is unpleasant and should be carefully handled. Once the Voluntary Early Retirement is approved, NCPB should enter into consultations with the relevant union well in advance before any action is taken in relation to the surplus staff to discuss any issues related to the strategy for managing unionisable surplus employees.

8.8 Infrastructure upgrade and maintenance

8.8.1 Ownership of Infrastructure

The previous attempts to divest NCPB assets have been relatively unsuccessful. The issue of whether NCPB is the rightful owner of infrastructure or NCPB is operating the infrastructure on behalf of the Government (National Treasury) is a sensitive and serious issue in divestiture program. More so, lack of clear title to some of properties included in the NCPB fixed assets register and balance sheet is a serious and sensitive issue in the context of commercialisation of NCPB. Where titles are lacking and assets have been developed through partial development plans where NCPB registered interest is storage, technically it might not be possible to sell such assets. Thus, these issues coupled with the any dispute as to who has the right to use of the properties will continue affecting any divestiture program by NCPB.

We therefore recommended that the audit of all land and property belonging to the Board be undertaken, and their valuation be undertaken afresh. Further, urgent measures need to be taken by the GCK to regularise and complete the registration process for the unregistered land and to secure and protect the GCK's land against all forms of encroachment.

Like other national state corporations/parastatals e.g. KPA, KAA, KENGEN, KPLC, ADC, AFC, we recommend that restructured NCPB continue managing and operating the grain handling and storage infrastructure. This is important for commercialisation of NCBP into a national warehousing operator. Finally, since land is illiquidable asset the GCK should continue generating value from it through commercially utilisation especially leasing and developing through PPP.

As part of divestiture program GCK should consider inviting submissions from companies putting forward proposals together with the rates which they would charge for leasing the unutilised infrastructure (Land and Storage Facility). The invited companies will be requested to outline prospective ventures they would like to put the infrastructure into or demonstrate innovative approach to their use.

The infrastructure of the Board is meant to assist and facilitate the Board to carry its functions in accordance with the mandates as contained in the constitutive Acts. These infrastructure some of them long term assets like land belong to the Treasury and the Board holds them in trust for and on behalf of the Treasury. While disposal may require Treasury for approval, development for the purpose of creating income and enhancing its value should be allowed under the constitutive Acts, provided also the usual Board Approvals are sought, where the Board comprises of Representatives from the relevant Line Ministries including the Ministry of Treasury. The Board shall therefore engage in activities that shall lead to the development of the infrastructure in accordance with the PPP Act 2012. Through Joint Venture with willing potential investors / partners as well as by using asset securitization approach like creation of sub-leases for purpose of developing and upgrading infrastructure that the board should consider.

8.8.2 Improvement of Plants and Equipment

There is need for replacement of ageing storage facilities, replacement of old and dilapidated iron roofing materials and replacement of all asbestos roofing material throughout the network to enhance security, safety and quality of stored commodities.

There is need to upgrade compound and drainage to ease access into the Boards facilities by external customers and other stakeholders at all times. Civil works should also be undertaken to improve the road works and drainages in affected sites.

For the grain handling equipment it is proposed that the mechanical effect on grain that leads to breakages and loss in quality be reduced. New grain conveying systems should also be installed in facilities that handle bulk grains.

While we recommend that the last valuation report be used to dispose obsolete assets to reduce their cost of maintenance, a detailed repair versus buy (replace) decision should be done for all the plant and equipment which need immediate repair to allow smooth operations, as shown below;

Issues	Recommendations
▪ Serviceable plant and equipment	▪ Repair and upgrade the driers, weighbridges, depots and warehouses, access and drainage
▪ Underutilized capacity and equipment	▪ Commercially utilize ▪ Lease
▪ Existing staff houses and undeveloped land	▪ Outsource to a real estate agent ▪ Develop through PPP ▪ Lease

▪ Obsolete and unserviceable equipments	▪ Dispose
▪ Necessary non-existing infrastructure	▪ Acquire the latest state of art equipment and modernization of grain handling technology
▪ Inadequate Safety and security infrastructure	▪ Enhance safety and security of staff, stock and infrastructure

There is a drier at Kisii Depot that has not been operational over many years. Due to high demand for maize meal (Unga) in Kisii, and neighboring counties, it recommended that the same be converted into a Maize Milling plant. This will create more employment and create more income for the depot.

It is recommended that weighbridges be upgrade and where necessary there is need to replace the old generation weighing equipment in depots/silos with new generation indicators with in-build serial interfaces and networking capabilities. Acquisition and installation of a weighing software with ability to import and export data to Navision system and installing IP cameras in selected sites to view weighing operations in real time is recommended.

It is recommended that new generation bulk grain systems with capabilities to temperature sense, moisture sense , detect insect activity and able to determine the quantity of grain in each bin be installed so as to replace the old and obsolete temperature sensing equipment.

It is further recommended that modern pest control and fumigation systems be installed in bulk grain handling facilities.

8.8.3 ICT Upgrade

i) IT infrastructure

It is recommended that GCK should acquire high-speed Internet access to maximize effective use of ICT, which in turn is an explicit driver of productivity, innovation, and social inclusion. It is also advisable that GCK should maintain high quality and reliable ICT infrastructure components such as high-end enterprise servers, active network components, heavy duty printers, UPS, structured cabling, format scanners, desktop computers and laptops.

Proper networking should be done to ensure that depots are interconnected to each other and connected to the head office to facilitate transfer of information in a timely manner through emails and existing web applications. Moreover, there should be a network management system to manage the network elements on issues of faults, configuration, accounting, performance, and security management.

ii) IT Application and Software

The current Enterprise Resource Management system should be upgraded to the latest version to include property management, finance, purchasing, sales and stock control, human resource management, maintenance management and market information. The weighbridges will also need to be automated to provide the backbone infrastructure to support the Board's ERP system. In addition, implementation of the Grain Monitoring Systems should be done to provide backbone infrastructure support to monitor condition of grain in the silos.

GCK should acquire and implement an Electronic Data Gathering Analysis and Retrieval (EDGAR) system, which will electronically receive, process, and disseminate financial statements every year. It will have an online connectivity to the COMEX and all Market Players at the COMEX including the Warehouses. GCK should additional maintain a very active website that will contain a wealth of information about the Corporation and the GRCK Grain industry, and would also host the EDGAR database for free public access.

iii) IT Governance

ICT management should determine the technological direction to take advantage of available and emerging technologies. This is enabled by creation and maintenance of a technological infrastructure plan that sets and manages clear and realistic expectations of what technology can offer in terms of products service and delivery mechanisms.

There should also be a definition of the IT organization and relationships to deliver the right IT services. This is enabled by an organization suitable in number and skills with roles and responsibilities defined and communicated, aligned with the business and that facilitates the strategy and provides for effective direction and adequate control.

Further, there should be proper management of human resources to acquire and maintain a motivated and competent workforce and to maximize personnel contributions to the IT process. This is enabled by sound, fair and transparent personnel management practices to recruit, line, vet, compensate, train, appraise, promote and dismiss.
ICT management should additionally acquire and maintain application software to provide automated functions which effectively support the business process. This is enabled by the definition of specific statements of functional and operational requirements, and a phased implementation with clear deliverables.

IT is recommended that users should be educated and trained to ensure that users are making effective use of technology and are aware of the risks and responsibilities involved. This is enabled by a comprehensive training and development plan.

Furthermore, ICT problem management should be forward looking and proactive and ICT processes should be refined to a level of industry good practice to ensure that the department's succession is considered and problems handled at the earliest point in time.

Lastly, ICT management should monitor the processes to ensure the achievement of the performance objectives set for the IT processes. A definition of relevant performance indicators, the systematic and timely reporting of performance and prompt acting upon deviations should be done.

8.9 Trading with Strategic Grain Reserves (SGR) Stocks

We recommended that the Government to fundamentally move away from directly dealing with maize in the form of SGR. It is not viable and sustainable to store physical SGR for more than 5 years. First, the reserve will be go bad and second it is very costly for the Government to maintain the reserve, already the Government has spent billions of shillings maintaining the reserve. The best practise to allow the GCK to continue trading the maize and other grains and the government will monitor the reserve to ensure that at any point in time the Board and other players has at least the required minimum reserve in existing storage facilities. Ideally, the food and grain reserve is monitored through a well functioning warehouse receipting and commodity exchange systems.

Therefore, the GCK should be allowed to trade with old SGR maize stock. Trading with stocks will ensure that the maize is not damaged will still in storage. It is a way of recapitalizing the Board by ensuring that there are tradable assets in the form of maize. This recommendation is grounded on the following reasons:

a) The cost of holding SGR stocks is quite high compared to the slow pace of cash inflows for storage due from the government. The stocks have to be fumigated on a regular basis and the opportunities missed due to lack of adequate storage space are also numerous. Disposing the SGR stocks would reduce the holding costs and improve the cash flow position. The Government will cease committing funds for maintaining SGR stocks (it normally provides more than a billion shillings annually for replenishment and maintenance of the SGR maize)

b) The Government will fundamentally be moving away from directly dealing with maize in the form of SGR.
c) The Board will no longer be constrained in making professional decisions in regard to the management of the maize. It will sell and buy grain in a commercially sound manner.
d) The Board will be more vibrant and relevant in the market as it will have capacity to take in significant quantities of grain and also sell to the market including to the locals around the depots.
e) Food security will be catered for through monitoring the entire country for the total available food and issuing advisories in case of anticipated deficit. Food Security Office will manage any intervention program and withdraw once normalcy is restored.
f) Any intervention by Government will be structured and be paid for in advance (the intervention may come in when farmers face prices below production cost or when there is famine)
g) To be sure that food security is upheld the Board will in its performance agreement with Government be required to grow the maize stocks that are handed over to it at an annual rate of 5%.
h) Disposal of SGR stocks will provide immediate short term liquidity required by the Board to meet its short term obligations.

Such an arrangement is most ideal as Government will not continue sinking funds into the SGR. It is motivating to the Board, as the Board will be more vibrant, relevant and able to act more professionally in the grain trade. The profits realized will be invested in modernizing and expanding the depot/silo network of the Board thus conferring greater benefit to the Public and the economy as a whole.

8.10 Operational Rules for NCPB/GCK

The restructuring of NCPB will involve complete separation of its commercial and SGR functions. While GCK will be established as a commercial legal entity that can sue and be sued. Hence, NCPB/GCK will formulate operational rules that will guide implementation and management of services/activities/interventions to be carried out at the direction of the Government or its agency (ies) and within the context of NCPB's commercialization policy and strategic plan.

The NCBP was to offer, implement and/or manage any services/activities/interventions of the Government or its agency (ies) on Agency - Principal basis, where the Government or its agency (ies) will be the principal and NCPB the agent. Principal will remunerate NCPB for services rendered on agency basis.

The Government or its Agency (hereinafter referred to as "the Principal" which expression shall include its successors and assigns where applicable) on the one part and the National Cereals And Produce Board (hereinafter referred to as "the Agent" which expression shall include its successors and assigns where applicable) of the other part will be guided by the following operational rules;

Rule 1: Appointment of the Agent

NCPB agree to be appointed as Agent to the Principal for purposes of the implementation of the Principal's policies. Example of such policies are the National Food Reserve (NFR), Stabilization of the Domestic Grain Market and implementation of intervention Programmes for the MoALF.

Rule 2: Description of the Services to be Performed by the Agent

The Principal will provide details of services to be undertaken by the Agent.

Rule 3: Obligations of the Agent

The Agent undertakes at all times to apply modern quality management practices in carrying out the services.

The Agent shall promptly and diligently undertake operations/services as duly instructed by the authorized officer(s) of the Principal in accordance with these rules

Rule 4: Obligations of the Principal

In the context of Agency Functions and Responsibilities, the Principal undertakes; -

To inform the Agent in writing prior to the commencement of ensuing financial year, forward operational plans covering all Agency Operations which shall specifically clarify the following:-

- Scope of activities to be undertaken under each Agency operation/programme;
- Time frame for engagement in the specified operations;
- The requirements that the Agent is expected to observe and fulfill for each Agency operation/programme.

To provide funds required for the Agency operations/programmes through appropriate budgetary allocation which shall take into account:

- Amount of funds required for the planned operations;
- Timely release of such funds; and
- Modalities for dealing with delays in receipt of funds and associated costs.

To ensure that all future market interventions which have financial implications on GCK are supported by advance payment in cash or cash equivalent.

To provide the Agent on timely basis any guarantees and/or facilitate opening of Letters of Credit that may be required for purposes of implementation of Agency tasks and responsibilities.

To pay such taxes/duties as may be imposed under the applicable law or provide the Agent with any required tax exemptions and/or letters of clearance to facilitate execution of the agency functions.

Rule 5: Maintenance of Records

The Agent shall maintain separate records at all times for activities/services such as SGR stocks of the Principal held in its stores. These records will permit the continuous monitoring of the quantities of stocks held at each location in terms of date of purchase; general quality condition; and other information relevant for continuous assessment of the Principal's stock position.

Rule 6: Reconciliation of Quantities and Locations of Principal's Stocks held by the Agent

The Agent and the Principal shall jointly review the stock position as will be agreed in the operational contract. Both the Principal and the Agent shall identify any discrepancies existing between their two sets of records and undertake joint reconciliation accordingly.

For purposes of undertaking a joint reconciliation exercise, a technical team of competent officers from both parties who are conversant with the agency operations, movements and instructions related thereof shall be established.

On achieving agreed reconciliation, the parties shall sign the stock report with necessary adjustments, as a true record of the current status of the Principal's stocks for the period reconciled and agreed on.

Rule 7: Operational Contracts to be Signed for each Operation Authorized by the Principal

Each operation to be undertaken by the Agent on behalf of the Principal under the terms of this Agreement shall be the subject of a specific Operational Contract, or written instructions by the Principal giving the details of the operations to be effected, the stocks to be purchased, and/or held by the Agent, their location and any other terms on which the services shall be undertaken as provided in this Agreement.

The agent shall, through written request by the Principal, provide storage facilities, staff houses, office accommodation and other necessary equipments for either the exclusive use of the Principal or under a shared arrangement with the Agent and whenever such request is made by the Principal, an Operational contract shall be entered into between the parties in this regard. A charge will be levied for provision of these facilities and equipment.

Rule 8: Determination of unit prices for the Principal Services covered in the Agreement (drying, storage, transport, Quality maintenance etc)

Payment for services rendered by the Agent shall be calculated on the basis of prevailing market rates. The rates shall be subject to review by joint negotiation from time to time but at least once per year to recognize market trend fluctuations and other relevant factors warranting such revision.

Rule 9: Provision of Funds by Principal for Stock Acquisition and Direct Costs

In the event that the Agent is required to make purchases on behalf of the Principal, the Principal shall, on the basis of a mutually agreed procurement plan and / or emergency operations, issue Local Purchase Order (LPO) and upfront provide funds estimated to finance such purchase operations. On the receipt of such funds, the Agent shall undertake to effect the purchase according to a mutually agreed plan of procurement and delivery.

The Agent shall endeavor to obtain stocks at the prevailing market prices at the time of purchase. At the end of each operation, a reconciliation exercise shall jointly be undertaken and all unutilized funds paid in advance by the Principal shall be refunded by the Agent while any over-expenditure by the Agent will be reimbursed by the principal provided within 30 days after the conclusion of the reconciliation exercise.

Rule 10: Payment for Services Undertaken by the Agent

The Agent shall submit invoices, debit notes and/or credit notes as the case may be, to the Principal on monthly basis for services undertaken in arrears under each Operational Contract or written instructions. The monthly invoices, debit notes and/or credit notes shall detail the fees and commissions or refund due under each Operational Contract signed or written instructions by the Principal.

The Principal shall pay invoices within 30 days from the date of the invoice. Any outstanding payments shall attract interest at the prevailing rate applicable to the Agent's bank facilities.

Any penalties that may be imposed on the Agent due to failure by the Principal to honour its obligation shall be passed to the account of the Principal.

Rule 11: Authorized Officers to Conduct Correspondence

There should be established authorized officers for official communication between the Principal and the Agent in relation to actions falling under operational rules. All communications between the Principal and the Agent shall be under the signature of the authorized officers.

Rule 12: Mode of Communication between Principal and Agent

The Principal undertakes to limit its relations with the Agent to the types and channels of communication set out in the "Agreement" between Principal and Agent . Specifically, the Principal undertakes not to issue instructions to the Agent which are at variance with the contractual basis for the provision of services set out in any "Agreement".

Rule 13: Review of the Operational Rules

These rules shall be reviewed subject to the consent of both parties.

Rule 14: Force Majeure Clause

Should any party be prevented from fulfilling the whole or any part of any Agreement between Principal and Agent, owing to a contingency such as fire, war, lock outs, strikes, accidents at the elevator, warehouses, railways, canals, docks, natural disasters, detention, blockade or diversion, or other consequences of war, hostilities, riots or civil commotion, labour disturbance, terrorism, political instability or any other reasons whatsoever beyond control of either party, the parties shall have the option of canceling the whole or any part of that Agreement or executing the same as soon as the circumstances permit them to do so subject to mutual consent.

Rule 15: Disputes and Arbitration

The parties shall use their best efforts to settle amicably all disputes arising out of or incidental to these rules. Any dispute arising out of these rules including those considered as such by only one of the parties shall be referred to the Attorney General for Arbitration.

For management the National Food Reserve (NFR) and implementation of fertilizer intervention programmes by NCPB for the MoALF the above proposed operational rules will be codified into a "Revised Agency Agreements" provided in Annex VIII and IX of this report.

8.11 Working with County Governments to Support Food Production and Security

In view of the foregoing contention, the Board is hereby encouraged to enter into policy dialogue with the County Governments with a view to establishing a working relationship that would lead to the support of the farmers by the county government via the facilitation of the Board.

It is the producers and merchants who use the Depots for warehousing of their products and for maintenance by the Board which has the requisite technical knowhow to manage products under its custody. The Board has Warehouses and depots in every part of this country with exception of Tharaka Nithi where it also reckons it has a store. The coming of the County Governments could mean that the latter may demand to share part of the revenue generated via Warehouses/ Warehouses located in the said counties. The Cess levied on all the Grains sold to the Board will go to the counties. This will not make any difference to the Board. GCK to collect cess on behalf of the county government in respect to grains stored in their depots.

In line the Devolution Law the function of food security and development of food storage facilities has been devolved to County Government; hence the need to for GCK to enter into an MOU with Counties on modalities of implementing the said function. Where County Government would like to maintain a food reserve, NCPB will Lease its Depots / Warehouse to the County Government under the usual terms and conditions applicable to other private sector operators

who have been leasing space or depots from the Board. The Board shall sign Leasing of Depots / Warehouse Agency Agreement with willing County Government, contents of which shall be a mirror image of the Agency Agreement signed with GoK.

GCK need to partner with county governments in sourcing of farm inputs to enhance food production and ensure food security given its logistical network e.g. Narok County has expressed interest to work with NCPB (Narok depot) in the importation of farm inputs (fertilisers) and repair grain handling facilities. It in particular gave indications that it was ready to contract the Board to source and import fertilizer on its behalf because of the latter's track record, and logistics with depots spread across Narok and the rest of the county. The Agency Agreement on fertiliser signed between MOALF and the Board should be replicated downwards to the County Governments.

The issues affecting farmers and millers seem to be uniform across the country. One thing that became apparent is that the Depot Management has not established a forum where the stakeholders should have consultative meetings with the Board officials. It is recommended that Depot Management working with the County Agricultural Officers and the Secretaries of Agriculture at the County Governments should establish working groups forum to resolve the various problems that affect both the farmers and millers. This forum would also give the Depot Management an opportunity to disseminate any information that may be required by the stakeholder to make informed decisions on issues that affect them be it at farming level or milling level, etc.

Further, GCK can engage willing County Governments to repair or maintain unserviceable infrastructure at an agreed cost and on modus operandi of recovering their costs, by preferably leasing out the infrastructure to the said County Governments for such a period as would be expedite for them to recover their costs.

Where the Board's Infrastructure at the Depot or Silo requires to be repaired and or replaced and the Board is not in a position to repair or replace and the County Government has and is willing to repair or replace, then the Board shall authorize the County Government to repair or replace using the Board's approved technicians provided also that the usual procurement rules and procedures and disposal act are adhered to strictly. The County Government having incurred the repair and / maintenance costs and / or replacement costs shall be entitled to reimbursements of the costs incurred either from rental waiver or forfeiture of agency and maintenance fees by the Board Depot until such time that the full amount is recovered by the County Government in full. The Depot Manager shall seek the authority from Head Office justifying such repairs by the County Government and such authority shall be given or declined within 30 days of receipt of such a request.

9 FINANCIAL RESTRUCTURING

9.1 Historical Financial Ratios

A] Liquidity ratios: Liquidity ratios measure the ability of a Company to meets its current financial obligations as and when they fall due. These ratios measure the amount of liquid and near liquid resources available to meet short term debt obligations. A company should strive to ensure that it does not suffer from lack of liquidity and also that it does not have excess liquidity.

Table 9.1: Analysis of Financial Ratios

	2008	2009	2010	2011	2012	Benchmark
Liquidity Analysis						
Current Ratio	1.27	1.35	1.15	1.24	1.21	2.0
Quick Ratio	1.36	1.21	1.26	0.77	1.09	1.0
Cash Ratio	53%	11%	53%	7%	17%	50%
Leverage Ratios						
Debt ratio- Assets financed by debt holders	5%	6%	5%	12%	10%	60%
Debt equity ratio- Financial leverage	6%	8%	8%	16%	15%	75%
Times interest earned- Interest cover	0.15	1.80	-3.68	-5.05	-0.81	> 1.0
Activity Ratios /Operating Ratios						
Inventory Turnover (times)	37	7	2	3	3	6.75
Asset Turn Over (Times)	0.31	0.36	0.10	0.36	0.57	0.6
Average collection period (days)	186 days	316 days	1639 days	265 days	250 days	90 days
Debtors as a % of Sales	51%	73%	376%	58%	54%	80%
Average payment period (days)	1920 days	193 days	6031 days	163 days	259 days	120 days
Profitability ratios						
Gross Profit Margin	19%	15%	16%	20%	21%	20%
Net Profit Margin	1%	4%	-33%	-14%	-4%	11%
Return on assets	0.20%	1.22%	-1.95%	-3.68%	-1.46%	5%

- Current ratio – Current ratio is a measure of the Company's' short term solvency and should ideally be 1.5. The current ratio represents a margin of safety to creditors since the higher the ratio, the larger the amount of current assets in relation to current liabilities. The Board's current ratio over the five year period has been below 1.50 for each of the years and averaged 1.24 for the period. This indicates that the board is not adequately covered to meet the liabilities to creditors.

- Quick ratio - Quick ratio establishes a relationship between liquid assets and current liabilities. This ratio tests the short term debt paying ability of a company without having to rely on inventory and concentrates on more readily realizable or liquid assets available to meet short term debts and should ideally be 1.0. This ratio was highest in 2010 due increases in the cash at bank and in hand as at 30th June 2010. In the years ended 30th June 2008, 2009, 2011 and 2012 the ratios were below 1.00. This implies that if its operating stocks and debtors and prepayment are not quickly converted to cash, the Board might experience difficulties meeting its short term financial obligations.

- Cash ratio – Cash ratio is the ratio of a Company's total cash and cash equivalents to its current liabilities. The cash ratio is generally a more conservative look at a company's ability to cover its liabilities than many other liquidity ratios. The ideal cash ratio will vary depending on the industry, sector and company specific factors since holding excessive cash is a poor

asset utilization strategy because of the opportunity cost while insufficient cash leads to cash flow problems. This ratio was at its highest level in 2008 and 2010 due to increased cash and cash equivalents. The cash ratios of 11% in 2009, 7.0% in 2011 and 17.0% in 2012 implying that the Board did not have sufficient cash and was not in a position to repay short term financial obligations easily.

B] Leverage ratios: Leverage ratios indicate the mix of funds provided by owners and lenders. Leverage ratios are used to calculate the financial leverage of a company to get an idea of the company's methods of financing or to measure its ability to meet financial obligations. Debt ratio provides an indication of the proportion of debt a company has relative to its assets. This ratio gives an idea with regard to the leverage of the company along with the potential risks the company faces in terms of its debt load.

- A high debt ratio indicates low borrowing capacity of a company, which in turn lowers the firm's financial flexibility. If the debt ratio is greater than 50%, majority of the company's assets are financed by debt. This ratio has ranged between from 5% - 12% in 2010 due to a decrease in both short term and long term borrowings. The company is not highly reliant on debt and thus any additional debt and credit facilities will not lead to a higher probability of the Board becoming insolvent and or going into bankrupt especially if interest rates on borrowings were to increase significantly or if creditors were to revise their Company terms. The Directors should ensure that the company takes in additional debt strictly on a need basis so as to ensure that the debt ratio does not exceed the recommended level of 50%;
- Debt to equity ratio – Debt to equity ratio measures the amounts of assets provided by creditors for each shilling of assets provided by the shareholders and provides an indication of the proportion of equity and debt the company is using to finance its assets. A debt to equity ratio that is greater than 100 % is considered to be high. This ratio decreased from ranged between 6% -15% in the period under review due to variations in short term and long term borrowings as well as variations in revenue reserves. The low debt to equity ratio signifies that the Boards financial risk is low and any additional credit facilities would not increase the company's exposure should adverse events occur in the Company arena.
- Times interest earned – Times interest earned ratio measures the ability of a firm to meet its interest payments out of the current earnings. The ratio reflects the likelihood that creditors will continue to receive their interest payments by calculating the number of times the interest payable is covered by profits available for such payments. A low times interest earned ratio means that there are less earnings available to meet interest payments and that the Company is vulnerable to increases in interest rates on borrowings. This ratio ranged between 1.80- -5.05 due to variations in the finance costs. As a general rule, when the times interest earned ratio is lower than 1.0, the company is not producing earnings to cover its interest expenses.

C] Activity ratios/Operating ratios: Activity ratios measure the efficiency with which a Company uses its assets, such as inventories, accounts receivable, and non-current assets.

- **Inventory Turnover**: This ratio measures the number of times a company's investment in inventory is turned over during a given period. A high turnover requires a smaller investment in inventory than one producing the same level of sales with a low turnover rate. The ratio indicates the efficiency in turning over inventory and the adequacy of a company's inventory for the volume of Company being handled. As at 30th June 2008, the company was able to have a high inventory turnover due to its ability to efficiently convert inventory into sales. Between 2009-2012, the Board has had a low inventory turnover rate that ranged between 2-7 times. This means the Board was not efficiently selling its commodities.
- **Asset Turnover:** This ratio measures how intensively a firm's fixed assets such as land, buildings, and equipment are used to generate sales. It is a measure of a company's productivity. Over the five year period, the company produced an average of 0.34 times worth of sales for each shilling invested in total assets. This indicates that the company is not adequately using its assets to generate sales.

D] Average Collection Period: This ratio measures how long a firm's average sales remains in the hands of its customers. A longer collection period automatically creates a larger investment in

assets. This has the effect of locking the firm's cash generating ability because amounts would have been

- **Invested into more productive assets**: The Board has a long collection period ranging from 186 days- 1,639 days thus implying that they are not receiving payments on timely basis from its customers.
- **Average payment Period**: This ratio measure how long a firm using the number of days takes to pay off credit purchases. That is how long you use your trade credit before paying obligations to those who have extended credit terms to the company.

E] Profitability ratios: Profitability ratios are calculated to measure the operating efficiency of a company and are used to assess a Company's ability to generate earnings as compared to its expenses and other relevant costs incurred during a specific period of time.

- **Gross profit margin** – Gross profit margin is the difference between revenue and cost before accounting for operating expenses. This margin over the five year period has averaged 18.2%.
- **Net profit margin** – Net profit margin establishes the relationship between net profit and sales and indicates management efficiency in managing cost of sales and operating expenses. This ratio is an overall measure of a firm's ability to turn each shilling sales into net profit. This ratio was between 1.5%to -43.3% over the five year period and therefore the cost base of the Board is very high.
- **Return on investment/Asset** – Return on investment/Asset is an indicator of how profitable a company is relative to its total assets. This ratio gives an idea as to how efficient management is at using its assets to generate earnings. This ratio has been between 0.20% to -3.68% which implies that assets employed in the Board are not effectively being used to generate profits.

NCPB does not have adequate liquidity to cater for its current level of commercial operations as represented by an average current ratio of 1.24 against a standard measure of 1.50 and an average quick ratio of 0.85 against a standard measure of 1.00 over the period. The main causes of the lack of adequate working capital have been highlighted in the section on challenges facing NCPB.

Faced with a plethora of historic financial and operational challenges, NCPB current financial statements reflects an ailing organization that requires urgent attention if it is to continue as a going concern and achieve its mandate.

9.2 Components of Financial Restructuring

A number of actions are required to achieve the commercial success of GCK. These are;

i) Bringing GCK into Profitability
ii) Cleaning the balance sheet
iii) Addressing the working capital erosion problem

9.3 Bring GCK into profitability

Every effort is required to bring the corporation into profitability. In line with introducing recommended business units/divisions, aggressive commercial approach need to be adopted and all challenges that contributed to the past losses of the organisation rectified. Key actions which are required to bring GCK into profitability are set out in the financial forecast below. The forecast profit and loss takes into account the base year for the forecast as 2012/2013.

Key Assumptions for the Profit and loss;

1) GCK's capacity utilization will increase by 25% in the second year of the restructuring, this will be followed by an increase of 15% after the second year; this is because of increased activities of warehousing receipting, nafaka products and other commercial activities at all depots.

2) Staff costs will be less than 30% to revenues threshold that is required of business practices;
3) GCK will engage in aggressive marketing and thus sales and marketing costs estimates have been increased;
4) Rental incomes from the property that the company currently charges will be increased by 25% of the amounts that the company currently derives from rent. We have assumed an annual growth rate in the rental incomes of 7.5%;
5) GCK will charge market rates for the storage space and offices to third parties. More so the warehousing operations including agency fees will have to be carried out at arm's length. The ware housing fees used in the model has been increased by 25% from the current amounts;
6) Government will ensure payment of services for the agency agreement are done as agreed;
7) GCK will reorganise its staff in order to work optimal staff recommended. The GoK will provide all money required for staff reorganisation and reduction;
8) The Board will enter into a renewed agreement with the government to have all outstanding debt and loss claim settled. This will partially provide GCK will some working capital start some commercial trading activities at depot levels;
9) Future market interventions by the GCK on the behalf of Government which have financial implications on GCK must be supported by advance payment in cash or cash equivalent;
10) GOK/MoA will make injection to the restructured NCPB as per section 9.6 Part I above.

Considering the assumption above the Board will return into profitability in the year 2014/15, as indicated below;

Table 9.2: Projected Statement of Comprehensive Income, As at End 30th June						
Ksh	**2012/2013**	**2013/2014**	**2014/2015**	**2015/2016**	**2016/2017**	**2017/2018**
Gross Sales	577,501,869	7,742,375,530	10,890,943,423	12,432,179,308	14,833,270,958	17,986,916,525
Cost of Sales	491,883,099	6,947,171,364	9,834,623,026	11,124,642,077	13,234,211,938	16,117,222,165
Gross Margin Gain	**85,618,770**	**795,204,166**	**1,056,320,396**	**1,307,537,231**	**1,599,059,019**	**1,869,694,361**
Add:						
Other Income	930,428,714	1,769,806,769	2,204,320,524	2,411,283,244	2,607,320,457	2,883,123,759
Total Income	**930,428,714**	**2,565,010,935**	**3,260,640,921**	**3,718,820,475**	**4,206,379,476**	**4,752,818,120**
Less: Expenditure						
Railage and Road Transport costs	21,110,241	600,000,000	660,000,000	726,000,000	798,600,000	878,460,000
Staff costs and wages	928,713,367	990,279,126	1,077,799,957	1,173,130,503	1,276,969,847	1,390,079,750
Administration expenses	238,603,183	254,831,948	268,377,129	283,142,535	299,281,265	316,968,225
Other operating expenses	111,834,038	227,135,966	280,486,944	359,065,804	476,965,702	656,166,176
Total Expenditure	**1,300,260,829**	**2,072,247,040**	**2,286,664,030**	**2,541,338,842**	**2,851,816,814**	**3,241,674,151**
Profit/(Loss) Before Depreciation and Bad Debts		**492,763,895**	**973,976,890**	**1,177,481,633**	**1,354,562,662**	**1,511,143,969**
Deduct : Provisions						
Depreciation Expense	424,460,075	595,000,000	624,750,000	655,987,500	688,786,875	723,226,219
Armotization Expense	5,036,295					
Bad & Doubtful debts	48,000,000	43,700,000	45,885,000	48,179,250	50,588,213	53,117,623
Obsolete stocks	-	-	-	-	-	-
Total Provisions	**477,496,370**	**638,700,000**	**670,635,000**	**704,166,750**	**739,375,088**	**776,343,842**
Profit/(Loss) from Operations	**(761,709,715)**	**(145,936,105)**	**303,341,890**	**473,314,883**	**615,187,574**	**734,800,127**
Finance costs	(166,534,391)	257,536,894	295,319,815	337,753,039	386,458,009	442,370,825
Profit/Loss Before Tax	**(928,244,106)**	**(403,472,999)**	**8,022,075**	**135,561,845**	**228,729,566**	**292,429,302**
Profit /(Loss) After Tax	**(928,244,106)**	**(403,472,999)**	**8,022,075**	**135,561,845**	**228,729,566**	**292,429,302**
NET PROFIT/(LOSS) FOR THE YEAR	**(928,244,106)**	**(403,472,999)**	**8,022,075**	**135,561,845**	**228,729,566**	**292,429,302**

9.4 Cleaning the Balance Sheet

The persistence loses incurred on commercial operations by the NCPB, coupled with commercial interference by GOK and the tendency for agency fees from GOK to be paid late or not to be paid at all has severe implications for the NCPB financial structure as shown in Balance sheet below;

CURRENCY: KSH	June 2011	June 2012
ASSETS		
NON-CURRENT ASSETS		
Property, Plant and Equipment	8,509,212,861	8,089,029,864
Investment	-	-
Intangible Assets	12,828,960	12,828,960
Total Non-Current Assets	**8,522,041,821**	**8,101,858,824**
CURRENT ASSETS		
Operating stocks	888,183,681	949,793,023
Debtors and Prepayments	321,276,842	321,276,842
Government Debtors-New Agency A/C	857,806,994	857,806,994
Government Debtors -MOA Fertilizer A/C	1,665,495,705	1,665,495,705
Cash at Bank and Cash-in-Hand	606,020,463	606,020,463
Total Current Assets	**4,338,783,685**	**4,400,393,027**
TOTAL ASSETS	**12,860,825,506**	**12,502,251,851**
EQUITY AND LIABILITIES		
EQUITY		
Capital Fund	6,304,142,172	6,304,142,172
Revaluation Reserve	9,589,422,793	9,589,422,793
Revenue Reserve	(6,630,317,940)	(7,567,010,534)
Total Equity	**9,263,247,025**	**8,326,554,431**
CURRENT LIABILITIES		
Bank overdraft	427,463,293	427,463,293
Short Term Loan	918,306,000	918,306,000
Creditors and Provisions	1,314,268,123	1,892,387,063
Creditors - Due to GOK on Fertilizer sales	387,899,197	387,899,197
Intervention Programme	174,063,028	174,063,028
Government Agency Account (Old A/C)	143,195,039	143,195,039
Creditors-Due to GOK on SGR Maize sales	232,383,800	232,383,800
Total Current Liabilities	**3,597,578,480**	**4,175,697,420**
TOTAL EQUITY AND LIABILITIES	**12,860,825,505**	**12,502,251,851**

The aim of the balance sheet restructuring is to improve shareholders value and make it bankable. We have identified items in the balance sheets which require to be addressed. These include;

1] Debts from GOK due to maintenance of SGR stock and fertilizer supply

Implementation of the GOK/NCPB, principal/Agency relations have never been perfected in terms of enforcement of agreement as well as prompt payment for services rendered. This has resulted in escalation of indebtedness by GOK to NCPB, which has led to a negative effect on the fragile working capital. An extract of outstanding debts that bears testimony to this is shown below;

Year	GOK Agency A/c (SGR & FRS)	MOA Debts A/C (Fertilizers)	Total Outstanding Debt
2001/02	649,334,888.00	-	649,334,888.00
2002/03	403,337,446.00	-	403,337,446.00
2003/04	378,314,893.00	-	378,314,893.00
2004/05	1,720,888,060.00	-	1,720,888,060.00
2005/06	572,833,273.00	-	572,833,273.00
2006/07	2,530,270,077.00	-	2,530,270,077.00
2007/08	792,656,625.00	-	792,656,625.00
2008/09	1,552,513,162.00	493,608,771.00	2,046,121,933.00
2009/10	2,076,970,358.00	1,300,530,007.00	3,377,500,365.00
2010/11	454,671,482.00	1,055,860,315.00	1,510,531,797.00
2011/12	857,806,994.00	1,665,495,705.00	2,523,302,699.00
2012/13	1,576,854,982.00	1,893,432,807.00	3,470,287,789.00

Recommendation: Government to honour and agree to pay the debt equivalent to Kshs 3,470,287,789.00 as at 2012/13 it owes NCPB.

2] High cost of loans

Over- reliance on expensive bank overdraft and loans has made NCPB uncompetitive at the market and in its entire value delivery chain. In addition, servicing of interest on banking facilities is a major drain on meagre NCPB resources threatening the very existence of the organization as a going concern. Whereas NCPB has been borrowing to facilitate GoK interventions, compensation is not considered for such cost borne by NCPB. An extract of cost incurred on bank facilities over years are as follows;

Fiscal period	Bank charges	Interest on O/D & loans	Total finance charges
2001/02	15,899,099.00	147,663,189.00	163,562,288.00
2002/03	19,349,929.00	35,380,169.00	54,730,098.00
2003/04	14,725,036.00	21,825,526.00	36,550,562.00
2004/05	12,300,875.00	45,137,605.00	57,438,480.00
2005/06	43,515,070.00	47,703,574.00	91,218,644.00
2006/07	41,802,600.00	132,109,638.00	173,912,238.00
2007/08	32,306,052.00	179,372,257.00	211,678,309.00
2008/09	14,009,193.00	93,428,384.00	107,437,577.00
2009/10	17,376,507.00	89,966,603.00	107,343,110.00
2010/11	36,085,141.00	95,585,911.00	131,671,052.00
2011/12	16,952,260.00	231,487,195.00	248,439,455.00
2012/13	8,292,119.00	158,242,272.00	166,534,391.00
TOTALS	**272,613,881.00**	**1,277,902,323.00**	**1,550,516,204.00**

Recommendation: From the funds obtained from GOK (debt settlement), GCK should settle all outstanding obligations. The settlement model to be matched with the cash inflows from government payments.

3] Fixed Assets of Valuation

The balance sheet shows huge asset base due to investment in property, plant and equipment. However, there issue of lack of clear title to some of the properties and wide investment in storage facilities which is underutilized resulting into idle capacity.

Recommendation: The board undertake a fixed asset valuation; all necessary actions to be undertaken by GOK to provide NCPB with titles to all fixed asset currently shown on their asset register and balance sheet; adjust property, plant and equipment balance sheet figures subject to proposed valuation.

4] Unrecoverable current assets (debtors) and liabilities

The balance sheet has very old debtors and liabilities which are 10 years, yet reflected as current, may not be recoverable or honoured. ***Recommendation: We recommend write off by the NCPB of any debtors who are unlikely to pay and write back of liabilities that NCPB is not likely to pay.***

5] Accumulated Negative Revenue Reserve

The balance sheet has huge negative revenue reserves due to accumulated losses, as per the table below;

Year	Loss as NCPB Accounts (Kshs in Million)	Prior Year Adjustment (Kshs in Million)	Accumulated Revenue Reserve as per accounts (Kshs in Million)
2000/01	-795.00		-255.50
2001/02	-2,203.00	1.70	-2,456.80
2002/03	-762.00	3.90	-3,214.90
2003/04	-598.00	33.90	-3,779.00
2004/05	-280.00	-20.50	-4,079.50
2005/06	-569.00	-1.10	-4,649.60
2006/07	-537.70	214.46	-4,972.84
2007/08	-185.60	47.54	-5,110.90
2008/09	60.90	-39.10	-5,089.10
2009/10	-438.40	-0.70	-5,528.20
2010/11	-614.71	-16.19	-6,159.10
2011/12	-436.16	-35.04	-6,630.30
2012/13	-928.24	-8.47	-7,567.01

Noted is the operational loss of Kshs 2.2 Billion incurred in year 2001/2. This arose from the Government advise to NCPB to offload the excess maize in the international market at prices which were well below procurement costs. To supplement the funds accruing from the export programme, NCPB also effected substantial sales in the local market at the then prevailing market prices and which were below cost. The component of losses incurred in the low price sales is as tabulated below;

	Local Sales	Export	Total
Quantity (90 kg bags)	1,444,242	1,500,000	2,943,242
	Kshs.	**Kshs.**	**Kshs.**
Sales proceeds	**1,162,079,110**	**1,299,425,483**	**2,461,504,593**
Less			
Procurement cost	1,609,019,150	1,874,999,722	3,484,018,872
Direct Cost	186,310,747	432,276,900	618,587,647
Other Costs	-	595,967,793	595,967,793
Total Costs	**1,795,329,897**	**2,903,244,415**	**4,698,574,312**
Loss	**(633,250,787)**	**(1,603,818,932)**	**(2,237,069,719)**

The table above reports that implementation of Government executive order resulted to loss of Kshs 2.237 Billion. Indeed, it was a cabinet decision endorsed by Head of Public Service and communicated through PS Ministry of Agriculture where the Board was told to dispose maize at lower price than they had bought it. Since then, the loss had accumulated to Kshs 7.5 billion as at the end of 2012/2013.

This loss wiped out NCPB trading capital that resulted into virtual death of NCPB Commercial function that the operational losses are felt to date. The expenditure base remained wider and hence not conducive for profit making by virtue of the fact that assets earmarked for asset divestiture are still under the financial support of NCPB and the benefits that would have accrued in terms of expenditure reduction and raising of additional working capital.

Recommendations

The government should honour and pay NCPB the Subvention Claim of Kshs 2.3 Billion that was incurred in 2002 when the Board through an executive order (Indeed it was a cabinet decision endorsed by Head of Public Service and communicated through PS Ministry of Agriculture) dispose maize at lower price than they had bought it.

Further, we recommended the Board and the Government explore ways of reversing the negative revenue reserves. This will include implementing measure geared towards bring back GCK to profitability as discussed in section 9.3 above. The other appropriate measure is to inject working capital cash to enable the Board to start trading. Other funding options are discussed in section 9.7. The profits made when NCPB start trading will systematically clear the accumulated losses from its books.

9.5 Addressing Working Capital Challenges

The aim is to ensure working capital position of NCPB is reviewed to enhance is ability to expand its business base.

NCPB's working capital was eroded to extremely low levels as a result of Government limitations in meeting working capital injection obligation to NCPB and the loss incurred in carrying out the market stabilisation oriented local/export sales. Consequently, NCPB cannot engage in viable volume of business and consequently low capacity utilization. The working capital that stands at Kshs. 224.6 million if adjusted for aflatoxin contaminated stocks will effectively reduce to Kshs.113 million.

Working Capital (Net Current Assets)			
Financial Year	Current Assets Kshs.	Current Liabilities Kshs.	Net Current Assets Kshs.
2000/2001(Audited)	4,566,825,933	1,687,965,276	2,878,860,657
2001/2002(Audited)	2,734,591,346	1,839,261,654	895,329,692
2002/2003(Audited)	2,506,113,573	1,784,295,485	721,818,088
2003/2004(Audited)	1,839,382,111	1,272,840,115	566,541,996
2004/2005 (Audited)	2,610,518,479	2,119,450,810	491,067,669
2005/2006 (Audited)	2,805,693,326	2,482,999,440	322,693,886
2006/2007 (Audited)	5,532,043,966	5,145,778,844	386,265,122
2007/2008 ((Audited)	3,067,500,959	2,422,668,675	644,836,967
2008/2009 (Actual)	4,066,752,536	3,023,519,392	1,043,233,144
2009/2010(Actual)	7,606,794,069	6,591,500,973	1,015,293,096
2010/2011(Actual)	4,191,087,194	3,390,456,089	800,631,105
2011/2012(Actual)	4,430,037,866	3,689,080,873	740,956,993
2012/2013 (Un- Audited)	4,400,393,027	4,175,697,420	224,695,607

From the above it is evident that the Board has the potential to turn around to a profit making entity if the weaknesses on the working capital are addressed coupled with policy initiatives that ameliorate trading environment for NCPB.

Working capital Requirement based on Projected P&L A/C. Working Capital Assumptions are;

1. The sales requirement computation is based on the assumption that 80% of the company sales will be on credit and 20% will be based on cash. The company will require 3 months equivalent of the cash sales;
2. NCPB will require a buffer of 3 months of its annual forecast expenditures;
3. The Board is in the business of buying and selling grains and will require operating stock amount of an equivalent of 4 months of costs of sales.
4. The company will also require 10% of its sales as a precautionary cash; and
5. Extended credit periods of 90 days have been deducted.

Based on the above assumption, working capital requirement for the Board are as follows;

Projected working capital requirements				
Items	2013/2014	2014/2015	2015/2016	2016/2017
Sales	1,548,475,106	2,178,188,685	2,486,435,862	2,966,654,192
Total Expenditure	518,061,760	571,666,008	635,334,710	712,954,204
Procurement Stocks	2,315,723,788	3,278,207,675	3,708,214,026	4,411,403,979
Precautionary Cash	154,847,511	217,818,868	248,643,586	296,665,419
Extended credit	1,817,272,601	435,539,535	435,539,535	435,539,535
Delay in Payment	(1,736,792,841)	(2,458,655,757)	(2,781,160,519)	(3,308,552,985)
Annual Working Capital	**4,617,587,925**	**4,222,765,014**	**4,733,007,200**	**5,514,664,344**
Monthly Working Capital	**384,798,994**	**351,897,085**	**394,417,267**	**459,555,362**

Summary of Government Obligations to NCPB

- *Debt of Kshs 3,470,287,789.00 as at 2012/13 d*ue to maintenance of SGR stock and fertilizer supply
- *The subvention Claim of Kshs 2,237,069,720 that was incurred in 2002 as result of maize export loss*

Recommendation: The GoK should settle all outstanding obligations. This will enable NCPB to settle its liabilities as well as start trading. However, money paid by the Government will not be adequate to enable NCPB move the anticipated commercial level.

9.6 Funding Options and Associated Risks

The aim is to resuscitate the commercial trading of board so that it can start running back to profitability again. In addition to the Government honouring its obligations to NCPB we recommended the following as possible funding options;

Funding Options			Risks Associated
I	**Government injections**	**Option I.A]** Here we have assumed that GOK/MoALF will make partial injection of money equivalent to 8 months working capital (Kshs 3,078,391,952.00) over two instalments as follows: Kshs 1,539,195,976.00 in April 2013/14 and Kshs 1,539,195,976.00 in October 2014/15.	▪ Lack or inadequate budgetary provisions to support fund injections; ▪ Inadequate fund injections leading to continued dependence on borrowings; ▪ Delayed disbursements resulting into consumption rather than building up of necessary capital; ▪ Fund injections have strong linkage to Government, as the key financier, thus Government may influence NCPBs' decision-making processes.
		Option I.B] Here we have assumed that GOK/MOALF will inject 100% required working capital in year one.	
II	**Revolving Credit Facility from a Commercial Bank**	NCPB urgently require working capital. A working capital as the very minimum based on the national and international best practice computed as follows: Working Capital for 4 months (4 x 384,798,994) = Kshs 1,539,195,976.00. A Revolving Facility would have to be negotiated with one of the Commercial Banks or Financial Institutions in lieu of direct Government funding. The facility should be 100 % GoK funded either by cash or Treasury Bills in order to get the NCPB of financial ills, which are getting out of control. The consultants are of the view that a few development partners would be ready and willing to offer such financial facility.	▪ Failure to get a will credit supply; ▪ High interest rate charged by credit supplies may inflate credit cost thereby draining the organization much needed capital; ▪ High cost of complying with the covenants imposed by the lenders; ▪ Failure or/and delay by the Government to provide the letter of awareness;
III	**Raising Money Using a Letter of Awareness by Treasury Credit Enhanced by a Sovereign**	A Letter of Awareness is not a Guarantee but it is a letter indicating that the Government is aware about the proposed developments and has no objections whatsoever. This would entail the Government approaching a Lead Transactions Advisor for financial services to intermediate a financial transaction where a many institutions would be approached to issue a Guarantee to credit to enhance the commercial banks that would be ready and willing to inject money into GCK under a Letter of Awareness from the GOK that it would continue to buy and sell maize and other products through the NCPB (GCK) until such time that the borrowing from these Banks are liquidated in full. Institutions that could be approached to raise the Guarantee include: African Trade Insurance Agency	

	Guarantee	(ATIA), Multilateral Insurance Guarantee Agency (MIGA) of the World Bank, Overseas Private Investment Corporation (OPIC) of the United States Government, etc. However, financial politics associated with the World Bank and the US today, we would recommend that the ATIA be approached. With the ATIA Guarantee in hand, and the Letter of Awareness from Treasury in place, then the Banks in country would be ready and willing to facilitate the mobilization of funding that is required at the NCPB (GCK). A Sinking Fund Account would be created to which all the regular commitments to the Banks would be credited on regular basis to meet the maturing obligations of the Loan raised by the financiers. Most of the financing of Independent produces is being undertaken under the Leadership of CFC Stanbic Bank as the Lead Transactions Advisor, where KPLC via the intermediation of the said Bank gets a Guarantee from ATIA and the GOK issues a Letter of Support for the transaction(s). On the strength of these instruments, CFC Stanbic is able to mobilize finances for these IPPs. The latest transaction which has just been concluded is that of "Kinangop Wind Power".	
IV	**Asset Securitization Approach**	This approach would entail the identification of the assets of the NCPB with the support of the Treasury that would be segregated together and removed from the rest of the Assets. The separation of certain classes of assets of the Board, involving say the issuance of sub-leases is a form of Asset Securitization in the simplest ways of defining asset securitization. For example, the creation of sub-leases over the land assets of the Board for the purpose of developing residential houses or warehouses for either selling under long term leases or selling them under sectional titles is a form of securitization. This way the Board would generate cash for its continued commercial operations. Similarly, the separated asset or assets would be pooled together and transferred to a Special Purpose Vehicle (SPV). Against these assets, Depository Receipts (Financial Instruments) depicting proportionate ownership of the assets held in the pool would be issued and credit enhanced by one or two Banks in this country to attract institutional investors, domestically and globally. They could have a duration of say 5 years or more to maturity. Government would commit to liquidate these instruments on maturity by issuing a Government Bond having the same maturity as these Instruments. These instruments could also be traded in the secondary market or could be held to maturity by the investors. If NCPB was actively trading in commodities, it would not have been necessary to insist on the Government Bond. It would simply have a sinking fund created which will still be created either way to which all repayments on the commitments would be credited to liquidate the Debt on maturity. But in this case, the said sinking fund would indemnify the Government which would have issued the said Bond to the financiers. This approach is a regular phenomena in most emerging economies including South Africa and Latin America. It is used to exploit natural resources and development of strategic commodities for	▪ Failure by the Government and/or its agencies/Ministries to agree on which asset (s) to be charged; ▪ Government red tapes/ Bureaucracies involved in the process of securitization of government assets may make the process longer and cumbersome; ▪ With devolution identification of assets to be charged may be a challenge especially where asset is located in a County that is interested with that asset; ▪ The value of assets that may be subjected to securitization may not raise sufficient funds as per working capital requirements; ▪ Ownership of some NCPB assets that do not have documents or where ownership is not fully

		countries where the economies are in transition. The main shortcoming of this option is that it is likely to elicit a lot of political debate if not properly handled.	defined may complicate the processes.
V	**Strategic Investor**	The latest government approach towards financing the upgrading and/or development of infrastructure is via Public Private Partnerships. The restructured NCPB should attract a strategic investor through PPP arrangement who can develop and/or operate some of NCPB infrastructure. Since, the Board is technically bankrupt, prospective investor may not be willingly to inject capital and the only option is leasing some of the infrastructure which can be done through a PPP arrangement. For, example the proposed investor can take up one the proposed business line/division such as warehousing receipting division. The Board should seek advice of transactional advisor who can develop the PPP model that would be used. PPP may take assume different model as discussed below; **Concession:** This is where the Board will invite a private investor to partner in upgrading its aging storage facilities by injecting in funds. The investor will upgrade, operate and maintain the storage facilities for an agreed period of time. An example is where both Kenya Government and Uganda Government have concessionalized the Kenya Uganda Railway Line to Rift Valley Railway (RVR). They only leased out the Railway Line and the available Rolling Stocks. The Railways Offices, the Houses, Land and other infrastructures were never concessionalized out to RVR. This will require the GOK and NCPB to identify some Depots which will be concessioned out to a strategic Investors. **Joint Ventures:** The revamped NCPB should invite Joint Venture Partners to manage the Depots jointly by also injecting adequate capital. Through the Warehouse Receipting business line, restructured NCPB can attract Joint Venture Partner(s) and one such potential Partners is the STT Company of South Africa which is the leader in the development of the proprietary software for the development of warehouse receipting system. It also sells on license its Clearing and Settlement System used mainly in the South African Commodity Exchange and the Securities Central Depository System of Uganda Securities Exchange and the NSE, respectively. A few depots should be identified and designated for Joint Venture Partnership; while depots will be left for SGR stock. **Build Own Operate and Transfer (BOOT) Financing Approach:** BOOT (build, own, operate, transfer) is a public-private partnership (PPP) project model in which a private organization conducts a large development project under contract to a public-sector partner, such as a government agency. A BOOT project is often seen as a way to develop a large public infrastructure project with private funding. The public-sector partner contracts with a private developer - typically a large corporation or	▪ Identification of a potential willing strategic investor may be a challenge. ▪ Current insolvency state of NCPB may scare away potential investors. ▪ Government red tapes/ Bureaucracies involved in developing and completing the PPP approach ▪ Loss of control by the Government of NCPB and its strategic properties ▪ Short-Term view adopted by strategic investors in an effort to maximize their profits.

		consortium of businesses with specific expertise - to design and implement a large project. The public-sector partner may provide limited funding or some other benefit (such as tax exempt status) but the private-sector partner assumes the risks associated with planning, constructing, operating and maintaining the project for a specified time period. During that time, the developer charges customers who use the infrastructure that's been built to realize a profit. At the end of the specified period, the private-sector partner transfers ownership to the funding organization, either freely or for an amount stipulated in the original contract. Such contracts are typically long-term and may extend to 40 or more years. In the context of restructured NCPB, the Board can identify a private sector investor to develop its idle land. The available land can be leased out over a period of up to 50 years for development of residential houses for sale or rental where the income can be shared or the developer recoups his investment and a reasonable profits and returns the developed property to the Board at the expiry of the lease period. This approach can also be used for development of new silos say by the County Governments in those areas while the Board has idle land.	

Other risks associated with proposed restructuring model

NCPB is exposed to a variety of risk as a result of the activities that it is engaged into. Risk Management Function is therefore important to manage enterprise-wide risk to cushion the organization from losses that may arise from normal operations as well other risks arising from the environment it operates in. Key risks to the organization regardless of the financing model that it adopts are as follows:-

a) **Political risk** – This involves political, economic and social events that may result either collectively or individually to financial losses

b) **Economic risk** – NCPB is engaged in transactions with businesses across various sectors such as Agriculture, Manufacturing, Transport, Energy etc. The financial prosperity is dependent on formulation of policy and procedures to support initiatives by both public and private sectors to remain profitable and yield financial returns.

c) **Regulatory risk** – This relates to the risk of non-compliance or non-conformity with the laws, rules, regulations, prescribed practice or ethical standards issued from time to time. Drastic changes or new policy guidelines issued by regulatory bodies could im[pact on the financial performance of NCPB.

d) **Operational risk** – This is the risk of direct or indirect loss arising from a wide variety of causes associated with NCPB processes, personnel, technology and infra-structure.

e) **Strategic risk** – These arise from the risk of formulation or strategies and implementation plans that are in appropriate and inconsistence with internal factors and external environment which may affect earning, capital fund or viability of business.

f) **Risk relating to the business** – This relates to operating complexities as a result of expansive nature, seasonality, weather influenced businesses that requires more managerial and operational expertise.

g) **Credit risk** – This arises from customers failure to meet their contractual obligations that arises from sales of commodities or services on credit terms.

9.7 Projected Balance Sheet

The aim of the balance sheet restructuring is to ensure that the following objectives are met to ensure that the:

- Balance sheet is made bankable,
- NCPB liabilities or other financial related obligations which may be currently on its books are properly examined. This should also include recommendations on write-back of liabilities.
- NCPB Debtors are correctly examined for probability of payment.
- The working capital position of NCPB is reviewed to enhance is ability to expand its business base.

Assumptions and Steps in the balance sheet restructure

i. Preparation of the forecast balance sheet for the period until 30 June 2013 prior to the financial restructuring and on the basis a NCPB's projected full year financial performance.

ii. Effective balance sheet after the financial restructuring exercise assumes:
   - The Government debts: MOALF Fertilizer A/C and Agency A/C that was in the book as at 30th June 2013 of Kshs. 1,665,495,705 and 857,806,994 respectively will be full be paid by end of 2013/2014.
   - The Balance sheet and cash flow projection are on year- end balance for the inventory, creditors, debtors and borrowings.
   - The Board intends to undertake a fixed asset valuation. The forecast balance sheet does thus make an estimate for the revaluation.
   - We have considered – Operating stock write off, Cash and Bank, Payment of Government Debtors-MOALF Fertilizer, Bank Overdraft payment and Short term Loan Payment the company's current year June 2013 financial position.
   - The Government will pay the subvention Claim of Kshs 2,237,069,720 that was incurred in 2002 as result of maize export loss.
   - GOK/MoALF will make injection to the restructured NCPB as per section 9.6 Part I above.

Using the above assumption, the Forecast balance sheet is a follows;

9.7.1 Projected Balance Sheet Based on First Option – Government Injections

A] Here we have assumed that in addition to GOK/MoALF honouring its financial obligations to NCPB it will make partial injection of money equivalent to 8 months working capital (Kshs 3,078,391,952.00) over a period of two years as follows: Kshs 1,539,195,976.00 in April 2013/14 and Kshs 1,539,195,976.00 in October 2014/15.

Currency: Ksh	JUNE 13A	Government payment of debt and subvention claim; write off, and write back	Government Injection -Low Season	JUNE 14B	Government Injection -High Season	JUNE 15B	JUNE 16B	JUNE 17B	JUNE 18B
ASSETS									
NON-CURRENT ASSETS									
Property, Plant and Equipment	8,089,029,864	-	-	8,089,029,864	-	8,089,029,864	7,846,358,968	7,532,504,609	7,155,879,379
Intangible Assets	12,828,960	-	-	12,828,960	-	12,828,960	12,444,091	11,946,328	11,349,011
Total Non-Current Assets	**8,101,858,824**	**-**	**-**	**8,101,858,824**	**-**	**8,101,858,824**	**7,858,803,059**	**7,544,450,937**	**7,167,228,390**
CURRENT ASSETS									
Operating stocks	949,793,023	-	-	949,793,023	-	949,793,023	949,793,023	949,793,023	949,793,023
Debtors and Prepayments	321,276,842	-	-	321,276,842	-	321,276,842	321,276,842	321,276,842	321,276,842
Government Debtors-New Agency A/C	857,806,994	857,806,994	-	-	-	-	-	-	-
Government Debtors -MOA Fertilizer A/C	1,665,495,705	1,665,495,705	-	-	-	-	-	-	-
Operational cash	-	2,237,069,720	1,539,195,976	3,776,265,696	1,539,195,976	5,315,461,672			
Cash at Bank and Cash-in-Hand	606,020,463	-	(403,472,999)	202,547,464	8,022,075	210,569,539	5,904,648,821	6,447,730,509	7,010,983,755
Total Current Assets	**4,400,393,027**	**4,760,372,419**	**1,135,722,977**	**5,249,883,025**	**1,547,218,051**	**6,797,101,076**	**7,175,718,686**	**7,718,800,374**	**8,282,053,620**
TOTAL ASSETS	**12,502,251,851**	**1,447,719,376**	**1,665,495,705**	**13,351,741,849**	**1,547,218,051**	**14,898,959,900**	**15,034,521,745**	**15,263,251,311**	**15,449,282,010**
EQUITY AND LIABILITIES	-	-	-	-		-	-	-	-
EQUITY	-	-	-	-		-	-	-	-
Capital Fund	6,304,142,172	-	-	6,304,142,172	-	6,304,142,172	6,304,142,172	6,304,142,172	6,304,142,172
Revaluation Reserve	9,589,422,793	-	-	9,589,422,793	-	9,589,422,793	9,589,422,793	9,589,422,793	9,589,422,793
Revenue Reserve	(7,567,010,534)	(2,206,044,632)	3,372,792,697	(6,400,262,469)	1,547,218,051	(4,853,044,418)	(4,717,482,573)	(4,488,753,007)	(4,302,722,308)
Total Equity	**8,326,554,431**	**(2,206,044,632)**	**3,372,792,697**	**9,493,302,496**	**1,547,218,051**	**11,040,520,547**	**11,176,082,392**	**11,404,811,958**	**11,590,842,657**
CURRENT LIABILITIES				-		-	-	-	-
Bank overdraft	427,463,293		-	427,463,293		427,463,293	427,463,293	427,463,293	427,463,293
Short Term Loan	918,306,000		-	918,306,000		918,306,000	918,306,000	918,306,000	918,306,000
Creditors and Provisions	1,892,387,063	-	-	1,892,387,063		1,892,387,063	1,892,387,063	1,892,387,063	1,892,387,063

Creditors - Due to GOK on Fertilizer sales	387,899,197	-	-	387,899,197		387,899,197	387,899,197	387,899,197	387,899,197
Intervention Programme	174,063,028	(174,063,028)	-	-		-	-	-	-
Government Agency Account (Old A/C)	143,195,039	(143,195,039)	-	-		-	-	-	-
Creditors-Due to GOK on SGR Maize sales	232,383,800	-	-	232,383,800		232,383,800	232,383,800	232,383,800	232,383,800
Total Current Liabilities	**4,175,697,420**	**(317,258,067)**	**-**	**3,858,439,353**	**-**	**3,858,439,353**	**3,858,439,353**	**3,858,439,353**	**3,858,439,353**
TOTAL EQUITY AND LIABILITIES	**12,502,251,851**	**(2,523,302,699)**	**3,372,792,697**	**13,351,741,849**	**1,547,218,051**	**14,898,959,900**	**15,034,521,745**	**15,263,251,311**	**15,449,282,010**

B] Here we have assumed that in addition to GOK/MoALF honouring its financial obligations to NCPB it will inject 100% required one-year working capital

Currency: Ksh	JUNE 13A	Movements during the year	Government Injection of Working Capital	JUNE 14B	Government Payment of agency due and injection-loss	JUNE 15B	JUNE 16B	JUNE 17B	JUNE 18B
ASSETS									
NON-CURRENT ASSETS									
Property, Plant and Equipment	8,089,029,864	-	-	8,089,029,864	-	8,089,029,864	7,846,358,968	7,532,504,609	7,155,879,379
Investment	-	-	-	-	-	-	-	-	-
Intangible Assets	12,828,960	-	-	12,828,960	-	12,828,960	12,444,091	11,946,328	11,349,011
Total Non-Current Assets	**8,101,858,824**	**-**	**-**	**8,101,858,824**	**-**	**8,101,858,824**	**7,858,803,059**	**7,544,450,937**	**7,167,228,390**
CURRENT ASSETS	-	-	-	-		-	-	-	-
Operating stocks	949,793,023		-	949,793,023	-	949,793,023	949,793,023	949,793,023	949,793,023
Debtors and Prepayments	321,276,842		-	321,276,842		321,276,842	321,276,842	321,276,842	321,276,842
Government Debtors-New Agency A/C	857,806,994	857,806,994	-	-	-	-	-	-	-
Goverment Debtors -MOA Fertilizer A/C	1,665,495,705	1,665,495,705		-	-	-	-	-	-
Operational cash		2,237,069,720		2,237,069,720		2,237,069,720	2,237,069,720	2,237,069,720	2,237,069,720
Cash at Bank and Cash-in-Hand	606,020,463		4,617,587,925	5,223,608,388	(403,472,999)	4,828,157,464	5,206,775,073	5,749,856,761	6,313,110,008
Total Current Assets	**4,400,393,027**	**4,760,372,419**	**4,617,587,925**	**8,731,747,973**	**(403,472,999)**	**8,336,297,049**	**8,714,914,658**	**9,257,996,346**	**9,821,249,593**
TOTAL ASSETS	**12,502,251,851**	**1,447,719,376**	**1,665,495,705**	**16,833,606,797**	**(403,472,999)**	**16,438,155,873**	**16,573,717,718**	**16,802,447,283**	**16,988,477,983**

EQUITY AND LIABILITIES	-	-	-	-		-	-	-	-
EQUITY	-	-	-	-		-	-	-	-
Capital Fund	6,304,142,172	-	-	6,304,142,172	-	6,304,142,172	6,304,142,172	6,304,142,172	6,304,142,172
Revaluation Reserve	9,589,422,793	-	-	9,589,422,793	-	9,589,422,793	9,589,422,793	9,589,422,793	9,589,422,793
Revenue Reserve	(7,567,010,534)	31,025,088	4,617,587,925	(2,918,397,521)	(403,472,999)	(3,313,848,445)	(3,178,286,600)	(2,949,557,035)	(2,763,526,335)
Total Equity	**8,326,554,431**	**31,025,088**	**4,617,587,925**	**12,975,167,444**	**(403,472,999)**	**12,579,716,520**	**12,715,278,365**	**12,944,007,930**	**13,130,038,630**
CURRENT LIABILITIES	-	-	-	-		-	-	-	-
Bank overdraft	427,463,293		-	427,463,293		427,463,293	427,463,293	427,463,293	427,463,293
Short Term Loan	918,306,000		-	918,306,000		918,306,000	918,306,000	918,306,000	918,306,000
Creditors and Provisions	1,892,387,063	-	-	1,892,387,063		1,892,387,063	1,892,387,063	1,892,387,063	1,892,387,063
Creditors - Due to GOK on Fertilizer sales	387,899,197	-	-	387,899,197		387,899,197	387,899,197	387,899,197	387,899,197
Intervention Programme	174,063,028	(174,063,028)	-	-		-	-	-	-
Government Agency Account (Old A/C)	143,195,039	(143,195,039)	-	-		-	-	-	-
Creditors-Due to GOK on SGR Maize sales	232,383,800	-	-	232,383,800		232,383,800	232,383,800	232,383,800	232,383,800
Total Current Liabilities	**4,175,697,420**	**(317,258,067)**	-	**3,858,439,353**	-	**3,858,439,353**	**3,858,439,353**	**3,858,439,353**	**3,858,439,353**
TOTAL EQUITY AND LIABILITIES	**12,502,251,851**	**(286,232,979)**	**4,617,587,925**	**16,833,606,797**	**(403,472,999)**	**16,438,155,873**	**16,573,717,718**	**16,802,447,283**	**16,988,477,983**

10 IMPLEMENTATION ACTION PLAN

This section outlines the implementation plan for key recommendations that will guide proposed restructuring of NCPB. We propose for establishment of a "Technical Working Committee" to guide and oversee the implementation process. The Committee should comprise of 3 Officers of the Board, 2 Representatives of MOALF, 1 Representative of National Treasury and another 1 of Devolution & Planning, 2 selected Representatives of the Stakeholders (millers and farmers) and at least 2 outside Technical Experts (probably from EY, one being a Financial / Economic Expert and the other one being a Legal Expert who are conversant with the on-ongoing restructuring process of the Board). The committee will adopt the recommendations and where necessary make necessary adjustments.

Proposed recommendations	Operationalisation Modalities	Responsibility	Timeframe				
			Phase 1			Phase 2	
			Short-term		Medium term	Long Term	
			6 Mths	1 Yrs	2 Yrs	3 Yrs	4 Yrs
TRANSFORMING NCPB TO GCK							
▪ Carry out workload analysis and job evaluation (skill analysis) to determine optimal staffing, staff quality, appropriate staff grading and salary levels with the aim of designing an equitable pay structure.	▪ Engage a consultant	Ministry to Fund, NCPB Board and Top Management to implement the study	X				
▪ Rationalize staff levels after completion of the Job Evaluation Process. ▪ A combination of staff transfer, early retirement and redundancy would be used in this staff reorganisation process. ▪ Change management training	▪ Inform all employees about any impending redundancy by communicating details of the programme and the people affected by the process. ▪ Once the Voluntary Early Retirement is approved, NCPB should enter into consultations with the relevant union well in advance before any action is taken in relation to the surplus staff to discuss any issues related to the strategy for managing unionisable surplus employees. ▪ Government to provide money required to fund the Redundancy/Earlier retirement Package	NCPB Board and Top Management, MOALF to provide money for any Redundancy/Earlier retirement Package	X	XX			
▪ Design organization structure aligned to the commercialization strategy/business unit. ▪ Develop strategic plan ▪ Rebrand from NCPB to GCK	▪ Adopt the proposed organisation structure and business plan and reorganized the GCK into the proposed business unit ▪ Engage a consultant to facilitate development of strategic plan	NCPB Board and Top Management. MOALF to fund development of strategic plan	X				

Proposed recommendations	Operationalisation Modalities	Responsibility	Timeframe				
			Phase 1			Phase 2	
			Short-term		Medium term	Long Term	
			6 Mths	1 Yrs	2 Yrs	3 Yrs	4 Yrs
			X	XX			
▪ **Capacity building**	▪ Re-orientation of staff to adopt modern business practices and business culture – Ongoing process	NCPB Board and Top Management. MOALF to fund	X	XX	XXX		
▪ Governance Structure: The criterion of the appointment of the Directors should be that they are persons who will assist in achieving the mandate set out for GCK. ▪ Carry out a review of the current committees to make them lean and efficient so as to enable to Board members to participate fully in the affairs of the committees.	▪ It is recognized that any change in Board appointment criteria will have to await the recommended legislative changes. ▪ The Chairman and Directors will still be appointed through the NCPB act until the new legislation come to force	MoALF and NCPB Board	X	XX			
▪ Explore all facets of the grains industry for business opportunities with the initial focus on establishing and consolidating a private sector role from its traditional business base. Seek out and evaluate the opportunities for strategic business alliances, diversification and joint ventures.	▪ Enhance grain handling business by securing contractual arrangements to source, warehouse, sell and distribute grains. Such contracts could be with large scale growers, traders, millers or international agencies and County Government	MoALF and NCPB Board	X	XX			
▪ Strategic Grain Reserves (SGR) Stocks: Government to fundamentally move away from directly dealing with maize in the form of SGR. The food and grain reserve to be monitored through a well functioning warehouse receipting and commodity exchange systems. Therefore, the GCK should be allowed to trade with old SGR maize stocK OR replenish the stock after 2 years	▪ NCPB to hold a dialogue with MoALF to agree on this recommendation. Technical Committee to develop a cabinet paper for approval, ▪ In Meantime adopt and sign the draft SGR and Fertiliser management "agency Agreement"	NCPB Board and Top Management, MOALF	X X				
▪ Upgrade the ICT/Technology including ICT audit / strategy, Processes review, Support system and benchmarking / best practices	▪ **ICT Upgrade / Automation consultancy** ▪ Procure software, hardware and connectivity	NCPB Board Top Management. MOALF to fund consultancy and business re-engineering technology	X	XX			
Repeal of the NCPB Act Cap 338 and the enactment of an appropriate legal framework establishing the Grain Corporation of Kenya as a commercial entity in line with the proposed mandate and functions of GCK.	The existing Bill need to be updated and harmonised with this report, then enacted by Parliament. This will involve; • Prepare cabinet paper and draft bill on the GCK • Approval of both by Cabinet • Bill passed to AG for final drafting • Bill discussed and Enacted by Parliament • Establishment of the GCK	• NCPB, Cabinet Secretary - MOALF • Cabinet • AG in consultation with Cabinet Secretary • Parliament and MOALF	X	X			

Proposed recommendations	Operationalisation Modalities	Responsibility	Timeframe				
			Phase 1			Phase 2	
			Short-term		Medium term	Long Term	
			6 Mths	1 Yrs	2 Yrs	3 Yrs	4 Yrs
▪ **Bring GCK into profitability**	▪ Aggressive marketing; ▪ Rental incomes and warehousing rates for the storage space and offices to third parties will be charged at market rate. ▪ Government will ensure payment of services for the agency agreement are done as agreed; ▪ Reorganise its staff in order to work optimal staff recommended. The GoK will provide all money required for staff reorganisation and reduction; ▪ Enter into a renewed agreement with the government to have all outstanding settled.	NCPB Board, MD and Top Management, & CS and PS - MOALF	X				
▪ **Cleaning the Balance Sheet**	▪ Government to honour and agree to pay the debt equivalent to Kshs 3,470,287,789.00 as at 2012/13 it owes NCPB. In addation, the Government to pay Kshs 2.3 Billion Claim of 2002. ▪ The board undertake a fixed asset valuation; all necessary actions to be undertaken by GOK to provide NCPB with titles to all fixed asset currently shown on their asset register and balance sheet; adjust property, plant and equipment balance sheet figures subject to proposed valuation. ▪ Write off any debtors who are unlikely to pay and write back of liabilities that NCPB is not likely to pay.	MoALF in collaboration to Treasury to pay debts and claims; NCPB Board and top management to implement in collaboration with treasury and MOALF	X				
▪ Funding Options: Government injection, Strategic Investor through PPP	▪ Government to inject necessary capital ▪ To facilitate the implementation, it will important to hire an transactional advisor who will evaluate each funding and operational model as recommended, and advice a design appropriate PPP model	MoALF in collaboration to Treasury to provide capital. NCPB Board and top management to implement	X				
▪ Register NAFAKA as private limited liability company & Continue and upscale current grain trading	▪ Board and cabinet secretary give approval, Incorporate NAFAKA with Registrar of companies, register NAFAKA trademark. ▪ From Capital injection upscale graining trading and value addation	NCPB, Cabinet secretary	x				
Enhance warehouse receipting operations							
▪ Finalising legal framework for WRS	▪ Prepare cabinet paper and draft bill on the WRS, Approval of both by Cabinet, Bill passed to AG for final drafting	NCPB, MoALF	X	XX	XXX		

Proposed recommendations	Operationalisation Modalities	Responsibility	Timeframe				
			Phase 1			Phase 2	
			Short-term		Medium term	Long Term	
			6 Mths	1 Yrs	2 Yrs	3 Yrs	4 Yrs
▪ Finalize the development of the WRS including Setting up the warehouse receipting division ▪ NCPB should be allowed to start replenishing the SGR stocks through WRS ▪ Adopt international grading systems for maize and other grain products	▪ Bill discussed and Enacted by Parliament ▪ The work done to date should be discussed by the Board and the timelines for finalization agreed upon. ▪ MoALF to provide money to start the process ▪ NCPB and MoALF to convene a meeting of the inspection and grading companies both local and international to include KEBS, KEPHIS, SGS, KARI etc to address the modalities of adopting international grading standards for grains in Kenya	NCPB Board & MoALF NCPB and MoALF	X X	XX	XXX		
▪ Regional offices should be strengthened to become devolved strategic business units with decision making authority over procurement, Human Resources and Finance.	▪ Allow Regional manager to make decisions and head offices to monitor – HQs to issues a memo of devolved decisions and functions. ▪ Operate as profit centres and hence policy guidelines and operational procedures on delegating authorities and responsibilities to the depot managers need to be developed on this.	NCPB	X				
▪ **Working with County Governments:** GCK to enter into an MOU with Counties to ensure food security and development of food storage facilities at County level. NCPB will Lease of Depots / Warehouse to the County Government under the usual terms and conditions applicable to other private sector operators who have been leasing space or depots from the Board. ▪ GCK need to partner with county governments in sourcing of farm inputs to enhance food production and ensure food security given its logistical network	▪ Identify areas of cooperation , ▪ Enter into MOU on the co-operation: ▪ The Board shall sign Leasing of Depots / Warehouse Agency Agreement with willing County Government, contents of which shall be a mirror image of the Agency Agreement signed with MOALF. ▪ The Agency Agreement on fertiliser signed between MOALF and the Board should be replicated downwards to the County Governments.	NCPB management and County Government Governors	X	X X	XXX	XXXX	XXXXX
▪ Establish CFS/Bonded warehouse	▪ Draft concept paper ▪ Approval by Board ▪ Obtain necessary regulatory requirements	NCPB/MOALF/KPA/National Treasury	X	XX	XXX		

Proposed recommendations	Operationalisation Modalities	Responsibility	Timeframe				
			Phase 1			Phase 2	
			Short-term		Medium term	Long Term	
			6 Mths	1 Yrs	2 Yrs	3 Yrs	4 Yrs
	▪ Re organise the structure ▪ Harmonise , Sources or/and transfer functions ▪ Complete Institutionalisation ▪ Sustain operations						
▪ Establish the Grain Institute	▪ Draft concept paper ▪ Approval of the Board & MOA ▪ Source and sign partnerships ▪ Obtain necessary regulatory requirements Sources functions ▪ Set infrastructure & operations	NCPB and MOALF		XX	XXX	XXXX	
▪ Adopt international grading systems for maize and other grain products	▪ Source/Hire/acquire and install	NCPB	X	XX	XXX		
▪ Audit of all land and property belonging to the Board be undertaken, and their valuation be undertaken afresh. Further, urgent measures need to be taken by the GCK to regularise and complete the registration process for the unregistered land and to secure and protect the GCK's land against all forms of encroachment. ▪ Land is illiquidable asset the GCK should continue generating value from it through commercially utilisation especially leasing and developing through PPP.	▪ Engage valuation Expert. ▪ As part of divestiture program GCK should consider inviting submissions from companies putting forward proposals together with the rates which they would charge for leasing the unutilised infrastructure (Land and Storage Facility). The invited companies will be requested to outline prospective ventures they would like to put the infrastructure into or demonstrate innovative approach to their use.	NCPB and MOALF to fund NCPB	X	XX			
▪ Repair and upgrade Serviceable existing Infrastructure - driers, weighbridges, depots and warehouses, access and drainage	▪ Source/Hire/acquire and install	NCPB	X	XX			
▪ Commercially utilize and Lease underutilized capacity and equipment	▪ Continue leasing ▪ Sign agreements with potential partners including county governments	NCPB	X	XX	XXX	XXXX	XXXXX
▪ Lease staff houses and commercialise undeveloped land	▪ Continue leasing Outsource to a real estate agent ▪ Develop through PPP	NCPB	X	XX	XXX	XXXX	XXXXX
▪ Dispose Obsolete and unserviceable equipments	▪ Advertise and auction incompliance with PP&D Act	NCPB	X	XX			
▪ Acquire the latest state of art equipment and modernization of grain handling technology	▪ Source	NCPB	X	XX	XXX		
▪ Enhance safety and security of staff, stock and infrastructure	▪ Hire a consultant and also acquire and install modernized state of the art safety and security	NCPB	X	XX			

Proposed recommendations	Operationalisation Modalities	Responsibility	Timeframe				
			Phase 1			Phase 2	
			Short-term		Medium term	Long Term	
			6 Mths	1 Yrs	2 Yrs	3 Yrs	4 Yrs
	systems						
▪ Upgrading of the ERP system to include an integrated platform for (finance, procurement, stock control and HR technical maintenance, property management and market information)	▪ Hire a consultant to assist in the system upgrade	NCPB	X	XX			
▪ A BCP and DRP should be developed and implemented, ▪ ICT training for users, ▪ Establish Local Area Network and revamp wide area network,	▪ Hire a consultant to assist in the system upgrade	NCPB	X	XX			
Establishment of the National Food Security Agency (NAFOSA) or its equivalent							
Legal framework, Governance and management	▪ Draft cabinet paper ▪ Draft Bill ▪ In interim the current SGR & FRS assume the role and existing equivalent funds ▪ Bring other working groups on Board	Principal Secretary and Cabinet Secretary Cabinet Secretary – MOALF in consultation with AG; Cabinet and Parliament	X	XX			
Institutionalisation	▪ Sources equipment, systems and staffing	Principal Secretary and Cabinet Secretary -MoALF	X	XX			
Transition period	▪ In interim Food office to be established at MoALF	Principal Secretary and Cabinet Secretary -MoALF	X	XX			
	▪ Repeal the Legal Notice No 55 of 15th April 2002, for established strategic Grain Reserve (SGR) through the Treasury and Audit Act Cap. 412 (Strategic Grain Reserve Fund) Regulations 2002 to ensure the food security function is dealt with as MoALF as recommended	Principal Secretary and Cabinet Secretary -MoALF	X				
	▪ NCPB to work on and submit an itemised budget for the management of SGR to MoALF	NCPB	X				
	▪ MoALF and NCPB to assign a new Agency agreement for management of SGR	Principal Secretary and Cabinet Secretary –MoALF and Chairman and MD - NCPB					
Establishment of Grain Sector Regulator							
Legal framework, Governance and management – Rationalise with AFFA	▪ Prepare cabinet paper and draft bill on the GRCK ▪ Approval of both by Cabinet ▪ Bill passed to AG for final drafting ▪ Bill discussed and Enacted by Parliament ▪ Establishment of the GRCK	Principal Secretary and Cabinet Secretary Cabinet Secretary – MOALF in consultation with AG; Cabinet and Parliament	X	XX			

Proposed recommendations	Operationalisation Modalities	Responsibility	Timeframe				
			Phase 1			Phase 2	
			Short-term		Medium term	Long Term	
			6 Mths	1 Yrs	2 Yrs	3 Yrs	4 Yrs
Establishment of the Commodity Exchange – COMMEX							
Legal Framework and Governance – rationalise with Capital Markets Act as amended	▪ Prepare cabinet paper and draft bill on the COMMEX ▪ Approval of both by Cabinet ▪ Bill passed to AG for final drafting ▪ Bill discussed and Enacted by Parliament ▪ Establishment of the COMMEX	Principal Secretary and Cabinet Secretary Cabinet Secretary – MOALF in consultation with AG; Cabinet and Parliament	X	XX			
Other initiatives – Institutionalisation	▪ Promoters to prepare a feasibility, ▪ Source infrastructure, and Implement	Promoters	X	XX			

11 APPENDIX

Annex I: Debriefing Meetings Held

1] NCPB top management meeting with EY team (NCPB Boardroom on April 18 2013)
- Introductory Presentation of NCPB by the Management
- EY presentation on Understanding of the Project and the Implementation Plan

2] NCPB Board meeting with EY team (NCPB Boardroom on April 29, 2013)
- Introduction meeting of NCPB Board and their expectation of this assignment
- EY presentation on Understanding of the Project and the Implementation Plan

3] Assignment Inception debrief meeting with Management & NCPB Heads of department (NCPB Boardroom on May 13, 2013)
- Introduction of teams and division of roles,
- Collection of relevant Documents, and
- Assignment officially began

4] First Field Study Visit at Nairobi Silos (Embakasi): Tuesday - May 21, 2013
- All EY teams attend the first site tour of NCPB Nairobi Depot which was followed by NCPB presentation of key issues per component leader (Lead NCPB Heads of Departments).
- Comments by the Strategic Planning and Procurement Oversight Committee of the Board were very helpful in this restructuring study.

Annex II: Participant During the Inception Meeting

Attendance List of Inception Meeting Held on 13th May 2013 with Restructuring Consultants

1) Gideon Misoi – Former MD - NCPB (Chairing)
2) James Boit – ~~HOD –~~ R&BDM (NCPB)
3) Frank Muchina – HRM (NCPB)
4) Patrick Karanja – BS
5) Hellen Kilel – AM
6) Stephen Mbutu – Technical Manager
7) Ernest Ogwora – OM
8) Cornel Ngelechey – FM & Ag. MD
9) Agripina Ngui - QAM
10) David Mundia – PM
11) Evans Wasike – PRM
12) Jonah Chebii - IAM
13) Aziz Ngare – AICTM
14) Gideon Muthuri - CMO
15) Charles Ngetich – SMO
16) Joan Bosire - SO
17) Douglas Munga – Consultant EY
18) Daniel Kamande – Consultant EY
19) Jonathan Nzuma– Consultant EY
20) Marubu Munyaka– Consultant EY
21) Gregg Bekko– Consultant EY
22) Sammy Muteti– Consultant

The teams start meeting NCPB Department heads immediately as from Monday 13th May 2013 afternoon.

It was agreed that information required by consultants will be passed on through Daniel Kamande Project Manager -E&Y and James Boit Co-ordinator -NCPB

Annex III: NCBP Management Staff Visited and Interviewed

	NAME	POSITION	EMAIL ADRESS
1	Prof. Gideon Misoi	Former Managing Director	md@ncpb.co.ke
2	Frank Muchina	Human Resource Manager (HRM)	fmuchina@ncpb.co.ke
3	Ernest Ogwora	Operations Manager (OM)	eogwora@ncpb.co.ke
4	Cornel Ngelechey	Finance Manager (FM) & Ag. MD	cngelechey@ncpb.co.ke
5	Josephat Githuku	ICT Manager	githukuj@ncpb.co.ke
6	James Boit	R&Business Development Manager (R&BDM)	jboit@ncpb.co.ke
7	Patrick Karanja	Board Secretary (BS)	Pmkaranja@ncpb.co.ke
8	Agripina Ngui	Quality Assurance Manager (QAM)	agripina@ncpb.co.ke
9	John Ndonga	Sales & marketing Manager	jndonga@ncpb.co.ke
10	Jonah Chebii	Internal Audit Manager	jchebii@ncpb.co.ke
11	David Mundia	Procurement Manager	dmundia@ncpb.co.ke
12	Stephen Mbutu	Technical Manager	skmbutu@ncpb.co.ke
13	Fredrick Siele	Manager services Marketing	fsiele@ncpb.co.ke
14	Karanja Wainaina	Security Manager	kwainaina@ncpb.co.ke
15	Evans Wasike	Public Relations Manager	ewasike@ncpb.co.ke
16	Helen Kilel	Administration Manager	hkilel@ncpb.co.ke

Annex IV: List of Documents Obtained and Studied

	Name of the Document	Comment
1	Agriculture, Fisheries and Food authority Act 2013	Reviewed
2	Audited financial statements for financial years ending 31st December 2008, 2009, 2010, 20111 and 2012 supporting detailed schedules;	Reviewed
3	Detailed Curriculum Vitae for all Heads of Departments, Job descriptions for all employees	Review on going
4	Detailed employee data base	Reviewed
5	Detailed management accounts for the period ending 31st December 2010, 2011 & 2012 (statement of financial position, statement of comprehensive income, statement of cash flows and supporting detailed schedules all tied up in audited accounts format)	Reviewed
6	Detailed NCPB Organisational structure/chart	Reviewed
7	Detailed payroll	Reviewed
8	Employee Cases filed at the industrial courts	Reviewed
9	Employee code of conduct	Reviewed
10	Employee HIV/AIDs Policy	Reviewed
11	Employee training policy	Reviewed
12	Feasibility study report for the establishment of rice milling plant 2012	Reviewed
13	Fixed assets register and detailed asset schedule	Reviewed
14	Grain Pricing Study- Cereals Sector Reform Programme 1989 by	Reviewed

	A.K.I.G.B, F.R.G. in association with DRS	
15	Human Resources Manual	Reviewed
16	Management Letters from auditors, replies and action taken-2008-2012	Reviewed
17	Ministry of Agriculture Directorate of Policy and External Relations; • National Cereals Produce Corporation bill , 2008, • Cabinet Memorandum on the National Cereals Produce Corporation bill , 2008, • Cereals Produce Corporation bill , 2008 • The Warehouse Receipts System Bill2013.	Reviewed
18	NCPB brief to the Ernst & Young Consultants 19.04.2013	Reviewed
19	NCPB Commercialization Project Cost reduction and New NCPB services by Agriconsult 1996	Reviewed
20	NCPB Commercialization Project- costs of commercialization-comprehensive financial estimate of the cost of implementing NCPB restructuring plan including GOK write off by Agriconsult 1996	Reviewed
21	NCPB Commercialization Project draft grain corporation of Kenya bill 1998	Reviewed
22	NCPB Commercialization Project Fixed Asset Valuation and Divestiture plan by Agriconsult 1996	Reviewed
23	NCPB Commercialization Project Implementation Actions Relative to the Consolidated Action Plan by Agriconsult 1997	Reviewed
24	NCPB Commercialization Project- NCPB Grain forecasting and Marketing information systems by Agriconsult 1996	Reviewed
25	NCPB Commercialization Project Proforma "clean " Balance sheet for NCPB by Agriconsult 1996	Reviewed
26	NCPB Commercialization Project Proposal for an extension of services by Agriconsult 1997	Reviewed
27	NCPB Commercialization Project –report on the proceedings of the retreat held on 2nd April ,1998	Reviewed
28	NCPB Commercialization Project Restructuring and Business Plan by Agriconsult 1996	Reviewed
29	NCPB County Profile	Reviewed
30	NCPB ICT Strategy	Reviewed
31	NCPB Strategic Plan 2009-2013	Reviewed
32	Organisation review-draft final report by Deloitte Consulting 2007	Reviewed
33	Performance contract between the Ministry of Agriculture and the Board of Directors of NCPB for 1st July 2011 to 30th June 2012.	Reviewed
34	Policy statement on National cereals and produce board	Reviewed
35	Proposal for a regional agricultural commodity exchange based in Nairobi, a feasibility study by USAID Contractor, Goggin ACIArb	Reviewed
36	Report on the legal and regulatory issues for the Warehouse receipt system by the Ministry of Agriculture task force	Reviewed
37	Salary scales management policy	Reviewed
38	Terms and Conditions for the Employee Union	Reviewed
39	Various presentations on key issues per component made to Ernst & Young Consultants during the 1st Field Study Visit at Nairobi Silos (Embakasi): Tuesday - May 21, 2013	Reviewed

Other IT obtained and studied includes;

▪ Business strategy document
▪ Current and future IT Strategy Paper
▪ IT department organisation chart
▪ Each personnel's job descriptions
▪ Individual curriculum vitae (CVs)
▪ Software application matrix, i.e. a comprehensive list of all software applications in use at NCPB with each mapped to its respective business process/function
▪ List of all interfaces between applications and systems and Information shared between the key applications
▪ Information on the existing software license management process with number of users, vendor details and annual cost
▪ Complete and up-to-date hardware inventory
▪ Planned hardware investments
▪ Information security policy and other IT policies in place
▪ External audit report
▪ Information on current and upcoming IT projects giving budget, objectives, scope and status
▪ Previous, current and next financial year IT budget

Annex V: Response to NCPB Management and Board Comments on the Draft Report

#	Comments/Suggestion	Response
1	The management and responsibilities/duties of the proposed National food security agency should be clearly spelt out to ensure that the current prevailing challenges posed by the current SGR set up are **not** replicated.	These have been fully addressed in the report. As opposed to the current SGR trustees, NAFOSA will be institutionalized through an act of Parliament. The governing body will be a board and management will be constituted
2	The proposed Grain Sector Regulator of Kenya (GRCK) should create an enabling environment for structured trading in the grain subsector.	(Yes, indeed the detailed functions of the GRCK are contained in the report)
3	The current government structure has placed the management of Strategic Grain Reserves (SGR) docket under the Ministry of Agriculture, Livestock and Fisheries (MOAFL) and the Famine Relief (FR) docket under the Ministry of Devolution and Planning (MODP). Currently the re-constitution of the SGR Trustees is ongoing.	We have perused the Executive Order No. 2/2013 dated May 20, 2013 issued by the Office of the President and signed by the President and we have noted that following functions are placed in the Ministry of Agriculture, Livestock and Fisheries: National Food Security, Food Safety and Inspection, Strategic Grain Reserve, Strategic Food Reserve and the NCPB. Consequently we are convinced beyond any reasonable doubt that NAFOSA should fall under MoALF
4	The devolved government structure which is being implemented should be internalized / considered during the study. Food security is part of the devolved functions and this will affect the running of operations at NCPB. The study needs to come out clearly on how the operations of NCPB will be carried out under this devolved structure.	We have addressed the proposed relationship between the NCPB and the County Governments and the necessary tenets are contained in the revised report
5	The consultants should address the challenges and prescribe suitable solutions to avert the same challenges recurring and affecting a restructured NCPB.	These are addressed in the revised report. The tenets of the necessity to establish the NAFOSA are informed by the need to have an institutionalized framework to deal with food security as opposed to the adhoc nature in which this was handled in the past. Such an institution should have its budgetary allocation directly from the Consolidated Fund and should be managed by an Independent Board comprising of the various stakeholders including Ministries that are involved one way or the other in food security and famine relief. The idea is to put under one roof all the initiatives and departments from various Ministries dealing with food security and famine relief on a sustainable basis. NAFOSA is aimed at taking away the social function from the Board so that the latter can focus on its commercial functions. The regulatory role of the Board is also removed from the Board and transferred to the GRCK.
6	It was noted that some of the business unit / subsidiaries to be established to carry commercial activities do not require new legal framework and therefore can be established within short periods. However new institutions which will require drawing up of new legal frameworks will be expected to take up more time.	That is true. The Board will simply invoke its past modus operandi mandates when it owned Milling Corporation, Kilifi Cashew Nuts Factory and Kenya Bixa, among others and simply establish new units as recommended in the report.
7	The consultants should also include in the study more relevant best practices within the African continent e.g.	This study is informed by lessons from restructuring and reforms which have been undertaken here in Kenya and outside. Best practices and lessons elsewhere are already outlined in the

#	Comments/Suggestion	Response
	South Africa, Zambia and Ethiopia.	revised report.
8	The consultancy report must include a detailed and clear implementation plan that gives a clear road map on how to avoid past failures.	This has since been done and contained in the report presented to the Board on August 30, 2013. A detailed plan in contained at the end of the report
9	Even though the NCPB Management had responded to the request from the Presidential Taskforce on Parastatals / State Corporation and had incorporated the interim recommendations from the consultancy study, it is important that the Task Force is regularly updated on the restructuring proposals.	The Final Draft Report presented to the NCPB, should be shared with the Task Force through the Board Chairman or MD. If need be the consultant will present the report to stakeholders workshop organised by MOALF.
10	Recommendations to be made on how to streamline the Public Procurement and Disposal Act if the proposed Commercial Business Units (CBUs) are to participate competitively in a business environment.	Given that the Board has since been designated as a Commercial entity with the reform of the Board, this report has recommended that the Board be exempted from the provisions of the State Corporations Act.
11	The proposed CBUs (Nafaka, Bonded warehouses, Training School) should be reflected as units with the restructured NCPB / GCK until they grow or are unbundled into fully fledged subsidiaries.	The propose business unit will be division of the GCK and they will be natured until they are self sustaining. This is reflected accordingly in the report
12	Consultants will have to come up with recommendations on how to dispose off the assets marked for divestiture as they continue to be a burden to NCPB.	The report has addressed this fully. The Assets belong to the Government and NCPB holds them in trust for and on behalf of the Government. The report recommends that the Board enhances return on rental income from residential houses by re-negotiating leases in order to adjust the rents upwards by at least 50 % over the next 3 years. As regards, the Depots and Silos, the report recommends that idle space that is not going to be used in the near future be also leased out to private operators as they have been doing in the recent past. Some can also be leased to the County Governments. Where grains are stored by the County Governments, NCPB can maintain the same on behalf of the County Government at an agreed market based fee. Where idle land is concerned, the report proposes development with other players under Public Private Partnership Agreements. For depreciable assets like vehicles, the report proposes that they disposed off within the provisions of PPD&A. As for the locomotive engine, the report proposes that it be leased out to RVR and appropriate rental income be negotiated.
13	The key ministries; Ministry of Agriculture Livestock and Fisheries and Ministry of Devolution and Planning and the National Treasury should be more involved in the restructuring process and their input be incorporated as early as possible.	This is agreeable to the Consultant. The last Board recommended that the Consultants' Report be presented to a forum where all the representatives of the said Ministries will be present. The Board further recommended that MOALF should invite the other Ministries to participate in the presentation
14	The Board of Directors recommends that Ministry of Agriculture, Livestock and Fisheries be responsible for all	The consultants are in agreement and have since amended the reporting system for NAFOSA to read Ministry of Agriculture, Livestock and Fisheries

#	Comments/Suggestion	Response
	national food security issues/matters as outlined in the Presidential Circular no. 1 which allocated duties and responsibilities for each ministry	
1	The ownership of assets by the NCPB needs to be well established and documented so that any asset divesture proposals and programmes will be made easier.	This is an in-house matter at the NCPB but hopefully subject to our recommendations on how the said assets shall be dealt with as alluded to in our comments in No. 12 above. We have also include a number of recommendations which should fast track the ownership of said assets
16	The justification for expanded commercial activities by the restructured NCPB / GCK needs to be well grounded and well explained since the private sector is likely to question the continued involvement of government as a commercial player in the liberalized grain sector.	The consultants have noted in the report that Agriculture is one Strategic area in which all governments including OECD countries will never come out of. Others include: Energy, Export Development Programs, Higher Education, Healthcare, and Small Business Development Programs. These sectors are managed as "Independent Government Agencies which do not depend on the Treasury for the operations. But rather, they float their own "Agency Bonds" which bear the same privileges as Treasuries because they are issued with the utmost good faith, knowledge and creditworthiness of the Exchequer. Their default risk is therefore very low but they offer a slightly higher premium than treasuries. The propose business unit will be division of the GCK and they will be natured until they are self sustaining. This is reflected accordingly in the report
17	What will be the relationship between GRCK and the newly created Agriculture, Fisheries and Food Authority (AFFA)?	The Consultants have reviewed AFFA Act and its lack provisions to regulate the sector. It needs to be amended to include such provisions. AFFA mandate is wide as includes Fisheries & Livestock hence the need to synchronize the Act.
18	The consultants should ensure that the report fully addresses all the terms of reference of the consultancy services for the restructuring of NCPB	The revised draft report has addressed tasks as per ToRs.

Annex VI: Comments from MoALF (Department of Agriculture) Comments on the Draft Report

Overall Observation	
A close scrutiny on the report summary and recommendations reveals a number of areas which are not clear or are in conflict with the intended outcome of the study as per the TOR.	✓ The main thrust of the TORs were to separate the "Social Functions" of the NCPB from the "Commercial Functions". The consultants also recommended the removal of the "Regulatory Functions" from the NCPB to a separate legal entity for the reason that a commercial entity cannot regulate itself.
General Observation	

I	The recommendations do not fully capture the envisaged / restructured NCPB in the wake of the Kenya Constitution 2010 especially with regard to the devolved units of Governance.	✓ We looked at how the NCPB is organised/structured regionally; the board operations are organised in 6 regions, hence we analysed staff and depot categorisation regional wise. In additional, we have provided depot distributions per county indicating the NCPB presence in each county.
Ii	The recommendation has not adequately explored sustainability aspects of the proposed restructuring and the resultant restructured institutions. This may pose a danger of viability of the institutions	✓ We have looked at the funding and functional/programme sustainability of all the institutions which have been recommended for establishment after unbundling of the board's functions and services. We looked at how they would be funded and how they would earn income in the long run.
iii	On balance sheet restructuring, the proposals major on the Government still injecting huge amounts of money into the corporations. This may not be feasible (not easily attainable) based on the current policy shift by the Government on funding corporations. a. The proposal is for the consultant to explore other innovative ways of undertaking balance sheet restructuring. b. This should be done without tying it to huge Government fundings.	We have identified items in the balance sheets which require to be addressed. They include; ✓ Debts from GOK due to maintenance of SGR stock and fertilizer supply ✓ Financial obligations - loans ✓ Fixed assets of doubtful and ownership. ✓ Unrecoverable current assets (debtors) and liabilities that may not be honoured ✓ Equity in form revenue reserves due to accumulated losses. ✓ Eroded working capital Our recommendations were based on above items. These are; ✓ Government to honour and agree pay the debt it owes NCPB. ✓ This will provide NCPB will adequate working capital to be able to undertake commercial trading at a comfortable level. From the proposed funding structure, the board should settle all outstanding obligations. The settlement model to be matched with the cash inflows from government payments. ✓ The Government debt can be amortized over a period of 5 years if the GOK is not ready and willing to inject more capital into the Board. There are assets that could have been liquidated to clear off this debt and whose values are highly understated. But it should be lost sight of the fact that these assets do not belong to the Board. The Board is only holding them in trust for and on behalf of the GOK ✓ The board undertake a fixed asset valuation and then all necessary actions to be undertaken by GOK to provide NCPB with titles to all fixed asset currently shown on their asset register and subject to proposed valuation. ✓ We have recommended write off by the NCPB of any debtors who are unlikely to pay and write back of liabilities that NCPB is not likely to pay. ✓ We have explored ways reversing the negative revenue reserves to positive reserves through. Funding options are included in the report.
iv	Public – Private Partnerships is not covered in the recommendations while this is the direction the Government is taking in dealing with sectors such as food security. There should be recommendations of possible areas of PPP, how to approach and establish sustainable PPP and the intended benefits.	✓ The Report recommends severally the use of PPP in addressing some of the capital requirements by the Board. The Report recommends that the "Warehouse Receipting Function" and the establishment of the Commodity Exchange can and should be done in partnership with the private sector. In particular the report suggests that the management of the Commodity Exchange should be outsourced in the first 2-3 years to SAFEX of South Africa. Likewise, Nafaka could also be managed in partnership with the private sector and the management of the

		proposed "Grain Institute" could also likewise be developed and managed in collaboration with the private sector operators. The report also recommends that Grain Corporation of Kenya be exempted from the requirement of the State Corporation Act, in order to attract and bring on board private Sector investors.
v	The review on the current ailments of the organization has not dug deeper on management and matters of Corporate Governance including Board mix. Though hidden, these could be crucial areas that may still drag the organization into default even in its restructured format.	✓ Given that the Social Fuction of the Board as well as the Regulatory Function have been removed from the NCPB, we have revisited the current structure and composition of the Board of Directors. We recommend that the composition and skill set of a board should depend on the GCK's strategic vision and particular challenges encountered in the wider grain sector. An ideal board for a commercially oriented organization should comprises a mix of knowledge and expertise as contained in the revised report.
vi	There are functions such as management of SGR, provision of famine relief which are dubbed as "social" functions. However, the consultant has not belaboured to explicitly define the term "social function" which is key in making a decision whether to retain or discard of such functions in a reorganised NCPB.	✓ We defined social functions as activities performed not for monetary gain but giving back to the society but looked the social function in the context NCPB operations. ✓ NCPB is categorized as a commercial entity. In addition to the National Cereals and Produce Board's principal activities which include grain handling, marketing with provision of allied services and facilities, the Board undertakes social functions on behalf of the Government on Agency basis. We reviewed the cost of undertaking social function on behalf of the government. GOK Agency expenditure has two categories which include; direct costs/remittances and Agency fees and charges for services /facilities provided. Direct expenditure remained steady between 2008 and 2012. Procurement costs and remittances of GOK sales proceeds are the largest expenses items in this expenditure category. Agency fees and charges for services /facilities provided had a negative cumulative average growth rate (CAGR) of -5% compared to a cumulative average growth rate of total GOK operations income of - 19% indicating that the total income was decreasing at a higher rate than this category of expenditure. Storage, commission purchase and commission on commercial sales are the three highest expenses in this category. ✓ Despite the Agency agreement, the Government have failure to honour agency agreement and continue to interfere with procurement and maintenance of SGR, undertaking Strategic Grain Reserve and Famine Relief on behalf of the Government will remain as "social functions" to NCPB as there are provided in unarm length manner. Therefore, there is need to separate the NCPB commercial and social functions.
vii	In the situational analysis by the consultant, a function is given as marketing of high quality farm inputs. Was NCPB created to market high quality farm inputs or this is an additional role that emerged to fill an	✓ This is a good comment. It will be recalled that the failure of Kenya Farmers Association (KFA) created a huge void in the importation of fertilizers and other farm inputs. As a result, the private sector operators took advantage of this and

	identified void in the market.	started exploiting the farmers by charging exorbitant prices which is almost clipping grains farming in this country, particularly the small scale producers. In order to save the grain farmers, the NCPB saw an opportunity to assist the farmer and started to import fertilizer. Given its branch network across the entire country it was able to distribute the farm inputs particularly fertilizers in all corners of this country. The liberalization of the cereal sector of 80s and 90s called upon the Board to become more innovative in defining it mission. The purchase, sell and supply of fertiliser by the Board is in line with the current mandates "commodities trading" of NCPB as a commercial entity. The board should upscale this. It is recommended that Board sign MOU with county government in food basket areas to import fertiliser on their behalf in order to enhance food productions and security.
viii	The desk-study did not adequately look at NCPB in relation to the entire sector and corporate branch of agriculture sector. This is important in line with the current reforms. For instance, have the proposed regulations taken into account what the AFFA Act,2013 and Crops Act, 2013 envisage in terms of the Sector regulation. a. Is another institution necessary for regulation of grains? b. Is it grains or cereals? c. What is the difference between the two? And d. What are the possible policy implications and shifts from cereals to grains?	We have reviewed the AFFA Act, 2013 and Crops Act, 2013. We have our concerns with these Acts, particularly the AFFA Act which we enumerated in this section: ✓ The proposed AFFA lacks specific provision to regulate and guide the grain sector in liberalised and competitive environment. For example, who will regulate and license key players in grain sector such as the proposed warehouse operators and commodity exchange among others. There is no provision in the AFFA Act for the establishment of "market based interventionism mechanisms for dealing with price fluctuations and hedging (price stability), price discovery mechanisms, market dissemination system, credit enhancement, liquidity provisions, etc., via the use of Commodity Exchanges, etc., under a liberalized agricultural sector regime. ✓ The Act creates a huge monopoly in regulation which is contrary to the spirit and aspiration of a liberalized economic environment. ✓ In essence, the reform need to rationalize the existing institutional, legal and regulatory frameworks but not to destroy those that are in dire need for nurturing to take off and those are efficient. For example, the "Tea Board of Kenya" is one of the best regulators in the country that has led to the growth of the Tea Sub-Sector and Tea industry. The HCDA is another regulator which has overseen the emergence of a vibrant horticultural sector. Coffee sector is already in underperforming. The country cannot solve the problems of coffee industry via another huge Authority "monopoly" as proposed in AFFA Act. ✓ Instead of unbundling sectoral functions for efficiency, the Act is trying to bundle them back and this may create inefficiency. ✓ As it is also proposed, the Authority's Board of Directors of over 18 Members is

		bloated. The Act also suggests that Board Members should have a background in Agriculture. Any Board should have a proper mix of Board members from all disciplines so that there could be diversity in decision-making and knowledge sharing. The best practice is to have a lean Board that can be efficient and able to make quick decisions. ✓ The proposed AFFA Authority is not based on any best practise all over the world. Every sub-sector should have its own sector specific regulator. Ideal we should empower the existing regulatory institutions to become more efficient, staff them with right skills and institute proper governance structures for efficiency and effectiveness. When the sub sector assume self-regulation and sustaining, and when the agricultural market based intervention mechanisms are established, then the country could consider merging them to create one market regulator. If AFFA Act is amended to include all functions of the proposed regulator, then it will be in position to regulate the sector. Otherwise, we recommend establishment of the proposed regulator. Is it grains or cereals? What is the difference between the two? ✓ It is grains because is more broad than just cereals. Grains encompass both cereals such as maize, wheat, rice, sorghum, millets and legumes such as beans, cowpeas, green grams, legion peas. The dictionary definition of grains; ✓ Grains are small, hard, dry seeds (with or without attached hulls or fruit layers) harvested for human or animal food. Agronomists also call the plants producing such seeds 'grain crops'. Main types of commercial grain crops are cereals such as wheat and rye, and legumes such as beans and soybean. ✓ Note that NCPB is current trading in Grains What are the possible policy implications and shifts from cereals to grains? ✓ The use of the term grains widens NCPB's scope to dealing with a wide range of grains. If the current act governing NCPB was to be followed to the letter, then they would not be allowed to trade in beans and green grams but would be restricted to maize, sorghum, wheat and rice. There is need to make the revised Act all inclusive.
ix	The implementation roadmap needed to be provided in an incremental kind of framework. There is need to isolate the quick wins which the Government should prioritize as it implements the findings.	✓ We have provided a three phased implementation plan; separating reforms/proposals that need to be prioritised and implemented in short run from those which might take long.

Specific Observations		
Proposal to Create 4 Independent Entities The following entities are proposed in the report:- • Grain Sector Regulator • Grain Corporation of Kenya (Restructured NCPB) • National Food Security Office Agency (Manager of the Strategic Grain Reserves and famine relief stocks) • Commodity Exchange (COMEX) Market A conceptual framework for the restructuring has also been proposed		
a) On the proposed Grain Sector Regulator It is proposed that this body to be established under an Act of Parliament. The areas of concern which needs to be clarified by the consultant are:-		
i	Will it be a body corporate?	✓ Yes, it will be a Corporate Body but with strong representation from the Stakeholders both in the private sector and government sector
ii	Will it operate like a Government Parastatal? If yes then why the term Commission.	✓ Yes it will operate like a government parastatal, Since Government always act as a Referee in various sectors of the economy. ✓ Yes because most of the Regulators use the term "Commission". For example the "Communications Commission of Kenya (CCK)" that regulated all service providers in this country, the "Energy Regulatory Commission (ERC) that regulates the energy sector in this country, etc. The use of the word "commission" in reference to regulator is current trend in the Global market, where the government interventions are required than market self regulation rule.
iii	Are there any unique aspects of grain regulations which necessitate formation of a whole independent entity (commission)? Is there a possibility that this is just a regulatory function which the currently proposed regulator in the agricultural sector can equally handle within its structures?	✓ Under the proposed unbundling of the functions and services of the current NCPB, new institutions have been proposed for creation. For example; the Warehouse Receipt System, the Commodity Exchange, other Independent Warehouse Operators who would emerge, and the Brokers and Dealers at the Commodity Exchange as well as the Market makers would require to be regulated, among others. The functions of the proposed regulator are unique and are well documented in the main report and going by the regional and international best practice, it has been found wise to have a "Grain Specific Regulator". ✓ If proposed Authority under AFFA assumes this role as is, then it lacks provisions that can adequately regulate the sector and bring the envisioned reforms. This may derail proposed and ongoing reforms especially creation of warehousing receipting and commodity exchange, and their operations. ✓ However, if the proposed Authority can be strengthened to include proposed function then it can assume the regulator role.

Iv	Some of the proposed roles for this commission are not clear and needs to be made explicit. Such are; o Facilitation of grain production. In which way? o Protect investors: who are these investors and how are they to be protected? o Oversee the commodity exchange market, warehouse operators and other market players: This statement should be put in context. o Some of the suggested roles will conflict with that of the proposed "COMEX."	o Facilitation of grain production. In which way? ✓ One of the objectives of a regulator is to oversee the emergence of the sector under its jurisdiction via licensing, public education and awareness, formulation of appropriate legislation. ✓ The development of an organized market in grains in the country would create: a price discovery system, price dissemination system, minimize price fluctuations, reduce the costs of carry for the producers and traders, guarantee a floor price to producers and a cap price to the millers among other buyers, an enhance liquidity to the sector as banks and other financial institutions would be ready to finance the sector using the warehouse receipts, and futures and options contracts as they are developed will develop the agricultural sector and enhance production. o Protect investors: who are these investors and how are they to be protected? ✓ Producers (Farmers) are investors because they have invested in farming activities. The Millers and other Traders are also Investors because they have put in money in their processing side of the food chain without whom, there would be no market for the product produced by the farmer. They all need protection from the consequences of failure of one brokers or trader being it being a Brokers / Dealer for the Seller or a Broker / Dealer for the Buyer. The protection can be inform of development of organised market as discussed above. ✓ Also they may be protected though a "Compensation Fund", a "Margining System", "Marking to Market", etc. The Exchange through the Clearing House interposes itself between the "Seller" and "Buyer" by becoming a Counterparty to either side of the trade transaction. In doing so, the Seller (Producer)" may never know the "Buyer (Miller)" until such time that the trade is concluded. This way the exchange enhances the integrity of trade. This intermediation is what gives the farmers the confidence that he / she will not be cheated by the Miller and vice versa. The presence of many players in the market increases liquidity in the market, etc. o Oversee the commodity exchange market, warehouse operators and other market players: This statement should be put in context. ✓ All the players including commodity exchange market, warehouse operators and other market players need to be regulated and their operations well scrutinised as failure of one can result to dire consequences to the entire sector; just like how the capital market operates. o Some of the suggested roles will conflict with that of the proposed "COMEX." ✓ All Commodity Exchanges like the Stock Exchanges are regulated through the

		"Self Rule Regulation". For example the "Nairobi Securities Exchange (NSE)" formulates its own rules and regulations which it passes on to the CMA for the requisite legislation. But the enforcement of the rules and regulations are undertaken by the Exchange on a day to day basis and second to second basis depending on the mode of trading and Clearing and Settlement System adopted by the Exchange. ✓ So, in nutshell there is no conflict; just like the NSE who is responsible for implementation of its own rules and has to report to the CMA, the Commodity Exchange will regulate itself through the "Self Rule Regulations" but it will make regular returns and report to proposed regulator. Regulator will intervene where necessary.
Under the proposed National Food Safety Policy, there is a National Food Safety Authority to coordinate all functions of food safety. The activities of the proposed commission should therefore be taken over by the authority. Further, under the rule of free markets, the proposed Commission will **impose controls** that will not facilitate private sector.		✓ The National Food Safety Authority cannot undertake the functions of regulators as proposed and discussed above. However, it might have a role of ensuring gains store stored in warehouse and trade are of acceptable health standard. ✓ Under a liberalized agricultural environment, controls should be a thing of the past. Controls were used under a "**Command Economy**" where as our economy is market driven.
Recommendation: the commission is not necessary unless justified further and the concerns raised above adequately addressed.		✓ We strongly recommend the establishment of the regulator as proposed; this emphasised on section of the proposed regulator in our report.
b) On The Proposed National Food Security Agency (NAFOSA) The following functions are enlisted for the proposed body: • Formulate food security policy • Monitor grain movement prices and trends • Determine optional SGR stocks • Assess food safety along the SGR supply chain • Improve the rotation and management of the SGR • Strengthen policy linkages with County governments and other food security stakeholders The following issues have been observed;		
	The two major functions proposed for this body i.e policy formulation and strengthening of policy linkages with County Governments are in accordance to the Kenyan Constitution 2010, main functions of the National Government. Such therefore are the roles to be undertaken by the sector Ministry under the mainstream service and may not warrant formation of a Board. In relation to this, the executive order No 2-2013 of 20th May 2013 has already been taken up by the Ministry towards formation of a complete	✓ We have amended this to read "Advice the government on the food security policy" and "Bring together and strengthen linkages between different stakeholders involved in food security". ✓ This is a step in right direction. National Food Security and Early Warning Division headed by a DDA under the Ministry should be for transitional period before an entity is institutionalised to handle food security just like defence. The best practise is institutionalise the food security and management under a under one body corporate with direct funding from the Exchequer.

	National Food Security and Early Warning Division headed by a DDA. Therefore, the suggested roles of NAFOSA are conflicting with that of State Department of Agriculture. The roles should be handled by the Ministry.	
	Other functions like food safety already have other organizations competent enough to handle.	✓ We agree and they will perform they function. This are National Food security Authority, Kephis, Kebs among others
	The report has also "rightfully" pointed that such agencies are no longer fashionable since private sector warehouses and silos plus commodity exchange systems are well developed and as such can handle the same. Perhaps it would be better for Kenya to take this direction.	✓ We concur with this comment. The best practise is for the Government to fundamentally move away from directly dealing with maize in the form of SGR. It is not viable and sustainable to store physical SGR for more than 5 years. First, the reserve will be go bad and second it is very costly for the Government to maintain the reserve, already the Government has spent billions of shillings maintaining the reserve. The best practise to allow the NCPB to continue trading the maize and other grains and the government will monitor the reserve to ensure that at any point in time the Board and other players has at least the required minimum reserve in existing storage facilities. This is the case in South Africa and other developed/developing nations like Australia where they do not maintain any physical reserve. Food security will be catered for through monitoring the entire country for the total available food. Proposed NAFOSA will be issuing advisories in case of anticipated deficit and it will manage any intervention program and withdraw once normalcy is restored. ✓ However, it will take time to establish the COMEX, warehousing operators and create the requisite Legal and regulatory framework as well as institutional frameworks that will enable monitoring of food reserve. Until such time that the COMEX, the Warehouse Receipt System are established with the requisite legal and regulatory frameworks and the "Warehouses that would be designated as Agents of the COMEX" properly legislated and brought under the ambiance of the proposed regulator, it would be extremely difficult to manage Food Security, hence the need to have NAFOSA or its equivalent in place.
	The agency is further suggested not to be the direct manager of SGR but through NCPB on a structured arrangement through a re-drafted "agency agreement ". It is observed that this is the same arrangement in existent currently and has not been working well for NCPB and the nation at large. The submission here is that re-drafting agency agreement alone may not be adequate insulation of the commercial NCPB from the present excesses.	✓ We agree and that is why restructured NCPB should be established as purely commercial entity. But until that time the country will become food secure, the Government will be needed to intervene and also carry the Famine relief services. This can well be done through NCPB given its infrastructure network. Thus the "Agency Agreement" will be a "Stop Gap Measure". However, emphasis is made here that the future agreement on food intervene and Famine relief services on behalf of the Government need be signed by a corporate body, i.e., proposed NAFOSA and commercialised NCPB to avoid the current challenges.
Alternatives consideration and recommendation The consultant should explore the possibility of substituting the proposed NAFOSA with another body to be named, say, **The Kenya National Food Security Council -**		✓ We are advised the current Kenya National Economic and Social Council (KNESC), under the OP and chaired by the President, mandate is extended to cover food security. We are in agreement with this position.

similar to the current Kenya Food Security Meeting (KFSM). This would be a strategic forum chaired by the President and represented by relevant top-level officials, food security specialists, UN agencies, growers and millers association, development partners and key NGOs in the food security and early warning sub-sector. The council should meet regularly to receive information on national food security status, what various actors are doing, discuss food aid and emergency issues, mobilize resources when needed and facilitate information exchange on emerging issues at the highest level. When proposing the council, the following should be taken into consideration; • KFSM currently mainly address food security in ASAL and emergency/food aid issues. • The Council would however be at a much higher level than restructured NCPB.	✓ Proposed NAFOSA as technical Authority on food security will be advising the Council on matter food security. They will be preparing reports on food security that will be deliberated by Council for decision making. In collaboration with line Ministry, they will ensure decision made on food security is implemented. ✓ It will be necessary to consolidate the activities of other government agencies involved in food security such as Kenya Food Security Steering Group (KFSSG) and KFSM under NAFOSA.
c) On proposed Commodity Exchange (COMEX) It is agreeable for the proposal and the fact that this will be purely a member's body. However this writ-up does not provide for how possible formation of cartels or the COMEX itself running into rogue institution can be averted. There is therefore need to bring this body immediately under regulation by the relevant sector regulation authority. Further, is COMEX going to deal with other produce apart from grains?	
Based on best practice in other places, we proposed the following possible additional roles to be considered by the consultant for COMEX: i) Arbitration roles; ii) Brokers licensing, regulations and codes of conduct; i) Trade rules: contracts regulations for both buyers and sellers; quality specifications in trade; samples provision; kind and grade of grain including type, class and quality characteristics (if any); price or pricing method; types of inspection; types of weights; transportation specifications; types of billing; export rules; point of origin or delivery or rate basing point; time of shipment or delivery; length of time permitted for loading or unloading; payment terms.	✓ We need a regulator, who will be arbitor and license players such as brokers. These roles cannot be played by COMEX as still a player itself. However, COOMEX will develop trade roles, otherwise, we have recommended that the trading rules and regulations of SAFEX of South Africa be replicated in the case of the proposed COMEX. The rules will also need to be deposited to the Regulator for enforcement.
On the proposed Transformation of NCPB to Grain Corporation of Kenya **Observations;**	
i The rationale of changing the name from NCPB to GCK is not explicitly clear and should be explained.	✓ This is for rebranding like any other commercial corporate entity. The name have already been adapted in proposed bill to repeal NCPB Act cap 338
ii What is the meaning of the word "Grain" as opposed "Cereal"? What range of commodities will GCK handle and what is the reasoning behind this change?	✓ It is grains because is more broad than just cereals. Grains encompass both cereals such as maize, wheat, rice, sorghum, millets and legumes such as beans, cowpeas, green grams, legion peas. The dictionary definition of grains; ✓ Grains are small, hard, dry seeds (with or without attached hulls or fruit layers) harvested for human or animal food. Agronomists also call the plants producing such seeds 'grain crops'. Main types of commercial grain crops are cereals such as

		wheat and rye, and legumes such as beans and soybean. ✓ Note that NCPB is current trading in Grains
Iii	Will GCK manage all the stores in the country or only retain a few for SGR/SFG? What is the optimal number?	✓ It should be noted that the NCPB Commercialization study report (1998) recommended the rationalization of depot storage network by targeting a reduction of 52 depots of which 17 were to be owned by the Government for exclusive use of famine relief and a further 35 to be sold off through asset divestiture. ✓ Presently, NCPB has a storage capacity of 20.5 million (90 kg) bags with a variance of 38% (7.8 million bags) excess storage capacity, which is unutilized. The recommendations made for GCK to operate on commercial terms as well as the operationalization of WRS and COMEX means that there may not be need for asset divesture targeting some of the depots considering that these depots will be in demand. In fact the scenario going forward is to work with County Governments to ensure availability of sufficient grain storage capacity.
Iv	Is the proposed GCK best suited to sell farm inputs?	✓ The purchase, sell and supply of farm inputs as GCK is in line with the current mandates "commodities trading" – Note GCK is a commercial entity that can venture into a business in line with its scope and comparative advantage. Given its wide network where farmers are located and other subsidiaries such as clearing agent, GCK can do this better.
v	What would be the purpose of making NAFAKA products? To compete with private sector or moderate prices of certain commodities?	✓ Diversify its income and add value to its commodity trading. Being commercial entity its products will have to compete with private sector.
Vi	Will NAFAKA products address only food or other non-food products?	✓ GCK will trade its products through "Nafaka products" trade mark. Nafaka products will trade food products, however, they trade inputs as "Nafaka farm inputs"
Vii	How exactly will GCK partner with other private sector operators in other business areas in order to diversify its incomes?	✓ Through PPP and any other form of arrangement/partnership that is beneficial to GCK. See general observation iv
Viii	Relationships with County governments not clear. Role of "Partnering with County governments to enhance food security through developing and managing grain storage facilities." Will GCK construct stores and manage them on behalf of the County governments?	✓ This will depend on the understanding between the GCK and country government partnering with. GCK will be established as corporate body that can enter contract or MOU with other party. County Government will be able to enter in agreement with GCK so that respective county farmers' can be using the stores. GCK can enter into contract with County Government for GCK to import and distribute fertiliser on before of the county farmers.
Alternatives consideration and recommendation		
On Formation of GCK It is agreeable for the proposal and the possible areas of paradigm shift are clear. However there is need to state from the onset that this organization is proposed as purely commercial organization that will only enter into agreements with other arms of the Government/ Agencies on such terms. This is the only way to shield the organization from sliding back to performing "social" functions		✓ This is correct; GCK will be established as a corporate commercial body for profit making. It can venture to any business in line with its scope/environment/sector of its operation. GCK will be in position to enter into contract or agreement with other entities including the agencies of the government. It can be sued or it can sue.

On Management, Staffing and Organization Structure of GCK i. The organogram as proposed in figure 8.1 pg 85 is still bloated as it translates to a very high number of staff of over 800 employees. It is our take that this number is too expensive for a commercial organization which is going to run for profit purposes. ii. Some of the proposed divisions can still be merged and only separated at lower levels. iii. A lean structure which is not either top or bottom heavy should be developed.	✓ The recommended organization is in line proposed business units of GCK. These are Nafaka products, Warehouse and Operations, Finance and Commercial, Corporate Services and Legal Affairs, Human Capital and Administration. Notice, the idea is for GCK to nature both Warehousing receipting and Nafaka products as business units which can be done through PPP. ✓ The number of excess staff has also been revised in the revised HR report from 187 to 210, with a provision for NCPB/GCK must set aside approximately Kshs 150,000,000/- to cater for the Voluntary Early Retirement Scheme (VERS).
On Depot Categorisation and Staffing The consultant has proposed that NCPB maintains its current depot count of 110 depots all over the country. These have been grouped as per the following regions:- Coast region – 8 Northern region - 18 Nairobi/ Eastern Region -13 South Rift region - 31 North Rift region - 16 Lake/ Western region – 24 **Total – 110** **Observation** i. In line with the new constitution, this analysis should have been provided as per county units. The proposed depots should also be reviewed to advise as to whether the organization needs to keep all the 110 depots active based on the prevailing situation. ii. Such analysis should provide insight as to: a. How many depots the organization require to maintain in every county b. What should be done by excess depots or if there is need to acquire more (in case the current number is inadequate) iii. Proposed time frame for undertaking such activity	✓ We have included NCPB depot distributions per county indicating the NCPB presence in each county. The NCPB County Depot Network is contained in the revised report. ✓ It should be noted that the NCPB Commercialization study report (1998) recommended the rationalization of depot storage network by targeting a reduction of 52 depots of which 17 were to be owned by the Government for exclusive use of famine relief and a further 35 to be sold off through asset divestiture. Presently, NCPB has a storage capacity of 20.5 million (90 kg) bags with a variance of 38% (7.8 million bags) excess storage capacity, which is unutilized. The recommendations made for GCK to operate on commercial terms as well as the operationalization of WRS and COMEX means that there may not be need for asset divesture targeting some of the depots considering that these depots will be in demand. In fact the scenario going forward is to work with County Governments to ensure availability of sufficient grain storage capacity. ✓ Staff rationalisation need to be done in three years period

ANNEX VI – Continued:

Comments and Observations of Stakeholders received during the Stakeholders' Workshop held to discuss the Final Draft Report - The comments and observations are included in the Final Report

ELDORET (11/06/2014)

Speaker 1: Willy Arap Maina

- There is need to protect talents/skills/experience in NCPB
- Capacity building especially change management is required
- He noted the lack of recognition of the Contribution of KFA/Producers in the establishment of NCPB
- The Principal "Government" is the cause of Financial Challenges facing NCPB especially due to 2002 maize loss and unpaid debts
- COMMEX – Should be delayed until the Board is restructured
- He noted the importation of maize from neighbouring countries yet the county can be produce enough maize
- There is need for reference to previous reforms and policy interventions that have been undertaken
- There is need to form a taskforce to oversee the implementation of restructuring
- There no need to privatise the NCPB
- There is need to organise small scale farmers into farmers groups so that they can benefit from the reform proposed

Speaker 2: Kipkorir Menjo – Director KFA

- There is need to articulate benefits that will accrue to farmers
- The minimum no. of maize bags needed to be accepted into the warehousing system is 110; which is too high for a small -scale farmer. Hence, there is need to enhance warehousing receipting to include small-scale farmers.
- There is need for prompt/timely payment to the farmers after delivery to the NCPB
- There is need to enhance prompt accessibility and availability of farm inputs to the farmers
- Budget allocation to agriculture sector need to be increased as per Maputo Declaration which is 10% of national budget
- Government to pay the debts its owe to NCPB
- He noted the need to have representative of farmers in the NCPB board elected by farmers directly

Speaker 3: Hon. Luka Chepkitony

- He noted the need for involvement of stakeholders in the restructuring of NCPB
- NCPB should be a one-stop shop where farmers can deliver their maize, collect their inputs, and be able to access loans and service their loan through NCPB. He noted the need for supply of farm inputs by and through NCPB, and partnership with AFC.
- He recommended the need for coming up with different maize grades acceptable to NCPB

Speaker 4: Veronicah Suter, Elgeyo Marakwet

- Role of County Government in promoting small farmers and their involvement in the restructuring of NCPB
- There is need for county government to come up with a subsidy fertilizer programme equivalent to that of the national government

Speaker 5: CEC Agriculture - Uasin Gishu County

- There is need to form farmers' cooperatives so that they can benefit from the proposed restructuring
- There is need to improve efficiency in NCPB operations
- There is need to address delayed payments

Speaker 6: Beatrice Kirui

- The is need to address delays in payment to farmers for his/her delivery
- There is need for timely supply of farm inputs to farmers ops that he/she can start planning earlier before the rain
- There is need to issue receipts to farmers for produced delivered to the NCPB

Speaker 7: Ali A. M Albeity – Eldoret Maize Millers (Dola)

- Grain Institute applauded – Enhance agricultural extension services to farmers – Courses to be offered milling course, train farmers on agricultural extension services, promote production and use of correct inputs, promote standards on farm inputs and outputs
- Linkage between county government, NCPB and National Government - County Governments to encourage investors to team with NCPB to promote grain storage infrastructure
- NAFOSA – SGR under current format do not have a budget line but proposed NOFOSA need to have adequate budget to enhance promote payment of produce delivered to the Board.
- There is need for timely supply of inputs to the farmers and assurance of floor price for his price before delivery to the Board
- Promote awareness and educate farmers on farming practises
- Put policies, legal and regulatory frameworks for restructured NCPB and entities created
- Promote recognition / award for best farmers

Speaker 8: Peter Rotino – Famer and Transporter, Pokot County

- Improve the quality of the farm produce to increase their market
- There is need for timely supply of inputs to the farmers and assurance of floor price for his price before delivery to the Board
- There is need to have certification of farm produce especially maize
- There is fake seeds in circulation hence the need to ensure supply of quality of seeds to farmers by the Board

Speaker 9: Musa Barno-Chairman KENFA

- Seconded the above comments
- Enhance Interlinkages with Kenya seeds, NCPB and County Government to improve on farming and food security

Speaker 10: Eng. Tom Murgor

- There is a need for government to provide inputs subsidies to farmers
- Restructuring should separate NCPB overlapping mandates: Regulation, Social and Commercial functions.

Speaker 11: David Kurgut Kiprono

- There is need to look the position of NCPB balance sheet
- There is need for government to pay the debt it owes NCPB

- There is need to address imports from neighbouring countries
- He supported warehousing receipt as a bankable instrument
- There is need for an implementation road map for the reforms proposed

Speaker 12: Mathew Wekulo – Bungoma County

- He noted the need to address inefficiency in the NCPB fertilizer procurement and issuance process
- Commercialisation of NCPB should improve its operations and processes
- He noted that the quality control – aflatoxin testing – of maize should be ensured under the restructured NCPB through ensuring aflatoxin kits are available at each NCPB depot
- He recommended the use of technology to improve operations and processes of NCPB
- He recommended the use of ICT to enhance customer service

Speakers 13: Jonathan Cheseso – Elgeyo Marakwet

- Government to install milling machines at county level
- He recommended that board composition to include farmers representatives such as the case in Tea and Coffee
- There is need to establish buying and selling centres closer to the farmers

NAKURU (12/06/2014)

Speaker 1: Amos King'ori – Laikipa County

- The restructuring need to improve services delivery offered by NCPB to the farmers /Millers – can be through use of technology
- There is a need to provide an opportunity for farmers to be shareholders
- The farmers should be represented in the governance of the institutions created

Speaker 2: Daniel Murugu – Nakuru County

- The restructuring especially rebranding will improve efficiency hence service delivery
- Separation of commercial and social functions through creating two separate entities is correct and in the right direction
- Carry out workload analysis and skills analysis to determine staffing levels of current NCPB in order to inform the staffing of restructured NCPB

Speaker 3: Issa Gichangi – Former Councillor, Nakuru County

- Revive existing NCPB infrastructure

Speaker 4: Joseline Gaceri

- Restructured NCPB to diversify its products to encompass other more products in order to be competitive
- Develop existing underutilised infrastructure
- Include traders in the allocation of fertilisers

Speaker 5: Stephen Kipkebut

- He supported restructuring however timeframe need to be emphasized in the report

Speaker 6: Jonnah Tanui –Londian Kericho

- Regulatory Body is good recommendation to regulate the sector
- Improve of governance and management important
- Job Security : Protect staff – skills and talent existing and reward where necessary
- Farmers to be AMONG shareholders of COMMEX

Speaker 7: Viola Too

- Supported the restructuring reports and implementation of the its recommendations therein
- Sell the maize in the stores order to create space to purchase more from farmers

Speaker 8: Daniel Mutai - Kericho

- Board applying very high standards in procuring maize
- Board to continue selling inputs including seeds
- Allow farmers to pick inputs at any depot
- Use of Mpesa for inputs by farmers is recommended as an alternate to going to bank

Speaker 9: Ben Sirma

- Manage the Early retirement programme to benefit the retiring employee
- Farmers to be allowed to elect their representatives in the Board

Speaker 10: Charles Ng'ang'a – Chairman for Kenya Association for Agricultural professional – Nakuru Chapter

- Supports the restructuring report
- Consultant report to include implementation framework to guide and monitor implementation process

Speaker 11: Rev. Maurice Shisoka

- Need for oversight of the restructuring and the ownership of the restructuring process
- Revive existing and idle NCPB infrastructure

Speaker 12: Benard Mwenja – Small holders' farmers associations

- Supports restructuring recommendations
- Establish storage infrastructure in each sub county – Use it for distribution of inputs
- Organise farmers in groups and involve them

Speakers 13: Pst. Honey Munyiri - Gilgil

- Supports the reports but the implementation of its recommendation very important to enhance service delivery
- Need for fair service delivery to all stakeholders
- Need to ensure food security to hunger in the country

Speaker 14: John Kabiru – KENFAP Chairman -Bahati, Nakuru

- Supports the restructuring
- Suggest the name NCPB be retained despite restructuring
- Address delayed service delivery
- Existing Staff to be protected
- Need for farmers to electing their representative to the Board
- Repair and refurbish NCPB infrastructure
- Provide appropriate fertilizers to meet the farmers needs

Speaker 15: Kisengei Mwandikwa

- Address moisture content in farm produce

Speaker 16: Geoffrey Langat - Njoro

- The need for county Government to use some of cess money to improve road network in the county – Nakuru

Speaker 17: Francis Kiruri - Gilgil
- Address land subdivision
- Build storage infrastructure close to the farmers
- Address and train farmers on how to attain required moisture content
- Farmers to be allowed to elect their representative to the Board
- Train farmers on pesticides and fumigation
- Farmers to be allowed to participate in restructuring especially being given opportunity to buy any propriety that is being disposed off.

SAGANA (13/06/2014)

Speaker 1: John Mwaura
- Board to appoint more agents to supply fertiliser
- Supply adequate inputs- fertilisers
- Need to introduce Mpesa system as way of paying for inputs
- Supports restructuring recommendations
- Involve farmers in enhancing service delivery of the Board

Speaker 2: Muriithi Wachira
- Need to control inputs prices
- NCPB to appoint agents for supplying inputs
- NCPB to open a cash office at its depots

Speaker 3: Stephen Magondu
- Need to supply all types of fertilise and at the right time
- Need to purchase milled rice from millers – Market for milled rice
- Address the packaging/weighing of fertiliser

Speaker 4: Stanley Kamau
- Applaud the consultancy report
- Address marketing as a priority especially seed providers

Speaker 5: James Kariuki – Kibirigwi Farmers Coop
- Thanks the NCPB for supply of inputs but requested the need to supply of all necessary fertilisers
- Board should deliver the 17.17.0 fertilizer by September

Speaker 5: Samuel Mukala – Miller from Mwingi
- Need to control prices of produce

Speakers 6: Joseph Kabinga – Asst. Chief of Sagana
- Congratulates the consultancy and team – Ministry and NCPB for good work
- Congratulates the stakeholders for their contributions
- He was happy with fertiliser deliveries
- Supported the recommendations

Speaker 7: Mwangi – Representative of County Director of Agriculture - Nyeri
- Streamline accounting and procurement systems

- Tailor make inputs requirements for the counties
- Consider bulk procurement of the input i.e consider groups/societies

Speaker 8: Said Ali Samaj
- NCPB to provide maize prices to avoid exploitation by brokers/middlemen

Speaker 9: Antony Maina – Centaur Millers
- Need to allocate adequate amount/quantities of maize to millers
- Need to set maize prices for millers

Speaker 11: Bernard Kariuki
- NCPB to sell certified seeds to farmers

Speaker 12: Rose Kimani
- Supply the inputs – fertilisers – at the right time
- Package the fertiliser in different sizes affordable to small scale farmers

Speakers 13: Tabitha Nduku Mutie
- Provide inputs – fertilisers close to the farmers especially small scale farmers
- Control & ensure the seed quality
- NCPB to supply seeds within its depot network

Speaker 14: Lawrence Migwi
- Address bureaucracy in subsidised fertiliser supply and sale

Speaker 15: Miano Koigi
- Address the long process that farmers are subjected to when procuring fertilizers
- Distribute fertilizers throughout the year
- Farmers to be refunded their prepaid money in case fertilizer is not available

Speaker 16: Stephen Murage
- NCPB mandates is in conflict with liberalised market
- Why is SGR accounting for 80% of NCPB activities? - why is commercial function is accounting for only 20% of NCPB

Speaker 17: Benson Murimi
- NCPB to come up with mechanism to protect traders of maize from price fluctuations

Speaker 18: Charles Mwareru
- Need for prompt payment of produce delivered to the board,
- Correct and adequate fertilisers supply

Speaker 19: Silvia Nyokabi
- Food security and production should go in line with addressing social challenges such as drug abuse

Speaker 20: Charles Chiriri - NIB
- Promote usage of quality seeds and other inputs

NAIROBI – NATIONAL STAKEHOLDERS' FORUM (16/06/2014)

Speaker 1: Eustace Muriuki – General Manager, Mea Limited – Chairman of Fertiliser Association of Kenya

- GCK as Government parastatals should not be exempted from requirements of PPDA unless otherwise advised by the Government
- How will subsidized fertiliser be handled in future given that GCK will be competing with other market players - In future it is recommended that the Government open up the subsidized fertiliser program to cover other players.

Speaker 2: Vishwakarma – Kel Chemical

- He noted that subsidized fertiliser program will kill other market players.

Speaker 3: George Mungao Okonji – Dandora Millers

- He wanted to know the consultant opinion on the GMOs which is cannot be covered under the current TORs

Speaker 4: George - East Africa Exchange (EAX)

- Applauded the COMMEX and said is a step to the right direction
- He noted that Kenya can benefit from subsidized fertiliser program as implemented in Nigeria which Government of Kenya can learn from

Speaker 5: Andrew Mugambi – Agricultural Consultant

- Why is the report recommending establishment of more entities yet the Government is reducing them; why should not be NAFOSA
- He noted that the current NCPB business model is weak and need to be addressed with restructuring

Speaker 6: Daniel Ndegwa

- There is need to benchmarks the financial data used in proposed model
- He noted the difference in 5.6 debts and 7.5 accumulated losses
- He noted the issue of exempting GCK from PPDA
- He noted the issues of lack of titles of some of NCPB properties which may used to generate money for recapitalisation of NCPB

Speaker 6: Henry Ogola (Inter-agro)

- He noted the infrastructure network, skill and experience base in NCPB but highlighted the issue of micromanagement of the staff by Government

Annex VII: Terms of Reference of the Study

Background

The National Cereals and Produce Board (NCPB) is a state owned corporation within the Ministry of Agriculture (MOA). It is located in Industrial Area, Nafaka House along Machakos Road.

It is vested with the responsibility of carrying out commercial trading activities towards achieving Grain Price Stabilization, providing logistic support services for Strategic Grain Reserve (SGR) and Famine Relief Stocks (FRS) on agency basis.
The Board is also involved in distribution of farm inputs and agro-chemicals to support grain production.

The Government of Kenya seeking the services of a competent consultant to assist in the restructuring of the Board to enhance service delivery. To achieve the stated objective, MOA wishes to engage a qualified and experienced consultancy firm to execute the assignment on consultancy contract basis.

The selected consultancy firm shall have a proven track record and extensive hands on experience in consultancy services relating to restructuring of institutions. The firm shall have a good knowledge and understanding in working with public owned institutions. Specifically, the firm **MUST** have successfully undertaken ***of at least four (4) assignments of similar nature in developing countries*** (Clients' references will be required for this). The firm should have a **minimum experience of at least three years in related assignment.**

Scope of the Assignment

The Consultant will be expected to:-

A. Review of Current situation, business plan and financial performance.

1) Assess the economic viability and sustainability of the NCPB given its current mandate and the specific operations used by the Board to achieve this mandate
2) Assess the economic viability and sustainability of the NCPB given its proposed mandate.
3) Identify and assess potential additional functions that could be performed on commercial terms and contribute to NCPB's current mandate.
4) Undertake restructuring of the balance sheet to make it bankable including review of the NCPB's fixed assets portfolio and proposals on divestiture of unviable /excess assets. This should also include recommendations on recapitalization and write –back of liabilities.
5) Examine NCPB liabilities or other financial related obligations, which may be currently on its books.
6) Set out clear recommendations on debt restructuring, future revenue streams and operating costs and propose most efficient use of resources i.e. Finances, assets, staff, technology, infrastructure, etc. This should include forecast of financial performance for post structuring efficiency. Identification of future revenue streams should also be assessed in terms of socially valuable functions that would be the introduction of warehouse receipting systems and voluntary participation in commodity exchanges for the main grains.

B. Restructuring of the Board

1) Develop the expected restructuring recommendations/deliverables clearly laying out priorities to be address and sequence of actions to be taken and implementation matrix with cleat timeliness given the proposed mandate of the NCPB.

2) Advice on the most appropriate and suitable separation of NCPB's functions and recommend the suitable Business Units/Entities and how these business units will be managed and financed. In particular advice how the SGR and FRS functions can be separated from other commercial functions in line with the NCPB's proposed mandate.
3) Asses the expectations of stakeholders given the new constitutional dispensation and advice on the viability and appropriateness of the establishment of the NCPB facilities in the devolved counties.
4) Propose and develop clear recommendations of the upgrade and maintenance of existing infrastructure.
5) Advice and analyze the effects of the implementation of NCPB's divestiture program and non-core assets.
6) Assess and verify the status of NCPB ownership of assets and further make recommendations on the sharing of assets between the various proposed Business units.
7) Set out clear proposal and make recommendations on the Board's plans on structured trading and its implementation through Warehouse Receipt System and Commodity Exchange.
8) Assess the appropriateness of the current management/technical staff skills and advise accordingly.
9) Indicate the timeframe, the restructuring of the Board will require.
10) Recommend on the appropriate legislation that would facilitate and enhance the restructuring of the NCPB.
11) Recommend operating rules and governance structure for the various Business units.
12) Advice on the cost of implementing the NCPB restructuring plan.
13) Review the existing ICT systems and infrastructure and make appropriate recommendations.
14) Make any other incidental or related recommendations which are deemed necessary for the successful completion of the restructuring process.

Deliverables and Reporting

The consulting firm will report to the Permanent Secretary Ministry of Agriculture. The Client and the National Cereals and Produce Board will be responsible for the day to day oversight and coordination.

The consultant will be responsible for the following **deliverables:**

- Inception Report
- Monthly Progress Reports
- Mid-Term report
- Draft Final Report
- Final Restructuring Report

The Draft report to be presented, by the consultant, in a stakeholder's workshop including the NCPB management and Board of Directors, Ministry of Agriculture and other relevant Government Ministries and Agencies. The Final Restructuring Report to be submitted to the Permanent Secretary within three months from date of contract effectiveness. It should incorporate views, suggestions and comments from the stakeholders.

ANNEX VIII: "AGENCY AGREEMENT" FOR MANAGEMENT OF SGR

THIS AGREEMENT is entered BETWEEN THE GOVERNMENT OF KENYA, represented by Trustees of the Strategic Grain Reserve Fund i.e Principal Secretary, Ministry of Agriculture, Livestock & Fisheries, State Department of Agriculture of Post Office Box Number 30028-00100 Nairobi, Principal Secretary, Ministry of Devolution & Planning - Office of the President, of Post Office Box Number 40213-00100 Nairobi; Principal Secretary, National Treasury of Post Office Box Number 30007-00100 Nairobi, all of the REPUBLIC OF KENYA (hereinafter referred to as "Principal" which expression shall include its successors and assigns where applicable) of the one part, AND THE NATIONAL CEREALS AND PRODUCE BOARD, a Statutory Body established under the National Cereals and Produce Board Act (Chapter 338 of the Laws of Kenya), represented by the Chief Executive, (hereinafter referred to as the "Agent" which expression shall include its successors and assigns where applicable) of the other part.

The Government of Kenya has formulated and put in place OPERATING RULES for the Management of the Strategic Grain Reserve Stocks, Grain Market Stabilization Policy, and other interventions to be carried out at the direction of the Government and within the context of National Cereals and Produce Board Commercialization policy and strategic plan.

WHEREAS

The Government of Kenya wishes to maintain a stock of maize and other food items for purposes of safeguarding National Food Security and wishes to hold these Strategic Grain Reserve Stocks in sound and high quality storage facilities and subject to modern grain management practices;

The Government of Kenya wishes to maintain adequate capacity to intervene in Kenya's grain and other food commodities deemed necessary for grain market stabilization purposes, either through purchasing from producers during periods of surplus production or through provision of supplies to the domestic market during periods of deficits;

The Government of Kenya wishes to maintain adequate capacity and expertise to deliver/distribute grain supplies as and when needed;

The Government of Kenya wishes to appoint National Cereals and Produce Board, a well established State Corporation with expertise in the procurement, storage, management and distribution of food commodities as an Agent in handling the above functions under the following terms and conditions.

Now the Parties Agree as follows: -

Article 1: **Definitions**

In this Agreement, except where context otherwise requires, the following terms shall be interpreted as indicated in table A1 (to be provided by NCPB) which forms an integral part of this agreement.

Article 2: **Appointment of the Agent**

The Principal hereby appoints and the Agent agrees to be appointed as Agent to the Principal for purposes of the implementation of the Principal's policies with respect to the National Strategic Grain Reserves, Stabilization of the Domestic Grain Market and implementation of intervention Programmes.

Article 3: **Description of the Services to be Performed by the Agent**

The services to be undertaken by the Agent shall include, but not limited to:-

3.1 Procurement of the Principal's grains from the "***domestic***" Market and / or through importation; and disposal through domestic markets and / or exportation as and when directed by the Principal;
3.2 Preparation of grains for proper and hygienic storage that shall entail, grading, drying, cleaning, handling, "fumigation" and quality maintenance;
3.3 Transport of purchased grains from the point of purchase to "***mutually***" agreed designated storage locations;
3.4 Converting stored grains from bagged to bulk and vice versa as required;
3.5 Transfer of grains to any other designated locations on instructions and facilitation from the Principal;
3.6 Disposal of grains "***through any other means***" as directed by the Principal;
3.7 Similar services with regard to any other commodities which the Principal may wish to be undertaken by the Agent.

Article 4: **Obligations of the Agent**

4.1 The Agent undertakes at all times to apply modern quality maintenance practices to all food and non food stocks of the Principal as defined in the preamble of this Agreement. It will in particular undertake necessary routine measures for: -
- Maintenance of grains within specified quality parameters
- To ensure that the annual grain shrinkage shall not exceed the national average of 2.2%.
- Necessary dusting, fumigation, spraying, cleaning, aeration, rodent control and other normal practices of modern grain handling and storage management; all of which should be undertaken under negotiated and mutually agreed charges between the Principal and the Agent.
- Reporting to the Principal, over an agreed time period, on:- Quantity, location, form of package and quality condition of the stocks.

4.2 The Agent shall promptly and diligently undertake operations of grain purchase, movement, transportation and disposal as duly instructed by the authorized officer(s) of the Principal in accordance with the provisions of this Agreement.
4.3 The Agent shall promptly advise the Principal to allow the Agent to move the stocks to designated locations for the purpose of creating space for new purchases or for quality preservation or "***any other specified purposes***" within 30 days.
4.4 Where the Principal does not act within 30 days on the advice of the Agent, the Agent shall, with notice to the Principal, proceed to undertake any other cost effective measures necessary to preserve quality at the Principal's cost.
4.5 The grains shall be refreshed at least once in every eighteen (18) months for bag stored maize and nine (9) months for bulk stored maize.

Article 5: **Obligations of the Principal**

In the context of Agency Functions and Responsibilities as specified in this Agreement, the Principal undertakes; -

5.1 To inform the Agent in writing prior to the commencement of ensuing financial year, forward operational plans covering all Agency Operations which shall specifically clarify the following:-
- Scope of activities to be undertaken under each Agency operation/programme;
- Time frame for engagement in the specified operations;
- Conditions that the Agent is expected to observe and fulfill for each Agency operation/programme.

5.2 To provide funds required for the Agency operations/programmes through appropriate budgetary allocation which shall take into account:
- Amount of funds required for the planned operations and where necessary provide "***financial charges***" for all agreed operations;
- Timely release of such funds;
- Modalities for dealing with delays in receipt of funds and associated costs.

5.3 Upon the advice of the Agent and based on the prevailing commodity market prices, provide concurrence on pricing for procurement and disposal on behalf of the Principal by the Agent.

5.4 To provide the Agent on timely basis any guarantees and/or facilitate opening of Letters of Credit that may be required for purposes of implementation of Agency tasks and responsibilities.

5.5 To pay such taxes/duties as may be imposed under the applicable law or provide the Agent with any required tax exemptions and/or letters of clearance to facilitate execution of the agency functions.

Article 6: Maintenance of Records

6.1 The Agent shall maintain separate records at all times for stocks of the Principal held in its stores. These records will permit the continuous monitoring of the quantities of stocks held at each location in terms of their;

- Date of purchase;
- General quality condition; and
- Other information relevant for continuous assessment of the Principal's stock position.

6.2 Such records shall be held at the depot level, with a weekly updating of centrally held records by the Agent who shall advise the Principal on quarterly basis on any matters relating to quality of grain, which may require follow-up action by the Principal.

Article 7: Reconciliation of Quantities and Locations of Principal's Stocks held by the Agent

7.1 The Agent and the Principal shall jointly review the stock position as will be agreed in the operational contract. Both the Principal and the Agent shall identify any discrepancies existing between their two sets of records and undertake joint reconciliation accordingly.

7.2 For purposes of undertaking a joint reconciliation exercise, a technical team of competent officers from both parties who are conversant with the agency operations, movements and instructions related thereof shall be established.

On achieving agreed reconciliation, the parties shall sign the stock report with necessary adjustments, as a true record of the current status of the Principal's stocks for the period reconciled and agreed on.

Article 8: Annual Physical Stock-take of Principal's Stocks

8.1 There shall be a joint annual physical stock-take of all Principal's stocks held by the Agent at the end of each financial year or at dates to be mutually agreed. The stock-take results shall constitute final verification and confirmation of physical stocks held by the Agent and each year's stock-take report shall be forwarded to the Principal. Any discrepancies established shall be handled through the joint reconciliation team as specified in Article 7 above.

8.2 The stock-take exercise shall include verification of quantity and test-checking of weights. The stock verification will allow for adjustment of stock variances arising from natural processes e.g., moisture loss, shrinkage due to grain respiration and plant losses associated with cleaning and breakages at the bulk facilities.

8.3 Besides the annual stock-take exercise the Agent shall at the request of the Principal facilitate inspection of the Principal's stock by the Principal or his nominee(s) whenever deemed necessary at the principal's cost.

Article 9: Operational Contracts to be Signed for each Operation Authorized by the Principal

9.1 Each operation to be undertaken by the Agent on behalf of the Principal under the terms of this Agreement shall be the subject of a specific Operational Contract, or written instructions by the Principal giving the details of the operations to be effected, the stocks to be purchased, and/or held by the Agent, their location and any other terms on which the services shall be undertaken as provided in this Agreement.

9.2 The agent shall, through written request by the Principal, provide storage facilities, staff houses, office accommodation and other necessary equipments for either the exclusive use of

the Principal or under a shared arrangement with the Agent and whenever such request is made by the Principal, an Operational contract shall be entered into between the parties in this regard. A charge will be levied for provision of these facilities and equipment.

Article 10: Determination of unit prices for the Principal Services covered in the Agreement (drying, storage, transport, Quality maintenance etc)

10.1 Payment for services rendered by the Agent shall be calculated on the basis of the standard unit charges as specified under table A2 hereto attached and forming an integral part of this agreement. The rates shall be subject to review by joint negotiation from time to time but at least once per year to recognize market trend fluctuations and other relevant factors warranting such revision.

10.2 Provided that in the absence of agreement on a rate, the annual "***underlying***" inflation rate as reported by the Central Bank of Kenya shall be deemed to be the applicable rate for adjustment.

Article 11: Provision of Funds by Principal for Stock Acquisition and Direct Costs

11.1 In the event that the Agent is required to purchase food commodities on behalf of the Principal, the Principal shall, on the basis of a mutually agreed procurement plan and / or emergency operations, issue Local Purchase Order (LPO) and provide funds estimated to finance such purchase operations. On the receipt of such funds, the Agent shall undertake to effect the purchase according to a mutually agreed plan of procurement and delivery.

11.2 The Agent shall endeavour to obtain stocks at the prevailing market prices at the time of purchase. At the end of each operation, a reconciliation exercise shall jointly be undertaken and all unutilized funds paid in advance by the Principal shall be refunded by the Agent while any over-expenditure by the Agent will be reimbursed by the principal provided within 30 days after the conclusion of the reconciliation exercise.

11.3 In the event that the Agent is required to undertake any operation that as per clause 3.2, 3.3 and 3.4 that involves direct cash disbursement on behalf of the Principal, the Principal shall, on the basis of the advice by the Agent, issue Local Service Order (LSO) and provide funds estimated to finance such operations. On the receipt of such funds, the Agent shall undertake to effect the operation accordingly.

Article 12: Payment for Services Undertaken by the Agent

12.1 The Agent shall submit invoices, debit notes and/or credit notes as the case may be, to the Principal on monthly basis for services undertaken in arrears under each Operational Contract or written instructions. The monthly invoices, debit notes and/or credit notes shall detail the fees and commissions or refund due under each Operational Contract signed or written instructions by the Principal.

12.2 The Principal shall pay invoices within 30 days from the date of the invoice. Any outstanding payments shall attract interest at the prevailing rate applicable to the Agent's bank facilities.

12.3 Any penalties that may be imposed on the Agent due to failure by the Principal to honour its obligation shall be passed to the account of the Principal.

12.4 Any payment that fall due, and it is not settled within 30 days after being due, the Agent shall recover its fees/commission from the Sale Proceeds of Commodities and remit the net balance to the Escrow Account Operated by the Government to assure that its activities are not crippled as a result of long delays in the reimbursement of commission/Agency fee once an assignment has been accomplished. However, it is important to note that the Public Financial Management Act do not allow such recovery of any money that Government owes its agency (ies); the Act says that the Agency (ies) should remit the Money to the Government (Treasury)

for the Government (Treasury) to reimburse the Agency (ies) thereafter. Therefore, there is need to address or relook some section of Act that prohibits Government agency from recovering money it is owed by the Government.

12.5 Rule 12.4 notwithstanding, the Agent shall be entitled to liquidate some SGR Stocks equivalent to any outstanding fees that may be due to recover Agency Fees relating to the management of SGR Stocks. Here, if Government is does not agency fees for a whole period of 3 months, then the Board shall be entitled to dispose of the SGR at forced sale value to recover its accumulated fees.

12.6 Notice of Intention to recover: Rule 12.4 and 12.5 notwithstanding, the Agent shall give the government 30 days' notice to pay up or face distress action to recover

Article 13: Authorized Officers to Conduct Correspondence

13.1 The authorized officers for official communication between the Principal and the Agent in relation to actions falling under this Agency Agreement are, for the Principal, the Principal Secretary Responsible for Strategic Grain Reserve, based in the Ministry of Agriculture, Livestock and Fisheries; and for the Agent, the Managing Director of National Cereals and Produce Board.

13.2 All communications between the Principal and the Agent shall be under the signature of the Principal and the Agent or their respective authorized officers.

Article 14: Mode of Communication between Principal and Agent

The Principal undertakes to limit its relations with the Agent to the types and channels of communication set out in this Agreement. Specifically, the Principal undertakes not to issue instructions to the Agent which are at variance with the contractual basis for the provision of Agency services set out in this Agreement.

Article 15: Duration of Agreement

This Agreement shall come into effect from the date of execution and shall continue to be in force for a period of three (3) years unless terminated by either party under Article 17 hereof. The agreement shall be subject to annual reviews, under which the terms and conditions of this Agreement may be amended, varied and/or updated through an addendum subject to the consent of the Principal and the Agent.

Article 16: Force Majeure Clause

Should any party be prevented from fulfilling the whole or any part of this Agreement, owing to a contingency such as fire, war, lock outs, strikes, accidents at the elevator, warehouses, railways, canals, docks, natural disasters, detention, blockade or diversion, or other consequences of war, hostilities, riots or civil commotion, labour disturbance, or any other reasons whatsoever beyond control of either party, the parties shall have the option of canceling the whole or any part of this Agreement or executing the same as soon as the circumstances permit them to do so subject to mutual consent.

Article 17: Termination of the Agreement

17.1 This Agreement may be terminated by either party, by giving notice of six (6) months and such termination shall be through written communication.

17.2 In the event of such termination, the Principal shall, subject to settling all of the Agent's outstanding claims within this agreement, arrange for the removal of any of their stocks remaining in the stores of the Agent within a period of six (6) months from the date of

termination taking effect. All costs and charges arising from such termination shall be mutually determined by both parties and where disputes arise in such determination; the matter shall be referred to the Attorney General as per "***article 19***" of this Agreement.

Article 18: Notifications

The addresses for all correspondence falling under this Agreement are:-

For the Principal:

The Principal Secretary,
Ministry of Agriculture, Livestock and Fisheries
State Department of Agriculture,
Kilimo House,
P.O. Box 30028-00100,
NAIROBI.

For the Agent:
The Managing Director,
National Cereals and Produce Board,
Nafaka House,
Machakos Road,
Industrial Area,
P.O. Box 30586, 00100,
NAIROBI.

Article 19: Disputes and Arbitration

19.1 The parties shall use their best efforts to settle amicably all disputes arising out of or incidental to this Agreement.

19.2 Any dispute arising out of this Agreement, including those considered as such by only one of the parties, and which the method in 19.1 above has failed to resolve, shall be referred to the Attorney General for Arbitration. Failure to find a solution, the dispute will finally be settled by reference to arbitration to be conducted by a sole Arbitrator to be appointed by mutual agreement between the parties or in default of such agreement by the Chairman of the Kenya Chapter of the Chartered Institute of Arbitrators. The outcome of the Arbitration proceedings shall be final and binding on both parties and may be enforced by the competent Courts of Kenya.

Article 20: Legal Validity

This Agreement shall be subject to the Laws of the Republic of Kenya.

Table A1: Definition of Terms

All the terms of the Agreement to be defined by NCPB and MoALF when drafting and signing the Agreement

Table A2: Agency Commission Rates

NO.	Service/Facility	Rates per 50 Kg bag w.e.f from 1st July 2007 (Kshs.)	Proposed Rate from 1st July 2014	Remark

i)	Commission on purchase of commodities	63.89 per bag	10% of the purchase price	Changed to percentage from fixed figure
ii)	Commission on sales of commodities	9% of sales value	10% of the sales value	Increase by 1%
iii)	Storage of commodities	2.67 per bag per month	Ksh. 55.55 per metric tonne per month	Increase by 4%
iv)	Quality maintenance (fumigation etc)	2.78 per bag per month	Ksh. 55.55 per metric tonne per month	Same as before
v)	Commission on commodity handling (direct cost)	10% of amount paid out/applicable rate	10% of amount paid out/applicable rate	Same as before
vi)	Transport of commodities (direct cost)	10% of transport cost	10% of transport cost	Same as before
vii)	Drying Services	15.00 per 1% moisture content reduction for 50 Kgs of grain	Prevailing commercial rate	Rate to recognize changes in market
Viii)	Other services		At the prevailing commercial rate	Was not in previous agreement

ANNEX IX: AGENCY AGREEMENT FOR MANAGEMENT OF SUBSIDISED FERTILISER

THIS AGREEMENT is entered **BETWEEN THE MINISTRY OF AGRICULTURE**, represented by the Principal Secretary, Ministry of Agriculture, Livestock and Fisheries, State Department of Agriculture, of Post Office Box Number 30028 00100 Nairobi, of the **REPUBLIC OF KENYA** (hereinafter referred to as "the Principal" which expression shall include its successors and assigns where applicable) of the one part **AND THE NATIONAL CEREALS AND PRODUCE BOARD**, a Statutory Body established under the National Cereals and Produce Board Act (Chapter 338 of the Laws of Kenya) of Post Box Number 30586 00100 Nairobi, represented by the Chief Executive, National Cereals and Produce Board (hereinafter referred to as "the Agent" which expression shall include its successors and assigns where applicable) of the other part.

WHEREAS

The Principal wishes to utilize the storage, handling, clearing and forwarding, distribution and sales and marketing services (hereinafter referred to as "the services") of fertilizers for sale under the subsidy programme or any other (herein after referred to as the fertilizer);

The Principal wishes to appoint the Agent, a well established leading commodity storage and management institution that is public owned but wholly commercial operator with expertise in the procurement, storage, management and distribution of commodities as an agent in handling the above functions under the following terms and conditions.

Now the Parties Agree as follows: -

Article 1: Appointment of the Agent

The Principal hereby appoints and the Agent agrees to be appointed as Agent to the Principal for purposes of providing the services.

Article 3: Description of the Services to be performed by the Agent

The services to be undertaken by the Agent may include, but are not limited to:-

3.1 Handling, clearing and forwarding, transporting, storing and selling of fertilizers;
3.2 Any other services that are similar, related and/or may arise as a consequence of this service.

Article 4 Obligations of the Agent

4.1 The Agent shall be responsible for ensuring that efficient services are supplied to the Principal in a timely and expeditious manner.
4.2 The Agent shall ensure that adequate precautions to ensure that the actual quantity of fertilizer availed by the Principal is fully accounted for.
4.3 The Agent shall ensure that where there is a contracted transporter, the transporter provides his own security services en-route to ensure that all the fertilizer is received intact at Agent's warehouse(s), and is duly acknowledged and receipted by Agent's authorized officers.
4.4 The Agent shall ensure that all supplied/availed or contracted fertilizers are appropriately accounted for via cash remittances of the sales or returns for other forms of disposal.
4.5 The Agent shall ensure that the fertilizer is stored safely and securely.

Article 5: Obligations of the Principal

In the context of agency functions and responsibilities as specified in this Agreement, the Principal undertakes; -

5.1 To inform the Agent in writing prior to the commencement of the services, the plans covering all the specific Agency Operation which shall specifically clarify the following:-
- Scope of activities to be undertaken under the agency programme;
- Conditions that the Agent is expected to observe and fulfill for the agency programme and the payment modalities.

5.2 To provide funds required for the agency programme and release of such funds as per the agreement;

5.3 To ensure prompt communication of instructions and responses to requests from the Agent

Article 6: Maintenance of Records

6.1 The Agent shall maintain records at all times for fertilizers of the Principal. These records will permit the continuous monitoring of the quantities of fertilizer held at each location in terms of their: Date of receipt; Sales and Other information relevant to continuous assessment of the Principal's fertilizer position.

6.2 Such records shall be held at the depot level and Head Office by the Agent.

Article 7: Reconciliation of Quantities Transported by the Agent

7.1 The Agent and the Principal shall jointly review the services based on stock movements and sales reports and transactions related thereof. Both the Principal and the Agent shall identify any discrepancies existing between their two sets of records and jointly undertake reconciliation accordingly.

7.2 On achieving agreed reconciliation, the parties shall sign the reconciliation report with necessary adjustments, as a true record of the current status.

7.3 For purposes of undertaking joint reconciliation exercise, a team of competent senior officers from both parties who are conversant with the agency operations shall be established.

Article 8: Determination of unit prices for the Principal Services covered in the Agreement

Payment for services rendered by the Agent shall be calculated on the basis of standard unit charges as specified under Table AA1 hereto attached and forming an integral part of this agreement. Provided that in the absence of agreement on a rate, the average rate in the market shall be deemed to be the applicable rate.

Article 9: Payment for Services

9.1 Transport costs to up country destinations

9.1.1 The Principal shall pay the equivalent of 50% of the transport costs at the time of issuing distribution and/or relocation instructions and the balance within 30 days from the date of commencement of the movement of stocks.

9.1.2 Where the Principal fails to avail the Funds as provided for in 9.1.1 above the Agent shall utilize any Funds held by the Agent for the account of the Principal.

9.3 Agency Commissions

The Agent shall submit invoices, for the services rendered, to the Principal for services undertaken herein. The invoices, debit notes and/or credit notes shall detail the exact fees and commissions that are due.

9.4 The Principal shall pay invoices within 30 days and shall pay interest on payments in arrears at a rate of three (3%) percentage points higher (on an annual basis) than the prevailing, bank borrowing rate on the facilities provided to Agent by the commercial banks.

9.5 In case there is a dispute on the charges/invoice of the Agent, the Principal shall pay the amounts not in dispute pending reconciliation or resolution of the dispute which in any event should be completed within 30 days.

9.6 The Agent will avail all the documents for verification when the exercise is concluded. Any balance due to either party will be refunded at the end of the specific assignment.

Article 10: Authorized officers to conduct correspondence

10.1 The authorized officers for official communication between the Principal and the Agent in relation to actions falling under this Agency Agreement are, for the Principal, the Permanent Secretary for Ministry of Agriculture; and for the Agent, the Managing Director of National Cereals and Produce Board.

10.2 All communications between the Principal and the Agent shall be under the signature of the principal and the Agent or their respective authorized officers.

Article 11: Mode of Communication between Principal and Agent

The Principal undertakes to limit its relations with the Agent to the types and channels of communication set out in this Agreement. Specifically the Principal undertakes not to issue instructions to the Agent which are at variance with the contractual basis for provision of services set out in this Agreement.

Article 12: Duration of Agreement

This Agreement shall be deemed to have come into effect from the date of execution or when the work commences (whichever comes earlier) until completion of the programme by the Principal unless terminated by either party under Article 14 hereof. The contract will stand terminated once all the stocks are depleted and all settlements made.

Article 13: Force Majeure Clause

Should any party be prevented from fulfilling the whole or any part of this Agreement, owing to a contingency such as fire, war, lock outs, strikes, accidents at the elevator, warehouses, railways, canals, docks, natural disasters, detention, blockade, or diversion, or other consequences of war, hostilities, riots or civil commotion, labour disturbance, or any other reasons whatsoever beyond control of either party, the parties shall have the option of canceling the whole or any part of this Agreement or executing the same as soon as the circumstances permit them to do so subject to mutual consent.

Article 14: Termination of the Agreement

14.1 This Agreement may be terminated by either party, by giving notice of two (2) months and such termination shall be through written communication.

14.2 In the event of such termination, the Principal shall, subject to settling all of the Agent's outstanding claims, arrange for the removal of any of their stocks remaining in the stores of the Agent within a period of two (2) months from the date of termination taking effect. All costs and charges arising from such termination shall be mutually determined by both parties and where disputes arise in such determination, the matter shall be referred to arbitration.

14.3 Upon termination the Agent will ensure that all monies from sales or advance payment that is due to the principal is remitted to the Principal within a period of two (2) months from the date of termination

Article 15: Notifications

The addresses for all correspondence falling under this Agreement are:-

For the Principal:

The Principal Secretary,
Ministry of Agriculture, Livestock and Fisheries,
State Department of Agriculture
Kilimo House,
P.O. Box 30028 00100,
NAIROBI.

For the Agent:

The Managing Director,
National Cereals and Produce Board,
Nyumba Ya Nafaka,
Machakos Road,
P.O. Box 30586 - 00100,
NAIROBI.

Article 16: Disputes and Arbitration

16.1 The parties shall use their best efforts to settle amicably all dispute arising out of or incidental to this Agreement.

16.2 Any dispute arising out of this Agreement, including those considered as such by only one of the parties, and or which the method in 16.1 above has failed, shall be finally settled by reference to be conducted by a sole Arbitrator to be appointed by mutual agreement between the parties or in default of such agreement by the Chairman of the Kenya Chapter of the Chartered Institute of Arbitrators. The outcome of the Arbitration proceedings shall be final and binding on both parties and may be enforced by the competent Courts of Kenya.

Article 17: Legal Validity

This Agreement shall be subject to the Laws of the Republic of Kenya.

Table AA1: Agency Commission/Rates

NO.	Service/Facility	Rates per 50 Kg bag w.e.f from 1st July 2014 (Kshs.)
i)	Commission on clearing and forwarding	2.0 % of the value
ii)	Commission on sales of commodities	10% of sales value
iii)	Storage of commodities	2.70 per bag per month
iv)	Commodity handling	Total direct handling costs plus 10% of the total applicable charges
v)	Transport of commodities	Total direct transport costs plus 10% of agreed transport cost
vi)	Commission on commodity releases other than sales	25.00 per bag
vi)	Other related services	Will be charged at a rate to be agreed on prior to provision of the services, in the absence of this, at the prevailing rates of the Agent

Annex X: Draft Legislation

Proposed Grain Corporation of Kenya Set Up

We note from our report that the legal framework establishing the Grain Corporation of Kenya lies on the repeal of the National Cereals and Produce Board Act Cap 338, Laws of Kenya. Below is a frame of the proposed clauses to be set out in the proposed legislation on the Grain Corporation of Kenya.

GRAIN CORPORATION OF KENYA BILL, 2014

ARRANGEMENT OF SECTIONS

SECTION

PART I: PRELIMINARY
1. Title and Commencement
2. Interpretation

PART II: ESTABLISHMENT, OBJECTS AND POWERS OF THE CORPORATION
3. Establishment of the Corporation
4. Functions of the Corporation
5. Powers of the Corporation
6. Borrowing Powers

PART III: MANAGEMENT OF THE CORPORATION
7. Constitution of the Board of Directors
8. Responsibilities of the Board of Directors
9. Meetings and Procedures of the Board
10. Committees of the Board
11. Disclosure of Interest
12. Authentication of Documents by Common Seal
13. Remuneration and Expenses of the Directors
14. Managing Director
15. Secretary
16. Employees of the Corporation

PART IV: BOOKS OF ACCOUNTS, REPORTS AND AUDITS
12 17. Books of Accounts
18. Audit of Accounts
19. Annual Report

PART V: LEGAL PROVISIONS
20. Exemption from Liability
21. Limitation
22. Service of Notice
23. Procurement of Goods and Services
24. Power to make regulations etc.

PART VI: REPEAL AND TRANSITIONAL PROVISIONS
25. Transfer of Assets and Liabilities of the Former Board
26. Employees
27. Provident Fund and Staff Savings Scheme

28. Savings and Benefits of Former Employees
29. Repeal of Cap. 338

EXAMPLE OF GRAIN CORPORATION OF KENYA BILL, 2014

A Bill for An Act of Parliament to provide for the establishment of the National Grain Corporation to deal in all commercial aspects of grain and pulses handling, processing and marketing; to provide for its objects, powers and functions; to provide for the establishment of the Grain Development Fund for the stabilization of he Grain sub-sector, to provide for Government intervention to stabilize the Grain market through non-commercial social functions; to repeal the National Cereals and Produce Board Act (Chapter 338); to provide for the transfer of assets, employees, of the National Cereals and Produce Board and to provide for connected purposes

PART I: - PRELIMINARY

Title and Commencement

1. This Act may be cited as the National Grain Corporation Act and shall come into operation on a date to be specified by the Minister by notice in the Kenya Gazette.

Interpretation

2. In this Act, unless the context otherwise requires:

"Board" means the Board of Directors of the Corporation established under Section 7;

"Corporation" means the National Grain Corporation established under Section 3;

"Flour" means any product of milled grains intended for human consumption but does not include grist

"Grist" means milled grains which have been converted into flour for domestic use.

"Minister" means, the Minister, for the time being responsible for Agriculture.

"Minister for Finance" means the Minister for the time being responsible for Finance.

"National Food Security Office" means the office for the time being in charge of National Food Security.

"Assets" include all property movable or immovable and all estates, easements and rights whether equitable or legal in, or out of property, chooses-in-action, money or goodwill of the Former Board whether situated in Kenya or elsewhere inclusive of all infrastructure and developments thereon financed by the Government, the former Board or external donors through bilateral agreements with the Government of Kenya;

"Former Board" means the National Cereals and Produce Board, established under the National Cereals and Produce Board Act (Chapter 338);
"Liabilities" means liabilities, debts, charges, duties and obligations of every description whether present or future, actual or contingent, and whether payable or to be observed or performed in the Republic of Kenya, or elsewhere;
"Rights" means all rights, powers, privileges and immunities whether actual, contingent or prospective, whether observed or performed in the Republic of Kenya or elsewhere;
"Board of Trustees" means the Board of trustees for the grain development fund established under section 22
"Fund" means the Grain Development Fund established by section 20; **"S.G.R. Trustees"** means the Permanent Secretary in the Ministry of Agriculture, the Permanent Secretary in the Ministry of Finance, the Permanent Secretary for the time being responsible for famine relief programmes in the office of the President.
"Interested parties" means the Government, millers and other stakeholder, groups or associations in the cereals sector
"Non-Commercial Social Function" means instructions to buy or sell stocks on behalf of the Government at prices higher than prevailing market prices subject to proof by the corporation that it suffered consequential loss in the performance of its commercial activities as a result of those instructions

PART II: - ESTABLISHMENT, OBJECTS, AND POWERS OF THE CORPORATION

Establishment of the Corporation

3. (1) There is hereby established a Corporation to be known as the National Grain Corporation.
(2) The Corporation shall be a body corporate with perpetual succession and a common seal and shall in its corporate name be capable of: -
(a) suing and being sued;
(b) taking, purchasing or otherwise acquiring holding, managing, charging, mortgaging, selling or disposing of movable or immovable property;
(c) borrowing and lending money; and
(d) doing or performing all other things or acts necessary for the performance of its functions which may be lawfully done or performed by a body corporate.

Functions of the Corporation

4. The Functions of the Corporation shall be:
(1) to undertake all aspects of grain trading and develop a dynamic, viable and profitable business commercially orientated to acquisition, trading,

marketing including importation/exportation, storage, handling, transportation, processing, packaging, preservation and any other associated services including promotion of grain production.

(3) to achieve the optimum possible level of commercial performance in all areas of its activities including maintenance of standards of grain quality and grain hygiene.

(4) to develop, create and maintain a management and operating structure and training programme which will provide and exhibit:
- i) efficiency in all its operations
- ii) job satisfaction and appropriate rewards at all levels of the organisation and functions of the Corporation
- iii) responsiveness to high quality service to customers of the Corporation including the Government of Kenya and
- iv) Social responsibility to the public in general and in particular to the community in which the Corporation does business by endeavouring to accommodate these desirables when able to do so.

(5) to promote and encourage the utilisation of the latest technology in advancing the grain industry and to increase the efficiency of the local grain industry and facilitate rapid national development.

(6) to carry on and to transact any other commercial, manufacturing, financial, agricultural businesses and operations which the Corporation may think is directly or indirectly conducive to any of its objects

(7) to advise the Minister on the cereals market trends and National food reserve status and any other intervention measures to stabilize the industry.

Objects of the Corporation

5. (1) The Corporation shall have the power to establish and operate grain storage and marketing services and to perform incidental services relating to receiving, collecting, sending, transporting, laboratory or testing facilities, processing, despatching and delivering of grain.

(2) Subject to this Act, the powers conferred by Sub-section (1) shall include all powers as are necessary or expedient for the purposes of the Corporation, and in particular, but without prejudice to the generality of the foregoing, shall include power to:
- (a) enter into such contracts as may be necessary or expedient for the purpose of better carrying out of the objects of the Corporation or otherwise for carrying into effect the purposes of this Act.
- (b) establish, acquire, construct, contract and maintain grain depots, offices, buildings or any other necessary work structures required for the purpose of the Corporation.
- (c) acquire, construct, manufacture, maintain or repair any equipment, property, etc. required for the purpose of the Corporation.
- (d) determine, impose and levy rates, charges or tariffs for any services performed by the Corporation, or for the use by any person or the facilities provided by the Corporation, under this Act.
- (e) establish and operate in the name of the Corporation any bank accounts it may deem necessary or convenient for efficient conduct of business of the Corporation.
- (f) invest and deal with any moneys of the Corporation not immediately required by the Corporation, in and upon such investments and

securities as are allowed by law for the investment of trust funds or such other securities or investments as may be approved by Board.

(g) carry on any business necessary or desirable for the purposes of the Corporation.

(h) to represent the country internationally, in matters relating to grain growing, storage and marketing and or other related services that the Minister may designate.

Borrowing Powers

6. (1) The Corporation may raise or borrow such sums of money as it may require for provision of working capital, the establishment or acquisition of property or undertakings required by the Corporation, or any other expenditure properly incurred by the Corporation for the purposes of this Act and may: -

(i) borrow money by the issue of loan stock on such terms as may be approved by the Board.

(ii) borrow money or obtain credit in Kenya or abroad for the purposes of the Corporation with the concurrence of and subject to such limitations as may be imposed by the Board. Any monies borrowed or credit obtained and all interest and other charges payable in respect of such stock, monies or credit, unless the instrument or note evidencing or supporting such borrowing shall unless otherwise, provide may be secured by all or any of the assets, undertakings or revenues of the Corporation

13 PART III: - MANAGEMENT OF THE CORPORATION

Board of Directors

7. (1) There shall be a Board of Directors of the Corporation. The management of the business and affairs of the Corporation shall vest in the Board of Directors, which shall comprise: -

(a) a non-executive Chairman to be appointed by the President;

(b) the Managing Director as appointed under Section 14 (1);

(c) the Permanent Secretary for the time being responsible for the Ministry of Agriculture or his representative in the Ministry;

(d) the Permanent Secretary for the time being responsible for the Ministry of Finance or his representative in the Ministry;

(e) the Permanent Secretary for the time being responsible for National Food Security matters and food supply interventions or his representative in the Ministry.

(f) (i) three (3) persons appointed by the Minister, of whom two (2) persons shall represent the cereal farmers, and one(1) person shall represent other food grains farmers' interests by virtue of knowledge and hands on experience in production, crop husbandry or grain industry and trade; provided that they shall have a minimum O-level education or its equivalent .

(ii) two (2) persons appointed by the Minister, of whom one (1) person shall represent consumers in urban areas and the other shall represent consumers in traditionally food deficit areas by virtue of their knowledge of consumer needs; provided that they shall possess a minimum O-level education or its equivalent with relevant experience in grain trade, or business management.

(g) one person appointed by the Minister either to provide relevant expertise by virtue of being a member of a professional body or to represent a special interest group.

(2) A member of the Board who shall hold office for a period not

exceeding three years; but shall be eligible for one further term of three years;

(3) A member of the Board shall cease to occupy office if: -

(a) he resigns from office by written notification under their hand addressed to the Minister

(b) he has been absent from three consecutive meetings of the Board without permission of the Board; or

(c) he is incapacitated by prolonged physical illness; or

(d) he is otherwise unable or unfit to discharge the functions.

(e) Upon death;

(a) Adjudged bankrupt

(b) certified insane or otherwise adjudged to be of unsound mind under any law in force in Kenya;

Remuneration and Expenses of Directors

8. (1) The Corporation shall pay to the Directors such remunerations, fees or allowances for expenses as may be determined by the Board within the guidelines issued by the Government from time to time.

(2) The Corporation shall provide a Group Personal Accident insurance cover for Non-Executive Board Members whilst travelling on and/or are engaged in Corporation's official business.

Meetings and Procedures of the Board

9. (1) Each of the Directors mentioned in Section 7 (1), (c) and (d), (e) may from time to time, depute in writing a duly authorized officer of the respective Ministry to attend meetings of the Board in his place and the officer deputed shall at such meetings have the same powers as his principal.

(2) The Board shall meet to transact business at such times as it shall appoint, provided that the Board shall meet not less than four (4) times in any financial year.

(3) The Chairman or any three Directors may, by written notice to all other Directors, summon a special meeting of the Board to transact an urgent business.

(4) Except where shorter period is appointed under sub-paragraph (3) above, notice of the date, time of each meeting shall be given in writing at least fourteen (14) clear calendar days before hand to every Director at such address as they shall have notified to the Corporation from time to time, provided that the failure by any Director to receive such notice shall not invalidate any proceedings of the Board.

(5) The quorum necessary for the transaction of business by the Board shall be seven (7) Directors.

(6) The Chairman shall preside at all the meetings of the Board provided that if he is not present at the start or at any time during a meeting, a chairman of the meeting shall be chosen by the members from amongst those present.

(7) Questions arising at meetings shall be decided by a majority of votes of the Directors present and voting provided that in the case of any equality of votes, the Chairman or the Director residing at the meeting shall have a casting vote.

(8) The Board shall cause the Secretary to the Board to keep minutes of all resolutions and proceedings at each meeting and the Directors present at the meetings.

(9) Subject to the provisions of this section, the Board may determine its

own procedures and the procedure for any committees of the Board and for the attendance of other persons at its meetings, and may make standing orders in respect thereof.

Delegation of powers of the Corporation

10. The Board may appoint committees to carry out general or particular functions as may be specified by the Board and the Board may delegate to any of those committees such of its powers as it may deem fit.

Disclosure of Interest

11. Where a Director is directly or indirectly interested in any contract, proposed contract or any other matter and is present at a meeting of the Board at which the contract, proposed contract or any other matter is the subject of consideration, he shall, at the meeting and as soon as practicable after the commencement thereof, disclose the fact, and shall not take part in the consideration or discussion thereof, or vote on, any question with respect to the contract or other matter, or be counted in the quorum of the said meeting during the consideration of such contract, or that matter, and a disclosure of such interest shall be recorded in the minutes of the meeting at which it is made.

Authentication of Documents by Common Seal

12. (1) The affixing of the common seal of the Corporation shall be authenticated by the signature of the Chairman or some other Director authorised generally or specifically by the Board to act for that purpose.

(2) Any contract or instrument which, if entered into or executed by a person not being a body corporate, would not require to be under seal, may be entered into or executed on behalf of the Corporation by the Managing Director or any other officer duly authorised for that purpose.

(3) Any document purporting to be a document duly executed or issued under the seal of the Corporation or on behalf of the Corporation shall be received in evidence and be deemed to be a document so executed or issued without further proof unless the contrary is shown.

Responsibilities of Board of Directors

13. (1) The Board shall, subject to the provisions of the Act, carry out the functions and manage the affairs of the Corporation and shall ensure:-

a) that the functions of the Corporation are properly performed;
b) That the activities of the Corporation are operated efficiently, economically and with due regard to safety;
c) that the financial administration of the Corporation is conducted in accordance with the provisions of this Act;
d) the Corporation provides all reasonable facilities and inputs for the growing, storing and marketing of grain by means of prudent commercial practice;
e) that the Corporation performs and exercises all the powers, functions and duties assigned to it by this Act with due regard to the public welfare as a public duty.

(2) In the performance of its duties under sub-section (1) the Board shall: -

a) approve the Annual Accounts of the Corporation;
b) approve the annual and any revised budget of the Corporation;
c) decide how monies of the Corporation should be invested;
d) approve all monies to be borrowed by the Corporation;
e) develop, maintain and review on a regular basis the strategic plan for the corporation;
f) manage the assets of the corporation;

Managing Director

14. (1) There shall be a Managing Director of the Corporation, who will be competitively recruited by the Board and appointed by the Minister.

(2) The Managing Director shall be the Chief Executive of the Corporation and, subject to the general supervision and control of the Board of Directors, shall be responsible for the:-
(a) day to day operations of the Corporation;
(b) management of funds, property and affairs of the Corporation; and
(c) administration, organisation and control of the Corporation.

Secretary

15. The Board shall appoint a Secretary to the Board who shall be responsible for arranging meetings, keeping records or proceedings and performing such other duties as the Board may direct.

Employees of the Corporation

16. The Board may employ or appoint such employees of the Corporation either on permanent or contract basis as it may deem necessary for the proper and efficient conduct of business and the activities of the Corporation and establish the terms and conditions of service including determination of remuneration or approve any variation in salaries, wages or other terms and conditions of service of such employees.

	PART IV: - BOOKS OF ACCOUNTS, REPORTS AND AUDITS
Books of Accounts	17. (1) The Corporation shall keep proper books of accounts and other records in relation to all its undertakings, funds, activities and property and shall prepare in respect of each financial year: (a) a trading, profit and loss account. (b) a balance sheet showing in detail the assets and liabilities (2) The Corporation shall ensure that within three (3) months after the end of each financial year or such longer period as the Minister may allow in any particular case, a balance sheet and accounts are prepared in accordance with the international accounting standards and submitted to the Controller and Auditor General in compliance with the provisions of the law.
Audit of Accounts	18. (1) The accounts of the Corporation shall be audited and reported on by the Controller and Auditor General or by any other audit authority appointed by the Controller and Auditor General as the case may be. (2) The auditor shall examine the accounts kept by the Corporation, certify it and report on it and shall return the statement with the auditors' certificate and report to the Corporation within reasonable time in compliance with the Public Audit Act. (3) Upon return of the statement of accounts duly certified by the auditor and the receipt of his report thereon, the Corporation shall immediately submit that statement of accounts and report to the Minister, who shall cause them to be presented to the National Assembly without delay and in any event before the expiry time of nine (9) months from the end of the financial year to which they relate or such longer period as the Minister may in any particular case allow. (4) The expenses of and other reasonable costs incidental to the auditing of the accounts of the Corporation shall be borne by the Corporation in the form of audit fees to be determined jointly by the Corporation and the Auditor General.
Annual Report	19. The Corporation shall, within Six (6) months after the end of each financial year, prepare a report on the operations of the Corporation during that year and shall submit such report to the Minister who shall cause the same to be

	presented to the National Assembly together with the statement of accounts and report of the auditor referred to in subsection 26 (1).
	PART V: - LEGAL PROVISIONS
Exemption from Liability	20. Save in so far as it is otherwise provided in this Act, the Corporation shall not incur any liability:- (a) by reason of loss, mis-delivery or delay of, or damage to, any consignment of grain in the course of delivery by third parties; or (b) by reason of the interception, detention or disposal of any consignment of grain in accordance with the provisions of any other Act.
Limitation	21. Where any action or other legal proceeding is commenced against the Corporation for any act done in pursuance or execution, or intended execution, of this Act, or of any public duty or authority, or in respect of any alleged neglect or default in the execution of this Act, or of any such duty or authority, the following provisions shall have effect: - (a) The action or legal proceeding shall not be commenced against the Corporation until at least one month after written notice containing the particulars of the claim, and of intention to commence the action or legal proceedings, has been served upon the Managing Director by the Plaintiff or his/their agent. (b) The action or legal proceedings shall not lie or be instituted unless it is commenced within twelve months next after the act, neglect or default complained of or, in the case of a continuing injury or damage, within six months next after the cessation thereof.
Service of Notice	22. (1) Any notice or other document required or authorised under this Act to be served on the Corporation, or the Managing Director, may be served by: - (a) delivery of the notice or other document to the Managing Director or to any authorised employee; or (b) Sending it by registered post to the Managing Director. (2) Any notice or other document required or authorised under this Act to be served on any person by the Corporation or the Managing Director or any employee may be served: (a) by delivering it to that person; or (b) by leaving it at the usual or last known place of abode of that person; or (c) by sending it by registered post addressed to that person at his their usual or last known address.
Procurement of Goods and Services	23. All commercial procurement of goods and services for the corporation shall be done within Public Procurement and Disposal Act, unless otherwise advice by the Government
Power to make regulations etc.	24. The Minister may after consultation with the Corporation or as the case may be make regulations for the better carrying out of the provisions of this Act.
	PART VI: - REPEAL AND TRANSITIONAL PROVISIONS
Transfer of Assets and Liabilities of	25. (1) In this part: "appointed day" means the day the Act comes into operation1 (2) On the appointed day, all the funds, assets and other property, movable and immovable, which, immediately before such day, were vested in the former Board shall, by virtue of this paragraph and without further

Former Board	assurance, vest in the new Board. (3) If, on the appointed day, there is pending any suit, contract, appeal or other proceeding of whatever nature in relation to the business of the Former Board, the same shall not abate, or be discontinued or be in any way prejudicially affected by reason of such transfer of the business of the Former Board or anything contained in this Act, and the suit, appeal or other preceding shall be continued, prosecuted and enforced by or against the Corporation. (4) On the appointed day, all rights, powers, liabilities and duties whether arising under any written law or otherwise howsoever, which immediately before the appointed day were vested in, imposed on or enforceable by or against the former Board shall, by virtue of this paragraph, be transferred to, vested in, imposed on or enforceable by or against the new Board. (5) Any assets of the Former Board which are not to be vested in the Corporation shall during the transitional period, be disposed of in compliance with existing Government policy on privatisation or in such other manner as the Minister shall determine upon the advise of the Corporation and in such circumstances the Corporation shall be fully reimbursed at the time of their disposal the Corporation's financial contribution in respect to the capital construction cost thereof.
Employees	26. (1) Every person who at the commencement of this Act is an employee of the Former Board, not being under notice of dismissal or resignation, shall on the appointed day become an employee of the Corporation. (2) Where on the appointed day: - (a) Any disciplinary proceedings have been initiated against any employee of the Former Board and such proceedings are in the course of being heard or instituted or have been heard or investigated by the Former Board but no order or decision has been rendered thereon; or (b) Any such employee is interdicted or suspended, the Corporation shall; (i) In the case of paragraph (a) carry on and complete the hearing or investigation and make an order or render a decision, as the case may be; and (ii) In the case of paragraph (b), deal with such employee in such manner as it considers appropriate having regard to the offence committed by such employee, including the completion of disciplinary proceedings and making of an order or the rendering of a decision as the case may be, as if such disciplinary proceedings have been commenced by the Corporation. (3) Where on the appointed day, any penalty other than dismissal has been imposed on any employee of the Former Board pursuant to disciplinary proceedings against him and the penalty has not been, or remains to be, served by such employee, he shall on his transfer to the Corporation under sub-section (1) serve or continue to serve such penalty to its full term as if it had been imposed by the Corporation.
Provident Fund	27. Where any person whose services are transferred to the Corporation is on the

and Staff Savings Scheme	appointed day, a member of any statutory or voluntary staff saving scheme or provident fund he shall, for the purpose of this Act, continue to be governed by the same regulations under those schemes or funds as if he had not been so transferred, and for purposes of the regulations governing those schemes or funds his service with the Corporation shall be deemed to be the same as it were in the Former Board.
Savings and of Benefits Former Employees	28. The Corporation shall continue to be liable to former employees of the Former Board who have retired on the appointed day for such staff saving scheme and provident fund benefits payable as they are entitled to under the regulations of those schemes.
Repeal of Cap. 338	29. The National Cereals and Produce Board Act shall stand repealed with effect from the appointed day.

The enactment of this Bill will not occasion additional expenditure of public funds.

Memorandum of Objects and Reasons

The principal objective of the Bill is to introduce necessary reforms in that strengthen and stabilize the cereals sub-sector, facilitate industry growth, promote food security in the country and that are in harmony with prevailing policy environment. The Bill repeals and replaces the National Cereals and Produce Board Act with the National Grain Corporation Act. It provides for the powers, objects and functions of the National Grain Corporation in line with liberalization and commercialization policies. The Bill also establishes a Grain Development Fund for purposes of sustainability and stabilization of the Cereals Sub-sector. The Bill also provides for the Management of the affairs of the Corporation and other related matters.

Part I provides for the short title of the proposed Act and its Commencement. Terms relevant to the Act are defined.

Part II provides for the establishment, objects and powers of the Corporation as a body corporate with perpetual succession, common seal and capable of suing and being sued. The Bill provides for the functions of the Corporation which includes undertaking all aspects of grain trading, being the principle agent of Government for management of the strategic reserve and famine relief stocks, advising the Minister on national food reserve status and any desirable stabilization and government intervention measures in the grain market.

Part III provides for the management of the Corporation through a Board of directors. The Board to consist of a Chairman appointed by the President, relevant Government officials and six (6) members appointed by Minister with criteria for appointment to ensure directors are commercially oriented and provide more effective representation of the stakeholders' interests.

Part IV provides for the keeping by the Corporation of proper books of accounts and reports. The accounts to be audited by the Controller and Auditor General or any other audit authority appointed by the Controller and Auditor General.

Part V provides for legal and miscellaneous provisions and empowers the Minster to make rules and regulations for the better carrying out of the provisions of the Act.

Part VI provides for repeal of National Cereals and Produce Board and provides for the transfer of assets and liabilities, employees and staff welfare schemes to National Grain Corporation of Kenya Bill.

Signed …….

Minister for Agriculture Livestock and Fisheries

Conclusion

Based on the proposed implementation plan in the final plan, upon approval of the draft frame of the contents of the bill, the establishment of the legal and regulatory framework of would proceed with the proposed operational modalities by preparation of the cabinet paper and finalizing draft bill on the Grain Corporation of Kenya. If the report and recommendation are adopted, the final drafting of the bill will proceed.

Annex XI: Project Statement of Comprehensive Income

ITEMS	2012/2013	2013/2014	2014/2015	2015/2016	2016/2017
GROSS SALES					
Maize	3,040,000,000	3,800,000,000	4,370,000,000	5,137,481,250	6,320,658,750
Wheat	-	-	-	-	-
Beans	65,808,874	82,273,750	94,614,813	107,860,886	125,118,628
Paddy - 80 Kg Bags (To Milled)	292,658,234	366,674,000	421,675,100	480,709,614	557,623,152
Rice Milled - 24 Kg Bales	517,240,320	646,550,400	743,532,960	847,627,574	983,247,986
Fertilizer	3,059,000,000	4,653,361,345	5,027,450,441	5,932,689,873	6,896,181,061
Other Paddy Products	14,965,714	21,513,214	28,451,226	37,299,557	49,757,609
Imported Rice (50 Kg Bags)	-	-	-	-	-
Sindano Paddy 80 Kgs Bags	111,067,188	159,659,083	211,149,137	276,816,519	369,273,236
Sindano Rice (24 Kg Bale)	-	215,280,000	284,707,800	373,251,926	497,918,069
Bulrush Millet	4,500	23,287,500	30,797,719	40,375,809	53,861,330
Finger Millet/Wimbi	53,899,200	77,480,100	102,467,432	134,334,804	179,202,628
Sorghum	14,160,000	20,355,000	26,919,488	35,291,448	47,078,792
Green Grams	17,341,500	24,928,406	32,967,817	43,220,808	57,656,558
Sisal/Jute Bags -90Kg	186,230,000	267,705,625	354,040,689	464,147,343	619,172,556
Jute Bags -50Kg	276,000,000	396,750,000	524,701,875	687,884,158	917,637,467
PP Bags - 90Kg	24,000,000	34,500,000	45,626,250	59,816,014	79,794,562
PP Bags - 50Kg	48,000,000	69,000,000	91,252,500	119,632,028	159,589,125
Other Gunnies	-	-	-	-	-
Tarpaulins	22,000,000	31,625,000	41,824,063	54,831,346	73,145,015
TOTAL GROSS SALES	**7,742,375,530**	**10,890,943,423**	**12,432,179,308**	**14,833,270,958**	**17,986,916,525**
COST OF SALES					
Maize	2,561,350,400	3,973,065,600	4,121,331,200	4,857,025,600	6,653,421,600
Wheat	-	621,000	3,741,000	18,621,000	33,621,000
Beans	199,201,229	64,350,000	109,906,500	187,077,000	220,163,350
Paddy - 80 Kg Bags (To Milled)	412,817,843	519,341,200	489,741,000	605,680,180	655,427,878

Rice Milled - 24 Kg Bales	236,060,939	384,731,230	648,095,578	341,995,798	374,134,878
Fertilizer	2,324,023,240	2,894,445,448	3,587,659,339	4,605,169,733	5,011,895,880
Other Paddy Products	9,977,000	12,840,399	17,106,265	20,698,581	25,045,282
Imported Rice (50 Kg Bags)	-	-	-	-	-
Sindano Paddy 80 Kgs Bags	117,000,000	187,924,000	192,031,840	232,358,526	281,153,817
Sindano Rice (24 Kg Bale)	113,099,771	189,377,186	200,844,215	243,021,501	294,056,016
Bulrush Millet	14,400,000	22,352,000	27,433,120	33,194,075	40,164,831
Finger Millet/Wimbi	48,197,443	80,506,973	85,042,672	102,901,633	124,510,976
Sorghum	11,328,000	16,183,200	20,574,840	24,895,556	30,123,623
Green Grams	17,253,000	48,110,535	45,444,678	54,988,060	66,535,553
Sisal/Jute Bags -90Kg	152,370,000	190,913,778	154,311,300	186,716,673	225,927,174
Jute Bags -50Kg	239,200,000	458,500,614	490,367,020	593,344,094	717,946,354
PP Bags - 90Kg	-	-	-	-	-
PP Bags - 50Kg	40,000,000	163,386,363	128,592,750	155,597,228	188,272,645
Other Gunnies	-	-	-	-	-
Tarpaulins	15,000,000	26,631,000	30,862,260	37,343,335	45,185,435
	435,892,500	601,342,500	771,556,500	933,583,365	1,129,635,872
TOTAL COST OF SALES	**6,947,171,364**	**9,834,623,026**	**11,124,642,077**	**13,234,211,938**	**16,117,222,165**
GROSS MARGIN GAIN	**795,204,166**	**1,056,320,396**	**1,307,537,231**	**1,599,059,019**	**1,869,694,361**
OTHER INCOME					
Revenue from Services/facilities					
Weigh Bridge charges	18,214,578	18,218,616	18,487,857	18,495,934	18,765,296
Bagging and handling charges	8,665,771	8,744,551	9,540,227	9,698,574	10,510,084
Cleaning charges	1,651,479	1,652,127	1,684,521	1,685,817	1,718,238
Rental charges	362,808,602	347,259,662	397,534,568	387,013,118	436,235,880
Warehousing Receipts	36,196,144	36,739,087	37,290,173	37,849,525	38,417,268
Drying and Fumigation	20,844,613	21,157,282	21,474,641	21,796,761	22,123,712
	448,381,187	**433,771,324**	**486,011,987**	**476,539,729**	**527,770,478**
Agency Services					
GOK Agency remuneration	1,129,066,548	1,548,502,257	1,678,922,709	1,835,427,251	2,023,232,701
Agency commission from inputs					

Subtotal agency	1,129,066,548	1,548,502,257	1,678,922,709	1,835,427,251	2,023,232,701
Total Services & facilities	1,577,447,735	1,982,273,581	2,164,934,696	2,311,966,980	2,551,003,179
Sundry Income					
Receipts for Private Telephone Calls	-	-	-	-	-
Insurance Compensation	-	-	-	-	-
Sale of Tender documents	1,200,000	1,200,000	1,200,000	1,200,000	1,200,000
Sale of Obsolete Material	500,000	500,000	500,000	500,000	500,000
Other Miscellaneous Income	10,768,389	12,922,067	15,506,481	18,607,777	26,050,888
Other fees and charges	2,210,400	2,873,520	3,735,577	4,856,249	6,313,124
Gain/(Loss) on disposal of fixed assets	4,118,501	4,530,351	4,983,386	5,481,725	6,578,070
Total Sundry Income	18,797,291	22,025,939	25,925,444	30,645,751	40,642,082
Investment income					
Interest earned on Short term	173,061,743	199,021,004	218,923,105	262,707,726	288,978,498
Investments (FDR'S)	500,000	1,000,000	1,500,000	2,000,000	2,500,000
Interest/penalties charged on loans to former Associated Companies					
Less: Withholding tax					
Total Investment income	173,561,743	200,021,004	220,423,105	264,707,726	291,478,498
TOTAL OTHER INCOME	1,769,806,769	2,204,320,524	2,411,283,244	2,607,320,457	2,883,123,759
TOTAL INCOME	2,565,010,935	3,260,640,921	3,718,820,475	4,206,379,476	4,752,818,120
EXPENDITURE					
Import Cost/ Export Cost - (Export 2008 Only)					
Direct Cost	-	-	-	-	-
Import Costs	-				
Hired road & rail transport	600,000,000	660,000,000	726,000,000	798,600,000	878,460,000
Total Import, export & transportation	600,000,000	660,000,000	726,000,000	798,600,000	878,460,000
STAFF COSTS AND WAGES					
Salaries and wages	796,159,540	867,813,898	945,917,149	1,031,049,692	1,123,844,165
Provident Fund and Staff savings schemes	132,512,787	144,438,938	157,438,442	171,607,902	187,052,613
National Social Security Fund	2,356,200	2,356,200	2,356,200	2,356,200	2,356,200
Medical expenses	31,740,756	33,962,609	36,339,992	38,883,791	41,605,656
Leave pay and gratuities	14,886,228	16,225,989	17,686,328	19,278,097	21,013,126

Welfare and training	12,623,615	13,002,324	13,392,393	13,794,165	14,207,990
TOTAL STAFF COSTS AND WAGES	**990,279,126**	**1,077,799,957**	**1,173,130,503**	**1,276,969,847**	**1,390,079,750**
ADMINISTRATION EXPENSES					
Board Members Allowances	8,099,968	9,314,963	10,712,207	12,319,038	14,166,894
Advertising	20,408,476	21,428,900	22,500,345	23,625,362	24,806,630
Conservancy, light and water	45,638,248	47,920,160	50,316,168	52,831,977	55,473,576
Consumable stores	1,214,616	1,396,809	1,606,330	1,847,279	2,124,371
Entertainment	-	-	-	-	-
General expenses	-	-	-	-	-
Insurance	17,062,598	17,489,163	17,926,392	18,374,552	18,833,916
Land rents & rates and siding charges	21,567,470	21,998,820	22,438,796	22,887,572	23,345,323
Maintenance of machinery, furniture and equipment	31,390,189	36,098,718	41,513,525	47,740,554	54,901,637
Maintenance of buildings, fences, gates,	-	-	-	-	-
roads and railway sidings	19,367,978	19,658,498	19,953,375	20,252,676	20,556,466
Postage, telegram & telephone	15,721,078	16,349,921	17,003,918	17,684,075	18,391,437
Printing and stationery	11,049,075	11,380,547	11,721,963	12,073,622	12,435,831
Security expenses	61,682,333	63,532,803	65,438,787	67,401,950	69,424,009
Subscriptions & Nafaka Newsletter	637,595	733,234	843,219	969,702	1,115,157
Uniforms and protective clothing	774,633	813,365	854,033	896,735	941,572
Donations	217,692	261,230	313,476	376,172	451,406
TOTAL ADMINISTRATION EXPENSES	**254,831,948**	**268,377,129**	**283,142,535**	**299,281,265**	**316,968,225**
OTHER OPERATING EXPENSES					
Fumigation expenses	20,107,127	22,117,839	24,329,623	26,762,586	29,438,844
Grain dryers operating costs	62,492,451	99,987,922	159,980,675	255,969,079	409,550,527
Commodity handling costs	965,493	965,493	965,493	965,493	965,493
Hired transport(Non-commodities)	-	-	-	-	-
Shows and exhibitions	17,066,953	22,187,038	28,843,150	37,496,095	48,744,923
Travelling and subsistence	50,429,372	56,480,897	63,258,604	70,849,637	79,351,593
Vehicle running costs	23,981,848	26,380,032	29,018,036	31,919,839	35,111,823
Milling Costs	-	-	-	-	-
Audit fees	2,750,000	3,025,000	3,327,500	3,660,250	3,660,250

Legal and other professional fees	49,342,723	49,342,723	49,342,723	49,342,723	49,342,723
TOTAL OTHER OPERATING EXPENSES	**227,135,966**	**280,486,944**	**359,065,804**	**476,965,702**	**656,166,176**
TOTAL EXPENDITURE	**2,072,247,040**	**2,286,664,030**	**2,541,338,842**	**2,851,816,814**	**3,241,674,151**
PROFIT/ (LOSS) BEFORE DEPRECIATION AND BAD DEBTS	**492,763,895**	**973,976,890**	**1,177,481,633**	**1,354,562,662**	**1,511,143,969**
DEPRECIATION EXPENSE	595,000,000	624,750,000	655,987,500	688,786,875	723,226,219
BAD & DOUBTFUL DEBTS	43,700,000	45,885,000	48,179,250	50,588,213	53,117,623
OBSOLETE STOCKS	-	-	-	-	-
TOTAL PROVISIONS	**638,700,000**	**670,635,000**	**704,166,750**	**739,375,088**	**776,343,842**
PROFIT/(LOSS) FROM OPERATIONS	**(145,936,105)**	**303,341,890**	**473,314,883**	**615,187,574**	**734,800,127**
FINANCE COSTS					
Bank charges	16,952,260	18,647,486	19,579,860	20,558,853	21,586,796
Bank overdraft and loan interest	240,584,634	276,672,329	318,173,178	365,899,155	420,784,029
TOTAL FINANCE COSTS	**257,536,894**	**295,319,815**	**337,753,039**	**386,458,009**	**442,370,825**
PROFIT/ (LOSS) BEFORE TAX	**(403,472,999)**	**8,022,075**	**135,561,845**	**228,729,566**	**292,429,302**
INCOME TAX EXPENSE	-	-	-	-	-
PROFIT/ (LOSS) AFTER TAX	**(403,472,999)**	**8,022,075**	**135,561,845**	**228,729,566**	**292,429,302**
NET PROFIT /(LOSS) FOR THE YEAR	**(403,472,999)**	**8,022,075**	**135,561,845**	**228,729,566**	**292,429,302**

Annex XII: Interim Organisational Structure Proposed by the BOARD of Director on 19th June 2014

